

Ethos (ETHOSLTD)

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Call: Aug 2022

ETHOS LIMITED
KAMLA CENTRE, SCO 88-89, SECTOR 8-C
Chandigarh-160 009 INDIA
Phone : +91 172 2548223/24/27, 2544378/79
Fax : +91 172 2548302
CIN – U52300HP2007PLC030800
PAN – AADCK2345N

Registered Office:
Plot 3, Sector III, Parwanoo-173 220 INDIA
Ref. no.: Ethos/Secretarial/2022-23/23

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BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400001 Exchange Plaza, C-1, Block G,
Bandra Kurla Complex, Bandra,
Mumbai - 400 051

Scrip Code: 543532
Trading symbol: ETHOSLTD

Subject: Regulation 30 of the SEBI (LODR) Regulations, 2015 – Transcript of conference call

Dear Sir/Ma'am

This is in furtherance to our letter dated July 25, 2022 intimating the schedule of the conference call for Friday, the 29th day of July, 2022 at 3.00 p.m.

In this regard, we are enclosing herewith the transcript of the aforesaid conference call, held inter alia to discuss un-audited financial results for the quarter ended June 30, 2022, pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015. The same is also available on the website of the Company www.ethoswatches.com.

We would request you to please take the same in your records and oblige.

Thanking you

Yours truly
For Ethos Limited

Anil Kumar
Company Secretary and Compliance Officer
Membership no. F8023

Encl.: as above

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"Ethos Limited
Q1 FY 23 Earnings Conference Call"

July 29, 2022

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 29th July 2022 will prevail.

MANAGEMENT : M R. YASHOVARDHAN SABOO - CHAIRMAN AND
MANAGING DIRECTOR, ETHOS LIMITED
MR. PRANAV SABOO - CEO, ETHOS LIMITED
MR. RITESH AGRAWAL - CFO, ETHOS LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to Ethos Limited Q1FY23 Earnings Conference Call.

This conference call may contain forward-looking statements about the company, which are based on the belief, opinions, and expectations of the company as on date of this call. These statements and not the guarantees of future performance and involve risk and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes.

Should you need assistance during the conference call, please signal an operator pressing “*” then “0” on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Yashovardhan Saboo, Chairman and Managing Director, Ethos, for his opening remark. Thank you, and over to you, sir.

Yashovardhan Saboo: Thank you very much, and good afternoon everyone. Thank you for joining us on the Ethos quarter one FY '23 earnings call.

I am joined by Mr. Pranav Saboo, the CEO; and Mr. Ritesh Agrawal, the CFO. And we also have SGA our investor relations advisors on this call.

The presentation has been issued to the stock exchanges and also uploaded on our company's website. So I hope everyone has had the opportunity to review it.

First and foremost, I am pleased to share that we have reported one of our best quarters for the company recording its highest ever quarterly EBITDA and PAT. I am sure you will also note that it is the result of Q1, which in our industry is considered one of the two leanest quarters without any major festive period and also not the wedding season. Q1FY23 results have fared slightly better even than our best ever festive quarter Q3 in FY22 on profitability metrics. Therefore I am sure you will share my optimism that the remainder of FY23 will be very good too given the very good start that we have had to the year.

I am glad to share that after more than two years, the company has witnessed a normal working quarter, free of lockdowns and COVID wave spikes. If things continue to be the way they are, we are testing to touch great heights in the times to come.

Let me give you some highlights of the quarter one performance. You may know that the base quarter, quarter one of the previous year, that is FY22 was impacted by the second wave of Delta lockdowns. Hence, Q1FY23 growth rates may look amplified. Nevertheless, Q1FY23 results by themselves are an outstanding performance.

As Ind AS 116 has a significant impact on our EBITDA and PBT, I am sharing the highlights of the financials without Ind AS 116 impact to give a simpler view of the accounts. I am giving the figures of, Q1FY23 over Q1FY22.

Billings increased by 94% year-on-year to INR 201 crore. 26% of the billings in this quarter were contributed from exclusive brand watches. Consolidated revenue from operations increased by 95% y-o-y to INR 174 crore. Consolidated gross profit, more than doubled to INR 54.7 crore and the gross profit margin extended by 300 basis points to 31.5%.

Consolidated EBITDA increased by more than 7 times to INR 21.5 crore and consolidated EBITDA margins expanded by 890 basis points to 12.2%. Consolidated PBT increased multifold to INR 19.5 crore. Stock carrying months on sales stood at 5.2 months in Q1FY23, similar levels of quarter Q4FY22.

Consolidated debt has been reduced from INR 60 crore in March 22 to INR 29 crore in June 22. Cash and cash equivalence, including fixed deposits stood at INR 307 crore as of June '22. And these will be utilized for the growth of the company as envisaged in the IPO in these stages.

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Pleasing as these record numbers are, we are even more excited about the core aspects for the current year and the years ahead. As is known, quarter 2 and quarter 4 are generally stronger than quarter one and quarter 3 is significantly the strongest of all quarters. Therefore, we continue to maintain our view and estimate given earlier in the year that the revenue growth in FY23, over FY22 will be as much as 30% to 35%.

Our company's longstanding relationships with leading luxury watch brands will continue to underline and assist our company's ambitious growth plans and presence in India. We also believe these longstanding relationships with the luxury watch brands enhance our competitive positions. In addition, we will also leverage our in-depth knowledge of luxury watches to expand the market for watches and establish a leading presence even in the segment of Certified Pre-owned Watches.

Before concluding my part of the speech, I would like to say that our focus going ahead will continue to be building our business based on the omnichannel strategy, exclusive brand tie-up, a pan India network, watch servicing and after sales service an extremely high standard of service to customers, and above all the relationship of trust with our customers and with our brands.

Now, let me hand over the call to our CEO, Mr. Pranav Saboo to share his thoughts. Over to your, Pranav.

Pranav Saboo: Good afternoon, everyone. I hope you and everyone around you is safe and healthy. As Mr. Saboo has already given the gist of our strong quarter one results, let me spend some time on the qualitative aspects of the business.

We have built Ethos step by step on the back of our omnichannel strategy. Our physical presence is leveraged by our strong digital platform with a frequently visited website, effective social media communication, a large database of HNI customers, and an active program of a home and office delivery of luxury products.

Our digital platform has created a niche in the online luxury watch market through various unique value added services, including a highly specialized team of luxury watch consultants, targeted content, watch insurance and dedicated after sales service to our customers.

Our strong performance in quarter one, FY23 is also a result of all of these various initiatives. We have taken over the years. Out of the total billings of INR 201 crore in quarter one, nearly one-third of our business is now coming through digital medium. This itself, speaks about the strength of our digital presence now.

Apart from that, we have also made progress in our focus area, which is expanding the list of exclusive brand portfolios. Post listing of Ethos, we have added two new Swiss brands to our exclusive brand portfolio, Jacob & Co. and NORQAIN. These partnerships will unlock access to the brand's unique collections for Ethos' customers

pan India. With these additions, now 35 of the biggest watch brands are available exclusively at Ethos.

Relationships with luxury brands and their owners typically take many years to develop and are difficult to replicate. Our promoters and management team have worked hard to nurture these relationships and these two provide a wide mode for our business. Revenue from exclusive watch brands also enable us to earn higher margins, improving the overall profitability for the company.

Our new growth pillar Certified Pre-Owned Watch business also continues to do well. We hope to exceed INR 75 crore of business by the end of the year through one lounge in Delhi and our website, secondmovement.com. Over the next two years, we will expand the footprint along with the website to three to four major cities in India to continue driving strong growth.

Apart from watches, we had also recently

signed up the partnership with Messika and Rimowa for retailing in jewelry and luggage segment, respectively. We hope these new verticals can act as a future growth driver of the company, along with widening of our product portfolio and experience in luxury retail.

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Before concluding, let me summarize our strategy. Going forward, our focus will continue on adding larger flagship stores complemented by enhanced digital capabilities. Expand our exclusive watch brand portfolio, improve our market share and profitability with focused marketing and cost effective initiatives.

We will continue to invest in our brand, scale up the Certified Pre-owned business, as well as set up a stage of growth for our new jewelry and luggage verticals.

With these words, I thank you again for confidence. We now leave the floor open for questions and answers.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Shyam Garg from Niveshaay Investment Advisory. Please go ahead.

Shyam Garg: Hello Sir, Thank you for opportunity, Very good set of number. My question is with respect to the, what is our revenue mix or what is the revenue that we get from the exclusive brands that we have that only we can sell in our outlets.

And my second question is, do we have any inventory? Are there any probabilities of having any inventory currently or in future?

Thirdly, how does a big luxury brands like Rolex allocate their products, the number of units. Is it dealer-wise or country-wise? How do they do it? Because there's a shortage of Rolex watches all over the country.

Yashovardhan Saboo: Shyam, thank you very much. Your voice was not very clear. So I think, I understood your first and third questions. I am not sure if I understood the second one. So the first question was what share -- what is the revenue share that we get from exclusive brands? And the third one was how do the luxury brand allocate their products? If that is correct, and just let me repeat again. What was your second question?

Shyam Garg: Sir, my second question was with respect to inventory gains. So are there any probability that we'll have inventory gains for watches?

Yashovardhan Saboo: Inventory gains? You said Inventory gains?

Shyam Garg: Yes, sir.

Yashovardhan Saboo: Okay. Let me answer the question. So, in the last quarter, about 26% of our revenue came from the exclusive brands.

Your second question regarding inventory gains, this really depends on how the pricing moves. The pricing of the watches is determined by the brands and typically if prices are revised and the brands give the guidance at the MRP, the new MRP is valid for the new product. Then to that extent, it would be some inventory gain encapsulated in the inventory. It really depends on how the brands determine the policy for their particular brand, the pricing policy.

And sorry, your third question was about how luxury brands allocate the products. So I think different brands have different policies and you mentioned shortages of watches in certain brands all over India. This is true, but the shortage is not only all over India, the shortage almost globally, whether you visit some of these brands, boutiques, whether it's in a Dubai or Singapore or London or Paris, there are shortages of watches across many of the top brands.

There are several reasons for this, the most important being that there have been some supply side constraints. During the COVID period it was difficult to ramp up production. It was difficult to keep up production. And while on the other side, the demand for these iconic and luxury brands and watchmaker brands, they have been steadily going up as they have become

more collectibles and pieces that people want to collect. So the demand has been going up. The supply has not kept pace completely. So there is a shortage globally.

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The allocation is really a policy that the brand follows. It's not something that we can comment on. However, I do want to say that for most brands, India is rapidly becoming a high priority market, and certainly we understand that and the brands understand that India will be one of the most important markets in the future, so, it certainly also stands pretty much high in the order of importance when it comes to allocation.

Shyam Garg: Sir, can I ask a few more questions?

Yashovardhan Saboo: Shyam, may I suggest, there are other questions, so maybe you can come back at the end.

Moderator: The next question is from the line of Perna Choudhary from Ace Capital. Please go ahead.

Perna Choudhary: Hello everyone, first of all, I would like to congratulate you for such an amazing quarter, and my first question being, can you give some insights on a new jewelry and luggage retailing business. How it has been doing and what is the scalability potential?

And the second one being, what is the total working capital cycle in our days for our company.

Yashovardhan Saboo: Okay. Perna, thank you very much for your nice comments. The second question, I am going to transfer that to our CFO and CEO, to answer. The first question regarding the new jewelry and luggage business, let me answer it for you.

We have signed on Rimova for the luggage, and Rimova, as you know is LVMH Group company. It is the best known, the most famous luggage brand in the world today and jewelry we have signed on with Messika Paris. I will urge you to check out Messika Paris and how well known it has become, especially among the younger generations. It actually, was chosen by many many stars at the Cannes Film Festival in 2022.

Now both these brands we have signed on, but we are still waiting for stores to become available. Rimova, we're going to start at the Jio World Plaza mall in Mumbai, which is expected to become operational in February 2023. And Messika, we will start in the third quarter of this year.

So the businesses, we are in the planning phase, we are, but they have not yet started, so the upside and all the numbers from these two exciting businesses are still to come

in. These are very exciting segments, jewelry especially. Branded jewelry is booming worldwide, including in India. We all know what Tanishq did, how it transformed the branded jewelry business in India over the last 20 years from unbranded jewelry, jewelry became branded and Tanishq was the one that led that transformation.

We believe that that same transformation is going to continue with branded jewelry, but this time around with international branded jewelry, the same thing as which has happened in so many other brands. So international branded jewelry like Messika is going to experience a huge growth, and we are extremely excited to have this possibility with an exclusive tie up with Messika.

Luggage business, luggage like Rimova. COVID is over, traveling is back, if you have seen how rapidly traveling is growing back again, international travel, business travel, holiday travel. I have really no doubt that Rimova itself will be a highly scalable business. We are starting with one boutique, but I am sure there will be others to follow because we have a large Indian market to cater to.

It's difficult to put numbers right now. Let us start, let us see the reactions, but I think in the years to come, it's going to be a very significant contributor to the company's revenues and profit.

I am going to pass the mic on to Ritesh and Pranav to answer the ques

tion regarding inventory, I think.

Ritesh Agrawal: So our inventory days as of June is 154 days on sales and the working capital days is 110 days.

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Moderator: The next question is from the line of Devanshu Bansal from Emkay Global Financial Services. Please go ahead.

Devanshu Bansal: Yes, Hi. Thanks for the opportunity sir and congratulations on a great set of numbers. Sir, most of the store openings that were part of our issue objects are expected to be in FY23. So can you throw some light on the timeline of these openings within FY23?

Yashovardhan Saboo: Devanshu, nice to hear you. If you have other questions, can you put them all in one so that we can answer them all?

Devanshu Bansal: Sure. And the second question is, you mentioned exclusive mix was 26% in base quarter. What was this mix in the base of Q1FY21? And if you can provide for Q1FY20, then it would be helpful, over the last three quarters. And...

Yashovardhan Saboo: Sorry, you'll have to repeat that question. It was not very clear.

Devanshu Bansal: I am saying you mentioned exclusive mix to be 26% for this quarter, Q1FY23. If you can mention the exclusive mix for the last two quarters in the base, Q1FY22 and Q1FY21.

Yashovardhan Saboo: Right. Okay.

Devanshu Bansal: And third is, you indicated there has been a shortage of luxury brands. So are you seeing discounting sort of reducing, for the luxury watches?

And last question is, only contribution of pre-owned watches, so what was the revenue contribution in this quarter, and how do you see the profitability trajectory as this business scales up? So, yes.

Yashovardhan Saboo: Okay. Let me answer about store openings and some of the data might, I'll transfer the mic to Ritesh and Pranav.

On store openings, we are anticipating store openings starting from the next quarter. As I mentioned, a lot of/ not lot of, all the store openings / new store openings depend

on the availability and when the malls become ready. So we are expecting Indore and we are expecting Ahmedabad, two malls that I mentioned already, Jio World Plaza in Mumbai in the fourth quarter. We are informed they are on track, or usually a month, or two delay. We are tracking it, and we are hopeful that the store opening that were planned for this year we will continue.

As far as the discounting is concerned, yes, we do see a steady reduction in discounts. So that's a very positive development from the margin point of view and that's one of the reasons why you will see the margin improvement.

Pre-owned watches, the sale in this quarter was almost was more than 3x of previously year same quarter and as I mentioned, the overall profitability and return on capital on this business, especially after it crosses a threshold is actually going to be higher than the return on capital on of the new watch business and the reason is that obviously it's a more efficient business in terms of costs. All the sales that we are doing is coming from one store and our website, all the sales that we are doing.

Regarding the percentage of share of exclusive brands in the previous quarters, Ritesh, you will have the numbers readily with you, can you share them please?

Ritesh Agrawal: Sure, sir. Exclusive brand percentage, we need to see from period where, we were operating. So, last year and last to last year, both were impacted in COVID. Last year was a Delta wave and the FY20 was/ sorry, FY21 was basically into the first wave lockdown. So there our revenue from exclusive brand was bit higher, where the stores were shut and we were only operating through digital means.

Pre-COVID level, if we talk about the FY20, our exclusive brand mixed was 24%. Apple to apple comparison that we do currently, our revenue

mix from exclusive brand is 26%.

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Yashovardhan Saboo: Ritesh, the question was what is the revenue on exclusive brand in the last two quarters. We understand it would be higher or can be higher or lower, but please give that number, if you can.

Ritesh Agrawal: Last quarter, Q4FY22 was 28%.

Yashovardhan Saboo: 28% Okay.

Devanshu Bansal: Sure, sir. And just a follow-up on this since you mentioned that this discounting has been reducing as well as we have been increasing our share of exclusive brands, can we expect this 30%, 31% and 12% sort of EBITDA margin to sustain going ahead, or there can be some growth investments from this?

Yashovardhan Saboo: So we are/ our efforts are always on to increase the margins. But margin is a result of many, many factors. It's already higher than what we had originally projected. You are aware about that.

Devanshu Bansal: Yes.

Yashovardhan Saboo: So, we'd like to believe it is sustainable. We are continuing efforts to continuously enhance margins and sometimes it's also impacted by the exchange rate, the volatility of exchange rates, pricing policies by brands, availability of watches and so on. But overall, I think we can consider that it is a sustainable, largely a sustainable margin structure that we have.

Moderator: The next question is from the line of Saurabh Grover from Posco Capital Partners. Please go ahead.

Saurabh Grover: Hi, team. Good evening. First of all, congratulations on the good results.

A couple of questions have already been answered regarding jewelry and luggage.

What I wanted to understand is you mentioned about flagship stores and going ahead with three to four stores by the end of this year, and you mentioned that on the digital front you have been doing really well. So is it that you see the flagship stores to be more profitable or is it more to create the brand awareness amongst the consumers?

Yashovardhan Saboo: Okay. Saurabh, do you have any other questions?

Saurabh Grover: No, that's it.

Yashovardhan Saboo: Okay. So happily, I can tell you that flagship store is both of the above. It not only creates a stronger impression, not only offers a much greater and a better experience for customers but the store economics are also better, and it is more profitable than the smaller stores. So, that's the reason why we are pushing for more flagship.

Let me add one other reason why flagship stores make a lot of sense, and that is that the same store growth can be sustained for much longer in a flagship store. So, when you build up a flagship store, it becomes the center of customers' watch experience and then for years, and years and years, we can expect the same store growth to remain strong. This is the trend globally, and this is what we have seen in India as well.

Moderator: The next question is from the line of Rahul Agarwal: from Incred Capital. Please go ahead.

Rahul Agarwal: Hi, good afternoon. So good to see a very strong set of numbers. Sir, three questions, quickly. Firstly, on gross margins. I think we're tracking much higher than what we have done historically. What could be a reason? As in, obviously presentation mentions that our branch share is increasing, but my sense is quarter-on-quarter, it looks like we have gone from 28% to 26%, but we still expanded gross margin. So could you help me understand this, and bit of long term range, as in / as the previous participant was asking that obviously we're all trying to sustain this number, but is it really sustainable? That's first question.

Second was on same store sales growth. We hardly had any new openings this quarter, but it looks like the same store sales growth are very st

rong, driving overall top line.

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Could you elaborate a bit on, would give some color on whether it's driven by volumes, or sales mix or the watches you offer are better, the demand post-COVID continues on luxury items and any other reason you think like?

And so, third was on currency depreciation. We saw a very large depreciation of Indian rupee versus dollar. How does that impact the business? Those are my three questions. Thank you.

Yashovardhan Saboo: Great questions, Rahul, as always. Gross margin, look, as I mentioned, gross margin is a result of various things among them, one of them is share of exclusive brands where the margin is larger. But here, you have seen an expansion of margin even though the share of exclusive brands has actually gone down a bit in this quarter. So clearly, there are other forces that always play. A reduction in discount related to the fact that some watches, generally in the market there has been a reduction in discount. The days when 20% and 30% and 40% discounts were been talked about, those are gone forever. And that is good.

A very, very important part is, the processes that the management team has put in, in the purchasing process, the selection of product, they use of data to check what is going to sell, what are the preferences? So over the last 18 to 24 months, a lot of work has been done in streamlining this process and obviously the quality of the inventory we have, the time when we have it, where we have it, that has played an important role also in enhancing the gross margin.

You mentioned currency depreciation. It is somehow related a little bit to the gross margin, as well. As long now, currency depreciation in dollar has been strong, but dollar has risen against other currencies like Swiss franc as well. So the currency

depreciation in Swiss franc has been relatively, low prices have been stable, so this usually also helps in gross margin sort of stability. Sometimes gross margin is impacted because of these things. Since this impact less, it has remained stable.

And lastly, I would also like to say that our merchandising team, they have done very great job in negotiating terms with brands, whether it's for specific products, whether it is for specific markets or specific campaigns, combined with a very focused marketing program. So I think it's a multifarious kind of effort, which has led to gross margin, solidifying.

Your question as to whether it is sustainable, whether it's really sustainable or not, as I said already, our effort is not only to sustain it, but to improve it. We can / we will try to control and improve all the factors that are in our control. What is not in our control, we cannot. But in the past you have seen that when the environment remains stable, at that time, you see all the positives coming through as has happened this quarter and I am very confident that going forward this is going to continue and we should be able to sustain this margin. Same store sales growth, you are right, there has not been any new openings and same store sales growth has been high. Again, a lot of it due to some of the factors, which I already mentioned, a very great and focused effort of the management teams to / on same store sales growth, better merchandising, better products, availability and so on.

You mentioned whether demand has peaked after, and stayed high after COVID, so there has been this tendency to believe that during COVID, demand went up because people couldn't travel or people had extra money with them. They didn't know what to do. They were sitting bored in their homes. I am not sure if that is true. What I would like to believe is this, which I have said over the last 24 or 36 months. India is reaching to a

tipping point where the income gross, the GDP, per capita income and the wealth of India is reaching a point where discretionary spending is taking off.

COVID intervenes, all kinds of trends got mixed up, but COVID has gone. Indians have traveled widely all across the world in the last six months and yet we see the demand continuing to remain strong. It shows that India is now ready to buy discretionary products in the luxury segment.

Two other things have happened. More and more, we find Indians preferring to buy watches in India. It was the time when everybody said we are traveling out, we buy watches. Today, I have, we have calls from friends and travelers almost every week, Ethos Limited
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either they have just come back from traveling abroad or they're already traveling abroad and they come back and say, look, always they used to buy outside? Don't you think we should buy in India?

Of course! Not only because the prices are competitive in India, but also because there's so many other advantages. Service is better, you get all the documentations, you have trust that everything that you're getting is genuine. The ability to sell a pre-owned watch with the right documents, there are at least four or five clear advantages to buying in India and customers are discovering it. That's another reason why demand has been strong and this is a structural change, Rahul, what I want to mention. This is not a flash in the pan. So this is going to stay.

And the third thing which I want to mention is clearly Ethos has emerged as the retailer of choice in India. We have the largest footprint, greatest digital presence, greatest digital and in-store experience. So while Indian demand is growing, it is shifting from outside to India, within that, Ethos is the retailer of choice. These are pretty structural changes. It's a sangam of three very positive influences, which will combine into a powerful engine for growth for Ethos in the years and quarters to come. I am convinced about that.

Currency depreciation, your last question, I think the writing is on the wall. There will be a currency depreciation in the months going forward, but this is no change. You look at the last 20 years that Ethos been in business or the last 40 years that I have seen

in business. There is a depreciation of the Indian rupee on an average 4% to 5% every year. Our businesses in India have to factor that in, as we are factored in. It might have changes and consequences for one or two quarters, but we are not looking at one or two quarters. We are looking at the next 3, 5, 10 years, and we will establish a fabulous leadership and a fabulous business over this period, no matter what happens with the currency.

Rahul Agarwal: Got it, got it. but just to be clear on the currency part, my understanding is short term, if the currency depreciates suddenly, our import cost goes up and there is a time lag to pass through that increased cost in terms of higher pricing. Is that understanding correct?

Yashovardhan Saboo: That is absolutely correct. That is absolutely correct. So this is the time lag that we suffer from in some quarters where suddenly there is a depreciation, the price correction takes time to kick in. So during that period, we suffer a bit

Rahul Agarwal: And which is what happened this quarter, right? So should we expect that to happen in second quarter?

Yashovardhan Saboo: It has not happened this quarter. So the currency loss has been relatively small.

Rahul Agarwal: Got it, got it. Thank you so much for answering my questions. I'll get back in the queue.

Pranav Saboo: I just want to mention what, this is Pranav Saboo, the CEO. I just want to mention one more thing regarding exclusive brands. In the last financial

year, and last to last, there were crippling lockdowns that took place and in our exclusive brands, we were running high discounts and high sales with the permission of the brands, of course, and there was a sale in these quarters. This year, and traditionally we have always run a sale in the month of June and then December. This year, in fact, with good demand and a strong position, we decided not to do the sale anymore and to bring down discounts. So even though the exclusive brands sale fell down a little bit, it's because we have taken a conscious decision to bring down this discounts drastically, which is why you see a gross margin increase happening despite house brand sale decreasing a little bit. Just to explain the first question, just my view on it. Thank you.

Moderator: Thank you. The next question is from the line of Mythili Balakrishnan from Alchemy. Please go ahead.

Mythili Balakrishnan Hi. Couple of questions. One is, could you just help us understand how we can, I was curious about how the ASP has moved, how the average selling prices moved in line with our strategy of premiumization in watches?

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Yashovardhan Saboo: Okay. Are there any other questions that you have?

Mythili Balakrishnan I also wanted to understand the top five brands contribution, and if you could share the Pre-Owned, how much of sales came from the Pre-Owned business? You mentioned it went up 3x, but I didn't catch the exact number.

Yashovardhan Saboo: Would you like to, about ASP, and the top brands and the Pre-Owned business, Pranav or Ritesh, would have the numbers more readily? Would you like to answer that, please?

Ritesh Agrawal: Our ASP is moving upward as, as we mentioned during our last call as well. So current, in this quarter, our ASP is INR 1,58,000.

Mythili Balakrishnan Got it. In terms of the top five brands?

Ritesh Agrawal: So we do not mention about/- we do not track by brand, but we work with all the brands, respective brands work with us. So the brands like, brands from Swatch group Rolex, all these brands are important as well as our house brands, which is exclusive brands, like Urwerk and many others Bovet All brands are very dear to us and we track all

those as an important point for us.

Mythili Balakrishnan Got it. And in terms of the Pre-Owned, if you could share the exact percentage?

Ritesh Agrawal: Pre-Owned is about 6%.

Mythili Balakrishnan Got it. In terms of this store openings, just wanted to get a sense, right? Because we currently have 50, we plan to open 3 or 4. Will we be also looking to relocate or move some of the older, smaller stores into this new format?

Yashovardhan Saboo: We are constantly, this is Yasho Saboo here, again. We are constantly reviewing locations and yes, we, if leases come to an end, we obviously that's a time when we review. And if either we have got a better location or a store is not performing as per required standards, then we would close it and shift to another location. It also depends on how the market has evolved, whether/ how much of an overlap there is, another store. So I don't think there's one reason. There are plenty of reasons why a store maybe discontinued or continued. Overall, the direction is to move towards larger store, flagship stores and away from smaller stores.

Mythili Balakrishnan Got it. But then to that extent, our sales will be faster than these store addition per se, right? Significantly.

Yashovardhan Saboo: Yes. In a direct logic, yes. But don't forget that our stores also include mono brand stores and mono brand stores are typically of the size of 400 to 700 or 800 square feet, and mono brand stores obviously don't have the same kind of sales that a multi brand store has. However, there's anothe

r logic for mono brand stores, so if you really were to do a sort of arithmetical calculation, you'll have to separate mono branch stores and multi branch stores. And in multi branch stores, the sales will increase faster than the store count. That's right.

Moderator: Thank you. The next question is from the line of Vinayak Mohta from Stallion Asset. Please go ahead.

Vinayak Mohta: Yes. Hi, congratulations on a great set of numbers. I basically had two to three questions. So just to start with, wanted to broadly understand how does the ROICE for particular store work, and given that you'll eventually be moving into expansion mode even further, and given that you have a higher working capital requirement that you need, so how do you look at the return on capital going ahead into the future? I know / I understand that you're in a growth phase for now, but how do you see this requirement of capital and the ROCE evolving as we move forward?

The second question was what stops the ultra rich people who come to buy a Rolex or a higher end watch, somewhere around Rs10 lakhs, Rs15 lakhs, Rs20 lakhs to not go and buy abroad, like, is this the pricing differential? Because a flight ticket is not a barrier to them, so what stops them from going to a Switzerland or anywhere else for that matter and buy or watch from there?

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And the third question was, what goes into your understanding of while you're opening a particular store, what goes into your understanding? What do you look like is this a place good for exclusive brand outlet, or is this a place better for a multi-brand outlet? So, yes, broadly these three questions.

Yashovardhan Saboo: Right. So return on capital obviously is the final arbiter, right? Everybody's working to get a high return on capital and as you very rightly said, in a growth phase, there's always a balance between growth and what are the ROCE that you get. However, going forward, as was explained in earlier conferences, conference calls, as well as our other discussions, as we go forward, there are several factors and impacts like we have to take into account.

First of all, the working capital will not grow proportionately. So from that sense, the return on capital, obviously, will increase. We are already seeing the impact of margin

improvement on that. Going forward, as in the previous question/ previous exchange, I answered that the store count itself will not go up as fast as the sales is going to expand. So again, our expenses will not expand as fast as sales, operating leverage is starting to pick in very clearly and then again, we will need to increase the return on capital.

Finally, let's say a new business like the Pre-Owned watches, I am not sure if you heard the first part in the first question itself, where it was that the return on capital on pre-owned watches was estimated to be higher than other businesses, because it's much more efficient. We will the current sales is being generated from one sport. We for all the business projections that we have, we intend to open only about four stores across the country for pre-owned watches in the next two to three years. So again, these are impacts, which will have positive impact on the ROCE.

So2, I believe that the ROCE will show a steady improvement from here and our goal is to become one of the strongest growing and highest paying ROCE companies in the retail business in India. It's difficult really to make very exact projections, but largely I can also say that for our goals through the IPO, we have enough capital and we don't need more capital. We need to invest this capital wisely and to make sure that it leads to the desired growth, not only turnover, but also in profit.

Your second question was about ultra rich and what stops them from going to Switzerland and buying. Well, that's what they have been doing for the last 40 years and now they're coming back to India, Why? First of all, they're realizing that India is as good a place as anywhere abroad to buy watches. Prices are probably less in India. They are certainly not more than other markets. The selection of products and brands today, which is offered by Ethos is equal to anywhere else in the world. But they are discovering the other advantages.

They can buy a watch officially with all the papers, they can get the watch insured, they can show it on social media, the service that we offer today in India, I can proudly say, and you can talk to people who have shopped abroad, the service that they will get at Ethos, India, whether it's aftersales service, whether it's our white glove service, which will deliver the watch to their home, which will pick it up from their home or office if they want it serviced, name me one store in a Switzerland or a Singapore, if you go to the hotel and you ask, please deliver the watch to my hotel. They are not going to do that. So, the service, the respect, the relationship with the customer that Ethos offers and the trust and the paperwork and everything being legitimate, people and collectors are discovering this.

Does it mean that there is nobody buying watches abroad? Not at all. There are lots of people still buying watches abroad, but gradually these is all shifting, gradually to India. So that points to the great potential we have to grow. There're still large number of Indians who are buying watches abroad and we are very sure that more and more of them are going to buy in India because everything favors buying in India. So I am convinced that people will buy, and I am sure you will have friends and family who will know, who have traveled abroad, ask them, do they find a difference between buying abroad and buying in India? 8 out of 10 will tell you we prefer to buy in India. So that is not a worry at all.

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And there was a third question which you had, I am sorry, I think I lost it.

Vinayak Mohta: So broadly, instead of the third question, I broadly have this question, like, if I did do a back of the envelope calculation, we are selling around two watches per day per store. What initiative is the company or what are you doing differently that this moves to a three watched or a four watches per store, because now given that you'll be opening less number of stores, the same store sales is the major factor driver out here. So what do you think you would be doing differently?

And just, just to follow up on the ROCE question, how does the unit economics on a second hand watches work, and how do you think this will be a scalable market going forward? Thank you.

Yashovardhan Saboo: Vinayak, that's a very detailed question. And perhaps our CFO will be glad to connect with you to discuss that. But overall, in terms of driving same store growth, it's not a question of doing things differently. We are already doing things differently, which is leading to this size. Our omnichannel platform is actually designed for that. It is really that. My store is not only catering to the 10 kilometers around that store. My store can be catering to 100, 200, 500 kilometers around that store. Not only that, my 20 stores, which carry a particular brand, connectively, they cover the whole of India.

So it's not that only the store in Chandigarh will supply to a customer who's sitting in Jammu. If that stock is held in a store in Bangalore or in a Kolkata or in Guwahati, he can very well supply the customer in Jammu sitting from there, or

a customer in Kochi

or in Bhubneshwar can be supplied from a store in Jaipur, depending on where the stock is.

So this is the kind of optimization that, the omnichannel platform ensures and our digital communication and storytelling about the brand, the selection, keeps up the interests. Younger people are getting more and more interested in mechanical watches, in Swiss watches. Ethos is the best platform to buy it. So I have really no doubt that what you mentioned, same store growth, we are already seeing the signs of that, and that is going to continue

Vinayak Mohta: Understood. Just one last question, just trying to understand the competitive advantage. What stops a Titan to come into a high-end watches, or what stop any competitor to come in kind of, not disrupt, but take away a market of their own, because this is still a, not a very niche, but it's still a growing segment at a very fast stage. So what stops something like a Titan who has experience in the watches and to come in.

Yashovardhan Saboo: Vinayak, Titan is one of the greatest companies that I know in India and I worked with. I don't know what stops then, but what I do know in the last 18 years that we have been in business, Titan has not been in the high-end business and we have been. So I don't know why they can't make it. There must be some reasons, they might have tried. I know that they have tried, they had a luxury brand Favre-Leuba, but Titan is a great company, but I don't think their focus is luxury watches. A lot of their focus is actually jewelry and it takes a different set of skills and attitude and focus to be in the luxury business. Titan has been extremely successful in all the businesses they have been in, but they're not really adopting the luxury business.

Vinayak Mohta: Understood. And can you give some light on the luxury...

Yashovardhan Saboo: Vinayak, there are other people waiting with questions, so if you have other questions, maybe you can come back later?

Moderator: The next question is from the line of Ekta Sanghvi Vallum Capital. Please go ahead.

Ekta Sanghvi: Good evening, thank you for the opportunity. So, I just had three questions. The first one being what can we expect our CPO contribution to the revenue to be in the next three years? And also is the margin profile of the CPO business, similar to the exclusive brands?

And second question is, so how do we decide about the store opening in the Tier 2 cities? Like, is it that like this the cities where the digital demand is high and then we
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are going and opening stores in those cities, or is there, what is the whole methodology for deciding on which Tier 2 cities to approach?

And the third one is that also how many retailers of Rolex are there in India and what why would we be a preferred retailer of the brand? Because the brand itself has very high brand equity. So, what like why would a person not go to any other retailer and come to Ethos?

Yashovardhan Saboo: Right. About the CPO business, we expect the, in the next couple of years, the CPO

business to grow at close to triple figures, percentage growth. So again, it's difficult to put exact numbers over there, but we see an extremely strong growth and we believe we will be high double digit or possibly even triple digit growth over the next two to three years in the CPO business.

The margin in the CPO business is similar, overall, to the business of new watches, maybe slightly lower, but the return on capital is higher. The margin per, on the sales is a little bit lower than the overall average, but the return on capital is significantly better.

As far as store openings in third and Tier 2 and other cities, yes, you are absolutely right. We use data. We use a lot

of data, not only from our own website, the traffic and the responses that we get, which is extremely valuable by the way, say which other cities that are exhibiting the highest interest in luxury watches. But we also go by other data of luxury detail, which are the presence of other luxury brands.

For example, if there is a high quality mall coming up, we rely on the research done by the mall. A mall is investing thousands of crore to build it and if they have got luxury brands, then they have done research and we rely on that research as well.

So pretty much our decision on where to open stores is very, very heavily data driven which increases the chances that it will be success and a quick success.

Your last question was why is it that any customer should come to Ethos, to buy a particular brand, which may also be available with other retailers there's not only true of Rolex. It's true for so many brands that some other retailers also carry. However, there must be a reason why for most of these brands, we are the largest partner for the brand and I would like to believe that at Ethos we have grown, well, let me put it like this, almost all the retailers who carry other brands of luxury watches, they have all been in business far, far, far longer than Ethos. They were in business even 10 years before Ethos started. There must be a reason that Ethos, starting from scratch, has actually far outpaced and grown and straddled the entire country very successfully and I would like to believe it is based on the promise of Ethos, which is to offer the best luxury watch products, premium watch products, brand and selections, at a competitive price with a 100% guarantee that what you get is genuine, what you get is new, what you get is of the highest quality equivalent to anywhere else in the world. That's, I believe, the reason that Ethos is a preferred retailer for many, many, many buyers.

Ekta Sanghvi: Thank you so much. Just one clarification. So, is it that we have more collection than the other retailers on an average? The more selection of the...

Yashovardhan Saboo: On an average, yes. On an average, yes. We carry more brands and more number of SKU than any other retailer. You can/ you don't have to take my word for it. You go on the internet and you check that out. Other retailers also have websites, so check it out. What are the number of brands we carry, what is it they carry, how many SKUs they carry, visit a store, you know? So yes, it's right. What you said is absolutely right.

Moderator: The next question is from the line of Vinayak Mohta: from Stallion Assets. Please go ahead.

Vinayak Mohta: Yes. Hi. Just wanted to understand what are you, how are you approaching the luxury car business, and what kind of scalability can you look at out here?

Yashovardhan Saboo: Luxury car business, we are not in that business. So, we are not really approaching that business. It is something that we put in our articles as an enabling clause because in the luxury business, I think cars is an important part and luxury cars have a certain affinity

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with luxury watches. People who buy luxury watches are similar to people who buy luxury cars. So there isn't really a clear thinking on this yet.

Moderator: The next question is from the line of Rahul Agrawal from Incred Capital. Please go ahead.

Rahul Agarwal: Yes, just one bookkeeping question. Thanks for the opportunity, again. Ritesh, if you could answer what is the absolute number of inventory as of June and what are the operating flow for the quarter?

Ritesh Agrawal: Rahul, our inventory as of June is Rs. 280 crore. And with respect to operating cash flow, I will come back to you.

Moderator: The next question is from the line of the V

Vinayak Mohta: from Stallion Assets. Please go ahead.

Vinayak Mohta: Sorry, sir. Just one clarification. The 30% to 35% growth number that you have mentioned, this includes the second hand or the pre-owned watches segment as well?

Yashovardhan Saboo: It's the overall number

Moderator: The next question is on the line of Shubham Agrawal from Incred Capital. Please go ahead.

Shubham Agrawal: Hi, Sir. Thank you for the opportunity. Just one small question. Most of the questions have been answered. With respect to the inventory for Pre-Owned, do you face any - you intend to grow three triple digits from here. So how is the supply? Do you see any constraints there, need to import pre-owned watches or would all be sourced from India? Just trying to get a sense of inventory available to sell? That's all.

Yashovardhan Saboo: Pre-owned watches, Shubham, pre-owned watches, they are sourced from individuals in India. We do not import used watches/ pre-owned watches, not one. So that is the first question. If there is, in the business of pre-owned watches, I can tell you the demand for pre-owned watches is significantly more buoyant than the supply. So, there's a huge demand for pre-owned watches and we are gearing up to be able to meet that.

But it's not only a question of supply, you see. It's important to understand that not only do we have to connect with the sellers of the watches, we have to reach an agreement with them on prices. Sometimes they have a very exaggerated notion that my watch, it is 50 years old and therefore it must catch a very, very important antique price. That is usually very often that is not the case.

But even more important. We, after we have sourced the watch, the important process then starts, which is of checking the watch, verifying that it is a genuine watch, repairing, or not repairing, but restoring the watch, which sometimes requires ordering spare parts, making sure and testing that it is up to the required standard and then certifying it from Ethos. And that is the most important thing because each watch has this certification from Ethos, that it is a genuine watch, it is restored, it is in good working condition.

And after we are done with that restoration, if I put a new watch and a restored watch in front of you, it will be very hard to tell which one is a restored watch. The quality of restoration is so high. Why I am emphasizing this point is that the process of restoration, that is not an automatic process. That has to be done by very skilled watchmakers and watchmakers who are experienced not only in one brand. We are buying many brands and selling many brands, so they have to have experience across brands. This is a highly skilled and technical thing. We have expanded, we have got today, one of the, not one of the, the best and the biggest watch service and restoration center in India. And we have trained 17 watchmakers for this job And we will need more.

So actually that is the bottleneck. And as we move on, this capacity will be expanded, we will be sourcing more and more using our network of buyers. And we will see this thing to grow.

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Shubham Agrawal: Thank you. Thank you. So this, I don't know, if I can squeeze one question, it wasn't coming to me earlier, but what inventory you'd run at for CPO business in general?

Yashovardhan Saboo: For what? For pre-owned watch?

Shubham Agrawal: Yes, pre-owned, yes.

Yashovardhan Saboo: So, it usually takes about from the time a seller agrees to sell the watch and then we need to restore it. It can take on an average four to six weeks for the restoration, but after it has been restored and available for sale, typically there's less than one month of stock. Watches sell out very quickly after they have been restored.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to the Management for closing comments.

Yashovardhan Saboo: Thank you very much and thank you, everybody for joining the call. I hope we have been able to answer most of your queries. If there are any remaining, please contact SGA, our investor relations advisors, and they will surely direct them to us and I hope we will be able to satisfy all your questions.

Thank you once again for your participation, and I wish you a nice afternoon and a nice evening. Thank you.

Moderator: Thank you. On behalf of the Ethos Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2022

ETHOS LIMITED
KAMLA CENTRE, SCO 88-89, SECTOR 8-C
Chandigarh-160 009 INDIA
Phone : +91 172 2548223/24/27, 2544378/79
Fax : +91 172 2548302
CIN – L52300HP2007PLC030800
PAN – AADCK2345N

Registered Office:
Plot 3, Sector III, Parwanoo-173 220 INDIA
Ref. no.: Ethos/Secretarial/2022-23/49

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BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400001 Exchange Plaza, C-1, Block G,
Bandra Kurla Complex, Bandra,
Mumbai - 400 051

Scrip Code: 543532
Trading symbol: ETHOSLTD

Subject: Regulation 30 of the SEBI (LODR) Regulations, 2015 – Transcript of conference call

Dear Sir/Ma'am

This is in furtherance to our letter dated November 3, 2022 intimating the schedule of the conference call for Monday, the 7th day of November, 2022 at 10.00 a.m.

In this regard, we are enclosing herewith the transcript of the aforesaid conference call, held inter alia to discuss un-audited financial results for the quarter and half year ended 30th September, 2022, pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015. The same is also available on the website of the Company www.ethoswatches.com.

We would request you to please take the same in your records and oblige.

Thanking you

Yours truly
For Ethos Limited

Anil Kumar
Company Secretary and Compliance Officer
Membership no. F8023

Encl.: as above
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"Ethos Limited
Q2 & H1 FY2023 Earnings Conference Call "

November 07 , 2022

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchanges — BSE Limited and National Stock Exchange of India Limited and the Company website on 7th November 2022 will prevail

MANAGEMENT: MR. YASHOVARDHAN SABOO – CHAIRMAN &
MANAGING DIRECTOR – ETHOS LIMITED
MR. RITESH AGRAWAL – CHIEF FINANCIAL
OFFICER – ETHOS LIMITED
Ethos Limited
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Page 2 of 20 Moderator: Ladies and gentlemen, good day and welcome to the Q2 and H1 FY2023 earnings conference call of Ethos Limited. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Yashovardhan Saboo. Thank you and over to you Sir!

Yashovardhan Saboo: Thank you and a very good morning to all. I hope you had the opportunity to review our presentation and financial results, which are available on the stock exchange and our company's website. I am accompanied by Mr. Ritesh Agrawal our CFO and SGA our investor relations advisors are also present on this call. I am very glad to share the news of yet another excellent quarter. The quarter that confirms again the growth potential of the premium watch segment in India and the dominance of Ethos in this segment.

We report with pleasure that our Omni channel platform seamlessly combining offline and online has done very well. We also reported a higher share in the business which differentiates our offering. Furthermore, our EBITDA margins continue to expand on the back of cost optimization initiatives and operating leverage. Here are the financial highlights.

For Q2 FY23

Revenue was up by 32% from Rs.134 Crores to Rs.178 Crores in Q2 of this year. EBITDA was up by 93% from Rs.15.4 Crores in Q2 FY2022 to Rs.29.7 Crores in Q2 this year. EBITDA margin for the quarter stood at 16.4%. Profit after tax for the quarter stood at Rs.13.6 Crores with a PAT margin of 7.5%.

For the H1 FY23,

H1 of FY2023 revenue was up by 57% from Rs.223 Crores in H1 last year to Rs.351 Crores H1 this year. EBITDA was up by 117% from Rs.27 Crores in H1 last year to Rs.59 Crores in H1 this year. EBITDA margin for the half year stood at 16.5%. Profit after tax for the half year stood at Rs.26.4 Crores with a PAT margin of 7.4%. Inventory days stood at 162 days. Gross debt is Rs.9.8 Crores and cash and cash equivalence including other bank balances are at Rs.265 Crores at the end of H1. Before we go to the Q&A part of our discussion, allow me these few comments please.

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Page 3 of 20 The luxury watch market in India is expanding rapidly. The overall industry is gaining traction with the rising discretionary income of HNIs and rapidly expanding base of these consumers. Watch buyers now know that luxury watches in India are competitively priced in comparison to other global retail destinations. Despite higher import duty and GST, India's prices are similar or even better than other global shopping locations. The Ethos

watch buying experience is equal to or better than what consumers get anywhere else in the world. Ethos enjoys a unique trust of customers who believe that what we sell is genuine. It is sourced directly from the brands and it will be supported by top class after sales service. As a proof, I am delighted to share that 46% of our business is now coming from repeat customers up from around 33% about two years ago. All of this places us in a unique position to capture the lion's share of the growth that this market will experience in the coming years. We are carefully observing some slowdown in global markets, but we believe that the impact in India will be limited. Therefore we continue to hold our guidance given earlier this year. Our strategy continues to strengthen our presence in the luxury and high luxury watch segments. As a result, we expect a steady increase in ASPs that is average selling price over the next six to eight quarters. We have accelerated our growth plans against the plan to add 13 stores as per our prospectus at the time of IPO. We are now targeting 40 new stores in the next 24 months across metro cities and several new tier two and tier three cities are being added. We believe that they have a huge buying potential in the coming years. We are also continuing to strengthen our brand portfolio, especially exclusive brands. We are in discussion with several new brands for exclusive India rights and hope to be able to confirm and share many of these in the coming two or three quarters. Ladies and gentlemen, Ethos will not only be the leading luxury watch retailer in India, which we will be by far but our goal is also to become one of the top five global luxury watch retailers, but our ambition as you know also extends beyond watches.

You are all aware we have signed an agreement with Messika, Paris to be the official distributor and partner for Messika Jewellery in India exclusively. The addition of Rimowa luxury luggage to our portfolio is another category extension that will expand consistently. We will continue to take the required measures for such expansion. These collaborations

and others under discussion will help us build growth vectors outside the watch business to make Ethos a veritable luxury powerhouse in the years ahead. With these comments, I thank you very much for joining this call, and I open the floor for questions and answers.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Rahul Agarwal from Incred Capital. Please go ahead.

Rahul Agarwal: Good morning and thanks for the opportunity. Season's greetings to everybody at Ethos and congratulations Sir for the company to host the Grand Prix 2022 last month. I hope the Ethos Limited
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Page 4 of 20 even though it went well. Sir I have four questions? Should I go across all four together or take it one by one?

Yashovardhan Saboo: Please Rahul go through all four. Thank you very much for joining. Good morning.

Rahul Agarwal: Okay sure Sir. Sir, firstly on the new store expansion plans just wanted to know what has led to the change because that number looks like 40 stores in the next two years? It is quite a big number to achieve, could you help us with more detail in terms of location, capex, anything outside India we are doing, and the store mix we are seeing? Are we trying to do something with jewellery altogether that is the first question? Secondly on the CPO business how did the segment do basically in the first half and how it is scaling up? I heard on the TV as well that training has been happening in Switzerland but in terms of what is happening with the second lounge opening in Mumbai the availability of service and how do you see that business moving that is the second question? Third and fourth are basically the numbers? The third question is on the same store sales growth? If you can help us with the number for Q2 and first and half and lastly on exclusive brands within the 35 that we have which would be the top three in terms of revenue? Those are my four questions? Thank you Sir.

Yashovardhan Saboo: Right. Thanks Rahul. I will go one by one so on locations we always wanted to grow fast with locations, but frankly, until last year when the effect of COVID was still sort of uncertain as to when it would subside, we were a little bit conservative however, over the last five or six months we are seeing a confirmation of our belief that the market is growing steadily. We are seeing that the needs coming in from many cities where we are not present continue to grow not only for entry level products but also for middle to high level products and we see an interest from brands also to enter some new geographies so as a result of these various combinations, we said let us go and up the target for new stores. We also believe it will help us to get market share faster by being the first mover in various cities where luxury watch retail is still not present so as a result I said that we have a plan for about 40 stores. Some of these are already contracted. Some of them are in the process of discussion, but over the next 24 months or so we expect these to come up. Many of them are in new cities. For example there is Surat and there is Raipur. We are looking at Bhubaneswar. We are looking at Kochi so a lot of new cities. We have looked at Ranchi,

Siliguri so these are new cities tier two and tier three cities that we are going to go to and we will be strengthening our presence in most of the metros most notably in Mumbai, Ahmedabad, Hyderabad, Gurgaon is on the cards. So I think in all we have got a fairly robust expansion program. It is also a combination of mono-brand boutiques as well as multibrand stores. Some of the multibrand stores are the Ethos Summit Stores and others are in Ethos stores which will go up to luxury, but will not include high luxury especially in tier two and tier three cities. We will not start with

high luxury but we will go up to let us

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Page 5 of 20 say from entry to luxury to luxury so that is the plan. We had in place capex in the prospectus that, I think we have provided for about Rs.33 Crores so of course that is there. There might be a little bit more not too much more which of course will come from our operating surpluses. I hope that answers your question regarding locations and I will now come to CPO. So CPO the business looks strong and very good. There has been a correction in the let us say the rationale of exuberance that existed in this segment internationally. You are aware that for many of the collectors brands and watches the premium was sort of increasing like at 5% and 10% a month which was very, very irrational for. That has subsided. That has corrected in global markets. While that has had a bit of a dampen effect in India because people were crazy about paying any price for watches but in India still the demand and potential remains absolutely unabated. Our bottleneck and something that is of course determining the speed at which we can grow is the availability of watchmakers and their training that is happening. As it is happening we are stepping up our purchasing of watches. We had to slow it down because there was no point in purchasing watches if we did not have the capacity to refurbish them so we are now purchasing based on our refurbishment capacity. We are continuing to engage or look for watchmakers that are not easy to find. We are now actively discussing setting up training schools for watchmakers in some form or the other and we will initiate talks with some organizations in Switzerland that will help us to do that so the CPO business will continue to grow steadily. Even this year there will be high double digit growth compared to last year, but it is not going to be mediocre. It will be a steady increase over the next four to five years every time let say high double digit growth is what we are looking at. Your third question was regarding SSG. The SSG is strong very strong again in this quarter. We have had a SSG of about 17.2% and for the half year it is 44%. Of course you will remember that in the Q1 it was extremely high compared to last year because the first quarter last year still that COVID delta impact but overall for this quarter Q2 it is more than 17% which is extremely healthy. Your last question was regarding exclusive brands. I think we have a lot of exclusive brands which are doing very well. I would hesitate to call out specific names, but I can tell you that there are at least five or six of our exclusive brands that come within the top 10 or 12 brands overall for us.

Rahul Agarwal: Right Sir and I would just request if you could share some takeaways from the Grand Prix. Anything which we should know about or anything which you thought were leading to more confidence on what we are doing in terms of business for CPO or new ventures either ways? Thank you so much for answering my question.

Moderator: Thank you. The next question is from the line of Ankush Agrawal from Surge Capital. Please go ahead.

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Page 6 of 20 Ankush Agrawal: Thanks for taking my question. Firstly Sir what I wanted to understand is like typically as an analyst and an investor like what we have been accustomed to is general retailing in the market wherein a large part of growth is largely dependent on how many stores you keep adding whereas ours is a luxury retailing business wherein I believe the number of store addition is not directly linked like we will not obviously have a lot of new store additions so what I wanted to understand firstly is if you can highlight some of the dynamics around our stores like what is the capex, opex, like breakeven sales and what is the typical journey of a successful

store because I have also seen that we have a lot of churn on the stores which is understandable given that it is not a general retailing and every store will have success so if you can highlight like what is the long-term journey of a store like how it grows typically in terms of long term SSG growth and all that stuff? That is my first question? The second question is about the gross margin in expansion so if I look at our history I think even for the last four to five years we are seeing consistent improvement in our gross margins and you have already explained that it is because our share of the higher end of the watches and also

own exclusive brands proportion of whole exclusive brands growing so what I wanted to understand is it something that keeps continuing because in our DR HP we have mentioned that in our kind of business the margin segment that you just said is around 20% to 35% and we are already touching 32% so do you believe there is a lot of room for our gross margin to expand or I think we are kind of sitting at the upper limit that is the second question and lastly on the store expansion so if you say you want to add 40 new stores is this the net new store addition or this is gross additions and whatever closure that we have would be separate those are the three questions that I wanted?

Yashovardhan Saboo : Thank you Ankush . So the journey of stores you mentioned that there is a lot of churn .

Actually there is not too much churn barring some changes that happen. We have kept most of the stores we have started for a very long time. The journey of our stores it depends on what format we are talking about. As you know we have several formats. We have mono brand formats. Now these are expressions of brand identity and places where someone whose brand decided can go and pickup a watch. Now there the journey is pretty sort of clear. It starts and it grows as the brand grows. In terms of financials overall financials are not that different from multibrand stores. In most of the key parameters where it is per square foot or margin structures or whatever cost structures. For multibrand stores we have an Ethos store and we have the Ethos Summit Stores. The summit stores start with a portfolio which is higher in price point and the Ethos stores are mid to high price point stores right , but the journey is pretty much remains the same now especially that we have given up doing very small stores. In the past we used to do multibrand stores even with 500 square feet and 600 square feet. We are no longer doing that. We do not do multibrand stores below 1000 feet and wherever we see the potential for a flagship store which is 2500 square feet or so with do a flagship store. Now the journey is pretty simple. Actually the stores should start breaking even within the first year and normally its payback should Ethos Limited

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Page 7 of 20 happen within three years or so, so we do expect stores to have a robust same store growth.

Our target is double digit same store growth. In the past it used to be around 8% or 9%. We believe we will step up that same store growth. The same store growth has also helped by the fact that as a geography evolves and this is a very, very important point to understand. As a geography evolves we can continue to add higher price points and eventually a store that could be an Ethos store can morph into an Ethos Summit Store and continue to experience a strong same store growth . The case in point is Chandigarh. Chandigarh was not a great luxury market seven to eight years ago. We were selling mid to high price points but not very high .. Somewhere down the line the market evolved and we started to add more of the high price point brands even today Chandigarh continues to show high same store growth and we have been here for close to 15 years so the journey of a store is pretty much go

es along these lines. Generally, we expect the same store growth to continue for at least seven to 10 years when we start a store. I hope that answers your question . Regarding gross margin expansion you are right. There has been a steady gross margin expansion over the last couple of years . Where we stand today it is actually what was our target one and a half years ahead. We have actually achieved a target of one and a half years ahead . I think we are at close to an optimal gross margin expansion however I do not expect this to grow too much further. Of course of profitability will grow through an operating leverage which is kicking in and you can see that in the overall PAT or PBT margins or the EBITDA margins however I do want to add a little caveat that if the import duties go down and the import duties are amongst in the world 23% is the basic import duty. If the import duty goes down which we hope it will over the years then we can expect a direct impact on the gross margin. Your last question was regarding new stores . Sorry can you repeat the last question.

Ankush Agrawal: What I was asking was ...

Yashovardhan Saboo : Sure so , we have identified 40 new stores. These are new stores. I cannot rule out that there will not be any closures. We do not foresee any closures in the next two years. There are let us say a couple of stores where the performance is not optimal and if these do not work up then we might close them but it is going to be very, very few stores that we foresee closing down, very few stores .

Ankush Agrawal: Got it. That was very helpful. I will get back in the queue.

Moderator: Thank you. The next question is from the line of Devanshu Bansal from Emkay Global . Please go ahead.

Devanshu Bansal: Thanks for the opportunity. Congratulations on a very strong set of numbers. I have two questions. The first one is the strong results we have witnessed in Q2 is that on back of secular industry growth or the result of market share gain for us? The second one is Ethos Limited

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Page 8 of 20 EBITDA margin performance has been quite impressive for us so wanted to check on the sustainability of these margins going ahead? Also if you can speak on how has been the accounting trends because last time you indicated that it has been lower so how is it Q2 and how do you foresee going ahead? In terms of working capital again it has been an impressive performance for 90 days remaining low at about 160 days and similar to FY2022 levels so wanted to check here that see if we see them returning to 175 to 180 days that we used to do historically or these are more sustainable and second on working capital is payable days this quarter has reduced by about 20 odd days so is it a seasonal thing where Q2 that this will reduce and by the year end it goes up again? Lastly I wanted to check if you can share key takeaways from the GPHG event that we hosted and wanted to check if global brands are viewing India more as an attractive market versus the previous perception so these are my questions Sir?

Yashovardhan Saboo : Thank you Devanshu. I will answer them as best as possible. The Q2 globe I think it is a combination of both. I think the market remains strong but not only the remaining strong. I think the Ethos name and what it stands for are getting stronger and therefore there is of course gain in market share. It takes some time to estimate market share because there is not too much published information in the watch business but I am pretty sure that it is a combination of a continuing strength in the market in India and of course a phenomenal strength that the Ethos brand is now gathering. Margin sustainability broadly I think yes it is going to be sustainable. There might be a bit of a variation. You must know that typically some losses happen due to the depreciation of the

rupee. Historically that has been true. In

fact during the last couple of months except for probably September the foreign exchange losses that we experienced were much lower. In fact in Q1 there was a bit of a gain so if I anticipate what could happen there, there could be a certain amount of loss which will deplete the margin marginally, but I think overall we are pretty much in a sustainable position as far as the margins are concerned. Working capital days again I think we will sustain this. As we add new stores and new brands it may go up a bit because there is initial stocking and then it takes time for the sales to build up so during this growth phase the number of days of stock may go up a bit but we are within the target range and even if it goes up a bit in 12 months it is going to come back to this zone. Our long-term goal of course is to bring this down from the current level of about 176 to more like 160 days or something like this 150 to 160 days. We believe this is going to be possible in the years to come. Payable days, yes it has gone down. One of the reasons is that with many brands we do negotiate and try to work on improving margins by shortening the credit period. We believe that is accretive especially in a market that we are in a comfortable position with the cash flow but again we do not see many big changes happening on payable days. There may be marginal variations quarter-to-quarter but I do not think there will be a big change. Lastly the GPHG event super successful. Actually, tonight I am going to Switzerland for the international GPHG final event. I have been invited and will be sitting on the main table and this is in Ethos Limited

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Page 9 of 20 itself a sign that India is arriving on the world's stage and Ethos is very proud to be able to be the instrument to do this so global brands are taking note. They see not only India as a potential growth market. They are aware that India is the fifth largest economy in the world but we are also aware that in India there is only one player of scale and international quality and that is Ethos so I believe the GPHG event has been super successful in showcasing not only India but Ethos as the best international partner.

Devanshu Bansal: Really encouraging to hear that. Sir last one book keeping question so what are the CPO revenues for this quarter and share of exclusive brands? Also can you give some color on the other income outlook going ahead?

Yashovardhan Saboo : Can I suggest that Ritesh, our CFO, will collect these figures and give them to you. I can tell you already that the share of exclusive brands in this quarter is about 29% so that are up from 26% or 25% in Q1. We expect this to stay at this level or possibly go up in the quarters to come and again for the CPO business I think in the previous question even Rahul or Ankush had asked about I think Rahul had asked about CPO business. We expect this year to clock about for the year as a whole to clock about Rs.70 Crores to Rs.75 Crores, which was Rs.33 Crores last year.

Devanshu Bansal: Got it and on the other income Sir?

Ritesh Agrawal: Devanshu what do you want to know on the other income.

Devanshu Bansal: We have some cash reserves so any outlook that you would like to on other income for the next year?

Ritesh Agrawal: So the available cash that has been part in the fixed deposit as defined in the prospectus so this is the market rate that is there, so we expect that the amount which will be there we will

get the other income.

Devanshu Bansal: Go it Sir. Congratulations again and thanks for taking my questions.

Moderator: Thank you. The next question is from the line of Vinayak Mohta from Stallion Asset.

Please go ahead.

Vinayak Mohta: Congratulations on a great set of numbers. Sir, my question was more or less regarding the ROC E and ROE

so given that we have up's on the expansion front I see that we will be flowing in broadly around Rs.250 Crores including the inventory into the new stores, which would kind of keep the ROC E depressed for a little while more so just wanted to understand we are right now at around 13% to 14% ROC E with ROE of 8% to 9% assuming Rs.50
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Page 10 of 20 Crores to Rs.55 Crores for the year? How do you see this going forward? Do you think this can go up to the 20% mark and what would be the drivers of the same like one is operating leverage but apart from that do you something in mind that could take this forward and just confirming you closed down two stores for the quarter so specific reason apart from the performance of the stores for the closures and any update that you have on the newer brands when are they going to start and how are you going to take it forward like the Rimowa and the Messika to be specific and any other segment that you are looking at for new so that would be three questions from my side?

Yashovardhan Saboo: Right so let me answer to one on closures. The closures are essentially due to the deals expiring at a certain store and in a similar geography we have signed on another store which will become operational over the next couple of months so there is no really net reduction. In fact we have moved to a better location in the same geography. It is just a reduction in this quarter. Actually there should not have been a reduction because two stores in Indore were supposed to start in Q2. Unfortunately, the launch of the mall has gotten delayed so we hope that in Q3 by December those two stores will start and others will start as well. Overall we hope that 9 to 10 new stores will start most of them will happen in the Q4 of this year which is when malls are promising that their malls will become operational. If they keep to their promises, we believe that 9 to 10 new stores shall start before the end of this fiscal year. On your second question on ROCE and ROE, so you are right on the numbers so what happens is first of all obviously there is your capital. We are going to take some to deploy and when you deploy the capital and you put in new stores and new brands there is a certain gestation like every project before they start to become operational. Now in the phase that we will grow aggressively at, I believe the 18 to 24 months is going to be a phase when we are going to add a lot of new stores and we are going to add a lot of several new brands. This was the basic logic behind the IPO in taking in funds as well because the opportunity in India is there. There is nobody better than us to capitalize on that opportunity and the time to do it is now. It needs resources and it needs structure. Now we have both so we are doing that. In this phase we will see a rapid and aggressive growth. We will maintain and probably improve the ROC E and ROE especially on utilized capital and our long term goal of course is that exceed 20% and we believe it is very, very much possible. In the next two to three years we will start to approach that figure. Your last question was regarding new brands. We are discussing with several new brands which we believe we should be able to share news as and when the contracts or the agreements are finalized. Our Rimowa and Messika operations will start as soon as the malls are ready. Again it is planned for Q4 of this year. Unfortunately, the Rimowa will probably go into Q1 next year because we are starting with the boutique in Mumbai and the mall which was supposed to launch in February or March is now we have been told it will launch in April or May. This is of course the famous and the legendary Reliance Jio Plaza Mall which will be India's top
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so we are opening the Rimowa over there and Messika again is something which we believe we will start in the last quarter of this year.

Vinayak Mohta: Understood, and just two more on that front? Do you think you will need more capital to raise I think that you have decent cash at hand?

Yashovardhan Saboo: No we do not have any plans. We do not have any plans for raising more capital Vinayak.

Vinayak Mohta: Understood and one last question. The payback for a successful store is three years as you mentioned but if we include the churn is there a chance that it goes higher to four to five years or that includes ...

Yashovardhan Saboo: On an average no. On an average it will never go. There could be a few stores which it could be higher. Similar there are stores where it will lower, but I do not think the average

will change a lot.

Vinayak Mohta: And this payback includes inventory as well right?

Yashovardhan Saboo : Yes.

Vinayak Mohta: Understood okay great. Thank you so much and all the best.

Moderator : Thank you. The next question is from the line of Vikram Suryavanshi from Phillipcapital India Private Limited . Please go ahead.

Vikram Suryavanshi: Good afternoon Sir and congratulations on a strong performance. I just wanted to know about your incremental investment in Kamala International what is the thought process and road map ahead and also if you can give us numbers for HTMIG so in terms of revenue, EBIT A and PAT that is the first question and the second thing about would you like to share more on this new plant what we are setting up for manufacturing the steel bracelet in terms of opportunity and scalability in that business?

Yashovardhan Saboo : Vikram I have to remind you this is an Ethos earnings call. We are not answering KDDL questions but you know the company well and I am very happy to answer that offline.

Vikram Suryavanshi: But our HTMIG investment in Kamala International?

Yashovardhan Saboo : Those are all KDDL. Again it is not an Ethos investment but very glad to connect offline and we will answer your questions of course.

Vikram Suryavanshi: Sure Sir I will do. Thank you.

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Page 12 of 20 Yashovardhan Saboo : By the way the KDDL numbers are also released today.

Moderator : Thank you. The next question is from the line of Sabyasachi Mukerji from Centrum PMS . Please go ahead.

Sabyasachi Mukerji: Thanks for the opportunity. So I have three questions. First if you can help me understand the unit economics on store profitability that is what kind of capex is needed to open a store? What is the inventory typical inventory? What are the sales per store and what is the store level margins that is one ? The second is if you can help me understand how we are competitive in terms of prices with respect to global markets despite having very high import duty and GST as we are? The third is if I compare our numbers revenue and billing numbers between FY2019 and FY2022, the sales and billings have almost increased by 30% to 32% but the average selling price have almost doubled which basically means that the volumes have come down between FY 2019 and FY2022? I see these volumes are increasing quarter -on-quarter, Q1 and Q2 they are increasing but what are the major volume drivers any thoughts on this? Those were the three questions?

Yashovardhan Saboo : Sure Sabyasachi good morning and let me answer your last question first which is on ASP and volumes. You are right the ASP has gone up. It has doubled and to that extent have declined. This is a reflection of the implementation , a very conscious strategy that we have adopted about three years ago which was to reduce our focus on the entry level price points and increase the focus on the high price points the luxury and high luxury. Why did we do that strategy , low price points especially p

rice points below Rs.30 ,000 to Rs.40,000 , those

are price points that number one are being let us say that is where smart watches are taking a lot of market share and smart watches is a different business from what we are doing.

Secondly it is a segment where you have a lot of ecommerce and other strong players in India while in the premium and high segment which by the way is the fast growing segment globally and also in India. There is no strong player and we have pretty much the most important potential, we are the most dominant player and that is our fastest growing segment so we decided to reduce our presence in the low price segments and increase it in the high price segments. Now obviously in the low price segments you sell much more quantity of Rs.20,000 watches than you would a Rs.5 lakh watches. If I sell one Rs.5 lakh watch it is the equivalent of 25 Rs.20,000 watches so this shift in emphasis actually meant that the average selling price went up. The quantity went down. Most of the quantity has gone down only in the price segment below Rs.50,000. In the price segments above , quantities have gone up quarter -on-quarter, but overall, you will see it as a matter of quantity coming down. We are happy to do that because it allows us to focus on the fastest growing segment and not get too much bogged down with the fashion segment which we do not feel is the future so this is as far as the volume is concerned. As far as prices are concerned India the pricing in India is determined by the brands. The brands specifies the

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Page 13 of 20 MRP and most brands were to specify a very competitive MRP in India because they want to develop the Indian market and they see it as a very large potential market in the future. It is important that the prices are kept competitive. It does not mean that they are 20% below world prices but typically there can be 2% or 3% or 4% below world prices or at least

within a plus or minus 5% range. Compared to most countries India's price is competitive. How it is achieved despite the high duties it is achieved partly by the brand itself having a lower ex factory price for India than they have for countries where the import duties are low and partly of course the retail margins in India are lower than the rest of the world so we as retailers take a bit of the burden of the duties and the brands take a bit of the hit in order to ensure that the Indian consumer has prices competitive with the rest of the world. As far as the unit economics is concerned I am going to let Ritesh our CFO answer that question. Is that alright.

Sabyasachi Mukerji: Yes sure.

Ritesh Agrawal: So our capex requirement for a particular store if the size is about 1000 square feet and capex would be about Rs.1.2 Crores. The inventory requirement is about Rs.5 Crores and our break even for the stores that comes within the same year generally and payback period as we discussed it comes three year including inventory so that is the profitability that we maintain and the growth in new store at the first year definitely would be a gestation period and then year two would be higher SSG and then overall it will move to the steady SSG of 10% after two to three years to may be six to seven years.

Sabyasachi Mukerji: Just following up on this Ritesh so inventory is Rs.5 Crores you said. Rs.1.2 Crores is the capex. If I adjust for the payables in the inventory and calculate the total capital employed so roughly how much will be the total capital employed per store adjusting for the capex?

Ritesh Agrawal: I would suggest so there will be a lot of discussion which will take so I would suggest that we can take this offline and we can discuss in detail.

Sabyasachi Mukerji: Sure I will take this offline. Thanks a lot.

Moderator: Thank you. The next question is from the line of A

Ankush Agrawal from Surge Capital.

Please go ahead.

Ankush Agrawal: Thanks for the opportunity again. Firstly can you highlight what kind of scale up that we are expecting in a see through business like in terms of what could be the overall contribution of CPO business in the medium to long term? I think currently it is immaterial at the moment but the growth that you are seeing could it be like 15% to 20% to 25% kind of business over the long run?

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Page 14 of 20 Yashovardhan Saboo: Yes Ankush it can be. What I want to point you to is I think it was a McKinsey study as you

check out McKinsey's study of 2022 they said that the size of the preowned market globally is already one third the size of the new watch market in premium and luxury phase and it will grow to be 50% of the market in the next couple of years. Now India market it is a slower start and it would take time for the CPO market to develop that but I believe when you say medium to long term if we are talking about like five to eight years kind of a situation 15% to 20% definitely could be even higher.

Ankush Agrawal: Right and the dynamics of CPO business allow us a lower working capital requirement with a slightly lower gross margin right?

Yashovardhan Saboo: Yes correct so far that seems to be the case.

Ankush Agrawal: Lastly, just a clarification what CFO just mentioned on the SSG so what you said like after a store starts or after three to four years you expect a steady SSG of 10%? Did I hear it right?

Yashovardhan Saboo: Yes correct.

Ankush Agrawal: So like in the last quarter also you mentioned in a statement that you expect if SSG which was historically about 10% to 12% to grow to like on the higher 17%, 18% and 20% so if you are saying that SSG for new stores will be like 10%?

Yashovardhan Saboo: No Ankush it was never that. I think you are mistaken it was not SSG. The market was growing historically at about 8% or 9% in the past decade. I expect the market growth to increase and not to 17% and 18%. I think the market growth will increase to about 11% or 12% however overall growth I think will go into 18% plus which in the past years was again more or less like 9% to 10% sometimes higher. It is not SSG.

Ankush Agrawal: Okay. Got it. Thank you.

Moderator: Thank you. The next question is from the line of Rahul Agarwal from Incred Capital. Please go ahead.

Rahul Agarwal: Thanks for the followup. Sir one question on the new store fundamentally, I understood about luxury that it is not about having more stores but rather more throughput and higher price points and then fulfillment happens offline quite a lot? Should we assume most of the new stores would be more monobrand, smaller in sizes, acting as fulfillment centres, more about gaining lion share in new cities, and less of big flagship stores and the second part of

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Page 15 of 20 the question is how does CPO fit in this new 40 number? Is there a change in terms of CPO planning as well?

Yashovardhan Saboo : So it is a combination of multibrand and monobrand stores . Majority is not going to be monobrand. The majority is actually going to be multibrand stores. There will be some flagship stores . It is very important that in new geographies we establish a physical footprint because in new geographies even if I do not stock very high priced watches there is a market for those kind of watches which you cannot really solve. It is impossible to serve it completely online right. If you have a store you have credibility . You have people to talk to and you have people to network into. A good example of this is our experience in Guwahati right. Typically we stock midlevel to a few high level watches but not very high level watches but that does not mean we do not occasionally sell very high level watches.

Now that share would be impossible if we did not have a store there. Furthermore , what is going to happen in a market like Guwahati five years from now. Will there be a growth if the sales are very high in watches of course there will be, but this growth is solidified and put in place and precipitate because we have a physical presence before any other retailer has like presence so in the other market whether it is as I said Surat , Raipur, Bhubaneswar , Ranchi, and Siliguri it is really this plan to establish a base and it is not only a fulfillment centre. It is not a delivery place. It is an experience place. It may not be a 3000 square foot store, but it will still be a 1500 square foot store and it will be bigger than anything else and in right now if at all there is store selling even Rs.30,000 or Rs.40,000 watches it is probably of very small store unless it is Titan store which case they are not selling premium watches so I think we are drawing experience from cities like Ludhiana and like Guwahati and we want to sort of capitalize on that. Does that answer your question.

Rahul Agarwal: Yes sure and how does CPO fit it in to the plan?

Yashovardhan Saboo : So CPO we do not need so many stores for CPO so CPO has we mentioned earlier we have got the lounge in Delhi. The next one will happen in Mumbai and probably one or two in the metro cities. The start of CPO business will happen much more online.

Rahul Agarwal: Got it. Thank you so much. All the best.

Moderator : Thank you. The next question is from the line of Amin Shah from GPAY investments. Please go ahead.

Amin Shah: Thank you for the opportunity. Sir really congratulations on a good set of results deepening the market and market share gain is encouraging? Sir what I want to know is our inventory days currently would be around on sales over the last six months would be 168 days? As we see the same store sales growth also always picking up in a store do we see this

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Page 16 of 20 optimizations over a medium to long term after we have expanded on these 40 stores. Will that be a very good sort of optimization every year for a good period of time from 168 days?

Yashovardhan Saboo : We do expect optimization once this growth phase is over . Whether it is going to be a steady optimization forever and ever obviously not. It is a luxury business and the luxury business requires touch and feel. They require inventory to be there. The customers have to touch, feel, see it, and how it looks on their hand. It is not possible digitally until I do not know when it will happen. Until then I think it is important to have physical stock and when you have physical stock you gain market share so I believe there will optimization and lot of our analytical tools will also help in that optimization but I think to expect that we will go down to 60 or 90 days of stock. I do not think that is going to happen. Please remember that we also enjoy credit from suppliers so net, net paid is actually less than the 160 of stock that you see but medium to long term we do expect a reduction in the number of days of stock for sure.

Amin Shah: The reason Sir the way I was asking this I see ourselves also becoming something like watches of Switzerland where we are a prime retailer in UK? Their inventory stock on sales is somewhere 95 days as of now?

Yashovardhan Saboo: Since you are studying watches of Switzerland you will notice that they have now started to make a distinction between supply constraint brands and non supply constraint brands. Have you noticed that?

Amin Shah: No?

Yashovardhan Saboo : Please look at that so lot of their business comes from three brands which are their strength . Demand is far more than supply therefore it is very difficult to hold on to inventory. Whatever you get sells

out right and if 50% of my business comprises of such brands then obviously my number of days of stock is very low but on the flip side what happens is if I

am not going to get supply how am I going to grow so what Switzerland is now saying it is great to have the supply constraint brands , they give a great profit with the very little working capital requirement but if I have to grow I need to grow with brands that are not supply constraint so my suspicion is that over the years we are going to see working capital and number of days in watches of Switzerland growing and they will be very happy about it because it means that their growth will then kick start.

Amin Shah: Sure Sir that is very helpful. The second part very quickly Sir you said something like we want to be also top five global players? Does international expansion also right now does it fit in this or is it in ideation state ?

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Page 17 of 20 Yashovardhan Saboo : When I said top five global I mean I do not think there is any country in the world that has

the opportunities that India has and I believe it would be wrong not to focus completely on the Indian market and extract the maximum benefit that we can from the growth that India is going to represent. Whether we will go to a neighboring country probably it is on the cards not immediately but we will do that as the countries develop and in Sri Lanka you know the difficulties there but I think that is the potential but India itself has the potential and Ethos to become a global player just operating in India in terms of size.

Amin Shah: Alright Sir. Thank you and all the best.

Yashovardhan Saboo : We have got a couple of minutes left. I have to excuse myself. Can I request Mr. Hiren to come on the question queue. Can I request Hiren. I want to welcome him because he is not very often in this seminar.

Moderator : Thank you. We will take the next question which is from the line of Hiren Ved from Alchemy Capital . Please go ahead.

Hiren Ved: Congratulations on a great set of numbers. I just have one question as we expand into adjacent luxury streams like jewellery and luggage like Rimowa and Messika? I know it is difficult to kind of say but let us say in the next three to four years how big can these businesses become in relation to what we have on the watches side?

Yashovardhan Saboo : Hiren that is a great question and we constantly devise this. Frankly said I think you will start to see the size of these businesses on the grass but it will still be I would say rather small in three years compared to the size of the watch business. The watch business is easily the largest potential that we have going however , the business of branded jewellery is not for the next three years. I believe branded jewellery has decades of growth and it also serves the purpose of our broad base and our client base which is currently 75% to 80% male to at least balance it out to be 30% to 35% ladies and branded jewellery . Besides that branded jewellery internationally today amongst all the large luxury groups whether it is RICHMONT Group , whether it is LVMH branded jewellery is the fastest growing segment so taking the queue from global trends which are saying let us get an entry in to this. It is not going to be great in three years time but six to seven years and five years plus and seven to eight years from now we will start to be very happy that we started this now. Similarly the Rimowa it is a brand of the LVMH Group the largest luxury group in the world. Getting this and they still have 40 to 50 brands that are very famous worldwide not in India yet. If we want to realize our ambitions in segments other than luxury watches , I think that connect is also very useful so these are long term plans . We are not going to do a huge amount of capital or

ing. We will see them growing steadily and professionally. I

think we will start to see a takeoff in , let us say three to five years from now.

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Page 18 of 20 Hiren Ved: Got it and you think margins will be in and around what we earn on the watches segment?

Yashovardhan Saboo : I think margins will be little better than the watch segment.

Hiren Ved: Thanks and all the best.

Yashovardhan Saboo : As we have got three more questions, I have to leave early so can we restrict to one question from each please.

Moderator : Sure Sir . The next question is from the line of Ajay Surya from Niveshaay . Please go ahead.

Ajay Surya: So congratulations on a good set of numbers. My question is regarding the exclusive brands so I wanted to understand how this works like it is like no one else in India will sell that brand or there are certain products on these brands which we will exclusively sell and do we have any kind of agreement with them or how does the contracts are made that is it?

Yashovardhan Saboo : So exclusive brands mean that nobody else in India retails these brands. These are retailed exclusively by Ethos and yes there are agreements and contracts with these brands and from time to time they need to be revised which is a normal process that we do, but most of them are governed by contracts.

Ajay Surya: Are you planning to look to add more brands?

Yashovardhan Saboo : We are. I mentioned that in the speech as well. We are in discussions with several brands and over the next two or three quarters we hope to be able to announce new brand collaborations soon.

Ajay Surya: That is it from my side. Congratulations again.

Moderator : Thank you. The next question is from the line of Abhishek Gupta an Individual Investor. Please go ahead.

Abhishek Gupta: Thank you for the opportunity. I have a couple of questions? How many units of watches did we sell in H1 FY2023?

Yashovardhan Saboo : H1 FY2023 about between 24,000 and 25,000.

Abhishek Gupta: Okay so why I asked this is because I think we sold around 39,000 watches so that 24,000 and 25,000 will take us towards the 50,000 watch run rate which will be 25% increase in our revenue so I just wanted to understand do you think these 50,000 watches have corresponding 50,000 end customer or do you think there are buying multiple watches?

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Page 19 of 20 Yashovardhan Saboo : There are people buying multiple watches .

Abhishek Gupta: So how many would be unique customers as of you who will be buying these 50,000 watches broadly?

Yashovardhan Saboo: I am not very sure because it would also be that it is only this or are there repeat from someone who bought a watch in the last half year, but what I can tell you is that our repeat buying is 45% in this quarter so the same customer has bought a watch earlier as well. If your question is how many new customers we add, I can get back to you on that because we have got a loyalty program. We have an enrollment of over 90% in our loyalty program so my estimate is that we will probably add about 20,000 new customers every year 20,000 to 25,000 new customers every year.

Abhishek Gupta: I think you used to sell around 70,000 watches in FY2019 and that came down to 38,000 in FY2022 because of the strategy you said so I am just trying to understand that what are the end customers really and how we are adding that as you said so that will be good to know may be going forward because I think the actual traction or the business fundamental growth would be from you acquiring new customers so that would be an interesting thing ?

Yashovardhan Saboo : You are probably leading to the same question that we often ask ourselves 50,000 watches in a year while India has 5 lakh millionaires right so should not the quantity of watches go up. Of course

it should go up. It will go up as especially the younger generation is getting extremely interested in watches not only as a symbol of achievement but many times we also see it as a store of value so we do believe that the quantities are going to go up.

Abhishek Gupta: And just another if you could spend some time on the customer profile? Do you see these large families buying?

Yashovardhan Saboo : I can take one more question and there is already one Mr. Vinayak Mohta for a followup question, so I will be happy to answer that offline. I will get our CFO to connect with you.

Abhishek Gupta: No problem. Thank you.

Moderator : Thank you. The next question is from the line of Vinayak Mohta from Stallion Asset . Please go ahead.

Vinayak Mohta: Yes Sir I just had a followup question on the payback period that you had mentioned as I could see that you do Rs.80 Crores to Rs.90 Crores EBITDA which excludes the broadly Rs.40 Crores of rent that goes into the business which would give you a broad net EBITDA after rent of Rs.50 Crores which is broadly Rs.1 Crores per store so it somehow does not

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Page 20 of 20 matches up with the numbers of the payback years and because the payback period number should be Rs.1.6 Crores approximately per store coming over three years so am I missing something here or if you could just clarify?

Yashovardhan Saboo : Vinayak I am going to let Ritesh connect with you because the rental numbers that you are giving I am not sure where you get this from because please remember there is this India 116 so maybe you should . I suggest you connect with Ritesh offline and he will take you through the details.

Vinayak Mohta: No worries. I will do that. Thank you .

Moderator : Thank you. Ladies and gentlemen, this was the last question for today. I would like to hand the conference over to the management for closing comments.

Yashovardhan Saboo : Thank you and I hope we have been able to answer the questions satisfactorily. I know that some questions need a followup and our investor relation advisors, SGA and our CFO

Ritesh will connect. I thank you once again for taking the time to join us on the call. Thank you very much and have a nice day.

Moderator: Thank you. On behalf of Ethos Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2023

ETHOS LIMITED
KAMLA CENTRE, SCO 88-89, SECTOR 8-C
Chandigarh-160 009 INDIA
Phone : +91 172 2548223/24/27, 2544378/79
Fax : +91 172 2548302
CIN – U52300HP2007PLC030800
PAN – AADCK2345N

Registered Office:
Plot 3, Sector III, Parwanoo-173 220 INDIA
Ref. no. : Ethos/Secretarial/2022-23/75

Dated: February 9, 2023

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001 Exchange Plaza, C-1, Block G,
Bandra Kurla Complex, Bandra,
Mumbai - 400 051

Scrip Code : 543532
Trading symbol : ETHOSLTD

ISIN : INE04TZ01018

Subject : Regulation 30 of the SEBI (LODR) Regulations, 2015 – Transcript of conference call

Dear Sir/Ma'am

Greetings from Ethos.

This is in furtherance to our letter dated January 26, 2023 intimating the schedule of the conference call for Friday, February 3, 2023 at 5.30 p.m.

In this regard, we are enclosing herewith the transcript of the aforesaid conference call held inter alia to discuss un-audited financial results for the quarter and 9 (nine) months ended on December 31, 2022, pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015. The same is also available on the website of the Company www.ethoswatches.com

We would request you to please take the same in your records and oblige.

Yours truly
For Ethos Limited

Anil Kumar
Company Secretary & Compliance Officer
Membership no. F8023

Encl.: as above

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"Ethos Limited
Q3 FY2023 Earnings Conference Call "

February 03 , 2023

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchanges — BSE Limited and National Stock Exchange of India Limited and the Company website on 3rd February 2023 will prevail

MANAGEMENT : MR. YASHOVARDHAN SABOO – CHAIRMAN & MD –
ETHOS LIMITED
MR. PRANAV SABOO –CEO - ETHOS LIMITED
MR. RITESH AGRAWAL – CFO – ETHOS LIMITED

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Page 2 of 19 Moderator: Ladies and gentlemen, good day and welcome to the Q3 FY2023 earnings conference call of Ethos Limited. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Pranav Saboo – CEO – Ethos Limited. Thank you and over to you, Sir!

Pranav Saboo : Good evening everyone, and thank you for joining us on Ethos Limited Q3 FY2023 Earnings Conference Call. I hope everyone had a chance to view our financial results and presentation, which were recently posted on the company's website and stock exchanges. I am accompanied by our CFO, Mr. Ritesh Agrawal, and SGA, our Investor Relations Advisors on this call today.

It gives me great pleasure to report that we have experienced yet another

good quarter. The

quarter again confirms the rising potential of the premium and luxury watch category in India and the dominance of Ethos in this segment. We are pleased to report that our omnichannel platform which combines the effort of online and physical retail is making good progress. We are constantly working to improve our EBITDA margins by leveraging our operations and exclusive brands.

For Q3 FY2023, revenue from operations was up by 18% to Rs.229.7 Crores from Rs.195.3 Crores in Q3 FY2022. The company has recorded its highest ever quarterly EBITDA and PAT in Q3 FY2023 on the back of robust demand and focused marketing initiative despite having spent an amount of Rs.2 Crores on GPHG which was a non-sales event to ensure India is put on the global map and additional foreign exchange fluctuation loss.

EBITDA for the quarter grew by 35% quarter-on-quarter to Rs.39.5 Crores in Q3 FY2023. Profit after tax for Q3 FY2023 was Rs.20.7 Crores as compared to Rs.12.1 Crores in Q3 FY2022. This grew by 71% on a quarter-on-quarter basis.

For the nine months FY2023 revenue stood at Rs.581 Crores which grew by 39% YoY basis. EBITDA for nine months FY2023 Rs.98.5 Crores as compared to Rs.56.4 Crores for the nine months FY2022. This grew by 74% YoY.

Profit after tax for nine months FY2023 stood at Rs.47 Crores with a profit after tax margins of 8% versus 3.6% last year. Inventory days as on 31st December stood at 153 days

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Page 3 of 19 of sales. Gross debt was Rs.8.4 Crores as on 31st December. Cash and cash equivalent stood at Rs.253.33 Crores as on 31st December.

Before we go for the question and answer part of our discussions, allow me to state a few points. The overall performance of Swiss watch exports on a global scale reached an all-time high. The total value of exports reached the equivalent of 24.8 billion Swiss francs for the entire year of 2022, representing an increase of 11.4% compared to the value of exports

in 2021.

The most important factor in expansion was the production of watches made out of precious metals. As per the world distribution of Swiss watch exports for India, Swiss watch exports surged from 156.8 million Swiss francs to 187.6 million Swiss francs in 2022 on a Y oY basis while it stood at 97 million in 2020. The market for premium and luxury watches in India is expanding at a faster rate.

The vertical specialist MBO model-led retailing model is the most successful distribution channel for luxury and premium watches because it gives the owner of the brand access to a larger customer base. Expanding the market with this strategy results in lower overall costs.

The process of buying a watch from Ethos is on par with or even superior to what customers get from other retailers around the world. The customers who shop with Ethos have a special trust in the company because they believe that the products we offer are authentic.

It will be supported by top class after sales service, with components sourced directly from the brands themselves. With this, we would like to bring attention to the fact that as of the nine months of FY 2023, our repeat customer rate was 46%.

In the month of October GP HG event, which was a huge success when it comes to the distribution of new timepieces in India, we at Ethos are continuously in discussion with other watchmakers. The knowledge and understanding of the product that we have built up over the course of the year, which enables us to manage our customers in an appropriate manner is impeccable. We were able to propel these brands to new heights, opening new markets in India, by holding these events, we were trying to approach many brands all over the world and show them the expertise and the opportunities that are available at Ethos through which they can enter the Indian market.

Further, it gives us great pleasure

to announce that we have entered into agreements with four prestigious brands namely Tutima, Trilobe, Speake-Marin, and Bell & Ross as we have declared to the stock market in the preceding weeks. These brands will be exclusively available at our Ethos watch boutiques located all over the country.

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Page 4 of 19 We aforementioned brands each dominated a specific subset of the market and attract a sizable customer base. In addition under our exclusive agreements, we will continue to add more brands. The continuation of our strategy to strengthen our presence in the luxury and high luxury watch segments resulted in an increase in our average selling price for the nine months of this year. Our average selling price for the nine months was Rs. 1,57,000.

Additionally, during the duration of the quarter, we expanded our retail presence by opening two new stores one at Bangalore and the other in the city of Indore, bringing the total number of cities in which we operate to 18. We are still fully committed to achieving our goal of opening up 40 stores in the coming 24 months across a variety of cities including several new tier two, tier three and tier four cities.

Ethos has celebrated its 20th year of operations in January 2023. We at Ethos started our journey in 2003 and now we have over two decades of brand presence, retailing luxury watches throughout the Indian subcontinent. Also rising young population, rising per capita income, urbanization, and rising working women population will support to luxury retail watch business over the next decade.

With these comments, I thank you very much for joining this call and I open the floor for questions and answers.

Moderator : Thank you. Ladies and gentlemen we will now begin with the question and answer session. The first question is from the line of Rahul Agarwal from IncRED Capital. Please go ahead.

Rahul Agarwal : Thank you so much for the opportunity. Good evening. Just a few questions firstly on the season obviously third quarter is generally the strongest. Just wanted to get your views on this, was it above or below your expectation? Was it in line with how do you see the market shaping up? We are seeing some kind of weakness in affordable non-luxury consumer discretionary products in India in the third quarter obviously luxury seems like it has done better. Any thoughts on demand trends overall and your assessment on how was third quarter.

Pranav Saboo : Thank you for joining the call and appreciate your questions. We were not disappointed by the demand, but we were extremely disappointed by the supply. A lot of shipments got delayed and a lot of components that were to come in and help in service and pre-owned did not come in therefore we were extremely disappointed by the supply situation because we could have done much better had that eased out. This was primarily due to the global supply chain being disrupted especially with China going through severe COVID led lockdowns. We have already seen this easing out in January and we believe that we see no signs of any slowdown and we see an amazing quarter up ahead as well. So at the moment, we feel we

Page 5 of 19 have shielded from what you are witnessing perhaps in the bridge or the slightly mass segment.

Rahul Agarwal : That brings the second question essentially on the outlook for both new watch business as well as CPO going into next year obviously topline will be well supported by new store openings , but any comments on what kind of growth would you look at because now base is pretty high and the second part of the same question is essentially on margins. Do you see this margin sustaining because my sense is you will add quite a bit of cost next year. So any thoughts on the outlook please.

Pranav Saboo :

We take careful decisions of opening new stores will be taken very carefully. We do not believe that we will , even due to the new stores we do not believe that our margins will suffer and in fact we will see a healthy growth in overall profit.

Rahul Agarwal: Any comment on the topline growth please next year.

Pranav Saboo : I believe that we will have very healthy growth in the next year , that is all I want to mention at the moment as we have had a healthy growth in these nine months we see healthy growth in the coming year.

Rahul Agarwal : Lastly on a bit of discussion on the store performance and the ageing there. My understanding is the margins are doing great at the company level 13.5% is a good achievement in India retail. Out of the 48 stores which were operational as of last quarter which is September, would you feel that any location is a drag and that needs to be looked at, how many stores would that be and how many stores would actually be doing like operating margins upwards of 15% , how would you look at ageing in your store profile any botheration there. Some color on that, please.

Pranav Saboo : Honestly I think there are only one or two stores out of all 50 stores that we feel as a drag and they were set up for a longer -term perspective. For example , if there is a mono brand boutique of an exclusive brand we knew that we would not be meeting a 15% in year one on that boutique. I believe we will reach that, we are not looking at any closure at the moment and we are pretty sure that all stores will be profitable in the next year.

Rahul Agarwal : Just to squeeze in one more. Any thoughts on CPO how did that do and the way ahead please.

Pranav Saboo : So as I mentioned there was a single digit growth this time in CPO that was primarily because we did not have supplies coming in of components that has eased out in January . In the next quarter, we see a 70% growth on a YoY basis in the quarter that we are in. We believe that in the next year , our growth will be 100% over this year.

Page 6 of 19 Rahul Agarwal : Thank you so much for answering my questions and congratulations for completing two decades of Ethos brand in the country. I will come back in the queue.

Moderator : Thank you. The next question is from the line of Vinayak Mohta from Stallion Asset . Please go ahead.

Vinayak Mohta : Hi Good evening everyone. I wanted to start by talking about the CPO side as you mentioned that you are at a single digit growth and previously you had mentioned that you will be doing around Rs 70 Crores in FY2023 so are we on track for that or did we miss it by some margin given Q3 was weak.

Pranav Saboo : We will likely miss that target because Q3 was weak but we will catch up in the quarter one of next year where we see our supplies are being restored. We are facing the biggest bottleneck for us right now till now was getting component supply and getting watch makers in place . We are now opening the largest service center as we speak it should be operational in the next four months to get in watch makers to be able to restore the watches . We see amazing demand that is happening and the positive thing is that we will be working on and that we have worked on is the fact that we are now moving onto a hybrid model which means that we do not necessarily pay for all the stock so it seems to a consignment model for a lot of the watches in fact in this quarter we will move to 30% of our sales coming from consignment sales. In the next year , we expect it to go up to 50% of the sales to come from the consignment sales and next to next year it will be nearly 85% of our sales coming from consignment. So return on capital will shoot up because the total amount of capital employed will be low. In the next year we do expect billings of over Rs 100 Crores coming in from

from CPO and this year we expect the number to be closer to Rs 55 Crores.

Vinayak Mohta : So I have one question around this CPO , the incentive for the watch owners to come and sell so wanted to understand this in two segments, one while I understand the incentive of

the watch owners to come and buy from you . I am not able to get a hang about why would a person come and sell through you because everything that would follow through in the money part would be through a wide channel. So could you help me understand the taxation part, because my understanding is that before like five, seven, or ten years older watches they would have purchased it a lot in cash. So how will the taxation come and what incentivizes for them to come forward and sell it across through your channel all through wherein the payment is all done through legal sources.

Pranav Saboo : So I do not agree with the fact that everything was sold in cash a lot of it was sold as legal tenders and there is a large population of watches that exist that has been sold as legal tender . number one is that. Number two is the fact that even whether cash or otherwise Ethos will get you the best price for your watch , nobody else has the reach, the Ethos Limited
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Page 7 of 19 photography , and the premiumization capability of Ethos to be able to sell a watches , we sell a pre-owned watch . We will end up getting the best price because number one, we have access to the biggest customers .Our website on second movement has over a 100000 visitors every month. So if you sell a watch at Ethos you were likely to realize the price which is 30% or 40% better than what if you went to another place trying to sell your watch in India. So that is why I believe that people come to us to be able to sell the watches and we have seen a healthy supply line as well. In fact we are seeing it, it is one of the reasons that we have stopped paying upfront for all the watches, we are starting to take watches on consignment because we do not need to be able to commit the money upfront and we need to commit the money once the sale actually takes place.

Vinayak Mohta : How does the taxation work for the sellers in this case in the CPO format?

Pranav Saboo : Again it depends upon the age of the product if it is over a certain time period it goes into short-term otherwise it goes into long-term just as it would for other movable items.

Vinayak Mohta : Also moving onto the margin part, could you specify the levers that you pulled in increasing your margins because as I could see as a percentage of revenue your employee cost has gone down and your rental cost as a percentage has gone down as well. Now while I understand that as more and more sales happen from the same store that would be one level the second level could be that opening up the newer stores into tier two, tier three those lower level cities would incur a lower cost , but what kind of margin levels have you pulled and are we sustainable the 9% PAT margin that you have done , what would be the sustainable range that you would look at?

Pranav Saboo : I can only say that the margin is sustainable and will be increasing in the future that is what I would like to state at this point. I think there are several margin levers . Number one is the fact that , as we sell more exclusive brands we have a much higher margin because we get the entire distribution and retail margin number one, number two is as discount comes down that is another margin lever and then is operating leverage kicking in. I would say these are the three largest levers and I do believe that margins will increase in the future. The PAT margins will increase.

Vinayak Mohta : Generally the newer brand you continue to tie up with a lot of newer brands and a lot of brands are such which people might not have heard of or it would be new to them. So do

you see sales happening for these new brands , how do we pickup in terms of sales is it strong or is it mixed depending on brand to brand how is the customer's reaction to these new brands coming in relative to the known ones for a longer period of time ?

Pranav Saboo : What I would like to say on this is that , first of all it is a very good question. I want to say that every time we sign on a brand it is not for that quarter or next quarter . We are securing Ethos Limited
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Page 8 of 19 supply, we are securing our position for three years from now. I would like to give you the example of Moser . Moser was a brand that we started three years ago. At that time perhaps it was as not known and each watch is about Rs 35 lakhs. In the first year, we sold about 15 watches , in the next year we are likely to sell about a 120 watches of that at an average price point of Rs 30 lakhs each and with lesser than our average stock turn so I believe that brands do have a gestation period as you have mentioned but these brands will catch up they have a very strong product they dominate a subset of the industry and I do believe that we have traction by signing these all. We are ensuring that we are not just next quarter or two quarters but it is also a pipeline for the future in a very large mot that we achieve in the future.

Vinayak Mohta : Coming to the ASP breakup I can see that given your ASPs are increasing consistently Rs 157327 now so which means more of your watches are being sold towards the higher price range. So how much of it is a factor of product mix change and a factor of pricing increases

my assumption would be maximum of it would be mix change instead of pricing increasing of those watches, but just wanted some clarity there.

Pranav Saboo : I think it is an equal mix at the movement because there is inflation around the world and there is price increase taking place, but you are right we are changing the mix as we get out of the price point below Rs.20000 and we concentrate on higher value watches as well. So yes it would be slightly skewed towards mix but inflation has played a role in the average selling price of the same product or the price of the same product rising as well.

Moderator : Thank you. The next question is from the line of Mythili Balakrishnan from Alchemy Capital Management Private Limited . Please go ahead.

Mythili Balakrishnan : Thank you for the opportunity. Just a question on the new store opening that we have sort of planned out. Just to get a sense of like how many locations and how many trends are we sort of finalize because I think the quality of real estate that you would see again would be superior to what is more normally available in the country.

Pranav Saboo : As I do want to say yes I think that there is retail space that is suitable for us in all the cities that we are looking at . We have made the high street successful as well so we are looking at both high street options and mall options . We have signed on quite a few locations , in the pipeline , we have quite a few locations that we have signed up in fact all the locations that are going to be opened in the next 12 months are already signed up that is what I can tell you right now that we are not facing any shortage or we are not facing too much shortage of real estate that is suitable for us.

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Page 9 of 19 Mythili Balakrishnan : I just wanted to get a sense on it as you open the stores could you just sort of help us understand what is the economic s are sort of like in a breakeven in terms of how soon that they reach breakeven how soon that they start reaching maturity etc.

Pranav Saboo : I am going to hand that question over to the Managing Director , he just joined in I just got a flash that he just joined in he will be happy to answer that question along with the

CFO.

Yashovardhan Saboo : Good afternoon, sorry I got a little bit late I had an unavoidable meeting with doctor , I am here again. So to answer that question typically our store breakeven within the first year and in fact our objectives are even more we would like them to sort of achieve a certain minimum ROCE within the first year and typically if the store does not achieve desired targets for two, two and a half years we then have to seriously look at that store , so on new stores our stores are getting to be profitable pretty soon , pretty quickly much earlier than the norms for the retail business especially for the luxury business. To tell you there is a Capex , which is typically about Rs 1.5 Crores there is stock which is about Rs 5 Crores so there is Rs 6 Crores to Rs 6.5 Crores and typically as I said the stores pay for themselves . They have a payback period which is less than three years with payback. In terms of margins , CFO will be able to take you through that when you look at our financial there is a pretty much standard for standardized stores

Mythili Balakrishnan : I was just curious that see we have around 50 stores now and over the next two years if we are adding it at a very significant pace and if would there be some pressure especially at a PAT level and the ROC level for us.

Pranav Saboo : We do not see any pressure coming on because of the new stores. Infact, that we believe that we will have very healthy growth in PAT over the next two years because these new stores in the past it has taken time to breakeven . We believe that our new stores will start breaking even in the profitable very, very quickly , just as an example we opened Indore in December in the month of January it is already profitable.

Mythili Balakrishnan : But at the PAT level then is there some impact on margins but not at an absolute PAT level but at least on the margin side we might see some pressure.

Pranav Saboo: We do not expect pressure on the margin side as well.

Mythili Balakrishnan : Thanks that is all from me.

Moderator : Thank you. The next question is from the line of Manish Poddar from Motilal Oswal AMC . Please go ahead.

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Page 10 of 19 Manish Poddar : I just have one question. So I believe you have signed a brand which was already retailing in India so just wanted to understand , let us say in terms of the process now which one is relatively easy , taking a brand that is already there in India or getting a brand up a fresh and the second part is are there most of the brands which you can just get premium model.

Thanks.

Pranav Saboo: I do not think any of this . I do not think signing either brand, whether they exist here or otherwise is easy but of course it is more complicated , if the brand is already here . Bell & Ross was here with a lot of retailers . They have decided that they want to work exclusively

with us and we are very excited about this. I do believe that there are a lot of brands that have not even entered India yet and I do believe that they will. When they do, when they have enough product. They have not entered because they do not have enough product. I believe the Indian market will be unavoidable and when they choose to come here they will choose to come with one partner and the obvious choice is Ethos so, I do believe that we have a lot of brands that we can sign on right now, we want to sign brands that will stay with us for a very long time that will have desire in the Indian market and I do not see a shortage of brands in the pipeline either you will be hearing about more announcements in the years to come.

Manish Poddar : If there is a brand which already present in India would you want to let us say, is there an x percentage that they are giving to the channel. Would you want to just let us say take a couple of percentage points

point off the grid and try to get them the network compared to let us say then available and individual or regional players is that a thought process which is there.

Pranav Saboo : What you mean to say is that, take a margin hit but from what we are existing retailers are getting but we can look at that case-to-case basis. All the decisions that at least I take are led by return on capital employed so if it is going to give us a greater than 25% return on capital employed I will be happy to take that decision.

Manish Poddar : Fair enough thanks.

Moderator : Thank you. The next question is from the line of Devanshu Bansal from Emkay Global Financial Services. Please go ahead.

Devanshu Bansal : Thanks for the opportunity and congrats on a strong execution again. Sir, I have a few questions, one was that in Q4 wedding days are significantly higher versus the previous year and our category I understand is again of significant importance during such events or days. So can we expect that this Q4 is going to see different trends that will be historical Q4.

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Page 11 of 19 Yashovardhan Saboo : Devanshu you can go ahead with all your questions maybe and then we can answer all of them.

Devanshu Bansal : The second one was on the inventory days we pointed out about 153 days is this a quarterly phenomenon or a seasonal phenomena and the bulk of the buying for the new season is going to get consummated in Q4 that was the second question. The third one is on China opening, so India as a country saw a good amount of Swiss imports, do you expect any challenge in terms of these imports getting diverted to China since that economy is now opening up and the last one is if you could provide the exclusive mix for this quarter.

Pranav Saboo : Our quarter four wedding days number of wedding days are higher we believe that quarter four will be a very good quarter. In terms of China will help us because as I mentioned, a lot of components, a lot of machinery come out of China and that will help us a lot in both the certified pre-owned as well as the new watches coming in. So we do not see any challenges in fact we were eagerly waiting for China to open up. Exclusive mix I believe that exclusive mix, I will let the CFO answer the questions on exclusive mix and the inventory but we do not necessarily have a buildup of inventory in quarter four except unless we open new stores or bring in new brands..

Ritesh Agarwal : Thanks Pranav. With respect to the exclusive mix it is in same line that we clocked 27% for the nine month period ended. In terms of inventory that you mentioned we have reduced the inventory earlier we used to report about 156 to 160 days this has been reduced by three days so it is not piled up but is reduced.

Devanshu Bansal : So my question was that only sir. So definitely there has been a reduction I was asking in Q4 this will increase. So do you expect these inventory levels to stay at Q4 end as well or Q4 end can see a slight increase in the inventory.

Ritesh Agarwal : We believe that inventory level would be in-between the line. As we mentioned earlier it is primarily the assortment that needs to be maintained and if someone walks in we need to show that particular stocks and available I think unless...

Yashovardhan Saboo : Ritesh let me just make a short comment on that. It is not possible to predict with that much certainty because as Pranav said. If a new store opens and there are stores that are still to open but that depends on the completion of the store and malls starting and so on, sometimes the availability of the product what time it will have customers clear since so if that happens in the last week of March certainly stock goes up and it will impact by one or two or three days. On the other hand, if it is planned and it does not happen, then the stock can go down

o I think broadly the range will remain the same, I do not think there is going to be a systemic increase or a significant decrease in the stock in quarter four.

Page 12 of 19 Devanshu Bansal: Thank you sir that is encouraging I have a couple of small questions one was if you call out the SSG for this quarter.

Ritesh Agarwal: SSG quarter 16% and nine months 31%.

Devanshu Bansal: The last question is while we have been exceeding expectations on most of the brands one small disappointment has been on the store opening front for the nine months so while our targets remain aggressive. If you could just highlight, as what have been the key challenges, is it all macro led or due to delay in the opening of malls and there is a bunch of stores that are bound to open in the next quarter or maybe Q1 of FY2024.

Yashovardhan Saboo: There are lot of stores that are bound to open. The delays have been due to essentially delays in malls or availability of the space, but I think at the end of the day for all of us opening of new stores is a means to an end and end is to have a very healthy topline growth and to have a very good bottom line and I think we have achieved that better than what expected even without the stores opening so in the end I am not really worried about stores gets delayed long as we achieved the growth targets that we have set which are very aggressive, but we have achieved them, exceeded them and the bottom line. I think we are fine that said new stores are going to open and therefore we can hope to continue the kind of amazing momentum that our management team has built up.

Devanshu Bansal: Thanks a lot this is really encouraging that is it from my side.

Moderator: Thank you. The next question is from the line of Varship Shah from Envision Capital. Please go ahead.

Varship Shah: How much is the capital employed in this CPO business, as we are achieving the model there we expect ROC to improve just trying to figure that.

Pranav Saboo: What I would like to say is that the monthly stock is far significantly lower and we will probably end the year with about Rs 9 Crores of stock in pre-owned and we do not see a significant rise even though we see a doubling of revenue in the next year because, as I mentioned, we are migrating to a hybrid model where we have consignment and paid up stock and in the future, we want to go towards a much greater percentage of consignment than paid up stock, so we will only buy a stock which we know we are confident to sell within 15 to 20 days of the watch going live on the website.

Varship Shah: Thank you sir.

Moderator: Thank you. The next question is from the line of Arpit Shah from Stallion Asset. Please go ahead.

Page 13 of 19 Arpit Shah: Just wanted the inventory number as on nine months FY2023.

Yashovardhan Saboo: If you have other questions why do not you ask all of them so we can answer them all? Is it your only question?

Arpit Shah: No I have another few questions also if you could help me with the cash flow from operations for nine months FY2023 post the lease payment liability. So that is another two data points that I am looking out for.

Yashovardhan Saboo: Is there any third question.

Arpit Shah: Yes, I have a couple of more questions. Since you are distributing for a lot of exclusive brands would you be open to selling to third party retailers also or are you really exclusive selling in the Ethos outlets.

Yashovardhan Saboo: Any other questions.

Arpit Shah: Yes, and we are going to be almost double the network in the next couple of years, let us say going from 50 stores to let us say 90, 95 stores in the next two or three years so in any way you will be getting more bargaining power with a lot of brands which could help you to decrease

the number of inventories that you are maintaining right now on a store level basis and just wanted to understand let us say if this year broadly we are closing around Rs 750 to Rs 780 Crores on the revenue front so any possibility that we could actually cross the Rs 1,000 Crores number by FY24 and from there onwards you could see 20%-25% kind of growth on the topline if you could just seeing a very accelerated store expansion going ahead. Those are all my questions.

Yashovardhan Saboo: Let me answer the last one. We have got pretty aggressive plans for growth, I am not going to be able to speculate on specific numbers but you have seen the growth this year and we believe that going forward the growth is going to remain robust. We have got the growth engines in terms of market expansion, brand expansion happening, so we are waiting to see how numbers are going to be panning out precisely. We do expect the robust growth to continue it is maybe a little bit too early to give specific numbers but of course our goal is to cross the Rs 1000 Crores mark sooner rather than later and yes of course increasing the

network is going to help in doing that too, but you can expect to see pretty strong growth in the years to come next year and the following couple of years. As far as the increase in network and whether that is going to decrease the inventory, yes, but decrease in our inventory is not really our primary goal. We have seen that in the luxury business you need to carry a certain minimum inventory to have a proper selection of the products which is on par with the global selection available. If you want Indians to buy in India and not go abroad and buy we need to give them the same range in India that they would get in a Dubai

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Page 14 of 19 or a Singapore or a London or Zurich, so there is a limit to how low you can go on the stock. In fact our stock levels in terms of number of days maybe comparable with among the best in international retailers of luxury watches so our goal is not to be able to cut down on inventory. Rather the increase of network will give us a more stronger relationship with the brands so we can get the products we want, the most sellable products and stuff like that, that is what our goal is going to be. So to be sure an increased network will give us a greater influence and bargaining power with the brand. You had a question about exclusive brands can you just repeat your question about exclusive brands.

Arpit Shah : Yes, since would we have a lot of exclusive brands would we be working to selling to third party retailer.

Yashovardhan Saboo : Our goal is really to be able to offer the highest level of ideality and experience to the customer and for the moment we really feel that the customer experience at Ethos is the best in the country and we would rather expand that and the brands are very happy with that as well. Our partner brands are saying look please go ahead, we need so many points of sale. We are very happy with the growth, so we do not see really an argument why we should actually go ahead and distribute the brands. That gives us not only these brands being exclusively available to Ethos, but also is a very powerful differentiator and mote for Ethos. So this is something that is assuring us of very rigorous and assured growth in the years to come. So I am not sure if we would change that, there are no sacrosanct rules over there but at the moment I do not think that is something that we are actively thinking about. Inventory number nine months FY2023 and the cash flow questions, I am going to leave that to the CFO I am not sure if you can answer the right away but otherwise please...

Arpit Shah : I have just one more question on the reinvestment side. Right now we are going to be reinvesting the IPO proceeds around the

newer 40 stores so how confident are we on the

ROC from some of the newer stores because these stores are going to be opened in smaller towns where your ASPs or volumes may not be as high as on the top eight cities of India.

So how confident or what are the kind of risks you are seeing on the reinvestment side.

Yashovardhan Saboo : Very confident in one word. Very confident. Second please understand that the number that we are showing right now is not only Delhi and Bombay this is also an average of metro cities and others and just to tell you, Pranav mentioned that in an earlier point that some of our newer store which we have opened outside the metro stores, that these stores are profitable from day one with a higher ROCs than our current average. So I certainly not jump to the conclusion that there will be a downward pressure on ROC because of the new stores, we are opening in second tier cities, our projections actually lead us to believe with a lot of confidence that not only will we get a high growth, but we will also maintain or actually inch up on the ROC.

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Page 15 of 19 Arpit Shah : How would you rate January as a month because December we are hearing a lot slower for a lot of other retail companies and January picking up for the luxury...

Pranav Saboo: We had a great January, we had a great month.

Arpit Shah : Can you help me with the inventory of this year full number.

Ritesh Agarwal: We have Rs 322 Crores of inventory as at December.

Arpit Shah : The cash flow from operations post the liability number.

Ritesh Agarwal: So we have a positive cash flow cash generated from operations as at nine month December 2022.

Yashovardhan Saboo: You can connect offline this I am not sure if cash flow from operations I am not sure if that is the number that is being shared in public domains.

Ritesh Agarwal: No it is not, it will come only in March.

Arpit Shah : Okay thank you so much.

Moderator : Thank you. The next question is from the line of Rajat Chandak from ICICI Prudential Mutual Fund. Please go ahead.

Rajat Chandak : Hi Sir, good evening and congratulations on a great set of numbers. I have two, three questions. One, is any comments on the rollout of the new segments which we have entered

like jewellery where we have tied up with Messika and on the luggage front Rimowa. What are the plans there for the current year and maybe next year because we are still on the roll out phase that is one. Second I heard Pranav saying that some part of sales were lost for the quarter because of China lockdown is there any quantification which could be done and I am presuming these are not really lost for the year maybe in Q4 or if not in Q4 next year they would come back. So if at all any comments on that and third is in terms of the partnerships which we are having with so many new brands and especially exclusive partnerships. Just wanted to understand how we go about the curation process because in a store now you will have to showcase more number of brands so effectively more SKUs so what role us brand plays in that what is to be there at the store there is certain hit model which is kind of a thing any comments on those would be helpful so those are the three questions.

Yashovardhan Saboo: On the new products luggage Rimowa, we are now in the process of starting the fit out of the store at the Jio Plaza Mall coming up in Mumbai and we expect May, June is when the

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Page 16 of 19 mall gets launched. Rimowa has plans to expand in India and we are discussing other locations and it could be a good expansion however we are very keen to see the result of the first store and how it comes up or it is a thing before they go on a rapid expansion. It is part of the LVMH group. It is open in the luxury business. People like to

take one step at a time.

Rimowa is coming to India for the first time however we see the store will have excellent profitability. The response already before we opened the store is great, there are a lot of people from our customer base calling and asking. So we have no doubt that Rimowa will be extremely successful. The jewellery business with Messika, is we opened the corner at our store in Mumbai and we are starting to get responses, but frankly on jewellery we still are in the phase of understanding the jewellery business, how it works, working out the marketing and so on. So in the jewellery business this is an early move for a long-term growth perspective and of course we will have nice numbers especially on the luggage business in the next fiscal and I think we will see a nice growth coming on but frankly, in the scale of operations where we are I do not think it is going to move the needle much for the next two years but going forward I think three, four years from now is when we will start to see these new product segments starting to make a difference. Over the next two years, I can say that watches and pre-owned watches is going to be the biggest mover. However these and as I said these products are our growth engines for the next phase of Ethos. Regarding the loss sales due to China lockdown it is on the supply side kind of constraints. It is difficult to quantify it, but and frankly once you lose a sale how do you really make out whether you are going to get it back or not. Of course, we try to get it back and we will certainly try in the next year to get it back so that way China opening up is a good thing because the supply chain really works out and even though many of the high-end brands do not buy too many Chinese products but one product is enough to block it right if they do not have packaging boxes you can get blocked. So that has happened in the past and now this is starting to ease out so we expect actually on the net, net the availability of watches to become better. We hope that some of the business that was lost will be made up in this quarter. This quarter is looking good as Pranav just mentioned January was a great month so again what sales that get lost, we automatically start working with a brand just to how we are going to make it up sometimes. We make it up sometimes, we make it up somewhere else. Our main focus always remains on the numbers for the quarter that we are projecting any which way we must equal them or improve on them and if it is not with brand A we are going to do it with brand B, if it is not in store X we start to do it in store Y and so on. So that is a very strong process. Your last question was actually the most interesting the curation process it is a very big process that our management team has put in, in terms of target segments, price segments, what is the mix of brand that we have, how many brands do we need in this profile of store, many of the brands today in the most the best known brand which are not exclusive with us they are supply constraint so it is not possible to get to meet targets of 20% -25% growth if the supply is constraint so that is one consideration which other brands can be added in those price points or in those profiles which

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Page 17 of 19 can compensate the low growth which is part of the feature of some of these supply constraint brands. So there are a lot of these sort of reasoning that go into targeting brands and then of course a lot depends in this business a lot depends on relationships the GPHG event that we had and you are very kind to also attend that event that is the kind of event that does wonders to put Ethos in India on the map. We have the sales in China is 20 times

India so obviously the brand sort of look at China and they compare India is nothing

red to China. So when they see what we are doing at an event like GPHG they realize the potential of India and I think that works a lot so with that we are getting brands to get interested especially the brands that we want and so the curation process is worked on many, many levels what we want, which brand going to come in, the profile of Indian consumer, and the HNI consumer all of that goes into making the selection of the brand that we want to put in.

Rajat Chandak : I am sure brands would also be involved meaningfully in suggesting bestselling models product offering so these have to be there etc. What roles do brands play?

Yashovardhan Saboo: Yes, of course so the brands very openly share what are the global best sellers, what is the core collection, most of the brands now realize that Ethos understands the Indian consumer far better than anybody else and themselves so they would like to talk about on what we feel, should be the core collections for India compared to their core collection for the global markets. Most of the time there is not much difference but sometimes there is the difference and then we usually agree on a point that, okay let us try it out if it works in India why not. So I think we have a very open and a symbiotic kind of relationship with brands, where it is that okay here is the global trend the Indian consumer is very connected to the global trend but not identical so that is the conscious about that and also the Indian consumer wants what is the most favored for the Indian market that is really the goal.

Pranav Saboo : I just wanted to add here the fact that, this year we will have 20 brands that will create for us Ethos specific additions, that are designed by Ethos and will be available only at Ethos which will be a great. I mean, they will do wonders in sales as well as for our overall visibility and that designed completely around what our customers like and the taste and preferences of our customers.

Rajat Chandak : Did you say that designed by us and like designed suggestions...

Pranav Saboo: Yes, designed by us in fact Louis Moinet has designed a full collection only for us, we are in talks with Rado a very leading brand that is not even an exclusive brand they are creating a specific time piece which we have designed, Breitling we are in touch with to be able to launch a product only for Ethos there are 18 other brands which are exclusive brands where Ethos Limited

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Page 18 of 19 we designed a product with our designer sitting here and they execute and bring the product to us. So that is how close we are now with these brands.

Rajat Chandak : Pretty interesting, and any comments on since we are having so many new brands, partners what kind of positive rub-off effect is as on other brands available at the stores right so, the new brand has come up the customer may look up for that but may end up buying another brand.

Pranav Saboo : If you want any of these brands you must come to Ethos and people more and more now go onto the website to research all their options and Ethos becomes a normal choice for that. We must look at what Ethos has as well while you are buying a watch that is what we want to, that is the position that we want to reach so the reason to do that is also that we make sure that, we control the market in the specific price points that we operate in, and it becomes much more difficult for other people to open multi-brand stores, because the brands are only with us and we do not distribute to third party retailers.

Rajat Chandak: So what I, understand is it may also have a positive rub off on other brands right a new brand comes up customer looks apart but at the time another brand so maybe another brand benefits but can it be measured, not measured or it is not measurable.

Pranav Saboo : No we do not have the measure

right away but perhaps, we will circle back to you later on that.

Rajat Chandak : And one last question is it possible for you that a particular product or time piece you may not have in India with you, as a physical inventory but you can display it up on your website. You are an exclusive partner you can get it arranged if a customer is really keen on that.

Pranav Saboo : Yes, we do that already on our website. So on our website if you see a watch which says on special order it means that it will be ordered for you.

Rajat Chandak : Sure okay. That is all from my side. Thank you and all the best.

Moderator : Thank you. Ladies and gentlemen that was the last question. I now hand the conference over to the management for their closing comments.

Yashovardhan Saboo: Well, so on behalf of all of us from Ethos, on this call let me thank all the analysts and all the participants in this call. Thank you very much for joining us and we now end the call. I also thank to Pranav and Ritesh and our partners SGA for being on this call. Thank you very much everybody.

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Page 19 of 19 Moderator : Thank y ou. Ladies and gentlemen, on behalf of Ethos Limited that conclu des this conference call. We thank you for joining us, and you m ay now disc onnec t your lines .
Thank you.

Call: May 2023

Ref. no. : Ethos/Secretarial/2023-24/26

Dated: May 19, 2023

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001 Exchange Plaza, C -1, Block G,
Bandra Kurla Complex, Bandra,
Mumbai - 400 051

Scrip Code : 543532
Trading symbol : ETHOSLTD

ISIN : INE04TZ01018

Subject : Regulation 30 of the SEBI (LODR) Regulations, 2015 – Transcript of conference call
Dear Sir/Ma'am

Greetings from Ethos.

This is in furtherance to our letter dated May 12, 2023 intimating the schedule of the conference call for today i.e. Monday, May 15, 2023 at 11.00 a.m.

In this regard, we are giving hereinbelow the transcript of the aforesaid conference call, held inter alia to discuss operational and financial performance of the Company for the quarter and financial year ended on March 31, 2023, pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015. The same is also available on the website of the Company www.ethoswatches.com
We would request you to please take the same in your records and oblige.

Thanking you

Yours truly
For Ethos Limited

Anil Kumar
Company Secretary & Compliance Officer
Membership no. F8023

Encl.: as above

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"Ethos Limited
Q4 FY '23 Earnings Conference Call"
May 15, 2023

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchanges — BSE Limited and National Stock Exchange of India Limited and the Company website on 15th May 2023 will prevail

MANAGEMENT : MR. YASHOVARDHAN SABOO – MANAGING DIRECTOR
– ETHOS LIMITED
MR. PRANAV SABOO – CHIEF EXECUTIVE OFFICER –
ETHOS LIMITED
MR. RITESH AGRAWAL – CHIEF FINANCIAL OFFICER –
ETHOS LIMITED
SGA – INVESTOR RELATIONS ADVISOR

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Moderator: Ladies and Gentlemen, good day and welcome to the Q4 FY '23 Earnings Conference Call of Ethos Limited. Please note, this conference call may contain forward looking statements about the company, which are based on the belief, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involved risk and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions, after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Yashovardhan Saboo, Managing Director, Ethos Limited.

Thank you and over to you sir.

Yashovardhan Saboo: Good morning everyone and thank you for joining us, on the Ethos Limited Q4 FY '23 earnings conference call. I hope everyone had a chance to view financial results and investor presentation, recently posted on the company's website and stock exchanges. I am accompanied today by our CEO Mr. Pranav Saboo and our CFO Mr. Ritesh Agrawal and also SGA, our investor relations advisors on this call.

I am extremely pleased to share with you that, our current performance has reiterated our team's belief in the luxury watch opportunity in India. We strongly believe this is the beginning of a period of sustained growth. Our performance in Q4 and FY '23 has further evidenced Ethos's dominance in India's premium and luxury watch segments, which, have enormous growth potential. Our omni-channel approach to serving customers and leveraging the offering of Swiss brands, in a strategic way, will continue to increase our market share and positively impact our margins ..

For Q4 of FY '23 revenue from operations is up by 30.8% to almost INR208 crores from INR159 crores, in the same quarter previous year. The decrease in gross margins for the quarter is mainly due to, a temporary foreign exchange impact. This is expected to be phased out, with price corrections begin in Q1 FY '24. EBITDA for the quarter grew by 33.4% Y-o-Y, to INR30.6 crores in Q4 FY '23 and profit after tax for Q4, was INR13.3 crores as compared to INR7.8 crores in Q4 FY '22, which shows a growth of 69.4%, on a Y-o-Y basis.

For the year as a whole, revenue for FY '23 stood at INR788.5 crores with a growth of 36.6% Y-o-Y. EBITDA for FY '23 was INR128.9 crores compared to INR79.7 crores, showing a growth of 61.7% Y-o-Y. Profit after tax for FY '23 was INR60.3 crores with a PAT margin of 7.5% versus 4% last year. Inventory days on 31 st March '23 stood at 157 days of sales, gross debt stood at INR8 crores as on 31 March 2023 and cash and cash equivalent stood at INR228.6 crores on 31 st March 2023.

Before we go up for the Q&A part of our discussion, allow me to explain a few points. At global level, India is recognized as one of the markets with the highest growth potential for premium and luxury goods. Luxury watch stores now see many opportunities to grow in the Indian market,

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since retail expansion is happening, not just in metro cities but also in Tier 2, Tier 3 and even Tier 4 cities. In addition, we are witnessing a sustained rise in the interest of the younger population between 25 and 40 years of age, in mechanical watches. This is supported by the growing interest in the second hand market and the shifting habits, when it comes to buying and selling, pre-owned or second hand luxury goods.

The pre-owned market for luxury goods has several significant benefits for consumers, including affordability and collectability, which are gaining popularity among the new and primarily, the young generation.

To conclude, the Indian watch market is extremely fast growing and we are confident in expanding and exploring this market.

Let me give you a brief update on our performance. We now have 56 stores and have expanded our footprint to 22 cities. We recently entered Surat and Bhubaneswar and will shortly, be launching our store at Raipur as well. As we mentioned in our last earnings call, we are on track to open 40 locations, during the next two years.

Here are some updates on the exclusive brand tie-ups. Many well-known brands throughout the world see the great growth potential in the Indian market and are looking to expand. As a pan-India with two decades of expertise, inside knowledge about the ground reality of the business, a database of customers, brands are very comfortable in collaborating with us at Ethos. This eventually helps them to set up their presence, in a short time and with a faster scale-up. We are discussing exclusive partnerships with several brands and will announce these as and when they

are finalized.

As you may know, we are relatively new in the jewelry market. As such, we believe that the broad expertise we have gained from the watch industry will help us to develop an effective strategy for jewelry markets. We believe, this segment will deliver favorable outcomes in the coming years and will be a source of growth.

Additionally, the fit-out of the Rimowa store our maiden attempt in the luxury luggage and travel wear market, is now in progress. We hope to open that shortly in Mumbai, when the mall Jio World Plaza opens. In FY '23, the revenue from the pre-owned watch segment, which is called the second movement, was about INR50 crores, up 61% from FY '22, on year-on-year basis. We expect this segment to grow similarly or better in FY '24.

We will continue to build on the foundations of FY '23, in the current year. Store expansions and sales growth will continue to remain the focus, but we will keep an equally sharp eye on profit growth and profitability. We remain supremely confident in the growth prospects for FY '24 and hope to achieve revenue growth between 25% and 30%, for the year.

With this, I would like to open the Q&A session. Thank you.

Moderator: Thank you very much. We have our first question from the line of Jeetu Punjabi from Em Capital Advisors. Please go ahead.

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Jeetu Punjabi: Hi, morning, Yashovardhan ji and Pranav. Good numbers. I had two broad questions. One was within the watch's growth, that happened. Was the growth in the market's top end faster or in the middle and low end? And were our supply issues around that resolved at the top end of the market, which has been talking to the industry for a while?

Yashovardhan Saboo : Hi, Jeetu. I have to connect. If you have any other questions, why don't you add them now so that we can answer them all together?

Jeetu Punjabi: The second one is around the jewelry foray. I'd love to get some understanding of, what you all are thinking. What's the plan and how do you take that forward?

Yashovardhan Saboo : Sure. So on the watches growth, Jeetu, we have seen growth pretty much across all segments. Similar growth across all segments. But our ASP has continued to grow. So even in quarter four, we see a growth in our ASP pretty much along expected lines. But I'm glad to report that, the growth has been pretty much across all price segments. Unlike two years ago, where we saw very rapid growth only in the very high price segments, today it's happening across all segments. And you know already that, we have pretty much exited the fashion watch segment, which is below INR25,000, INR30,000, INR40,000. But above that, growth is happening pretty much across the board.

And your second question was regarding the supply side. Globally supply side constraints seem to be easing a bit. But you know it, you

understand the watch industry very well. It's impossible to say that, supplies are completely normal. There are still constraints for many, and it's not only one or two brands across several brands, especially for the variants or models, that are collectible and high in demand, there is a constraint still.

As far as jewelry is concerned, we are still learning the ropes. We recognize that, in the international branded segment of jewelry, there's a lot of work to be done from our end to learn the business. However, we are seeing traction there and the Messika, the brand that, we have started with, it's starting to get sales and we will be expanding a couple of points of sale. But as I had mentioned in our earlier calls, this is a learning phase, and the real impact of the jewelry business will be felt, maybe two years or three years from now, when we've got the learning in. On the other hand, where we are closer to, let's say, on the runway, is the luxury luggage travelware business, travelgear business. The first boutique of Rimowa is expected to start this year, when the Jio Plaza mall opens. The repair center of Rimowa, the first and only one in India, has already started by us. And we are already getting immense inquiries for the luggage. So I'm very sure that when the store starts, it will take off like a cracker. It's going to be a cracker of a start and we hope we will be able to plan a rapid expansion of this segment soon.

I just wanted to make an additional comment on the supply side. While I said that, supplies are constrained, I believe that, India as a market is now much more in focus of all the international, & Swiss luxury brands. And we believe that, in the months and years to come, we will get the due importance, which essentially means, an allocation of hard to find pieces. So that is one

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good thing that we expect to happen out of the growth and the macroeconomic prospects, in India as compared to other countries.

Jeetu Punjabi: Okay, fantastic. Great to hear that. There will be a one quick follow up. So is there, your endeavor to tie up with new marq ue brands ? Is that shaping up well? Is there anything new happening over there?

Yashovardhan Saboo : Jeetu, there's always something new happening. As you know , it takes a long time to finalise, tying up with international global brands, especially in the premium luxury watch segment or in the specialized watch -maker . There is a extended period of getting to know each other. We need to know, whether the brands are serious about India. What is their product? Are they suitable for India? And the brands need to know, their comfort level with Ethos, as a partner.

We've announced several tie ups already in the last six months. And of course, there are several others in the pipeline. I hope, we will be able to announce a few more in this year. And of course, you will hear of them as soon as they are finalized. But there are more in the pipeline for sure.

Jeetu Punjabi: Super, Thank you Yashovardhan ji. Good luck. Good wishes. Thank you.

Yashovardhan Saboo: Thanks Jeetu. Thank you.

Moderator: Thank you. We have our next question from the line of Devanshu Bansal from Emkay Global Financial. Please go ahead.

Devanshu Bansal: Hi,. Good morning, sir. Thanks for the opportunity and congrats for a very strong growth in Q4.

So I have two questions, three questions. One, I wante d to understand the impact of the significant depreciation in INR vis a vis CHF. This is the question is on two counts. O bviously, with this significant depreciation of INR, the watch prices may have shot significantly. So does that sort of impact consumer sentiment, number one?

Second is for FY '23 as well, this depreciation was there. So was there a component of low cost inventory gains that, we witnessed in our margins? So tha t's the question on INR depreci

ation.

Secondly, I wanted to understand on the margins front. EBITDA margins shot up into significantly in FY '23? Supported by a very strong growth that, we've seen. For FY '24 as well, growth expectations a re reasonably strong. So how should we see the margin trajectory for FY '24, whether we should be in on an improving trajectory or the strong store additions that, we expect, should keep the margins more or less stable? So these are the two questions there .

Yashovardhan Saboo: Right. Thanks , Devanshu. Very important question. So the INR depreciation, this is not something new. As you mentioned yourself, it's a phenomena that, over the long term, in the last 40 years, it has happened. It doesn't happen at a steady pace. Sometimes, there is a spurt of depreciation , a steady pace, and so on. And because of this, what happens is that, the correction of the price in Indian rupees of the brands, that is, it always happe ns with a time lag. What's important to understand is that, brands need to be sure and convinced that, the Rupee has found a stable level at a certain foreign exchange rate, before they adjust the Indian INR MRP.

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So they want to make sure that, it is not a short -term variation and it's not going to change too much. And at that point, they make a correction and that correction does not happen, every two or three months. It happens once or twice a year. Of course, i t has happened more often al so, where there's been a sharp correction or a sharp depreciation. But usually it's, let's say, one times to two times a year.

So as you know , in the last year, there has been a pretty significant depreciation of the Indian Rupee and many brands have still to correct the prices in Indian MRP. And until that happens, it has an impact on the gross margin and overall margin. And that's one reason, why there has been a slight dip in the margin, as I explained in my talk as well.

The second part of the question is also interesting : when domestic prices rise, is there any impact on consumer sentiment? Not really. Because it's in line with overall inflation in India most consumers now, compare prices in India with global prices of similar watches. And these prices, of course, are available on the net.

So they find that, the rate in the foreign exchange rate, actually India continues to be one of the most competitive markets in the world and the prices are comparable to the best shopping destination. So I don't think we have not seen any evidence that, it impacts consumer sentiment or buying. It may be for a very short while of a few weeks, but then customers realize that, this is the market price, this is t he level, this is the global level and there is no sustained impact at all.

Third point was, whether there were any gains due to price increases on the existing inventory. Indirectly, yes, there is. Even though the MRP is realized, the Indian rules require us to respect the MRP, at the time of the purchase, unless the brands approve a revision of the MRP, even for the old stock. So they have different brands of different policies. We, of course, follow the law and whatever are the brand policies.

But in some cases, where there is inventory, which has gone through one price increase, it does allow us to get a slightly better margin on that. So there is a slight impact in improvement in margin, due to the old stock that is at older inventory because usually, we can offer a slightly lower discount, while still keeping the overall price very -very competitive.

So that's on the, as far as the INR depreciation issues are concerned. As far as EBITDA margins are concerned, we expect, let me start by saying that, our gross margins are at a stable level and our effort is going to be, to maintain these. I have said this earlier as well, our gross margins are actually at levels ahead of, what we had projected. So w

e are very happy with the gross margins.

This is comparable to gross margins in the luxury watch business worldwide. And so this is great for us.

EBITDA margins, we expect over time, EBITDA margins to continue to increase as operating leverage keeps kicking in. This year, I don't think, there will be a great impact of new stores. We are confident that, our new stores start to become profitable quite soon. And in fact, we expect them to generate a very standard ROCE within the first month itself. On that side, if there is,

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there could be a slight impact on a quarter by quarter basis. But on the whole year, we expect EBITDA margins to stay stable or even increase a bit.

Devanshu Bansal: Got it, sir. Thank you. Thank you for the elaborate explanation. I'll get back to your post follow-ups. Thank you.

Moderator: Thank you. We have our next question from the line of Ankush Agrawal from Surge Capital. Please go ahead.

Ankush Agrawal: Hi. My first question is, can you give me the SSG number and the contribution of exclusive brands for both Q4 and FY '23?

Yashovardhan Saboo: Sorry, can you repeat that question, Ankush?

Ankush Agrawal: I just wanted SSG numbers and share of exclusive brands, in the overall number of Q4 and FY '23, as a whole. That was the first question. And secondly, again, talking on the margins. So this year, the store expansion that we are targeting is quite strong. And given that, we are assuming that, gross margins should be stable. So where do you expect this, operating leverage to kick in from? Like, if you can highlight, which are the cost areas, where you expect that in the long run, we'll see operating leverage to play out? That all are the questions.

Yashovardhan Saboo: The share of exclusive brands in our business for the year was about 27%. Ritesh, will you correct me, if I have the right figure here?

Ritesh Agrawal: Sir, you are right.

Yashovardhan Saboo: 27%. Okay. Second part regarding operating leverage, Ankush. So operating leverage essentially kicks in from many things, especially corporate overheads. So they will not increase proportionately to the stores. And that's, an important point, where operating leverage does kick in from.

Ankush Agrawal: Okay. And SSG numbers?

Yashovardhan Saboo: SSG numbers, for the year, for the last year, the SSG was 30%. So which is extremely strong. Our overall target, our steady target for, the next three to four years is an SSG target between 12% and 15%. So last year, of course, was completely an outlier. But 12% to 15% SSG growth is our target, a long-term target.

Ankush Agrawal: Sir, just one clarification. So you said the operating leverage is largely kicking in from the corporate overheads. So would you be able to quantify what kind of amount the corporate overheads are running at the moment?

Yashovardhan Saboo: I may not be able to quantify that right away, Ankush. But I would invite you to connect with Ritesh, our CFO, and go through whatever numbers we can share in this regard. One other point also, it's not only corporate overheads, right? In the established stores as well, the margin improves as growth happens. Simply with an SSG of 15%, 16%, costs don't go up in that ratio.

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So the profitability and the generation of profits and cash in existing stores also aids the overall improvement of EBITDA margins.

Ankush Agrawal: That's all. Thank you.

Moderator: Thank you. We have our next question from the line of Vikas Mistry from Moonshot Ventures. Please go ahead.

Vikas Mistry: Hello, thank you for giving me the opportunity. Sir, my question is on Rimowa's economics and jewellery brands' economics. Economics of watches is very well known that we have good ROC on that and they're spending well and our SSG is also good. Can you explain on Rimowa

site

and Messika site?

Yashovardhan Saboo: So, Vikas, Rimowa, we have not yet started trading. It's important to say that we've been talking about it. Unfortunately, the launch of the first peak has been delayed as the mall where it is located will be India's most famous luxury mall. It's in Bombay and probably everybody in the luxury business in the world has heard about it, the Reliance, JIO Plaza mall. It's slated to open in the middle of this year and that's when trading of Rimowa will start. And the margins, we expect the margins to be quite similar to the watch business. In the jewelry business, the watches are quite similar to the watch business.

Vikas Mistry: Okay. My second question is that we are having hands full with the luggage side of the business. Are you also targeting some other categories like women handbags, luxury women handbags and all that?

Yashovardhan Saboo: Vikas, we are not long term, of course, given the expertise and experience that we have in the luxury business, I think we are open to ideas in the future for other segments. But at the same time, we are conscious, very conscious of the fact that at the moment, the watch industry has an immense potential for growth. We need to devote our full energies to maintaining and growing our leadership in this segment. And of course, that will continue to be our focus for at least the next couple of years.

The luggage and travel gear business in the luxury segment is also interesting because it has close relationships and jewelry even more. So I think these are segments that we need to start to realize the potential. And once we are there, then of course, there are other segments that we will address ourselves to. We must recognize that India is still very early in the whole journey of the premium and luxury consumer segment.

So there are decades of strong growth ahead and we must be careful to focus on segments where we see the most solid presence while maintaining growth, solid profitability and performance. We are extremely focused on what we do, but we do recognize that there will be other segments we can go into in the future.

Vikas Mistry: That's all. So thanks a lot and congratulations on good numbers and you keep doing a pivoting to new areas and keep growing like that. Thanks a lot.

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Yashovardhan Saboo: Thank you.

Moderator: Thank you. We have our next question from the line of Deven Sangoi from Abakkus AMC. Please go ahead.

Yashovardhan Saboo: Hello Deven.

Moderator: Mr. Sangoi, please unmute your lines, sir. Since there is no response, we'll move on to the next question from the line of Bhavya Sonawala from Samaasa Capital. Please go ahead.

Bhavya Sonawala: Thank you, sir. Thank you for the opportunity. Just have two questions. First one is just want to know going forward what kind of locations or cities are we targeting to open new stores? What will be the trend? And my second question is just want to understand what kind of growth can we see from new brands in the luxury segment? I want to understand is there a bunch of brands that we haven't tied up, which can lead to growth in the future? Just these two questions. Thank you.

Yashovardhan Saboo: Bhavya, on locations, I think we've already put up, we've already opened several new cities. The focus is equally on new cities, tier 3 cities, as well as new geographies in existing cities. So, for example, we've opened Indore, reopened Bhopal in the last six months, let's say. Siliguri, Bhubaneswar has been recently opened, Raipur will soon be opened, and Surat has been opened very recently. So, these are the kind of new cities we are going to.

At the same time, there are also new geographies in some of the existing cities that we are going to. For example, in Bangalore, there is a fabulous new mall which will open later this year. It's in the area of Hebbal, fast -g

ing area on the way to the airport. So, we have taken multiple locations there. Similarly, in Ahmedabad, we opened at the new Palladium mall. So, it's a mix of locations, new cities, and new geographies in existing cities. I hope that answers your questions.

As far as brands are concerned, yes, we are in touch with new brands and brands of course, they add to the same. For example, among the brands that we opened in the last year was Jacob & Company. Before that, a little before that, Bovet a high luxury brands. We also opened something in the mid-price segment like Bell & Ross.

All these brands are not only doing very well, but we can see that the growth and interest of these brands, not only in a few cities, but also in tier 2 cities, is emerging. So, we are extremely optimistic and bullish about the prospects of the new brands we are signing to help increase our growth and maintain profitability.

Bhavya Sonawala: Okay, thank you so much.

Yashovardhan Saboo: Thank you, Bhavya.

Moderator: Thank you. We have our next question from the line of Vinayak Mohta from Stallion Asset. Please go ahead.

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Vinayak Mohta: Good morning. So, sir, congrats on a great set of numbers. I just had two -three questions. The first one was, on the gross margins part, is it fair to assume that this stable state on a yearly basis will be around 30%-31% and given that you've been tying up with more exclusive brands going forward, where your margins are relatively high on the trajectory, over a three years -to-five-years perspective should be on the upper side, on the gross margins front?

The second thing is, there's been a lot of talks going around how the Swiss watch demand might be slowing down in the recent past? Have you seen any similar trends in India coming over the same? And the third question is the pre-owned watches segment has still, kind of not being able to achieve the target that you were targeting. Is it a factor of supply not being enough or is it a factor of constraint from the brands for the past that you look for, which was in Q3 as well?

Is that continuing and that is having a bearing? And what gives you the confidence that the growth will stand out in FY '24? And are you seeing similar headwinds on the supply side from the original watches as well, like the new ones?

Yashovardhan Saboo: Okay, great set of questions Vinayak, let me answer them as effectively as I can. You're right, gross margin, 30% to 31% is a good level. This is comparable to international, other large retailers of luxury watches. So we are happy with this number. Is this likely, could this go up in the years to come? Yes, it could. But we are also conscious of the fact that these are the numbers in India, globally. This is a margin and we are projecting that we will stay within this range. But of course, there is a possibility that they could inch up a bit in years to come.

As far as the demand for the pre-owned watches or second-hand watches is concerned, actually, we are pretty happy with the numbers and we had a growth of more than 60% in the last year.

We expect a similar or better growth this year. You asked, what is the constraint? The constraint is not either in the demand or the supply. It's important to understand how this market works and how Ethos approaches this market. It's extremely important that we examine every watch, every pre-owned watch before we buy it or we offer it for sale on the second movement website, which is powered by Ethos. And many of times, this requires very detailed knowledge about the watch to open it and to refurbish it so that it comes to almost new levels of performance. It has the same performance levels as a new watch and appears to be almost like a new one.

Now, this refurbishment and this testing of the watch requires the expertise of watchmakers who understand these watches

s, mechanical watchmakers, which are not easy to find in India. India has, lost the tradition of mechanical watches after HMT died 50 years ago or 40 years ago. So, therefore, the constraint is to find enough watchmakers. We are in the process of recruiting whomever we can find. We have a very strong training program. We depute the watchmakers abroad to get specialized training from the brands.

But this is the process that takes time and that is the only real constraint. We've set up extremely good refurbishing and servicing facilities equal to the best of the world with the best equipment and everything. And you are welcome once to, when you are in Gurgaon, to look at that. And we expect this growth to continue.

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Globally too, I have to say that the pre-owned watch market is growing very fast and it is predicted to become 50% the size of the original watch market within the next couple of years. It is already 25%. So it's growing much faster than the original watch market. And similarly, we are very bullish about it in India as well.

Vinayak Mohta: I understood. Just one small question. On the news told, that you've opened lately in Q3, you have said that within the first month, they will be coming profitable. Are you seeing similar trends continuing and improving on as we go forward, given you've opened five stores to six new stores now in the near past? So how is that trajectory following through?

Yashovardhan Saboo: Different stores behave differently. So it's hard to -- different geographies behave differently. So it's hard to set up once at all, particularly on a month-wise basis. It depends on which month the store opens. For example, if a store opens in the month of November, just before Diwali or in the wedding season, of course, it's going to boom from the first quarter onwards. If it opens in a lean period like March or April, it may take one month or two months or three months before it starts to. So a lot depends on that.

I don't think we are, monitoring that the store must become profitable from the first month onwards. A lot depends on where the store is open. For example, the mall. The mall may take some time to get traction. So we have seen some stores where malls are taking time, they also take time. There are some stores which do very well from the first month onwards. So it's a mixed bag. I don't want to make predictions for one month and one quarter. I can say with a lot of confidence that our stores not only start to break even but become profitable within the first year itself. And that's the target that we are seeing. That's the target we have and that we are confident of achieving.

Vinayak Mohta: Great. Thank you so much and all the best.

Moderator: Thank you. Ladies and gentlemen, to ask a question, please press star and one on your phone. We have our next question from the line of Varship Shah from Envision Capital. Please go ahead.

Varship Shah: Yes, sir. Thank you for taking my question. For the pre-owned segment, do we also need authorization from brands to buy and service them? Or can we buy and service any luxury brand for the second movement and all this? Also, could you give me the number for service revenues in FY '23 and how is that segment of the business growing?

Yashovardhan Saboo: Right. So your question is on service and whether we need permissions from brands in the pre-owned segment. So strictly speaking, we don't need permissions for brands to trade in the pre-owned segment. Anybody can do that. However we have relationships with brands and believe that relationships are the most important. One of the most important factors in our business, whether it's relationship with brands, customers, or stakeholders. And therefore, for good firm sake, do believe that it's very -very important that our brands know that we want to trade in the pre-owned w

atches. And if a brand has hesitation on it, we don't do it because we never want to lose the confidence of our brand partners.

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Secondly, it's not only a question of permission from the brands. We must have the ability; therefore, it's only the brands we have the technical ability to work with. And we have a source of supply of spare parts when they're needed that we go in for trading of the pre-owned watches. So it's not only a question of whether we are allowed to do that, but also our watchmakers should be trained and competent to open and refurbish the watches.

As far as service revenue is concerned, the service revenue is different from pre-owned business. These are two separate businesses. And service as such is really, it's not focused on right now as a profit center. However, that is the goal that we will structure the service business as a profit center. I believe the service revenues were somewhere in the range of INR6 crores to INR7 crores in the last year.

Varship Shah: Alright. Thank you for answering my question.

Moderator: Thank you. We have our next question from the line of Rahul Agarwal from Incred Capital. Please go ahead.

Rahul Agarwal: Hi. Good morning. Thank you so much for the opportunity. So gross margins are essentially down only due to adverse currency in fourth quarter. And whenever the price revision happens, whenever the brands want to do it, the gross margins tend back to 30% -31%. Is that understanding correct?

Yashovardhan Saboo: Yes, broadly correct, Rahul.

Rahul Agarwal: Yes, that's the first question. Secondly, I've seen some investments in Rimowa acquisitions, as you want to call it, of Swiss headquarter companies or brands. The investments are small, but I was not very clear on the purpose. If you could clarify that. That was the second question.

Thirdly the CPO, you said INR50 crores of sales. Is that billing or is it net of GST? It's just a clarification. And fourthly, just as an understanding again, we added INR200 crores of sales last year fiscal '23 over fiscal '22 and inventory addition is INR100 crores. So it's broadly six months, which is higher than what you obviously aspire for and what is reported on a year-end basis. I would imagine that it happened purely because of some bunching up and new store opening which happened end of 31st March. If you would clarify that, that will be helpful?

Thank you so much.

Yashovardhan Saboo: Thanks, Rahul. So the last point is easy. It happens because of not only of bunching up some new store opening, but also it happens when you sign on a new brand. When you sign on a new brand, I think almost invariably, you have to start with a certain number of doors. So it bunches up a lot of the buy-in at that time. And then there's a lag between that buy-in and the sell-out. So it's not only a question of new store, but it's also a question of signing up new brands. That was your last question.

As far as the gross margin, we already addressed that. The investment that you're talking about, we've made one investment of CHF1,25,000, which is about less than a crore, I think, of rupees

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in a brand called Haute -Rive. Haute -Rive is a new, it's a revived brand by a very -very talented watchmaker. We've been in dialogue with the watchmaker since a long time. He's been wanting to create this brand. He has extremely high specialized experience and his ideas for creating watches are superb. We know the kind of products. They are in the very high specialized segment, very high price points, but extremely specialized, very -very collectible watches, which should be available to us sometime in about 12 months to 18 months.

But it's not only a question of having a few watches. Investing in such brands allows us to get strategic information about how the very high -end watch

makers work. What is their network of suppliers? What is their network of influencers? What are the trends in the very high watchmaking segment? Who are the people? What are the other connections and networks? This was an area that we were completely outside -- we get the inside information and we believe this is an extremely important strategic direction. And we will see the benefits of these in the years to come. This is the first investment and we do believe that if we have other similar opportunities, we would like to evaluate them very constructively.

As far as CPO is concerned, I think INR50 crores is the billing. It's a growth of about 60% plus over the previous year. Ritesh, if I'm wrong, somewhere you can correct me on this. And the last question I've already answered.

Ritesh Agarwal: Sir, INR52.5 crores billing and INR50.4 crores is the revenue.

Yashovardhan Saboo: INR50.4 crores is the revenue.

Rahul Agarwal: Okay. Got it. Just a follow-up on those smaller investments. It's strategic. Is the Silver City one is what you spoke about or is it that different?

Yashovardhan Saboo: Silver City is a company that has been formed with a view to further investments in other brands.

Typically, Haute -Rive investment would also have been done through Silver City. But because the Haute -Rive opportunity came up before Silver City was formed, we've invested that directly. But the idea is to have a foreign subsidiary not only to invest in other brands, but also for other activities that might be better served by having a Swiss presence. That's the idea. But mainly it is to invest in watch brands here.

Rahul Agarwal: Okay. And just sorry for this, but just a clarification again. So we are not intending to have our own brands competing with luxury brands. This is purely to network, understand more on how the high -end market works and continue to be a retailer in India or outside. Is that correct?

Yashovardhan Saboo: We will continue to be retailers. The question of whether we will have our own brand or not has been asked. I've been asked this question for the last 30 years in KDDL and 20 years in Ethos.

The fact is that the large retailers everywhere in the world do have brands over which they either have strong influence on or they own. Examples are several. Bucherer has Carl F. Bucherer.

Wempe has its own brand, Wempe watches of Switzerland similarly, has done strategic investments in various brands. We certainly don't want to rule out the possibility of having brands on which we have significant influence in the future.

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Rahul Agarwal: Got it. That clarifies. Thank you so much. All the best.

Yashovardhan Saboo: Thank you.

Moderator: Thank you. We have a next question from the line of Lakshminarayanan from Tunga. Please go ahead.

Lakshminarayanan: Thanks for my question. I have two questions. First is that how much of your sales come from repeat customers? Because you mentioned in the presentation that around 40%. So does it mean that 40% is repeat customers or it's like part of the loyal customers around 40% coming? I didn't get that part.

Yashovardhan Saboo: I think Ritesh, can you give the exact figure of repeat sales, please?

Ritesh Agarwal: It's 46%.

Lakshminarayanan: Got it. 46% probably. And in terms of the sales coming from new and existing brands, so how much gets contributed by your new tie-ups and new brands and how much is from your existing brands that you have been only doing for the last more than three years, four years? Do you take a cut like that and see?

Yashovardhan Saboo: No. We don't take a cut. We don't have a formal definition as to when a brand is a new brand and when it stops being a new brand and becomes an old brand. I think even if an old brand goes to a new city, that city it is a new brand. Of course, we don't define it as such, but we cannot give

you that number readily, Mr. Lakshminarayanan. We don't divide the sales into new brands and old brands.

Lakshminarayanan: Okay. And typically, how many brands you add every year? You have around 60 brands, right? You mentioned that around 37 are exclusive. Now, how many brands you add on an annual basis?

In-general How is the traction has been? And what do you use to, add a brand?

Yashovardhan Saboo: So, we don't have a target that, we will add so many new brands in a year. The idea is to have a, we try to divide the market in various segments, the market in various ways, price point wise, product wise and basically price point wise. In each segment, we would like to have a healthy selection of brands and exclusive brands. So, for example, we do want have brands, which are more preferred by, with products, which ladies, watch-maker, technical products, sports watches, classic watches more prefer.

So, these are various, within which products are segmented. And then, there are various, of course, there is the price point segmentation. Therefore, our goal is not to have so many brands every year. But to ensure that, each of the segments has a good selection of exclusive as well as non-exclusive brands. And that's what determines, whether we go for a brand or not.

When we are talking to new brands, the other thing we determine is their interest in India and their understanding of the Indian market, the availability of products. There's no point tying up with a brand that, doesn't either believe in the Indian market or is not able to, give us enough

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products. Because if you get only a few products, it's not worth the time spent on that. So, a lot of consideration goes into that, as well. So, it's a complex thing, that happens.

And usually, it's a result of several, certainly more than one year of dialogue with the brands.

Then, we encourage them to visit India, to understand the Indian market, to understand Ethos, to understand our Indian customer. And what it means, to be able to succeed with a brand. Of course, what is happening is that, most brands now realize that, India is the next big market. The growth in China happened over the last 20 years and India is going to be the next big market.

So, I feel, we get a pretty positive response from most of the brands that, we talk to.

Moderator: Thank you. We request you to come back in the queue for follow-up questions. We have a next question from the line of Manish Poddar from Motilal Oswal AMC. Please go ahead.

Manish Poddar: Yes. Thanks for doing the call. So, I have three actually. First one is, can you help me understand, how much of the absolute price increase taking the brands for FY '23 as a whole? That's a ballpark.

Yashovardhan Saboo: Our FY '23, it varies from brand to brand, but, it's somewhere in the range of 6% to 9%.

Manish Poddar: Because it is 6% to 9% and in the slide, you have shown that, about 7% is the average selling price, which is increased on an annual basis. So, are you trying to ensure that, the mix is largely similar?

Yashovardhan Saboo: Well, it's not that, suddenly all the price, first of all, it's not that the price increase happened in the beginning of the year. Most of the price increase happened in the FY fourth quarter of the

year. And a lot of it, and even if the price increase happens, it's only for the new products, It's only for the new imports. For what is already on stock, the MRP stays the same.

Manish Poddar: Okay, so effectively, if I have to understand it, roughly 2% to 3% is what, this pricing would be? Would that.

Yashovardhan Saboo: Probably. Yes, that might be a reasonable estimate. We haven't done a real calculation on that, but yes, it seems to be a reasonable estimate.

Manish Poddar: Second question. So let's say, this margin increase you've said due to the inventory gain, can you just quantify that number?

fy that number?

Yashovardhan Saboo: That's difficult because, it depends a lot of it. Difficult to quantify, what is the gain due to post-inventory. It depends, what is the ageing of the inventory that we sell, what is the eventual consumer discount...

Manish Poddar: This is mark to market. I'm just trying to understand. This is mark to market, right? This is accounting. So I'm just trying to understand? Your having the absolute number.

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Yashovardhan Saboo: I don't have. Look I am not a. I don't understand how this is mark to market. Our goods are valued at cost and MRP is based on, the MRP declared by the brand at the time of import. So on the inventory, there is no mark to market.

Manish Poddar: No, what I'm trying to understand is, you have a X rupees and now it is Y rupees. This X and Y are actual numbers. So I understand, it's not realized. It's most of, at this point.

Yashovardhan Saboo: No, Manish, you are, this is a detailed question and maybe we should, sorry, let me take it offline. But please understand that, if a watch has an MRP of INR1,00,000, at the time, we have bought it, even if new purchases of that watch happens, when the MRP is INR1,10,000, on that particular one, the MRP stays INR1,00,000.

Manish Poddar: I'll take that offline. No worries. Thank you so much.

Moderator: Thank you. We have our next question from the line of Devanshu Bansal from Emkay Global. Please go ahead.

Devanshu Bansal: Yes, sir. Hi. Thanks for the follow up opportunity. I just wanted to check in, some of the new cities, we are entering again, after an exit. So just wanted to check, what has changed between then and now and what are the key learnings that, we are applying now, in these stores?

Yashovardhan Saboo: So Devanshu, the city has changed and Ethos has changed. So, you're referring to, mainly you're referring to Bhopal.

Devanshu Bansal: Yes.

Yashovardhan Saboo: And Bhopal was the city, where our earlier store was a very small store. It was a 380 or 400 square foot store. We had the lower end of the brands over there and we were not, it was not a surprise that, the store was not very profitable. So we closed it down with, and this was, several, several years ago. Now with our portfolio of brands that we have, the city has changed. The mall, in the same mall, we've opened a larger store and it is doing fabulously.

So, the portfolio of brands that we offer, the kind of store, we've already told you that, two years or three years ago, we decided that, these 400 square foot multi-brand stores don't work. For a multi-brand store to work, it has to be minimum 800 square feet to 1,000 square feet. Our Bhopal store is that size. So the presence and the portfolio of brands and of course, the conviction of the team that is selling these brands, everything has changed.

Devanshu Bansal: Got it. And anything about Surat, I guess 4,000 square feet is a store, where we don't have, such a store in our portfolio as of now and this has been a very big store that, we have opened. So just your take on, what are the key expectations from the revenue margins, ROCE, from such kind of stores?

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Yashovardhan Saboo: Our ROCE margins, our expectations don't change. We believe that, it will have comparable ROCEs. We are happy to experiment with large stores in these cities, flagship stores. We've seen the great success in Calcutta, in Hyderabad. These are places, where large stores were not possible in malls because malls didn't exist, for such large stores. And we have seen the presence of large stores, crystallizes the buyer behavior and gets buyers to buy, customers to buy more

frequently, more readily and get interested in the segment more often.
That buying will shift from an intention, to buy faster and it will shift from an intention to buy in Mumbai

i, to make to an intention, to buy in Surat. We saw that happening in Chandigarh, when we opened our first store there 20 years ago. It is happening as, we speak in Calcutta. It is happening in Hyderabad. So sure, I'm sure it will happen and Raipur will be a similar experience, where we also have a large flagship store, which High Street is coming up.

Devanshu Bansal: Got it sir. Really encouraging.

Yashovardhan Saboo: Thank you.

Moderator: Thank you. We have a next question from the line of Harshil Shethia from Aum fund advisors LLP. Please go ahead.

Harshil Shethia: Hello. Sir, I had this question. So on the second movement business, so do we accept all watches, if they are good in quality? Or do we buy it on our own books before selling off?

Yashovardhan Saboo: Okay. Are there any other questions?

Harshil Shethia: No.

Yashovardhan Saboo: So, several things go into a decision on, whether to buy and what to buy and so on. One is of course the quality of the watch, the sale ability of the watch. What is the price that, the seller wants? Is it a realistic price? Will it allow us to make our target margin? Even if it's in good condition, it has to be refurbished. Do we have the capability, to refurbish it? Sometimes, we open it and find out that it needs a spare part, which is not easy to find. So, all of this goes into. Third important is that, we need to know, that it's not a smuggled watch. It's a legitimately purchased watch. So we ask for documents for that. Now, if once all of that is clear, it's a question whether we buy or put it, on our website. If we are convinced that, it's an easily saleable watch, our experts are convinced about that and we reach a price agreement with the seller, then we buy the watch. Sometimes we can't reach a price agreement and our traders in Ethos, are not very confident that, we can sell the watch, at the price the seller wants.

In which case, we do not buy the watch, but we come to an agreement with the potential seller. Look, we will put it on our website and we'll try it, for a period of three months to six months. If it sells, that's fine. We will keep our margin and give you the money. If it doesn't sell, we'll return the watch to you and the only thing you will need to pay are the refurbishment charges. So there are different models that are working and essentially, these are the reasons.

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Harshil Shethia: Okay, understood. Thank you, sir.

Yashovardhan Saboo: Thank you.

Moderator: We have our next question from the line of Pankaj, an Individual investor. Please go ahead.

Pankaj: Yes. But my question has been answered. Thank you.

Moderator: Thank you.

Yashovardhan Saboo: Thanks. Pankaj.

Moderator: Thank you. As there are no further questions, I would like to hand the conference over to management for closing comments. Over to you, sir.

Yashovardhan Saboo: Thank you, everybody. I hope, we have been able to answer all your questions satisfactorily. I think, there were one or two that might need some offline interactions. Please feel free to reach out to us and to our CFO, for those. Please contact our team or SGA our Investor Relations Advisors for this. Thank you once again for taking the time to join us on the call.

Moderator: Thank you, sir. On behalf of Ethos Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2023

Ref. no. : Ethos/Secretarial/2023-24/47

Dated: May 19, 2023

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001 Exchange Plaza, C -1, Block G,
Bandra Kurla Complex, Bandra,
Mumbai - 400 051

Scrip Code : 543532
Trading symbol : ETHOSLTD

ISIN : INE04TZ01018

Subject : Regulation 30 of the SEBI (LODR) Regulations, 2015 – Transcript of conference call
Dear Sir/Ma'am

Greetings from Ethos.

This is in furtherance to our letter dated July 27, 2023 intimating the schedule of the conference call for Monday, August 7, 2023 at 3.00 p.m. IST.

In this regard, we are enclosing herewith the transcript of the aforesaid conference call, held inter alia to discuss operational and financial performance of the Company for the quarter ended on June 30, 2023, pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015. The same is also available on the website of the Company www.ethoswatches.com

We would request you to please take the same in your records and oblige.

Thanking you

Yours truly
For Ethos Limited

Anil Kumar
Company Secretary & Compliance Officer
Membership no. F8023

Encl.: as above

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"Ethos Limited
Q1 FY '24 Earnings Conference Call"
August 07, 2023

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchanges — BSE Limited and National Stock Exchange of India Limited and the Company website on 7th August 2023 will prevail

MANAGEMENT : MR. YASHOVARDHAN SABOO – CHAIRMAN AND
MANAGING DIRECTOR – ETHOS LIMITED
MR. PRANAV SABOO – CHIEF EXECUTIVE OFFICER –
ETHOS LIMITED
MR. RITESH AGRAWAL – CHIEF FINANCIAL OFFICER –
ETHOS LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Ethos Limited Q1 FY24 Earnings Conference Call. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions, and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risk and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Pranav Saboo, CEO from Ethos Limited. Thank you and over to you, sir.

Pranav Saboo: Good afternoon everyone. Thank you for joining us on Ethos Limited Quarter 1 FY24 Earnings Conference Call. I hope everyone had a chance to view our financial results and investor presentation recently posted on the company's website and stock exchanges. I am accompanied by our Chairman and Managing Director, Mr. Yashovardhan Saboo, and our CFO, Mr. Ritesh Agrawal, and SGA, our Investor Relations Advisors, on this call today.

FY24 has started positively, and we are confident that this is a sustainable trend. We believe the luxury watch demand will remain robust and grow steadily. Our strategy and plan to gain market share without compromising profitability will continue together with a steady expansion of our product and brand portfolio. It is extremely heartening to see that the watch brands support this view of Ethos and have continued to extend full support to grow the Indian market with us. This is evident from the increase in marketing spending by brands, exclusive launches of timepieces for the Indian market, simultaneous launches of watches in India and with the globe, and of course, better product allocation for India.

Ethos is best placed to capitalize on this trend with its strong presence and understanding of the Indian luxury watch market. It is essential for us to continue our pursuit of elevating the luxury experience for our clients. We are in the progress of making significant investments in our showrooms during the year as well as renovating existing boutiques. These investments, backed by our proven business model, impactful marketing, and dedication to client service, will help us grow the market and gain market share.

Let me give you an overview of our Q1 performance. Revenue from operations is up by 33% to INR230 crores from INR170 crores in Q1 FY23. EBITDA for the quarter grew by 32% year-on-year to INR38.6 crores in Q1 FY24. You will surely note that our margin has been impacted. This is solely due to a significant increase in the exchange rate between INR and CHF, which has changed from INR 82 to INR 83 in the first quarter of last year and INR85-INR86 in December 2022 to approximately INR95 now. That is a change of nearly 13% from December. About 75% of brands have now taken the price increase in accordance with the INR CHF rate at 91, which was the average rate for the first quarter of the calendar. The balanced 25% is still at INR 85-86 range of December 2022. This unprecedented gap means that even as the cost has increased, the selling price still needs to be revised by the brands. We expect that prices across

brands will be corrected by January or earlier and margin will be fully restored, and the effect of our margin expansion strategy will start to show up next year in great display. The forex hit was around 110 basis points this quarter, over and above the INR 77 lakhs, which is payment related.

Profit after tax for Q1 FY24 was INR18.2 crore

as compared to INR12.8 crores in Q1 FY23 which grew 42% on a year-on-year basis. Inventory days as on 30th June stood at 147 days. Gross debt stood at INR8.2 crores as on 30th June 2023. Cash and cash equivalent stood at INR212 crores as on 30th June 2023. Before we go for the question-and-answer part of our discussion,

allow me to discuss a few more points. At Ethos, mastery of luxury watches is synonymous with a commitment to product innovation and knowledge.

This is enabled and leveraged with impact and effectiveness through the participation of our teams at renowned watch fairs in Switzerland. Our team is invited to these fairs by watch brands to learn more about their products and to give feedback. This gives us a superior product portfolio to Indian consumers with refined service.

We believe Ethos will lead the way to getting more brands and better products to India in the future. While expanding our operations rapidly, we continue to keep a close watch on costs. We maintain stringent cost controls to ensure an efficient operation, particularly rental costs. On a regular basis, we are assessing the performance of all retail stores, and we take location-related decisions based on the performance of each store. We continue to pursue our growth strategy through a combination of targeted capital investment in showrooms and driving operational leverage.

Let me now talk about the pre-owned market. This is a positive development for the retail market. This is a growing sector. While there has been some cooling down of the excessive heat in the international market, it remains an area of huge potential everywhere especially in India. We are putting greater resources and marketing efforts to ensure full justice to the unique opportunity we have built in the pre-owned market. During quarter one, growth was impacted because our second movement boutique was non-functional for two months due to ongoing renovation and litigation of the mall that we are in. We expect it to be back on stream quite soon. Let me talk now about new boutiques. Around the end of last fiscal year, we had indicated that we have planned about 40 new openings in the next two fiscal years, of which 20 to 25 will be in the current fiscal year. I am pleased to inform you that in the we have opened six new boutiques in the last quarter, and added three new cities – Surat, Bhubaneswar and Raipur on the Ethos map. I am pleased to inform you that several new openings are coming up in the next quarter. Our first Rimowa boutique will be coming up in the Jio World Plaza Mall in BKC, Mumbai. As many as six boutiques will come up at Mall of Asia, the new super luxury mall in Bangalore. This includes five monobrand boutiques and one Ethos Summit multi-brand store. Furthermore, two stores, one multi-brand and one brand boutique will open at the Mall of Millennium in Pune.

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We will strengthen our position at Select City Walk in New Delhi with a new monobrand boutique opening. In addition, new openings are in the pipeline for expanding our presence in Mumbai, Delhi NCR, Kochi and other new cities.

We have also signed more brands for our portfolio. These are the Swiss brands Perrelet, Ikepod, Eterna and Alpina. The highly focused German brand Mühle Glaschutte and a unique hard-to-get brand from Belgian "Ressence", much loved and sought after by Connoisseurs.

These brands have some outstanding innovations in their product portfolio and significantly add to making the Ethos product and brand portfolio more comprehensive. I should mention Ethos will be the only retailer for these brands in India. We signed these brands with a long-term view. These are all exclusive brands and we believe will give positive impacts in the long term. We now have a strong portfolio of exclusive brands and we have many more brands that want to work with us

exclusively in the future, which we will consider to work with.

There's more good news, ladies and gentlemen. I am pleased to share with you what I consider among so many positive advances, the most exciting of all developments at Ethos. As many of you know we recently acquired controlling majority of Silver city Brands AG in Switzerland which acquired all the intellectual property assets of the iconic Swiss brand Favre Leuba. Favre Leuba is the second oldest Swiss watch brand in history. I want to repeat that to underline the significance, it is the second oldest Swiss watch brand, established in 1737, with over 286 years of heritage. This was before electricity was discovered, before the British ruled India. Its history is storied. Its heritage in the world of horology is legendary. Our vision for Favre Leuba is to preserve and celebrate its remarkable past, while infusing it with contemporary allure that resonates with current and future watch collectors.

The management team in Silver city is now being selected and together with them, we aim to re-establish Favre Leuba as a leading global Swiss watch brand, as it was in the decades past. Rest assured that, we are committed to nurturing this long-term investment and our effort will be directed towards creating timepieces that evoke the essence of Favre Leuba, while sparking desire in watch aficionados worldwide.

Together with our strategic partners, we are investing in a brand with a timeless heritage and are

excited to see it flourish in the Ethos Watches Boutique network and retailers worldwide. The focus will be on crafting exceptional timepieces that not only honor the brand's history, but also embody the aspirations of present and future watch collectors.

In conclusion, let me quickly recap for you the gist of our efforts over the last decade to create a unique luxury retail story in India. Long-standing collaborative partnerships with the most prestigious and recognized luxury watch brands now being extended to other categories. Stunning boutiques with exceptional service to provide an unparalleled client experience. Cutting edge marketing with a strong digital focus and a strong focus on storytelling.

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Finally, let me express my deep gratitude to each of you, our valued shareholders and analysts, who have believed our story. I'd like to express my heartfelt gratitude to our brand partners, dedicated teams, location collaborators and all internal and external stakeholders who have played an integral role in this successful quarter. However, the true credit for this monumental success goes to the robust Indian economy and the unwavering spirit of Indians, who aspire to make a mark on the global stage.

As our nation strides forward, we at Ethos take immense pride in being a part of this journey, echoing the dreams and aspirations of every Indian. Thank you for trusting us and joining us on this exciting voyage. With this, I would like to open a session for questions and answers and invite our Chairman to take over. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Devanshu Bansal from Emkay Global Financial Service. Please go ahead.

Devanshu Bansal: Thanks for the opportunity and many congratulations on a very strong factor across all the revenue in the EBITDA factor. Sir, Pranav alluded to this, but there has been a significant fall in prices of secondhand luxury watches globally. So, wanted to understand better, what is leading to such a fall in prices, and does this in any way have any reproach for our both new watches as well as pre-owned ones? Next number one.

Yashvardhan Saboo: Devanshu, is this your only question or are there other questions assigned? Why don't you ask them all so we can answer together

Devanshu Bansal: Sure, sir. Second, we

have indicated about the controlling stake in Favre Leuba. So the other larger company, Titan, struggled to ramp up this brand. So what are the key learnings that we would like to implement, what kind of investments we would like to implement, and what kind of investments are we planning to make to ramp up this plan?

The third one is our ASP has encouragingly been increasing. So this time around, it is 12%, this quarter versus last year. And this is despite, I guess, we were of the opinion that, some low-end watches will also sort of start coming into the picture now. So what is sort of driving this and what are our expectations for the coming quarters? I have more, sir. Maybe I will join back in the queue for...

Yashvardhan Saboo: So your first question was on the prices of pre-owned watches. It's true, the prices of pre-owned watches worldwide have come down a lot. But it's very, very important to understand this in perspective. In the initial times of COVID, the prices had gone up like 200% and 300%. There were many brands, and in those brands, several watches for which the retail price, suggested retail price was 100 and the price in the pre-owned market jumps up to 300 and 400.

Now, that is an overheated market as everybody knew at that time and that was not sustainable. So obviously, that bubble had to subside. It has subsided. But what is sobering is to remember that what was 100 it went up to 300 and now it has come down from 300 to maybe 250 or 220

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and people are seeing that, it has declined from 300 to 200 but not realizing that the original price of the watch was still 100. So I think it's, it crosses which is going away.

The substance is still very solid and the basic arguments for success on the pre-owned market are absolutely undented. The crazy purchase of watches in return for immediate gains of 100%, 200%, 300% is not sustainable. And it's healthy for the market that the prices reflect reality.

And today, good brands in the pre-owned market still have good prices and the demand, though corrected, is still going to grow pretty strongly, especially in India. So we are not at all worried

on that account. Except of course, when there is a correction, then people don't know, where it will stabilize and so on. So that's a little bit of this, let's say, disturbance in the market. But all of you guys dealing in the stock markets are aware of these turbulences and they take time to settle down and the underlying trend is always there.

The second question was about the controlling stake and Favre Leuba and Titan. Well, Titan is one of India's most fabulous companies, and their mastery in the watch business is unparalleled. I don't want to comment on the reasons why they didn't continue with Favre Leuba or whatever. I can only say that we believe Favre Leuba to be an excellent brand with a huge potential. We don't know what happened with Titan and why it happened, but we have a pretty clear idea of how we're going to develop it. Pranav already alluded to that. We are waiting for, not waiting, but we are working on establishing the team. We have to know, that it is a Swiss brand. It will always be managed. There'll be Swiss watches produced in Switzerland. All the operations will be there. The marketing strategy, everything will be doing from Switzerland, and it's our job to find the right management team.

We are in the process of doing that, and together with the team, we'll create the business plan, the product strategies and of course, then we will come to know, what kind of precise investments are involved. We believe that with reasonable investments and a sound strategy and a good leadership in Switzerland, this will be a huge success and the success will come pretty soon.

The last question was regarding ASP. Yes, ASP is going up. It will continue to go up, but ASP is not our

only focus. We believe that together with ASP, with our spread of boutiques into smaller cities, there will also be a growth of some of the entry level brands and the interplay of both a higher number of more expensive brands, as well as some addition in the mid-price and low price categories, this will lead to a steady increase, though it may not be that fast as you saw in the first three years of, or in the first two years of COVID. But we expect ASP to continuously go up steadily.

Devanshu Bansal: All right, sir. I have one follow-up question on Favre Leuba. So you indicated that operationally, what kind of investments will be there, you'll get to know in a few quarters. Just wanted to check if there will be any capital investment in terms of manufacturing capacity or something like that, which we will be making here?

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Yashvardhan Saboo : It's a little early, it's a little premature, Devanshu, to say that, because there are several models, right? You can, for operating and creating Swiss watches, you can do it yourself, they are specialists, depend on what kind of products, what movements, what are the embellishments we do, what kind of handwork or specializations that are added, and these are details of product strategies that are extremely important, and these are things, which we can decide only once, we have the brand, we have the full chance, and our team in Switzerland will have the full chance of studying the history, the full heritage, what is the marketing materials. There are a huge number of patents.

At the watch museum in the La Chaux-de-Fonds in Switzerland, there are some examples of old Favre Leuba watches and the patents that they had, which are absolutely remarkable. And these are not fully known. For example, Favre Leuba made Bivouac, the first watch to measure altimeter mechanically. It was Favre-Leuba, worn, on the wrist by Junko Tabei, the first woman who conquered Everest and climbed Everest. So there is a huge heritage.

We are still discovering it. Our team in Switzerland, once they're in place, they have to discover it, they have to interpret it, how they're going to use it, to create the new product portfolio. It's going to be very interesting, but very hard work. But when it finally comes out, I can guarantee, it will shine brightly and you will love it.

Devanshu Bansal: Got it, sir. then this is encouraging. I have more questions; I will join back in the queue.

Pranav Saboo : May I just add in a few points on all these questions because I feel that these questions will be repeated in future questions. I want to say that there is a lot of talk about correction of secondhand watches. I do want to underline the fact that, it is limited to less than 7% - 8% of the brands that we operate with, where these corrections are happening and that too in about 20% - 25% of their collection of these 7% - 8% of the brand. So there are many pieces, known as hype pieces which have corrected a little bit, but a large percentage of the majority of our business continues to be unimpacted. That is the second hand or the pre-owned watch business continues to be unimpacted in pricing in these watches.

So yes, a lot of media coverage wants to cover a few pieces that went up 300% and has corrected 20%. But the majority of the business was not these timepieces, and it remains unaffected by

that. And secondly, on Favre Leuba, I want to say that we will always make an exciting plan for all our stakeholders, consumers, and the people who are investing behind the brand. And there will be financial prudence in all our decision making.

I believe that we have unique skills. We have skills that are different from previous owners of Favre Leuba. We have great respect for them. I do believe that our luxury niche and focused, our focus on luxury gives us unique skills, and perhaps it fits better

in a business of a smaller

size like ours than it did for previous owners, which we have deep respect for and are giants today in our consumer business world. Thank you.

Moderator: Next question is from Rahul Agarwal from InCred Capital

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Rahul Agarwal: Thank you for the opportunity. So three questions. Firstly, on both of the businesses, New watch and CPO, any material change in our thoughts versus what we had planned a year back? Case in example could be like something like Favre Leuba happened. Anything else you'd like to highlight, like your thoughts on watch and jewelry together going forward? Inventory management is pretty much the same across new watch building and CPO or is it any different? Or any other new thought you have, which you think can, make things better than what we thought earlier? That's my first question.

Our second was on margins. So obviously, Parnav alluded that margins would get better once pricing correction happens. My sense was, obviously, there will be some basic impact of new store opening as well because the OPEX will go up in sync. My sense was post-IndAS, pre-IndAS, however you want to look at, margins would largely sustain in this band, which is what is currently for the rest of the year. So just any thoughts on that? And lastly, if I can get the number from Ritesh on new watch and CPO sales, both including and excluding GST, please? Thank you so much.

Yashovardhan Saboo: You know, in terms of new learning, both for new watches and CPO, I can't think of anything. I mean, our strategy was pretty clear. We have implemented that strategy. The operations team has done a fabulous job doing that. Of course, as you go along, there are changes in the environment. And I think we've been flexible to adapt to them. When there are opportunities, we've grabbed them, where sometimes things have not panned out exactly as we had thought. I think we've covered up using whatever means we had. And that's why we can be happy that we are quarter-after-quarter we are able to share results that are actually ahead of whatever we had expected and ahead of the guidance that we have been giving from time-to-time. So nothing new to share at the moment, except that, you know, as and when things happen, of course, we will share all the news with you as our partners.

As far as your margins question is concerned, I think on margins we, of course there is the impact of new stores and some opex leading the sales, so that impact is of course there. But you will also see an impact on the gross margin, which is purely a result of the exchange rate. To the extent that there is an impact at EBITDA level, there it could involve some opex issues and opex costs.

Regarding the prices of new and CPO watches, I think I will let Ritesh do that, but can we get back to you on this later, Rahul? There's a long list of other people who want to ask questions, and you know, there's something we can connect separately on.

Moderator: Next question is from the line of Bhavya Sonawala from Samaasa Capital. Please go ahead.

Moderator: Next question is from the line of Ankush Agrawal from Surge Capital, please go ahead.

Ankush Agrawal: Yes, hi sir, thank you for taking my question and congrats on a great set of numbers. Firstly, a couple of data points. What was the SSG for the quarter? Share of exclusive brands in terms of

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revenues and clarity that the six stores that we have opened, this has been before June. So number of stores that were opened and number of stores, if any, that we have closed during the quarter?

Yashovardhan Saboo: So let me answer the last one first. Yes, these six stores were opened in the period April to June. And the count, which you see now, is. If I'm not mistaken, no store was opened in July. No store has been opened

pened in July, but there are more openings coming up. SSG for this quarter has been 23%. It's a very, very good figure. And the share of exclusive brands has been 30%.

Ankush Agrawal: 30%, okay. And secondly, again on this strategy of acquiring a Swiss brand, would it be possible for you to share this brand's current state? Because I think the cost that you have paid to acquire the brand is quite minuscule. So was it a different brand if you have any history to share, like at a point of time where it was doing good, when, and any history that you can share that would help us understand more, like how we can grow this brand?

Yashovardhan Saboo: You know, that's a question that requires a 1.5-hour presentation, because the history of that over the last 280 years is so, so fabulous. But if you fast forward it, I mean, the brand was active until 2019. And after that, during the COVID years, it went into, let's say it was inactive. And I mean, then in the last quarter, we purchased the brand. Or SCB, Silver City Brands purchased it and we have controlling interest in the Swiss entity.

Ankush Agrawal: So can we assume that this is one of the many brands that Ethos might look to hold in its portfolio in the long run? Or this is just, I think, one of the...

Yashovardhan Saboo: That's not, by the way, Ankush, sorry. That's not the idea to hold a lot of brands. I think we have to understand that, to nurture a brand, it requires a lot of effort, it requires a lot of mind, of course, financial engagement as well. And our goal is not really to amass a whole bunch of brands, but, if we acquire a brand or if we take controlling interest in a brand, or even if we invest in a brand, even without controlling interest, as we've done in one case, I think we want to contribute to that brand becoming a huge success at a global scale.

And therefore, I think it's quality more than just number of brands. What will give us great satisfaction is if the brand Favre Leuba achieves the fame that it had at a global level several decades ago. And we believe that's completely possible.

Does it mean we will not acquire interest in or controlling interest in any brands in the future? We can't say, but there's nothing as of now that is on the cards. Our focus is really to make this brand a huge success.

Moderator: Thank you. Next question is from the line of Bhavya Sonawala from Samaasa Capital, please go ahead.

Bhavya Sonawala: Sir basically I had two questions. The first question was with respect to Favre Leuba. Will we keep these watches with probably showcase these watches with other retailers in India and probably internationally over time? And my second question is when we come with exclusive brands and set up a store in association with them like we did with Jacob and Company, what is

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the kind of agreement or is there any difference in a normal store and an exclusive store with brands?

Yashovardhan Saboo: So you know, for Favre Leuba, I can say that the brand's ambition is to regain its global presence. What will be the policy for India is something that the brand has to decide once they are ready to take that decision and that will be a decision that is going to happen in Switzerland when the time comes. But for sure, the ambitions are to make it a global brand. And of course Ethos having controlling interest. We not only are interested in the brand but of course we have great plans for it in India as well.

As far as the exclusive brand boutiques are concerned, in the sense that typically brands when they establish an exclusive boutique, they make available exclusive boutique additions to that, there is a lot more marketing concentrated around the exclusive brand boutique because, in a way that's not only a place to make those products available, but it's also to showcase of the prestige of the brand. So it plays a

dual role, not only to sell watches, but also to present and establish the preeminence of the brand. And to that extent, of course, there are separate terms. Typically, there could be some separate terms for a mono-brand boutique compared to participation in the multi-brand stores.

Pranav Saboo: May I use this opportunity to give one example of the Jacob Boutique that has been given. We were able to design a product with Jacob. Because we work exclusively, we also have rights for exclusive editions for India. These exclusive editions for India have done extremely well. For the launch of the boutique we celebrated it with the launch of an 11-piece Jacob in Steel Epic X at INR26 lakh at MRP. 11 pieces were sold in under 36 hours.

On Wednesday we are going to launch the gold edition of this another 11 pieces, at INR56 lakhs, which will also, we believe, be sold by the end of the month. I think that these give us extremely good opportunities and longstanding relationships with these brands. Jacob himself will be coming down into India for a large event, which will be a star-studded event in October.

So it gives us much greater, they are able to give us much greater focus and it allows us to do business in an unprecedented manner because the boutique gives us this leverage. Thank you.

Bhavya Sonawala: Okay. So is it fair to assume that the pieces available in the exclusive stores majorly won't be available in any other multi-brand stores that we have?

Pranav Saboo: No, it's the boutique that gives us the opportunity to do this. It will be available there but the priority goes to the boutique. Yes, because we don't want to be limited by, let's say, it's 11 pieces this year, next year we'll do a larger edition but it is a boutique that gives us the right to be able to design these pieces along with the Jacob.

Moderator: Thank you. Next question is from the line of Abhishek Agarwal from Naredi Investment, please go ahead.

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Abhishek Agarwal: Good afternoon, sir. Thanks for giving me opportunity and congrats on good numbers. Sir, I have two questions. First, there is a supply side constraint on costly watches as few manufacturers and buyers are more. How do you deal with this situation?

Second question. What is the cost of showroom open in Raipur, like, in how much time needs to come, it comes breakeven point. Third question, what growth in top and bottom line, we expected in next few years?

And last question, average selling price going up every year -after-year and quarter -after-quarter. Where do you see in next three-year time period? That's all my question.

Yashovardhan Saboo : Thank you, thank you Abhishek. First question was regarding supply side constraints. Now that's the reality of the luxury watch business. Luxury watches are not automatically produced on assembly lines where you can just speed it up. There is a huge amount of designing content that goes, the manufacture of components, the assembly, the design of the watch, and putting together by skilled watchmakers in Switzerland.

Now, these you cannot just invent these, they are already working full out. And the demand has gone up a lot. As you know, in India and everywhere in the world, the demand for premium and luxury watches has increased a lot. It's not possible to maintain the same quality, the same exclusivity, and you know, churn out larger production. That's not the philosophy of the brands. So unfortunately, supply side constraints are a reality that we will have to live with. And it's not only in the luxury watch business. If you have read about the luxury car business, it is the same situation in some other luxury businesses. Supply sides are constrained because if demand goes up suddenly, it is impossible to increase supply. So we have to live with it, we have to understand that if you wanted to invest, if a consumer, if

a customer wants to invest in a luxury brand, they might be waiting in war. And I think it also adds to the brand's respect and prestige when things are not just available and you can ask for a discount or anything like that. So I think this is going to be the way things are, we have to manage within that and I think we are doing that pretty well. Your second point was how long does it take for stores to break even? You know, again, it depends a little bit on when the store opens, what is the situation in the mall when it opens, but largely, broadly, we can say that our stores become profitable within the first year. At a store operational level, they become profitable within the first year.

You asked for what is the top line and bottom line going to be in the next year. I really can't answer that. However, I have mentioned it before that our long-term goal is to grow at least 20% CAGR. We always will try to do better than that and try to touch as close to 25% CAGR. I think that's the range that we are forecasting for the top line growth. And bottom line, of course, should be around that or a little bit better. That's all that we can say at this moment. But as we go along, you will see, I think, you will see how quarter -after-quarter works out. And hopefully, we will not only be able to keep to this CAGR of 20% -plus, but do a bit better.

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And your last question was, where do we see the ASP going? That's also difficult. I think these are not numbers that we can predict. What we can say is that ASP will continue to go up. We, you know, it went up sharply during the COVID period, mainly because we reduced the emphasis on lower price points. That is done, so we believe it will go up a little more gradually from now on, but it will continue to go up. Let's wait and see where it lands up in three years' time, but it'll certainly be higher than where it is today. Thank you, Abhishek.

Moderator: Thank you. Next question is from the line of Nirav Savai from Abakkus Asset Managers. Please

go ahead.

Nirav Savai: Yes, thanks for the opportunity and congratulations for your excellent set of numbers. I have got three questions. One is on the initial remarks which were made on the renovation modernization side. So annual budget, if you can highlight which would be located towards that, which would be the part of opex?

Second is this acquisition of 6.25% stake in another Swiss company which is Haute -Rive. So what exactly is the purpose of that ? And lastly, the revenue contribution from this online billing this quarter. So in the last quarter you used to give how much revenue has come from online, what is the revenue of second watches which is pre -owned watches so I found it missing this time so if you can just give those details, please?

Yashovardhan Saboo : Sorry, Nirav , can you just say, what was your first question? I didn't get that clearly.

Nirav Savai: So how much would be we spending behind the renovation and modernization of our existing stores, which was highlighted in the earlier remarks that there will be some spending behind renovation of stores as well.

Yashovardhan Saboo : Right, so you will understand that the renovation of the stores will always be an ongoing process.

We now have 60 stores, and typically, a store needs to be renovated within four to five years .

How much we spend depends on what is the level of renovation. Is it a small renovation? Is it a complete renovation? If it is a complete renovation, it is like, almost like setting up a new store.

If it is a small renovation, then it could be 20%, 30% or 40% of setting up a new store.

So that depends very much on the stores coming up and at that particular location, are you upgrading the store to new brands? Are you keeping the same set of brands? So it's very difficult to put a standard number at that. But typically, for example, I

think we, in the next year, I think

we have allocated something like about INR3.5 crores and INR4 crores for the renovation of the stores that will be coming up.

Your second question was regarding the investment of 6.25% in the equity of Haute -Rive.

Haute -Rive is again a Swiss brand, it's a new brand but created by a very, very talented watchmaker, who has a third -generation history of watchmaking and he, who is the founder, he has a very unique concept to create some new , highly complicated watches. And these watches will be unveiled in the last quarter of this year. And we believe they will be a great success. And

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for us, getting this 6.25% stake in the equity enables us to be a part of this brand's journey, and get allocations of the brand for India, which will be beneficial. And lastly, also to understand the high-end watchmaking space from the inside. So it's also of strategic value.

As far as the online business is concerned, I want to highlight that we do not distinguish anymore between online and offline. And I think most retail businesses will stop doing this because this distinction between online and offline is no longer relevant. It is omnichannel. Customers go seamlessly between online and offline. They go to a store, they go to a website, they go to social media. Everything is one omnichannel platform. So we don't monitor online and offline that much anymore. So I'm not going to be able to give you those online numbers separately. We believe that Omnichannel is the right way to address this business.

Nirav Savai: Right. On this pre -owned side, if you can just, pass out some number that what are the sales of pre-owned.

Yashovardhan Saboo : So quarter 1, over quarter 1 in the pre -owned business has grown by about 15%. This is lower than what we had projected, which our CEO had mentioned. That's because the second movement lounge, which is dedicated for this business, was not operative for nearly two months due to a problem at the mall where it is located. However, we expect it to be operative soon.

Nirav Savai: Right. Broadly, our guidance of reaching about INR200 crores of size in the next three to four years is still intact, right? I mean, despite the connection of...

Yashovardhan Saboo : No, Nirav. I have not given that guidance. I am not giving guidance for three years to four years with a number.

Pranav Saboo : I do want to say that we are very confident of growing rapidly in pre -owned watches. We don't see a structural challenge over here.

Nirav Savai: Right, understood. All right, sir. That's it from my side. Thank you very much. I wish you all the best.

Moderator: Thank you. Next question is from the line of Saranya Agarwal from Param Capital. Please go ahead.

Saranya Agarwal: Good afternoon, sir. Congratulations on such a good set of numbers. We are thanks for that.

Yashovardhan Saboo : Afternoon, Saranya.

Saranya Agarwal: I'm really excited for the journey ahead. I had a question about us entering the luxury, jewelry

market. So currently we have Messika on our current portfolio. Sir, I wanted to know if they're going to expand our existing brand product portfolios because a lot of them already do luxury jewelry or we want to add new brands such as Longines and others who are in the realm of luxury but not present in India and who have a significant demand. And since luxury jewelry is expected to grow a lot in the future, as like your per capita income grows, is that a segment that we would be interested in exploring more deeply?

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Yashovardhan Saboo : Okay, do you have any other questions, Saranya?

Saranya Agarwal: No, that was the only one.

Yashovardhan Saboo : Okay, so you know, it's true, there is a lot of opportunity in many, many luxury segments. But after a detailed study, our understand

ing is that, the opportunity of growth in the premium and luxury watch segment where we are is unparalleled. And therefore, we believe that our priority at this time is to focus, to maximize, to extract the maximum growth and profitable growth from the premium and luxury watch segments. This is going to be our greatest focus for right now. Jewelry, for sure, jewelry has a great scope, branded jewelry. However, it will I think over the next few years, it will be a slow takeoff, and it will come into its own probably a couple of years down the line. We are conscious about that, and we will take positions accordingly. But as I mentioned, our primary focus at this time is to extract the best possible we can from the highest potential growth market in the luxury business, which is premium and luxury watches.

Saranya Agarwal: That makes sense, thank you.

Moderator: Thank you. Next question is from the line of Devanshu Bansal from Emkay Global. Please go ahead.

Devanshu Bansal: Yes sir, thanks for the follow-up opportunity. Sir, as we learned from other retailers, this time around wedding season was very bad and was hit poorly, hit badly due to lower number of wedding days. And from my understanding is that your business is also sort of linked to wedding business in some way. So despite such challenges, we have delivered about a very strong growth in this quarter. So just wanted to understand, according to you, this growth was a normal growth or it would have been even better if weddings were there in full flow?

Yashovardhan Saboo : Yes, Devanshu, again, I'm not monitoring whether weddings were in full flow or not. I think in India, weddings are always in full flow, sometimes a little less, sometimes a little more. But if you're saying that, this time the wedding season was subdued and it's going to be -- it's going to catch up later and let me use our basic phrase ghee sugar in your mouth and I'm sure that if the wedding season takes off better than the last one then our results will also take up there is a strong correlation between wedding buying and luxury product sales.

Devanshu Bansal: I'm saying what is the typical sales salience for first quarter, last year it was 22%. Is it normally in that range?

Yashovardhan Saboo : Yes, it's about the same.

Devanshu Bansal: Got it. And this 6 store openings in Mall of Asia, when is this expected to come in, as in which quarter?

Yashovardhan Saboo : Well, the mall is announced that this will be ready in the last quarter of this calendar year and we are aiming to launch by that time. Still, typically we have seen that mall dates can sometimes

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vary and slip depending on main retailers taking place. So, as of now it's scheduled for the last quarter of this calendar year. So, quarter three for this is fiscal.

Devanshu Bansal: All right. And sir, last question from my end, I understood you were indicating these mono-brand boutiques, but still at the sales and return level, these stores are comparable to the other MBO stores that we have or they have some difference?

Yashovardhan Saboo : I think if you take an average they're about the same. If you take an average of all the mono-brand boutiques and you take an average of all the mono – multi-brand stores, it's about the same. Of course, between mono-brand boutiques, there would be differences, just like between mono-brand stores or multi-brand stores, there are differences. It depends on the brand, it depends on the location, it depends on how much the brand is pushed, how well it is known, and so on.

Devanshu Bansal: Got it sir. Thank you so much for taking the time.

Moderator: Thank you. Next question is from the line of Shalini Gupta from East India Securities. Please go ahead.

Shalini Gupta: Good afternoon sir. my first question is that you said that your ASP is 1,60,000, but sir you are

also saying that you're retailing watches which are like 10 lakhs 12 lakhs, so what is it that is bringing your ASP down to this level? Is it that -- is it because of the discount that you have to offer on watches which are not selling? Could you please discuss why it is so low?

Yashovardhan Saboo : You have other questions, Shalini.

Shalini Gupta: Yes, what is the average age of our inventory ?

Yashovardhan Saboo : Okay, anything else.

Shalini Gupta: No, that's it.

Yashovardhan Saboo : It is true we are selling watches of INR 10 lakhs, INR 20 lakhs and even one crore. But we are selling many more watches at the price point of INR 40,000, INR 50,000, INR 1 lakh and so on.

So, as you know, the average is an average quantity multiplied by average price. So, if I sell one watch of INR 10 lakhs, but five watches of INR 50,000, it's easy to do a calculation that the average will be around INR 1,60,000.

It has nothing to do with discounts because when we say the average price is INR 1,60,000, that's post-discount, and when we say that we are selling a watch for INR 10 lakhs, that's also post-discount. And discounts are certainly not that they'll bring an average price from INR 10 lakhs to INR 1,60,000. Our discounts typically, they range from between 0 to a high of 20%, but that's the range of discounts.

So, it's a matter of how many, what's the number of watches that you sell at different price points.

And, logically, we will sell a lot more in the lower price brand than in the lower price brand than

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in the higher price brand. For example, Mercedes we will sell fewer S-class Mercedes than E-class and C-class, right? And it's exactly the same thing. Regarding the average inventory, I can tell you that more than 80% of our inventory is less than one year old.

Shalini Gupta: Yes, so like just a follow up, like you said that, can you discuss like, because you're buying out the watches and there will be some watches which are not getting sold. So what is -- what do you do with these watches?

Yashovardhan Saboo : We sell them. There are no watches that remain unsold. It is not, I want to understand this it is not -- we are not in the fashion watch business, you're probably -- you're seeing this from a fashion business segment where trends change, fashions change, and a collection becomes unsellable. In the business of premium and luxury watches, watches remain on the catalogue for 5 years, 10 years, mostly 15 years, and even 20 years.

So, even if there's a watch which is two years old, it doesn't mean that it's out of fashion, it will still sell. It may take a little bit longer, and that's a question that the auditors of our company prior auditors, KPMG, now it's Ernst & Young, they constantly examine this and so far there has not been the need to make any significant provisions. Because they've seen that watches, eventually, they always sell out.

Shalini Gupta: Okay and sir how do you keep your inventory fresh like how frequently would the person visiting your online portal or your physical store, hope to see something new?

Yashovardhan Saboo : That depends on the brands. So when we add, if we add a new brand, of course you will see the connection of that brand which is fresh. And in the existing brands, as and when brands add new models, you will see them. They do not take off too many models, and I am saying that unlike the fashion watch industry, they are not adding a huge number of new models every year. It's a much more nuanced portfolio of products with some fresh products, but many of the existing products also continue.

Shalini Gupta: And sir, what is the reason for such high inventory days? I was looking at the balance sheet of some international brands. The inventory days are much higher than what, I mean, looks like the international norm that's what it seems like to me?

Pranav Saboo: I want to explain this because I feel it's a relevant question. We are, as a company, these international players are much older and with time, we will also get to similar numbers or lower than where we are today. Today, we are investing into the future. In the last two years we have signed on 19 brands when we sign on a brand. These brands are exclusive brands. They will fire two years or three years later.

When we reach that stage of maturity, they will start -- the number of days starts to go down.

These, where you are looking at three months or four months, our brand portfolio is significantly more diversified, and key dependence on brands is also much lower. We can bring down the days if we don't bring a new brand, for example, into our portfolio. But at this point of time, we have decided that growth is more important, and we continue to invest in new brands because

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the opportunity in India over the next five years to seven years is massive. We must be in a position to dominate that. To that extent, we continue to invest in new brands. Over to you YS.

Shalini Gupta: And sir what is the minimum number of days of inventory that we can reach and therefore...

Pranav Saboo: Can please ask in one go because I feel like we are going one by one. If you have all your questions perhaps you can ask your question.

Shalini Gupta: Okay, I'll tell you so what is the minimum days of inventory that that we can reach given that obviously and rightly so we have a focus on growth and we are therefore tying up with more brands the number one, question number one is what is the minimum base of inventory that we can reach therefore and secondly sir you buy the product and even then you are very conscious of your relationship with the brands why is that I mean do you apprehend that they may stop selling you the quantity you want, what is it, these are my two questions?

Yashovardhan Saboo: As our CEO Pranav told you, I think overall, in the long term, we will start to see a decline in the number of days of stock. However, while we are in a fast growth expanding mode, which is likely to continue for the next one years or two years at least if not more, I don't see a very significant decline in the number of days of inventory. There are several reasons why inventories must remain high in India, because it's a fast-growing economy, we are adding brands and we need to keep a large variety and stock to grow this segment.

So, it's a trade-off between who wants lower inventory or who I want higher growth. We aim for higher growth for at least the next couple of years. And your second question was relating to.—sorry what was your second question your last question.

Shalini Gupta: My second question was that sir you're buying the watch?

Yashovardhan Saboo: Yes, yes, yes why is it necessary to have a good relation? We think it's always -- it's not a purchase that you make once and then it's over. You have a good relationship because not only because it's a partnership that's going to last for years and decades, but it's also a nice way of doing business where you look after each other's interests while it's a commercial transaction, but you do that. Our customers also buy a watch, and that doesn't mean we don't have a good relationship with them.

They keep a good relationship with us and we keep a good relationship with them. It's the same thing. You go to your kirana store and you buy things from them, but you still want to have a good relationship. You want to make if he will wish you, you will wish him it's fact. So, I think it's a way of doing business. It is business, but it's not only transactional. So, I think it's very, very important to keep this relationship, it is also a matter of trust this is a partnership.

They are entrusting us with the wellbeing of their brand. We are, and they are entrusting us to

expand their brand, and we are trusting them to give us their products and help us to grow. It's a quick trope and therefore it needs a strong relationship. I hope I've answered your question, Shalini.

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Moderator: Thank you very much. Sorry, Shalini, but due to time constraint, we won't be able to take any more questions. I will now hand the conference over to the management for closing comments.

Yashovardhan Saboo: Thank you very much. I would like to thank all the participants in this call for your patient hearing, for the very interesting questions, and I hope to -- we hope to see you again at the next earnings call. Thank you once again and wish you a nice day.

Moderator: Thank you very much. On behalf of Ethos Limited, that concludes this conference. Thank you for joining us, you may now disconnect your lines. Thank you.

Call: Nov 2023

Ref. no. : Ethos/Secretarial/2023-24/83

Dated: November 21, 2023

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001 Exchange Plaza, C -1, Block G,
Bandra Kurla Complex, Bandra,
Mumbai - 400 051

Scrip Code : 543532
Trading symbol : ETHOSLTD

ISIN : INE04TZ01018

Subject : Regulation 30 of the SEBI (LODR) Regulations, 2015 – Transcript of conference call
Dear Sir/Ma'am

Greetings from Ethos.

This is in furtherance to our letter dated November 10, 2023 intimating the schedule of the conference call for Thursday, November 16, 2023 at 3.00 p.m.

In this regard, we are enclosing herewith the transcript of the aforesaid conference call, held inter alia to discuss operational and financial performance of the Company for the quarter and half year ended on September 30, 2023, pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015. The same is also available on the website of the Company www.ethoswatches.com
We would request you to please take the same in your records and oblige.

Thanking you

Yours truly
For Ethos Limited

Anil Kumar
Company Secretary & Compliance Officer
Membership no. F8023

Encl.: as above

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"Ethos Limited
Q2 & H1 FY2024 Earnings Conference Call "

November 16 , 2023

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchanges — BSE Limited and National Stock Exchange of India Limited and the Company website on 16th November 2023 will prevail

MANAGEMENT : MR. YASHOVARDHAN SABOO – CHAIRMAN &
MANAGING DIRECTOR – ETHOS LIMITED
MR. PRANAV SABOO –CHIEF EXECUTIVE OFFICER -
ETHOS LIMITED
MR. RITESH AGRAWAL – CHIEF FINANCIAL OFFICER –

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Page 2 of 19 Moderator : Ladies and gentlemen , good day and welcome to the Ethos Limited 's Q2 & H1 FY2024 earnings conference call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Pranav Saboo – Chief Executive Officer . Thank you and over to you Sir!

Pranav Saboo : Good afternoon, everyone . Thank you for joining us on the Ethos Limited 's Q2 & H1 FY2024 Earnings Conference Call. I hope everyone had a chance to view our financial results and investor presentation, which were recently posted on the company's website and stock exchanges. I am accompanied by our Chairman & Managing Director, Mr. Yashovardhan Saboo , our CFO Mr. Ritesh Agarwal, and SGA our Investor Relations Advisors , on this call today. Let me give you an overview of our H1 FY2024 performance . For Q2 FY 2024 revenue from operations is up 32.4% to Rs. 235.2 Crores from Rs. 177 Crores in Q2 FY 2023. EBITDA for the quarter grew by 39.8% Y-o-Y to Rs. 41.5 Crores in Q2 FY2024. EBITDA margin for Q2 FY2024 stood at 17.3% against 16.4% in H1 FY2023. PAT for Q2 FY2024 was Rs. 18.6 Crores as compared to Rs. 13.6 Crores in Q2 FY2023 which grew by 37.1% on Y-o-Y basis . We got an advantage of a late start in this quarter . Last year 's start was in Q2 whereas this year , it is in Q3. For H1 FY 2024 revenue from operations is up 32.4% to Rs. 465.2 Crores from Rs. 351.3 Crores in H1 FY 2023. EBITDA for the quarter grew by 35.9% Y-o-Y to Rs.80.1 Crores in H1 FY 2024. EBITDA margin for H1 FY 2024 stood at 16.9% against 16.5% in H1 FY 2023. PAT for H1 FY 2024 was Rs.36.7 Crores compared to Rs 26.4 Crores in H1 FY 2023 which grew by 39.4% on a Y-o-Y basis . PAT margin for H1 FY2024 stood at 7.7% against 7.4% in H1 FY2023. On September 30, 2023, inventory days stood at 159 days at sales . Gross debt is Rs. 6.9 Crores as of September 30, 2023 . Cash and bank balance stood at 178. 8 Crores as of September 30, 2023 . The share of exclusive brands for H1 is 31% . Revenue from certified pre -owned watches grew 34% Y-o-Y to Rs. 32 Crores in H1 FY2024.

Before we go to for the Q&A part of our discussion, allow me to highlight a few points , the luxury consumer segment in India is upbea t. International luxury brands see affluent Indian consumers as an increasingly important segment of their business . Experts estimate that the luxury market in India will expand fivefold over the next decade as the number of affluent consumers in the country continue to multiply with higher aspirations and disposable

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increase in purchasing power is not restricted to metros but also extends to Tier-2 and Tier-3 cities . This represents an unprecedented opportunity for retailers of premium and luxury products like us . Luxury watches are functional and serve as a status symbol and a store of wealth . Luxury watch manufacturers are recognized for their rich heritage and reputation for high quality , technical excellence , and aesthetic appeal . High-end luxury watches are characterized by the highest levels of accuracy , performance , quality , and attention to detail . With this conviction , we continue to pursue our strategy , which has proven successful building a formidable portfolio of brands supported by the highest quality omni channel structure of best-in-class boutiques and active digital platforms and communication . During this quarter , we have also added four brands to our exclusive brand portfolio . First and foremost, we are proud to announce our exclusive retail partnership with Ulyssee Nardin, one of the best-known Swiss watch brands in the high luxury segment . One of its most famous creations The Freak - a unique time piece that tells time without a dial or hand won the award for the most iconic watch in the recently held Grand Prix de L'Horlogerie de Genève in Switzerland . Ulyssee Nardin is also well known in India where it has been present for nearly two decades and has now decided to work exclusively with Ethos to strengthen its presence in the rapidly growing Indian market, but this is not all we have also signed retail partnerships with three other Swiss Brands namely

Nivada Grenchen , Gerald Charles and Chronos wiss. More information about these amazing brands is available on our websites . We are also extremely excited to share that on October 31, 2023, we opened our first RIMOWA boutique in India at the prestigious Jio World Plaza in Mumbai' s BKC. RIMOWA is part of the LVMH brand portfolio . This s tore is approximately 500 square fe et and the first signs of sales have been extremely encouraging . This marks our presence in the luxury space outside of watches .

Allow me to give you a few more updates regarding the quarter now . Recently we successfully completed our QIP. The QIP of Rs.175 Crores was backed by leading institutional investors reaffirming our belief in the India n luxury market story and our company . This capital enhancement gives us the needed firepower to a ccelerate and capture the many opportunities in the luxury watch and re lated product businesses that we see imminent for India in the coming future . I do not want to end this part without menti oning of Favre Leuba , the Swiss watch b rand that our group has invested in . Work on the relaunch of this iconic and amaz ing brand is well underway and I can assure you that this will be a Swiss watc h brand that will achieve Himalayan heights in the years to come . I would like to end by saying that the gr eatest source of our inspiration and confidence is the Indian economy , the dynamism , and the optimism of the confident young global Indian. India is on track to break records , and we will play ou r part in bringing the Indian economy to new height s. With this , I open the floor for questions and answers . I invite and request our Chairman, Mr. Yasho Saboo , to join this exciting conversation . Thank you .

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Page 4 of 19 Moderat or: Thank you very much . We will now begin the question -and-answer session . The first question is from the line of Devanshu Bansa l from Emkay Global . Please go ahead Sir.

Devanshu Bansal : Sir, many congratulations on the QIP raise , exclusive partnership with Ulysee Nardin and festive greeting . Sir first question is on the sharp increase in ASP sequentially , so wanted to check if these levels are sustainable or if there is som e one -off in this and a light question to this is that , on the

other hand volume growth is a little subdued in this quarter , is it due to shift of season between Q2 and Q3 and this trend should revers e in Q3 as we sort of progress ? The second one is on the working capital front this time around , in H1 th ere is an increase of about Rs. 75 odd Crores and we also have incur red a capex of about Rs. 18 odd Crores in H1 which is sligh tly higher than the guided run rate for six new stores that we have opened so just a better understanding on the capital investment in H1 will be helpful ? The last question from my end is we have raised this additional Rs. 175 odd Crores of money in the QIP and m ost of the investments as we know in our business are in the working capital front so wanted to check between the trade -off between funding growth through equity versus taking a working capital d ebt and if there is a ny change in the growth outlook with this amount of capital that we have raised so these are the three questions ?

Yashov ardhna Saboo : Yes, the ASP has risen sharply . I do not think one or two exceptional items influence this I think it is pretty much normal . You have seen that in the past , this is an impact of the fact that we are continuing to get out of lower price points and into brands at a higher price point, so there is a continuin g effect . I expected to stabilize the increases to not be as sharp in future and as far as volume growth is concerned volume growth will be there ; however, we are still gett ing out from the l ower price point segments so in each price segment there is volume growth but overall, we are not seeing it . I think you will start seeing the volume growth trends in the quarters to come . Your second question was regarding working capital . It is difficult to sort of see this over only six stores becaus e it depends on what the stores are, what is the size of the stores and so on . This is a very w ell controlled thing . Please also understand that the increase in stock is not only b ased on new stores it is also based on new brands that we are signing, so a lot of the new brands the stock investment is front -ended and the sales follow obviously after there is some lag between the time we invest in the brand and by the time the sale picks up so as we are adding new brands this is a front ended thing but ov erall I think we are well within the norms that we have given . Your last questi on is about the QIP Rs 175 Crores I believe the opportunities that we see imminent that Pra nav also refe rred to are very striking , they are very real , we can see them , one of them we have just announced Ulysee Nardin, I am sure anybody who is e nthusiast about watches in this segment fully understand the import and significance of this tie-up given Ulysee Nardin. It was a highly visible brand in India, and they have been here f or 20 years . Now they have de cided to come exclusively with E thos. T his is an opportunity that we have been discussing and pursuing . Now we have the pleasure of announc ing it and similarly

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Page 5 of 19 there are other important opportunities, and we want to be ready for that. A s and when these

come, we will capitalize on them, which will ensure that the company's growth continues to be high and not sort of plateau up. We believe the opportunity in India will remain very strong over the next 5 to 10 years and therefore, our growth should also remain commensurate with that.

Devanshu Bansal : Great, sir. And lastly, just a followup on this: Do you have any thoughts on preference for equity versus debt?

Yashovardhan Saboo : We are not ruling out that but of course we have always been very prudent about the kind of debt levels we keep. We have not ruled that out, and if it is required, we will also take a bit of debt.

Devanshu Bansal : On Ulysee Nardin, any guidance or outlook you can provide on the current scale of business in India since they have been operating for 20 years?

Yashovardhan Saboo : We have not been part of Ulysee Nardin for the last few years, so it is difficult to comment on that, but of course, we have exciting plans, and you will see them unfolding.

Devanshu Bansal : Great Sir. That is it from my end. Many congratulations.

Moderator : Thank you very much. The next question is from the line of Ravi Naredi from Naredi Investments. Please go ahead.

Ravi Naredi : Saboo Sir it is a fantastic result. Sir when the last IPO you came out in May 2022 you made allocation to use Rs 339 Crores out of which still Rs 90 Crores are pending to utilize again you came out with the QIP to raise Rs 150 Crores recently, you might be aware that raise of equity is always costlier than debt why you took this decision?

Yashovardhan Saboo : I think have answer to Devanshu but do you have any other questions, Ravi?

Ravi Naredi : Our average selling price raised from Rs. 84,000 to Rs. 1,87,000 in three-and-a-half years so any figure in your mind after three years what will be average selling price?

Yashovardhan Saboo : I will answer the first one. I think the decision on whether we will fund with equity or debt is one of the classic questions in any kind of business enterprise. As I mentioned to

Devanshu, we are not averse to taking that; if necessary, we will take that. You are right there are some funds left over from the IPO. I want to just emphasize something that I emphasized in the last call as well: that at the time of the IPO, we had foreseen an expansion from about 50 stores. We had expected an expansion to about 70 to 75 stores of which 13 were included in the IPO document. In the last one-and-a-half years what we have

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Page 6 of 19 experienced is that the undercurrent of growth in the Indian market is far more robust than was evident 18 or 24 months ago and that a lot of this growth is coming, and the purchasing power is coming from Tier-2 and Tier-3 cities. We have also discovered that to fully capitalize on this increase in purchasing power, physical presence in some of these new geographies is very important therefore there has been a modification in our strategy where we believe it is important to establish a greater spread of physical stores into Tier-2, Tier-3 cities and also in some suburban areas of the large metros where we are not present. Consequently, our strategy changed not only to go up to 75 stores but actually, over the next four years to go up to 145 to 150 stores so there is a very large and accelerated rollout of stores and consequently also related to that signing up of new exclusive brands and for this we needed the extra funding. We believe the opportunity in the Indian market has expanded and will remain high. We are in the best position today to exploit this opportunity, capitalize on this opportunity. We believe this is one of the spirits of entrepreneurship that India is now famous for that when we see an opportunity we go for it and capitalize on. If he comes back, I will answer this question, which was not answered, so I would like to answer that.

Moderator : The next question is from the line of Bhavya Sonawala from Samaasa Capital. Please go ahead.

Bhavya Sonawala : Firstly, Happy Diwali to the whole team, and congratulations on a great set of numbers. I had two questions. My first question are there any top retailers around the world in developed countries or any watch market where retailers own a brand as we do in terms of Favre Leuba and any other similarities in terms of average selling prices or the number of brands they own if you can throw some light on that what kind of a trajectory we might be following, my second question is just trying to understand when we sign up a brand what is their expectation in terms of showcasing

their watches in all our stores of the space we give

them so how does the conversation go about in that terms? These are the two questions.

Thank you.

Yashovardhan Saboo : Happy Diwali to you as well, Bhavya. Thank you very much for your good wishes. Your first question was, which are the other big retailers and what are the policies they follow, in most of the large developed countries, there are a couple of big names that span these

countries, the biggest of course is Bucherer which is active in Europe and USA, in Europe there is also Wempe, in UK and USA there is Watches of Switzerland, in the Far East you have The Hour Glass, you have Cortina watch, in China you have Chow Tai Fook and Emperor, so there are a couple of large chains and each of them has their own policies and strategies. You asked a question about whether they also own brands, and many of them do. As we understand, many large retailers are also taking investment or a position as an investor in some of the upcoming new independent brands. Independent brands are brands

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Page 7 of 19 that are not affiliated to any of the large four or five large groups but are distinguished by a very high quality innovative independent watch making and many of our exclusive brand portfolio also consists of such independent brands, so yes, more and more of the globally large retailers are taking an important position and acquiring a brand portfolio of the independent brands I think as a large retailer, we have sort of anticipated the trend towards independent brands a little bit ahead of some others and you can already see the impact that this has had on us, of course it has created a very differentiated portfolio and created a big moat for us vis-à-vis other competition. Of course, we monitor other retailers to the extent we can get information. We try to learn good practices from them but we also recognize that we do not have to follow everything completely because the Indian consumer is global consumer now but also different and we understand the Indian consumer better than any other global retailer so while we want to learn from everybody, we also want to create our own strategies which are uniquely positioned for our success and for the Indian market. Your second question was also very interesting Bhavya it was regarding the expectation of brands. Different brands have different positioning and sizes of production, different budgets, and expectations so what we negotiate with them is not based on a standard template, for example, there are some brands in our exclusive portfolio which have very limited production. Therefore there is no point in having them in more than three or four stores in our network, which is what we do. While others have a more widespread appeal, have a lower price point and may be present in most of our multi-brand stores and here again, a lot depends on what is the range of their offering, what is their collection size, their product size, how many SKUs we are going to stock, what is the expectation of their sale, what is the agreement with them. There is no standardized template but of course we reach a win-win agreement with every brand so that their goals are achieved, and our goals are achieved.

Bhavya Sona wala: That makes sense. Thank you so much for your time and all the best.

Moderator: Thank you very much. The next question is from the line of Ravi Naredi from Naredi Investments. Please go ahead Sir.

Ravi Naredi: I was very much in line, but you could not listen to me that time our average selling price rose.

Yashovardhan Saboo: Ravi excuse me I had your question I am ready to answer that. I am sorry that we had to drop off. Your question was that our average selling price has increased from Rs. 84,000 to Rs. 1,85,000 in a few years and what is the expectation

of this in three years going forward

correct, so while it is difficult to give a forecast for average selling price because a lot depends on which part of the brand portfolio will start to do well. Still, we can say that the average selling price will go up. The increase in average selling price will not be as sharp as

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Page 8 of 19 it has been in the last couple of years I will tell you why because one big reason for the increase has been that we have cut out the lower price segments in the last three years that is almost getting fully cut out now so the increase will be a little more gentle than it has been in the past. There will be an increase, what exactly it will be we cannot say at this moment. Difficult to sort of predict that.

Ravi Naredi: Thank you.

Moderator: Thank you. The next question is from the line of Ankush Agrawal from Surge Capital. Please go ahead.

Ankush Agrawal: Hi Sir thank you for taking my question so my first question is again on the capital raises so if I look at our current balance sheet we have around Rs. 180 Crores kind of cash and even considering the kind of expansion plans we have and given the fact that we are now doing a very good margin and profitability which will generate a decent amount of cash flows as well so I am not able to understand this sort of preemptive rush to kind of raise equity capital and that too of this quantum, though in your presentation you have indicated that you are looking to invest in the Favre Leuba brand so have we materialized any amount of a quantum of money that you are looking to invest in over what time frame if you can

highlight that so that is the first question , secondly our store addition this quarter has been soft, I think we added just one store which is lower than the kind of aggression we have seen and the kind of expectations that you have so is it more of a transitional issue and H2 we will see a lot more store addition if you can highlight that and lastly just a data of what was the SSG for the quarter ? Thank you .

Yashovardhan Saboo : Thanks, Ankush . So, the last one is easy to tell you the SSG for the quarter was 23% . If I come back to your first question where you said what is the big rush to raise the capital , Ankush trust me we understand that raising capital is not inexpensive and we have only done it to make sure that as and as the opportunities come which are imminent I am not in a position to speak about opportunities that are still in the pipeline but the opportunities are there . We need to be in a position to capitalize on those and the Rs. 180 Crores of capex or money that we still have left over from the IPO of course that has been taken into consideration when we are looking at the next two years . It is not possible right now to share exactly how this amount would be allocated , but the largest part of it will be for working capital for the new stores and the new brands that we are signing and some of it will be used for the capex as well . Please also note that we have considered the profit we are generating as well . You mentioned that we are not generating any sizable profit I think for a business in the luxury segment.

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Page 9 of 19 Ankush Agrawal : I mentioned that you are generating a lot of margins and cash flows, which will also suffice that.

Yashovardhan Saboo : Yes, we have considered that as well so I hope that over the next several quarters you will see a continuing growth and investment in the new opportunities which will ensure that the growth trajectory that we are on is going to continue in line with the growth of the Indian market . Your last question was regarding only one store being added in this quarter it is true that we expected more stores to be added . The reality of the situation is that most of our stores are signed up in

malls and the malls have a certain target date for opening and our schedule of the opening is tied up with those dates , but if the mall opening gets delayed then unfortunately , we do not have a choice but to wait and that pushes the schedule for the opening of our stores as well so some malls which were slated to open in this quarter not opened and we are now informed that they will be opening in December or January we are ready for that and I think that H2 will see a much higher store opening rate .

Ankush Agrawal : Lastly , I think you stated that you are looking at a 140 to 150 store target in the next four years ?

Yashovardhan Saboo : Yes.

Ankush Agrawal : That was very helpful. Thank you .

Ritesh Agrawal: That 140 to 150 stores the balance it is not additional.

Yashovardhan Saboo : Sorry just to clarify that is not additional.

Moderator : Thank you. The next question is from the line of Saaksha Mantoo from Old Bridge Asset Management . Please go ahead .

Saaksha Mantoo : Hi Mr. Saboo. congratulations on a good set of numbers . Just two quick questions from my side firstly , if I look at your topline on a sequential basis while your ASP has risen sharply , it indicates that there would be some volume declines you highlighted that you have been downsizing the lower price points, just wanted to clarify the entire volume decline is it entirely due to the downscaling of these lower price points that was question one , another one for me is on the new stores that you have opened over the past year so how is really the return matrices coming through in those stores and also the demand so those were my two questions?

Yashovardhan Saboo : Thank you Saaksha . Thanks for your kind words . On the ASP , yes, it has gone up . I do not agree with your conclusion that volume has gone down ; in fact for example in the last quarter , volume compared to the same period last quarter it has remained steady so volume

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Page 10 of 19 has not gone down and if we compare price segment wise , then the greatest decline is in the price segment below Rs.50,000 whereas above Rs.1 lakh or above Rs.2 lakh the quantities have gone up and of course ASP has consequently gone up as well . We can conclude that the slowing down or the stagnation in volume that we have seen in some quarters is essentially only because of the exiting of the lower price point and in the higher price points in each of the price segments volume has gone up . As far as the new stores are concerned we have opened now in the last 12 months if I exclude this last quarter , June to June we have opened 12 stores and out of the 12 stores all of them have now crossed their breaking even or are profitable some of them started breaking even as early as the third month of

operation so the new stores are doing well . We expect the same trend to continue .

Saaksha Mantoo : Sure, Sir thank you for that . Just a followup on your stores my question was mainly on the new stores that are getting opened in non-metro markets , so some sense of demand environment from those cities ?

Yashovardhan Saboo : So many of the stores that were opened , these 12 stores are in non-metro cities, and we see a strong demand . The reason why we have expanded our strategy to expand the store count , which I mentioned in the last question , is also because through our website, through our monitoring mechanism , and social media, there is a lot of interest now coming from the Tier-2 and Tier-3 cities and not only interest there is a lot of knowledge and information about fine watch making , high-end watch making coming from these cities and that is the reason why we have chosen to expand our network to these cities and correspondingly we see the same kind of response .

Saaksha Mantoo : Sure. Thank you so much .

Moderator : Thank you . The next question is from the line of

Manish Poddar from Invesco Asset Management . Please go ahead.

Manish Poddar : So I am just trying to understand our cost of retailing , which is largely staff cost plus other operating expenses this quarter , is roughly about Rs. 36 Crores , which was the same as last quarter , and despite us adding more stores and the regular cost inflations which are there generally so I am just trying to understand is this a steady run rate to think about it when you add more stores and the second one is in the second business I believe you have also started doing bags so can you help me understand the opportunity there because I thought watches were the only playbook right now but you have also started bags ?

Yashovardhan Saboo : As far as the cost base is concerned, I think it is difficult to compare one quarter with another . Of course, as stores go up , there is front ending of the costs . Sometimes the cost may happen they may start even one or two months ahead of when the store is starting so I

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Page 11 of 19 do not think we can compare one quarter to the other and say that this will be a steady state.

As stores increase , the cost , of course , increases, and the cost at corporate or at head office level for central functions also goes up a bit but not at all in the same proportion , which is what then leads to operating leverage, so cost at store level will rise proportionately to the number of stores when we take them over a longer period . As far as the second pre-owned market is concerned , I think there are some bags that were started on an experimental basis because there is a market for bags ; most of the businesses in pre-owned internationally work in product groups besides watches as well , so there is always a desire to know how it works and so on but the focus is completely and almost fully on watches and not into other product categories at the moment .

Manish Poddar : What I am trying to understand is in the cost base , there are no one-offs in this quarter you have not cut any spends or any expenses as such during this quarter, right ?

Ritesh Agrawal: Manish we have added only one store during the quarter so you are comparing with last quarter to this quarter and there is a change in cost , Q2 is Rs. 41.5 Crores versus Rs. 38.6 Crores , so there is a marginal increase because of the addition of one store , if you have many other stores added then the cost will change .

Manish Poddar : I get it , and just this second bit on the seconds , so let us say if you want to experiment with new categories , let us say shoes because there is a thing on sneakers also right so would you have piloted the other categories any sense of those ?

Yashovardhan Saboo : There is a huge market of seconds across the world of so many product categories now while we want to stay informed about things and we might do something to experiment , as I told you , our focus for the moment is going to be on watches .

Manish Poddar : Fair enough . Thank you .

Moderator : Thank you. The next question is from the line of Parikshit Kabra from Pkeday Advisors LLP. Please go ahead .

Parikshit Kabra : Hi, congratulations on your results , and I am sorry I am making you repeat something that I joined 15 minutes late ; there are a couple of things I wanted to understand one was how is this the new venture which are the secondhand sales of watches and the suitcases how they have grown over the last couple of quarters and what are we expecting in going forward , second question I wanted to understand was to get a sense from you that from an India perspective what do you think the time of watches is the growth and our market share and how that is moving ?

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Page 12 of 19 Yashovardhan Saboo : So Parikshit , if you read our report that we have uploaded RIMOWA opened on October

31, 2023 s

o it has been about two weeks , so I am not able to give you much data for previous quarters , but sales in the first two weeks have been far greater than what we had expected , and we are very excited about RIMOWA . About the second movement again the fact that our second movement lounge at Saket Delhi was out of operation for a long period because the mall itself went into renovation. Despite that , the second movement business has grown very well and compared to last year 's same period by 34% so I think we are well off on that as well . Your second question was regarding TAM, the market size and what is our market share because the market share depends on different segments within the watch market there is a report of Technopak Advisors, which is in the public domain it is part of our QIP document as well , we are happy to send that to you that deals with the market size of India in what we believe is quite a good calculation and after that it is easy to calculate the market share . In the luxury segment , we believe our market share is a little in excess of about 21% as per our calculation .

Parikshit Kabra : The number that I seem to recall triangulating from them in the luxury segment , the place that Ethos plays at was about Rs. 1,500 to Rs. 2,000 Crores is that approximately what you are also thinking?

Yashovardhan Saboo : I am not able to remember the numbers of every segment, but I think it would be best to refer to that report . It is an updated report and it is probably good to get to that .

Parikshit Kabra : Alright and let me come back. Thank you .

Moderator : Thank you. The next question is from the line of Pravin kumar , an individual investor . Please go ahead .

Pravinkumar : Hello, sir. Thank you for this opportunity . I have a couple of questions . Sir, you attributed a lower number of store growth in Q2 to a delay in mall opening I would like to know in this kind of delay will the mall owners compensate you , the other question is your RIMOWA store was opened on October 1, 2023 so I would like to know the prospect of that and then what would be the revenue growth you are expecting from that line of business ? Thank you .

Yashovardhan Saboo : Unfortunately , if the malls do not open on time , there is no provision for us to get compensated ; mall owners are businesses , and it is a little one-sided the way it works but to be fair also to the malls I think they sometimes have delays whether it is in construction, whether it is in getting approvals and so on but to answer we are not compensated if the malls are delayed by a few months. If the mall delay is much longer than that , then of course , we have the option of cancelling our arrangement and getting our money back but usually if it is a good mall it is better to still hang in there and wait for the opening because
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Page 13 of 19 we have seen that a good mall those are typically the malls we go to , they have a very good high success rate . Your question regarding RIMOWA , we have opened the store right now . The first responses are absolutely amazing . Of course, RIMOWA as a brand is doing excellently globally , it is expected to be a \$1 billion brand soon and we are in discussion with them to open other stores in India as well , provided we can find the appropriate location , which we are working on. To be able to say what is the kind of growth of this business , we have to be able to first project how many stores of RIMOWA we are going to open in the next three to five years and that depends a bit on RIMOWA , their position was let us open the first store , see the response and then we will plan . Now that the store is opened, we hope that we will be able to discuss and chart out a growth path for RIMOWA over the next three to five years .

Pravinkumar: You said there was a miss on a store opening in Q2 because of

a delay in mall opening , so

just if things had gone as per your expectation , what was the number there ?

Yashovardhan Saboo : I would not have that number right away . The general idea was to open about six stores every quarter .

Pravinkumar : I got it . Thank you so much . I will go back in queue.

Moderator : Thank you. The next question is from the line of Jasmine Surana from VT Capital . Please go ahead .

Jasmine Surana : Hi many, many greetings for the festive season gone by . I have a question on your comment about the Tier-2 and beyond cities where you are entering but you also commented that you are exiting a price range . Hence, I kind of wanted to understand the price segments that have become attractive to the Tier-2 and beyond cities that was my first question , and the second one was recently , there was a report by Business Insider which said that industry of the pre-owned watches is declining on a regular basis so we are seeing that there is a fall in the price of the luxury watches as well so what is your view on that, as for India operations do you see the trend coming into India or do you see that India has still not reached the place where the prices of the luxury watches could be seen coming down ?

Yashovardhan Saboo : Thank you, Jasmine . Your first question in T2 and T3 cities , the demand for watches is across all price segments , and we expected it to be robust even though we have exited the price point below Rs. 50,000 we expect the demand to be pretty robust in the price point Rs 50,000 to Rs. 3 lakhs and even Rs. 3 lakhs to Rs. 5, Rs. 6 lakhs in the Tier-2 and Tier-3 cities and we are seeing that in cities like Guwahati , Ludhiana , and many other such cities. So as far as the trend of pre-owned watches and the prices of luxury watches coming down all these reports of prices coming down it is based on a few models of watches of a few

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Page 14 of 19 brands which became very iconic and they came in the news because the prices of secondhand watches increased by three times in the post COVID boom and having gone up three times from the price of a new watch they have now declined by let us say 50% or 30% but they are still higher than the price of the pre-owned watch so it is a very selective view which is leading to this thing . We do not see any such trend. As we said , our business has grown over the last year by 34% , and we expect steady growth to continue in the business of secondhand watches .

Jasmine Surana : Thank you so much .

Moderator : Thank you. The next question is from the line of Yash Malhotra from JM mutual funds . Please go ahead .

Yash Malhotra : Sir, simple question I see your sales have nearly doubled in the past five years . Do you expect the same run rate going forward, secondly on your margins , you have come a long way I see them peaking out currently , so what is your view on that ? Is your current category mix going to help in that regard as well ?

Yashovardhan Saboo : So run rate , we expect the growth to continue . It is difficult to project five years in advance every year for example this year we had projected at the beginning of the year that we will grow by about 25% plus during the year, actually in the first two quarters we have grown by more than 30% as you have seen, so we are hoping that growth is going to continue . Exactly how much it is going to be , we do not know, but I am sure it is going to be more than the market, so we are going to gain market share and we are going to increase our profitability . Your second question was regarding margins yes there has been a margin growth largely due to the strategy of change in product mix, going to large flagship stores , so to that extent , there will be some margin improvement , especially coming out of operating leverage . However, from a brand perspective , I think we a

re close to optimum

levels of margins . Overall, I think margin improvement will happen in future as we add stores and we get operating leverage .

Yash Malhotra : I understand.

Moderator : Thank you. The next question is from the line of Preeyam from Axis Securities . Please go ahead .

Preeyam : Hi Sir. So I have two questions with regards to the jewelry space you have entered so can you please share the long-term strategy here, can we expect going ahead this strategy will be a significant part and parcel of overall change, as overall jewelry market in India has a large opportunity compared to the watch segment , second question is on the margins profile

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Page 15 of 19 in this segment how are the margins profile compared to the watch and are we looking to add more brands or any in-house brands in this segment ?

Yashovardhan Saboo : Preeyam , we are still in very, very early days in the jewelry segment . The jewelry segment is a very exciting segment for the future . We are talking about international branded jewelry . It is still taking hold in India, but we are convinced that over the next 5 to 10 years it will be a very strongly growing market . However , right now it is still very early days . We have signed on one brand . We are still waiting for the brand's first boutique to open, so it is a little too early to sort of make any assessment on that . Again, the margins are similar or could be better than watches , but it is still early days to do that . We do not expect the jewelry business to have much impact on the overall numbers for the next two or three years but after that , I believe it will start to show up and become a second engine or additional engine of growth for the company .

Preeyam : That is it. Thanks.

Moderator : Thank you. The next question is from the line of Pallavi Deshpande from Sameeksha Capital . Please go ahead .

Pallavi Deshpande : Hello, sir. Thank you for taking my question . I wanted to understand what would be our investment in Favre Leuba since last quarter you said you will finalize it and let us know in this quarter and second question would be on the gross margin side if there is any FX loss or anything on that side that has impacted the gross margin ?

Yashovardhan Saboo : Your first question was about the investment in Favre Leuba , we are still working on the plans for Favre Leuba . A global launch of the brand is planned for next year and of course a large part of the strategy and the product finalization is done in Switzerland . The watches are going to be produced in Switzerland and that is still work in progress . Hence, I am afraid I cannot give you too much detail other than what we already shared which was the cost at which we invested to acquire the brand. Still, of course as we go forward as the new product strategy and marketing strategy is forged which will take probably another two quarters, we will be able to project the investments that could be needed . There are of course ballpark estimates, but these are not accurate enough to share . I can share that we have very exciting global plans for the brand, and you will see this starting to unfold in the next fiscal year .

Pallavi Deshpande : Right Sir. Secondly wanted to understand any effects gain or loss in this first half?

Ritesh Agarwal: There will be Pallavi but it is difficult to quantify at this moment because the brands have started increasing the price as we mentioned in our earlier call that it is going to be so by

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Page 16 of 19 December we expect that all the brands will take care of all the price increase from the FX so at this moment it is difficult maybe we can take offline .

Pallavi Deshpande : Right Sir. Thank you, Sir.

Moderator: Thank you. The next question is from the line of Shubham Singhla , who is an individual investor

. Please go ahead Sir.

Shubham Singhla : Hello Sir congratulations on a good set of numbers so I have two questions one is a book keeping question what are your ROCE and ROE numbers for this half year and my second question is more on the jewelry segment , it is luxury jewelry is growing like crazy in India ZOYA from Titan has also reported some really good set of numbers, so what is stopping us from going more aggressive there is it the management bandwidth and if it is management bandwidth should be on board some more leaders and be more aggressive on the jewelry segment ?

Yashovardhan Saboo : Excellent question Shubham . On an annualised basis, the ROCE for the first half year is 14.8% and the return on equity is 11.1% . The opportunity in jewelry is very significant as I already mentioned but that is true for so many opportunities in India, so we have to prioritize the opportunities we want to go after. Right now, the opportunity we see in the watch market is tremendous . We have a leading position on it . We have a pole position on it. We are the only pan India footprint and a fantastic omni channel footprint , digital channel footprint in the world of luxury watches . This business of luxury and premium watches is upbeat, so we are going to see this expanding and I think it is our strategy to focus on that and not to focus on too many things at the same time . However, we are fully aware of the potential of the jewelry business . We have taken an early position on that . We are going to learn about that business . The watches in price points may be similar to jewelry, but the business is very different . Watches is very technical in nature; jewelry is less technical , it is much more sort of aesthetics and so on. So, give us some time we need to understand the business , and we first need to prioritize to strengthen our position and grab the major opportunities that are coming our way in the watch business, but we are sure that in the jewelry segment also we will establish a strong footing in the years to come . I hope I have answered your questions.

Shubham Singhla : Yes, thank you Sir.

Moderator : Thank you. The next question is from the line of Sriram R who is an individual investor .

Please go ahead Sir.

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Page 17 of 19 Sriram R : Thank you for the opportunity . I have two questions . I understand you are moving from a lower price point to a higher price point and your ASP is going up, which is good but what about your cash flows like FY2023 we were negative on the operating side , half year ended also we are negative , so when do we see the business growing cash so that we will not raise capital again and your capex could be taken care by the internal accruals , one more question my second question is on FY2020 how many watches did we sell above the Rs. 1 lakh category and FY2023 what was the corresponding figure ?

Yashovardhan Saboo: I am not sure if we will be able to pull out the figures of 1 lakh plus FY2020 versus FY2023 that quickly . However, I can tell you that the quantity is significantly larger that I can tell you even without checking but maybe our CFO can connect with you offline and give you some estimates. As your first question which is when is the business going to throw out cash, when are we not going to need capital, I think that point is a very , very valid point and that is something which is very central to our strategy . Right now, we have been growing at

about 32 -33%, and we need this extra capital at that rate of growth . We also need this because we are signing up new brands and it is an opportunity that is not coming again and again . These brand s are now starting to look at India , they will sign up a partner and one that sign s is usually fixed for a long time to come so these are op portunities that do not come every ot her day and there is a finit

e sort of list of brands tha t is on our target list to sign up. T hat said I believe tha t as we are working on a couple of variables as margin goes up as our stock turn goes up with these two variables, we believe that we will soon be at a point where we will not need f urther capital . Our stores by the way already throw out cash because we are signi ng up new stores and we are signing up new brand . Still, if we were to say that we can accept a 15% or 18% growth CAGR of course we do not need more capital. Still, we believe that the opportunity today in India this is the time to grow and grab that opportunity so this in our view , we are abso lutely convinced that this is the last capital raise we will need. Y ou wil l see that the businesses will start t hrowing out cash once this round of signups of new stores and brands is done .

Sriram R : So, if you can put some number around the new business train in the presentation that will be very helpful to track also because you are investing in new business so you can put some number aroun d that in the presentation that will be very good .

Yashovardhan Saboo : You mean in the new stores and the new brands ?

Sriram R: In the new business how much, you are losing so that we know what is the legacy , how much is the cash .

Yashovardhan Saboo : Maybe I have given a wrong information . We are not losing money on legacy businesses that is not the thing . If we sign on a new brand, we have to put it in a certain number of

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Page 18 of 19 stores and the investment in the stock is front ended , the sales follows three, four, five, six months later right . There is a training t o be done , there is marketing to be done , and there is brand awareness t o be built, so that is a front ending of the investment when we sign up new brand . Similarly, when we sign up a new store , the significant part of the investment in a new store is front -ended. In the period that we are expanding new stores and our portfolio of brands, there is this need for extra capital . It is not need ed for a store in a steady state a steady state store is throwing out cash .

Sriram R : I understood what you are saying . Based on these lines, I was just asking if you can put some number on what is the legacy store that is making ?

Yashovardhan Saboo : We will c onsider that, but I cannot commit that we will be able to show and share store wise economics frankly . I will be very frank on that, but we underst and your question and we will try to see how we can address it best .

Ritesh Ag rawal: We will evaluate your suggestion and we will look into th at.

Sriram R : Sure, Sir but I got your po int as well. T hank you so much. A ll the best .

Moderator : Thank you. The next questi on is from the line of Sagar from Sameeksha Capital . Please go ahead .

Sagar : Sir I wanted to know in the presentation you have said that four new exclusive stores has been added but the total stores is now 51 so have we clo sed three stores ?

Yashovardhan Saboo : The total stores is now 61 .

Sagar : Right and in the presentation four new exclusive stores were added right ?

Pranav Saboo : Four new exclusive brand s. We have added one store during the quarter and four new exclusive brand s.

Sagar : Sure. Thank you .

Moderato r: Thank you very much . As there are no further questions, I would now like to hand the conference over to the management for the closing comments . Please go ahead Sir.

Yashovardhan Saboo : So, I want to thank eve rybody . I hope we have been able to answer all the questions satisfactorily . If you still need further clarif ications or want to know more a bout the company please contact SGA team, our investor relation advis ors and we will be very

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Page 19 of 19 happy to share whatever information we can . Thank you again for par ticipating and I wish you a nice day a

nd a nice festival season ahead .

Moderator : Thank you very much. On behalf of Ethos Limited that concludes this conference. T hank you for joining us. Y ou may now disconnect y our li nes.

Call: Feb 2024

Ref. no. : Ethos/Secretarial/2023-24/106

Dated: February 20, 2024

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001 Exchange Plaza, C -1, Block G,
Bandra Kurla Complex, Bandra,
Mumbai - 400 051

Scrip Code : 543532
Trading symbol : ETHOSLTD

ISIN : INE04TZ01018

Subject : Regulation 30 of the SEBI (LODR) Regulations, 2015 – Transcript of conference call
Dear Sir/Ma'am

Greetings from Ethos.

This is in furtherance to our letter dated January 25, 2024 intimating the schedule of the conference call for Wednesday, February 14, 2024 at 4.00 p.m.

In this regard, we are enclosing herewith the transcript of the aforesaid conference call, held inter alia to discuss operational and financial performance of the Company for the quarter and 9 (nine) months ended on December 31, 2023, pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015. The same is also available on the website of the Company www.ethoswatches.com
We would request you to please take the same in your records and oblige.

Thanking you

Yours truly
For Ethos Limited

Anil Kumar
Company Secretary & Compliance Officer
Membership no. F8023

Encl.: as above

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"Ethos Limited
Q3 and 9M FY '24 Earnings Conference Call"
February 14, 2024

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchanges — BSE Limited and National Stock Exchange of India Limited and the Company website on 14th February 2024 will prevail

MANAGEMENT : MR. PRANAV SABOO – CHIEF EXECUTIVE OFFICER
MR. RITESH AGRAWAL – CHIEF FINANCIAL OFFICER
SGA – INVESTOR RELATIONS ADVISOR

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Moderator: Ladies and gentlemen, good day and welcome to the Q3 FY24 Earnings Conference Call of Ethos Limited. This conference call may contain forward-looking statements about the company which are based on beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Pranav Saboo from Ethos Limited. Thank you and over to you, sir.

Pranav Saboo : Good evening, everyone. Thank you for joining us on the Ethos Limited Q3 and 9-months FY24 Earnings Conference Call.

I hope everyone had a chance to view our financial results and investor presentation which were recently posted on the company's website and stock exchanges. I am accompanied by our CFO, Mr. Ritesh Agrawal and SGA, our Investor Relations Advisors, on this call today. Let me give you an overview of our Q3 and 9-months FY24 performance.

For Q3 FY24, revenue from operations is up 22.4% to INR281.2 crores from INR229.7 crores in Q3 FY23. As I have mentioned in our previous earnings call, there is a shift of the Shraddh period this time from Q2 in the previous financial year to Q3 in this financial year. This led to a muted growth in October, thereby lowering the revenue and profitability growth of the quarter. However, when seen for 9 months, it is as per the guidance we had given both at the beginning of the year and at the end of Q2.

Despite the impact of the Shraddh, 10-day impact of floods at Chennai and store renovations, we have grown by 13% in October, 26% in November and 28% in December in revenue.

EBITDA for the quarter grew by 28.5% year on year to Rs. 50.8 crores in Q3 FY24. EBITDA margin for Q3 FY24 stood at 17.7%. This is despite a negative movement in the foreign exchange of CHF and INR. CHF INR was at an average in Q3 FY23 of Rs 85 vs RRs 93.90 in Q3 FY24 with it ending at Rs 98.88.

This led to a margin loss in the quarter as well as a further direct exchange loss on remittance and reinstatement of INR2.21 crores. We believe that the price will be passed on to the customer within the next three months and we believe that this will lead to a positive impact in the coming quarter and the next year. Our efforts to grow margins were not fully visible this year due to a constant negative movement of the CHF INR exchange rate. However, we are seeing stabilisation of this now and are looking forward to a positive future. Since we are talking about EBITDA, you may notice an increase in manpower compared to last year.

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This is because we are hiring early to train people for the rapid expansion of over 25 boutiques in the coming year. In the long run, this will stabilise back to the positions we saw in the previous year. Silvercity, which owns our brand Favre Leuba, also had a loss of INR58 lakhs. This is pre-operative in nature. Favre Leuba is the second oldest Swiss watch brand.

We will launch globally in August this year with three absolutely beautiful and stunning collections. We aim to reach sales of 100,000 watches per year over the next 10 years at an average of CHF2,500 per watch ex-factory price. Our same-store growth in Q3 was 11.2%, which was impacted by the renovations of our store and the Shraddh period. Eliminating the impact of both Shraddh and renovation, our SSG for the quarter stands at 15.3%. Furthermore, as of 9 months

months FY24, our new client enrolment stood at 88% and repeat customers stood at 46%. As you are already aware, we have opened our first Rimowa boutique in Jio World Plaza, Mumbai. From the start, we received an overwhelmingly positive response.

The segment generated revenue for around 60 days, contributing to the bottom line. It is already profitable and has been profitable from the first month onwards. Profit after tax grew YOY in Q3 by 23.5% to INR25.5 crores. Now coming to the 9 months, revenue from operations is up by 28.5% to INR746.5 crores from INR581 crores in 9 months FY23. EBITDA for the period grew by 33% YOY to INR130.9 crores.

EBITDA margin stood at 17.2% despite an increase in manpower cost on account of future capacity building. Profit after tax was INR62.3 crores as compared to INR47 crores in 9 months FY23, which grew by 32.4% on a YOY basis. Inventory days as on 31st December 2023 stood at 156 days at sales. Gross debt stood at INR6.85 crores as on 31st December 2023. Cash and bank balance stood at INR350 crores as on 31st December 2023.

Share of exclusive brands for Q3 FY24 stood at 29.3% and 9 months at 30.7%. Revenue from CPO or Certified Pre-Owned was INR49.7 crores in 9 months FY24. Before we go to the discussion's question-and-answer part, let me talk about the upcoming year.

We are extremely happy with our talks with brands and allocations from the biggest brands to the company are greater than what we expected for the next financial year. We remain confident

in our long-term goal of increasing revenue at a CAGR of 25% for this decade. We will launch our app in about 2 weeks on 1st March 2024.

This is a small step towards a big vision of giving our customers a personalised and customised watch buying experience. We will build the app slowly but steadily over time to provide customers with the next level of information, transparency, exclusivity and experience. It will give us the data to provide customers with exactly what they need.

We are extremely bullish that over the next 5 years, the Ethos app will seamlessly integrate with all the services of Ethos including After Sales, Lifestyle, CRM, Pre-Owned and give Ethos an edge over all other retailers. Provided there are no delays from landlords, we expect to open 25 new boutiques by the end of the next financial year. I am also happy to announce that this

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includes India's largest horological project which will open in Gurugram and cover 12,500 sq.ft. carpet area featuring about 9 boutiques and 2 multi-brand areas. It aims to become one of the finest horological projects in the world and will take customer experience to a whole new level.

This will put Ethos and India on the global map and assure the allocation that we need for our continued growth and that we will continue to get exclusive brands. Ethos was also recognized as one of the 20 finest retailers in the world by the Revolution magazine and our aim is to become one of the world's top 3 retailers by the end of this decade.

We have incorporated RF Brands Private Limited with the aim of distributing some of our exclusive brands to other retailers who wish to work with us. This is an exciting new area we are developing, starting with the brands under the price point of CHF 1,000. We will start with the brand Maserati Watches. We are closely monitoring the development of the free trade agreement between Switzerland and India.

We are hopeful it will reduce the duty on imported watches. This will grow the market significantly as it will lead to a reduction in smuggled watches coming into the market, encourage more Indians to buy locally and encourage more brands to enter the market. It will allow for greater local investments by Ethos and brands as both will experience positive margin growth.

With this, I open the floor for questions and answers. Thank you.

U.

Moderator: Thank you. The first question is on the line of Devanshu Bansal from Emkay Global. Please go ahead.

Devanshu Bansal: Yes, hi. Thanks for the opportunity. Pranav, as you mentioned on this news flow around finalization of contours on India Swiss FTA, I just want you to check if we take precedence from similar FTAs of Switzerland with other countries. What margin gains can be accrued to us in case India ends up signing this agreement?

Pranav Saboo: We don't have the full details, of course. But I can say that, for example, with Japan, India has a free trade agreement where the duty is lower by about, instead of 23%, it's effectively 5%. So that is one area.

In other countries, it's even lower the duty where Switzerland has a free trade with other countries. It's about 3% to 4%. But again, of course, this is an open point discussed between governments.

But we are hopeful that it will lead to a reduction in duties and a positive impact on margins in the future. It will also allow for brands to enter India. Many brands are not able to enter India right now because the duty is prohibitive.

Devanshu Bansal: Got it. And whatever 15% or 16% additional benefit we will get, will this be shared equally between brands and retailers, or how will it happen?

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Pranav Saboo: I think, I mean, the logical way is to do it equally. In some cases, it will come to us. In our contract with exclusive brands, in most cases, it will come to us. In some cases, it will be split.

Devanshu Bansal: Got it. And Pranav, you, interestingly, also mentioned that you expect 25% top-line CAGR over the next decade. So, I wanted to check what is the overall store potential for Ethos Watch Boutiques that you expect we can add over the next 10 years?

Pranav Saboo: Look, I think that I don't have exactly a number in mind per se, but we will be targeting between

13% to 14% same -store growth during this period. So, the others will come through new stores. Now, that depends upon different changes in the market, depending upon, you know, what is the rest of the distribution, how that distribution is going to be, whether we do larger stores, whether we do smaller store s.

It's too early to sort of comment on this at this point in time. But I can say that the next year, we definitely have 25 stores, and a similar 15 to 20 stores in the following year after that, 15 stores in the following year after that. So, there is, right now, we see immense potential. What I do want to tell you is that even cities that we are opening up like Raipur, etc etera , right from the second or third month onwards, they are profitable already. So, we see very good signs in Tier 2 cities, and that's very encouraging for us.

Moderator: Thank you. We will move on to the next question. That is from the line of Rahul Agrawal from InCred Equities . Please go ahead.

Rahul Agrawal : Hi. Very good evening and thank you for the opportunity. Firstly, a smaller question. The new watch and CPO billing details are not part of the presentation. Could you share that? Then I'll move on to the logical questions.

Ritesh Agrawal : Rahul, we present the billing details. So, we have already mentioned the CPO billing details . Pranav has also mentioned that we have INR49.7 crores of CPO business for nine month s. And in presentation, we used to present the overall. That has already been there. In case if you have any further questions, we can take offline.

Rahul Agrawal : Okay. I'll move ahead then. So, on the cash usage, right, INR350 crores, just wanted to understand. You shared the store addition plans. That's pretty clear. But broadly on, you know, could you share some more colour on the plan for Favre Leuba ? That is one . Because it looks like a larger investment from our side. And then luggage and jewellery, are these also part of this store additi

on, which we discussed 25 and 15 stores , respectively , for the next two years?

Pranav Saboo: Next year we are looking at 25 stores. So, I think we have -- the cash usage is for capex and inventory. But I'll let the CFO answer this question.

Ritesh Agrawal: Just to answer the second part of your questions about the store opening, including luggage and jewellery . So as in our earlier call as well, we have already mentioned that we are learning the new vertical, especially in the jewellery . So jewellery may be there in a couple of years that we will learn and then expand slowly.

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Luggage, again, it is one or two boutiques , maybe three boutiques maximum in next two years. Majorly the growth will be in our existing business, which is into a watch retail. That is the prime and that is the growth opportunity that we have. So that will continue to grow.

Pranav Saboo: Just to answer for Rimowa, for example, we 've signed the first one. We are looking for a place for the next two boutiques. We hope to do two more boutiques, provided we get the right space in Delhi and Bangalore over the next 12 to 15 months.

Rahul Agrawal : Anything on the Favre Leuba .

Pranav Saboo: I'll just quickly answer that last one on Favre Leuba . As I said right now, you would have seen INR60 lakh loss or a INR58 lakh loss in the consol. We are in the preoperative stage right now. Next Geneva Watch Days, we will launch globally , inviting retailers from around the world. We have an overwhelming response right now from the biggest retailers around the world that they want to work with us. Of course, it takes that time to get all the designs ready. All the products have to be put in place. So that is where we have -- the launch is taking place over there. And in the first year, we plan to sell 3,000 watches. And over the next 10 years, it will get to 100,000 watches.

Rahul Agrawal : Got it. I 'll come back in the queue. Thank you so much. All the best.

Moderator: Thank you. The next question is from the line of Shivam Shah from Smart Sync Services . Please go ahead.

Shivam Shah: My first question is regarding Favre Leuba only. So, when are you expecting this to be launched?

Pranav Saboo: We will launch globally during Geneva Watch Days, which takes place in the last week of August in Geneva.

Shivam Shah: Okay. What were the number of new stores that we opened in quarter three?

Pranav Saboo: We opened one new boutique in quarter three this year.

Shivam Shah: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Kunal Sharma from Care Health Insurance Limited. Please go ahead.

Kunal Sharma: Hi, sir my question is on demand, s o our numbers are pretty impressive. So, looking at the current scenario where subdued demand in the consumer discretionary space, I'm asking you on the on -

ground thought process. So how are you, like your HNI customers, and aren't they bothering about the current inflationary environment and prior to buying such a large ticket size of product? Pranav Saboo: I think our customers are celebrating the success of India's stock markets and Indian businesses worldwide are celebrating the new highs they are reaching. So, I don't think our customers are

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worried about the long term. And I think they spend on items with heritage and beauty and lie on the crossroads of emotion and arts and crafts.

And again, you know, that's just one part. But even in weddings today, there's such a big celebration, and watches are a very elegant way of gifting. So, we are not seeing any such problem right now. We are very confident about the next year. We are very confident. Already the trends for this quarter, we are very confident on where we are going. So, we don't see any major concerns from a demand perspective.

Kunal Sharma: Yes, so actually, my question was on Rimova. So, I think it's been more than three to four months we opened up your first store on Rimova. So, what was the response on that particular store?

Pranav Saboo: So Rimova, the response is greater than what we had thought. It is -- we are fighting to get more, as much merchandise as we can in right now. From the first month onwards, it's profitable. And we are working hard to be able to find the correct location in the next two, in this year to open two more boutiques. So, we are very happy with it.

Just to tell you what the challenge about the location is that it needs to meet international guidelines. So Rimova has certain international guidelines to meet when we sign on to a location.

We have identified one location as we speak. In the next week, Rimova is going to push it to their board for approval. If that happens, we will open the second one in Delhi, and hopefully the third one in Bangalore later in the year.

But we are extremely happy with the performance of Rimova till now. In the next year, we want -- just to give you a little bit of colour behind this, we expect each boutique to do about INR20 crores of business to start with and grow from there. That's the current scenario with the Rimova boutique.

Moderator: Thank you. The next question is from the line of Shreya Jain from Niveshaay. Please go ahead.

Shreya Jain: Yes, Sir, thank you for the opportunity. I wanted to ask about the total economics of ETHOS and how it will be different from other regional players like Kapoor and Zimson Watches.

Pranav Saboo: I can't report how it's different, but I will let the CFO answer this question.

Ritesh Agrawal: So, Shreya, if you have reviewed our numbers, which is already published on the stock exchange about the profitability, that's what we report to a stock exchange. We would not be able to comment anything about other retailers' performance, because we are unique from other retailers, especially in the retailing of luxury watches, where we do not see any comparison from our listed peers.

Shreya Jain: Sir, another question that I had was, when we enter into any exclusive brand, do we also undertake to do the marketing expenditure on our own? What amount do we usually spend on advertising and how many years are those exclusive deals for?

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Pranav Saboo: Our exclusive contracts are typically between five and nine years with auto renovations, auto renewals that happen. But coming to marketing, typically, the marketing is shared between the brand and between ETHOS. And typically, it will be to the tune of, I'm just giving a typical number, would be about 1% of the MRP each.

Moderator: Thank you. The next question is from the line of Hardik Doshi from White Whale Partners. Please go ahead.

Hardik Doshi: Yes, thanks for taking the question. I just want to go back to your earlier comment, that you can compound at 25% for the next decade. So, if you add about 1,000 people, let's say, for this year, that implies that you should get close to about 10,000 in a decade or so. I want to understand, how do you see the totally addressable market right now in India for watches? And what percentage of market share do we have? And then how do you see that market growing? And then what do we end up with in terms of a market share?

Pranav Saboo: So, your question is about where we are going to grow from a market share perspective? Is that roughly the... ?

Hardik Doshi: Currently, like with our INR1,000 crores, let's say, run rate, I mean, what is our market share? I mean, so what is our addressable market in total then? And then how is the market growing? At what rate do you see the market growing?

Pranav Saboo: Right. Well, there's no exact numbers. I will -- there's an industry report showing different brands' market share

re s. But before we get to that, I want to explain that the -- there are different verticals we are in today.

New watches is one. There's pre-owned, which is adding to it because it adds to the multiple ownership of watches. And there's trading of watches that takes place. That adds to it. Over and above that is the lifestyle business that is also coming into place with brands like Rimowa. And hopefully, for Messika, we also opened a boutique this year.

If we are able to find the right place, we have the right place. But if we had to let it go because the landlord was in litigation with the current partner who's not leaving it. But coming back to that, so these are all the things that will add up to the growth. Today, our market share, I'll let Ritesh, what is the...

Ritesh Agrawal: So, our market share from a luxury side is 21% on the luxury retailing as per latest industry report by Technopak.

Pranav Saboo: And we expect -- my expectation is that over the decade, we will grow aggressively and reach 40% to 45% on this.

Ritesh Agrawal: And when you talk about the market share, so FY '28, that's what the Technopak has projected in the premium and luxury segment by INR17,400 crores.

Hardik Doshi: Okay.

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Pranav Saboo: Remember, market share is also because certain brands are shifting towards us. Like Ulysse Nardin was the latest brand. They were working with six or seven retailers. And they're now starting off this quarter. They're going to be available only with us. So, brands are also going to shift exclusively to us, which is a big part of our strategy.

If you look at our presentation, it's there that working with brands and bringing brands exclusively is very important for us because then we can invest and create a moat around our business, create value for the brand, and create value for our shareholders.

Hardik Doshi: Understood. My second question was on the unit economics. In your past conference calls, you mentioned feedback period of about three years. And I believe that the total capex, INR1.2 crores of capex and about INR5.3 crores in -- at least about INR6.5 crores goes in building up a store. Can you just talk about maybe first year, what is the revenue? What is it due by the third year? What is the first-year margin? Then what do they get due by the third year?

Pranav Saboo: I think we can take this offline.

Pranav Saboo: We've answered this question in the previous one, but we'll also do it offline. It remains largely the same as our previous calls.

Moderator: Thank you, sir. The next question is on the line of Onkar from Shree Investments. Please go ahead.

Onkar: Good afternoon, sir. You mostly talked about the revenue growth potential in the upcoming decade. Just wanted to know currently the margins which you are doing 17%, around 17%, 17.5%. So, you talked about the margin expansion, but which you couldn't do fully this year. So just wanted to know your views on what would be the long-term margin you would be targeting?

Pranav Saboo: I mean, I don't want to give a number right now on what we are targeting on a long-term basis because it's sensitive, but our margin has been increasing and we expect that this will continue to increase because of one, operating leverage kicking in. Two, obviously right now, prices in India are factored. Over the last two years, over the last 18 months, the price movement of the CHF INR has been unprecedented.

We've never seen this over the last 10 years, what we've seen in the last 15 months. That will stabilize and that will also add to it. But we want to increase this over the long run through operating leverage.

Our share of exclusive house brands that is selling because we have, we enjoy a much greater margin over there. And of course, fully pricing on towards the brand. That's how we are looking at an increasing margin

in the future.

Ritesh Agrawal: EBITDA margin has already been increased. I can say that 50 basis points from last year Y-o-Y

nine months.

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Onkar: The second question is on the return on capital employed and ROE, sir. What kind of figures you are expecting?

Ritesh Agrawal: ROIC is over 20%.

Pranav Saboo: Our ROIC is over 20% today. I don't want to give a number publicly right now, but I can only say that we are very closely tracking return on invested capital. We have processes in place that we have a certain number in mind that we want to try and hit in the future. We're not disclosing that publicly, but I can assure you we are working hard to increase this number.

Onkar: At least you can sustain and better it. That's the reason, right?

Ritesh Agrawal: Of course.

Moderator: Thank you. The next question is from the line of Shalini Gupta from East India Securities. Please go ahead.

Shalini Gupta: My first question is that the CPO revenue, you said a nine-month revenue was around INR40 crores, INR49 crores, or INR50-odd crores.

Ritesh Agrawal: Yes.

Shalini Gupta: So, when I look at it, that revenue has been the same for the last three, four quarters, CPO revenue. And on the other hand, we hear all sorts of things that the CPO market is growing in a big way. So, my question is, number one, why has your revenue remained the same and your outlook on the CPO market? That's number one. Number two, what are the volumes that you did during the quarter?

Pranav Saboo: Okay, let me start with the CPO number. I'm not sure where you're getting the number of CPO being the same, but CPO has, from a percentage wise, what has been the increase? In a quarter, what is the percentage increase? So, Y-o-Y? Nine months overall, Y-o-Y, 35%. And quarter three is even higher than that, right?

Quarter three is 45% increase for Y-o-Y. It's over 45% over the previous quarter, over the previous year. On a Y-o-Y basis, quarter three is 45% higher. The biggest challenge in going up is how we're different from others is that we want to protect the Ethos brand and we want to do this slowly and steadily. Every watch that we get, we give a two-year warranty. Nobody else in India is doing this.

We have a two-year warranty. We open every watch, we restore every watch, and then we sell the watch. We are now putting up a second service centre in India to be -- sorry, in South India. Right now, we have it in North India. We're putting it up in South India, a state-of-the-art service centre to be able to restore more watches.

In the next year, we are looking at another 50% increase, 50% to 60% increase from CPO. I believe CPO will continue to increase. I believe that we have to do it in a steady manner to be

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able to make sure that we protect the Ethos brand name, and we separate ourselves from everybody.

There's lots of people today who are doing it on WhatsApp. They're completely non-compliant. From our side, we are also working with the government to get clarifications on the exact compliance required for all transactions that we do. And we are on the side of extra compliance rather than lesser compliance. And those are today the biggest challenges, but we expect this to continue to grow at 50%.

Shalini Gupta: Can you tell me the volumes, the number of watches sold?

Pranav Saboo: Yes, yes, okay, I'll just do it. Volume, we are seeing a growth. Where is the volume number?

Ritesh Agrawal: We are growing from volume trade. We are growing above INR1 lakh price by 19% from last year.

Pranav Saboo: This is nine months.

Pranav Saboo: So just to be clear on this, as you know that we are dropping, we are lowering the price point below INR1 lakh inside our stores. And there have been constant questions: look, are we increasing volume?

me? So, we are sharing the volume that we are doing above INR1 lakh. Below INR1 lakh, we want to take it into our new company, RF Enterprises, where we will be doing

distribution of these brands to other retailers. Above INR1 lakh, we have a quantity growth in three months of 15.5%, and in nine months of 19.2%. Does that answer the question?

Shalini Gupta: Yes, I mean the absolute figure, please.

Pranav Saboo: Sorry, we can take it offline. Let's take that offline. I have the percentage growth in quantity, but I will answer this later. I think it's 6,308 versus 5,462. Above INR1 lakh for the quarter of three months.

Shalini Gupta: 6,308. Okay, thank you, sir. Bye.

Pranav Saboo: Above INR1 lakh, yes.

Moderator: Thank you. The next question is from the line of Pallavi Deshpande from Sameeksha capital . Please go ahead.

Pallavi Deshpande: Yes, I just wanted to understand what was the preoperative employee expense for Ethos , for the nine months and maybe for the third quarter that you highlighted. And secondly, was on this ASP, there was this decline for this quarter. So, just wanted to know?

I'll take the second question back. I'll just go back and put my second question around Favre Leuba . What's the kind of profitability we expect when we hit 100,000 watches? And how much of a lift can it get to the gross and a EBITDA of margins for the company as a whole? That's it.

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Pranav Saboo: Okay, so, sorry, I've forgotten the first question.

Pallavi Deshpande: You'll have to repeat that. Preoperative for the third quarter.

Pranav Saboo: Preoperative. We have, I don't have the exact cost with me, so I'll have to get back to you on this. But I have the exact number. It's roughly we have, we've hired, we're looking at opening 25 stores in the next year. That means we're adding about six people per store. So, 150 people. Today, we have estimated that we have hired 60 people ahead of time to be able to catch up with this and make sure that they are trained well in advance. So, for the quarter, we would expect that the additional cost was about INR60 lakh for this.

Pallavi Deshpande: All right. And so, secondly, on Favre Leuba , we're looking at 100,000.

Pranav Saboo: We have, it's too early to say about the profitability, but all I can say is that 100,000 watches at 2,500 Swiss francs is a large revenue and will be, and of course, because it is our own brand, it will be extremely profitable. One can look at other brands that are as large and see the profitability. It will be, we will benchmark against those.

Pallavi Deshpande: And in India, what would be the share you're targeting from Favre Leuba ? I see that in the store, it's already being showcased pretty nicely.

Pranav Saboo: Right now, the stock that is there is not the new collection. When the stock, the new collection comes in, we're talking about the new collection. This is the collection that we acquired when, this is the collection that was there when we acquired the brand.

When we get the new collection, it will elevate it to the next level. The 2,500 Swiss francs is the ex-factory. So, when it comes to India, you realize that that price will be doubled. So, that we have to separate. You have to separate brand and retail. Ethos will be the retailer for the brand, which is owned in Silvercity .

So, Ethos will be a large part of it. But by the time you get to 100,000, Ethos will be about, will be a large part, but I can't give you the exact percentage. But you just have to make sure that you differentiate between brand and Ethos.

Pallavi Deshpande: Right, got it. Thank you. Yes.

Moderator: Thank you. The next question is from the line of Saaksha from Old Bridge Capital. Please go ahead.

Saaksha: Yes. So, just one question from my end. You mentioned that you're trying to kind of re-enter the price point of 1,00,000 and below

through your new entity. And I just wanted to know your thought process to re-enter this category because we were kind of getting rid of this category till now in our own scale. So, your thought process to re-enter and also, when you do this, who bears the inventory risk here? So, that's just one question.

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Pranav Saboo: Yes. Thank you. These are very good questions. So, just to be clear, Ethos has boutiques under the name of Ethos Watch Boutique and Ethos Summit. Here, we want to get rid of watches below

INR70,000, right? But we have very close relationships with these brands and more and more brands are embracing the professional way we do business.

So, what they've come back and said is that these are typically the non -Swiss watches, right? Like Maserati watches or other watches which are in the INR40,000, INR35,000 price point, right? We don't want to put them in Ethos.

So, they said that, look, we are going to go and get another distributor who will sell in other places where these INR30,000 watches are sold. Why don't you do the sales for those watches, right? So, then we said, okay, if we are able to get enough brands, it makes sense.

We spoke to brands and all the brands were very happy that we are entering into this. We will go and sell to other retailers who are competing at the price point of 20,000 to 80,000. There are many retailers who work at that price point.

We will distribute to these. We will hold two to three months of inventory and then we will be giving it to those retailers. We will not be giving it to those retailers on consignment. Those retailers who buy from us will bear the inventory risk. Does that clarify what we are doing?

Saaksha: Yes, yes, absolutely, fully.

Pranav Saboo: And in the next stage for RF Enterprises is that these are watches that are not Swiss made typically. So, we can bring in kits into India, assemble in India, sell, and even add even greater margin over there. Because these are typically non -Swiss made watches like a Maserati watch is not a Swiss made watch.

Moderator: Thank you. The next question is in the line of Hardik Doshi from White Whale Partners. Please go ahead.

Hardik Doshi: Yes, so just, you know, following up on my previous question, I just want to understand in terms of the competitive advantage, right? For all these, I mean, you mentioned earlier that a lot of these brands were looking to go exclusive and were already here on a non -exclusive basis. I just want to understand the thought process of why you would want to go exclusive and what is the advantage in that area?

Pranav Saboo: Right, that's a very good question. You know, like what happens is if you have a fragmented distribution system, right? What ends up happening is that no one is being able to invest behind the brand. If the brand doesn't want to invest largely in India, the others are not able to invest also because there is discounting pressure. Each one is discounting. So, it becomes important to nobody.

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So, we said that whatever you're investing, we'll invest four times the amount, right? Whatever was your subsidiary margin, you give that to us. We will invest, but then we don't want anybody else to be distributing.

Then it becomes exclusively with us. By doing that, we are able to reduce the discounting, right? We are able to put in money into marketing.

We are able to use all our data that we get from the website to do pinpoint marketing, create content behind that. So, what ends up happening for every brand that has become exclusive for us, they are able to remove their fixed cost of working in India because we do it for them.

Secondly, we have the fact that for every one of them, they are seeing a sales increase and a profit increase both for the retailer and the brand themselves.

Because here, let's say one brand manager will manage five to eight brands. Over there, you have, if a brand wants to enter India themselves and work through 10 partners, they will need eight people to do it. They don't have customer data, so they spend crores on marketing, whereas we have customer data, we can reach out to customers at a fraction of that cost.

Therefore, it makes it profitable for each one of us. It lets a partner create a partnership and that's more profitable, and that's happening world over where people are choosing one partner in every region.

Hardik Doshi: My second question was on the, so you have about 60 stores right now across 23 cities. If I just look at the top, let's say five or I mean -- how many, top five cities, what would be the number of stores and what would be a percentage of sales of this?

Pranav Saboo: Top two cities would be Delhi, Mumbai. Yes, top two cities are Delhi, Mumbai. Delhi has nine stores right now. Mumbai has about 10 stores. Look, we can, I mean, I think you can go to the website, and we will have that detail in the website.

Ritesh Agrawal: Delhi NCR 14, Mumbai 10.

Pranav Saboo: Yes, 14 in Delhi, 10 in Mumbai. Right now, the metros are a large percentage. I don't have the exact percentage, but it's a large percentage of our turnover. But the new cities, the tier two cities, are starting to perform very well, and that's why we are confident of growth over there.

Hardik Doshi: Would you say, like, for example, Delhi and Mumbai, you're largely kind of saturated in your

presence because you have like 10, 15 cities. You're pretty much covering the entire city.

Pranav Saboo: Sorry, what was that? Would I say, you'll have to repeat that.

Hardik Doshi: Saturated in presence because...

Pranav Saboo: No, not at all, not at all. There's a lot of growth possible. Like, I tell you right now, in Noida, we have only one store, which is 700 square feet. Noida itself, we could open another, we could

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easily open 2,000 square feet in Noida. Similarly, we don't have anything in Mumbai or North Mumbai. In Calcutta, we have only one store. In Hyderabad, we have one store.

In Chennai, we have three stores. We need more in Chennai as well. There's, just because of the number of brands that want to work with us, we will need to open more stores. More and more brands want to - there's a list of 30 brands today that want to work exclusively with us.

We have said no to these brands because we don't have space within our stores, even in the city like, Hyderabad, we need another store, just not because we can't do more - not because we can't do more sales from that store, or people aren't willing to come to that store. There's no more space left in the store to add the brands.

Moderator: Thank you, sir. The next question is on the line of Shivam Shah from Smart Sync Services. Please go ahead.

Shivam Shah: Hi. Just wanted to ask, are we facing any challenges due to the Red Sea crisis?

Pranav Saboo: In terms of furniture, yes, which is what has delayed some of our store opening, but not in terms of watches because we fly in the watches. I mean, there were a couple of shipments that were delayed. Maybe we lost sales of one and a half, two crores, but that will come in this quarter, so it's okay.

Shivam Shah: Okay. Thanks.

Pranav Saboo: Yes.

Moderator: Thank you. The next question is on the line of Devanshu Bansal from Emkay Global. Please go ahead.

Devanshu Bansal: Yes, hi. Thanks for the follow-up opportunity. Pranav, you have very clearly sort of charted out top line and margin expectations for Favre Lauba. I just wanted to check upon the operating model for this, how you initially mentioned that you people are setting up a team in Switzerland. It would be really helpful if you could comment on the capital intensity, etcetera that will be

required to pursue this growth outlook.

Ritesh Agrawal: So Devanshu, it's very early to mention about the capital intensity, but we are regularly working and looking into that and whatever is needed, we are very sufficient to do that. So you will see, whenever any development comes, we'll do the necessary disclosure.

Devanshu Bansal: Got it, Ritesh. Thanks for taking my question.

Moderator: Thank you. The next question is on the line of Rahul Agrawal from In Cred Equities. Please go ahead.

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Rahul Agrawal: Yes, thanks for the follow-up. Pranav, one question on the certified pre-owned. What's the road to build this to scale, let's say \$100 million top-line? I understand there's competition and it's all informal, but I just want to understand your plans over the next five years.

Pranav Saboo: To be honest, Rahul, I don't think that the biggest challenges lie in making sure that there is, we have the compliance and the ERP setup network and the after-sales service, well, in this case, the before-sales service network that needs to be put up to be able to make sure that the watches are completely restored properly and being given. To be honest, it's also a question on where our priority has been there.

I believe that the opportunity in the new market is also exploding at the same time. We've been sort of more busy with getting the next 25 boutiques rolled out. I believe that the next two years are very important to take a pole position in the new watch area because whoever takes the position in the next two years, you see, once you get to 100 stores or 125 stores, most brands will want to work with you.

And it's very challenging for anyone else to compete with us. Meanwhile, in pre-owned, we will have the time to expand. So right now, the next two years, we've just been very focused on making sure we get the pole position and build the network of the store and then pre-owned will

catch up automatically.

Right now, as I said, my number one focus is to make sure that over the next two years, whoever becomes the king in the next two years, which is good, it was clearly in the lead, we'll have a pole position in Ethos for the next, in India, in watches for the next 25 years. At that stage to bring pre-owned up will be fairly simpler.

At this point of time, I'm just going to say this, that I'm fairly confident on our growth on pre-owned. I don't see major challenges. Compliance and making sure people's compliance has been the biggest challenge till now. For example, we don't take watches that are not smuggled in. We need an affidavit. We don't pay in cash.

We pay only in these things. That has been a bit of the challenge, but the biggest challenge is to make sure we get enough watchmakers to restore the watch. We are doing that now. We have 17 watchmakers now in place. The next service centre in South India will allow us to bring in more regional, we're doing it in South India so that we can get more watchmakers there as well. And that will continue to help us to grow the business.

Rahul Agrawal : Get it. And second was on margins, the gross margins. You explained a bit of it in terms of some INR2 crore s impact. And obviously the CHF INR has been crazy, I understand.

Pranav Saboo: That is only the reinstatement and remittance plot. The margin loss was greater because if you dial back 15 months ago, 15 months ago the Swiss franc was about INR80. Now it started to move from then, then it moved to INR80 to INR85. Then it took one year to bring everybody from INR80 to even INR85, INR88, INR89, INR90 of pricing.

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Then in the last quarter it moved from INR90, and it ended up at INR98. Right, so whatever all the one year of work of getting everybody's prices up to INR90 from INR80 to INR90, it took about 12 to 14 months to

do that. But in the last two months, it moved from INR90 to INR99.

Now it's gone down back to INR94.

But for that quarter we had a margin loss of about 1.5%.

Rahul Agrawal : Right. So, what is really -- So then what's the way ahead now? The pricing happens I think once a year, right? So how do we cover this?

Pranav Saboo: Yes, pricing is happening. So right now, most of it is -- You see most brands are taking the price increase now as we speak. If the price remains at about INR95, we will have the margins that are there. Otherwise, we will have -- If it goes to INR105, then it will be similar to last year. So, one has to see.

But typically, over the last 20 years we've seen 2%, 3% or 3%, 4% devaluation of the rupee to the Swiss franc. We've never seen like 12%. So that's the...

Rahul Agrawal : Yes. No, what I was asking was this INR95 will get covered till what time? Forget about INR105. Nobody knows that.

Pranav Saboo: Yes. In next two quarters. Next two quarters. Next two quarters means already by April. We should have it, yes?

Rahul Agrawal : Okay, perfect. Perfect. All right. Thank you so much. All the best.

Pranav Saboo: That sort of helped. I know it's a little bit of a tough one to -- Tough one to answer.

Moderator: Thank you. The next question is on the line of Onkar from Sri Investments. Please go ahead.

Onkar: Yes. First question is on the -- what kind of trajectory you are looking for the average selling price for a couple of years. And the second question is on generally how long is the brand association of yours with a particular brand which has been the longest-serving brand you have been associated with? Those are the two questions.

Pranav Saboo: You know, it's hard to answer on the basis of average selling price. I mean, it's been going up and we expect it to go up but not at the same rate at which it has been going up. That's all I can say because a lot depends on inflation in Europe and rupee devaluation.

These two are important factors to decide the average selling price. Our mix is generally going up. We always aim to upsell but there are too many factors at play to be able to give an average selling price.

That's the reality of the situation. Now, coming to your next question on brand relationship. Our brand relationships are very old.

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In fact, out of 60 brands that we are operating today we would probably have only ended relationships with about 7-8 unless we left a price point. We would have... We barely ever end a relationship.

Many of the brands that were there on day one for me are active and working with us even today.

Most of the brands that were there on day one is still active and working with us.

Onkar: Okay. Thank you very much.

Moderator: Thank you. The next question is in the line of Hardik Doshi from White Whale Partners. Please go ahead.

Hardik Doshi: You talked about having 20% market share that you're looking to take up to 40%-45%. I'm just wondering globally if you look at more developed markets like the US or even China.

Are there examples of companies that have gained this first mover advantage built on it and dominated it?

Pranav Saboo: I don't think USA and China are very good examples, but you have to look at where you have Southeast Asia or Middle East where you have S eddiqi or Hour Glass. Those are more important because no one had first mover advantage in the USA and China. There were a lot of them that were there from day one.

So, there's a very big difference but if you look at S eddiqi in Middle East or you look at Hour Glass in Southeast Asia like Singapore, Malaysia you'll see similar examples.

Ritesh Agrawal: We have never mentioned any number about the 40% you talked about.

Hardik Doshi: What do you mean by that?

Ritesh Agrawal: We have 20% and aim for a larger market share over the period.

Hardik Doshi: And then this last question is when you look at Dubai or the Southeast Asian market what is the pre-owned watch's market size as a percentage of the watch retail market size?

Pranav Saboo: About 35%. It's expected to equal it by 2030. Most reports show that by 2030 it will start to be as big as that.

Hardik Doshi: Got it. Okay, thanks so much.

Pranav Saboo: Thank you.

Moderator: Thank you. Ladies and gentlemen, we'll take the last question in the line of Ajaykumar Surya from Niveshaay. Please go ahead.

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Ajaykumar Surya: Thank you for the opportunity and congratulations on a very good set of numbers. My question is more on the book side. We had this promoter selling. Can I know any particular reason behind this?

Pranav Saboo: I don't think that we need to answer that question here. KDDL is selling and KDDL had opportunities to reward its shareholders and other opportunities. Therefore, they took that decision.

Ajaykumar Surya: No worries. My next question is whether the CFO is resigning in February. Have you found out who will be taking over the position?

Ritesh Agrawal: We've already announced today.

Pranav Saboo: We've already announced today and yes, we found someone who's very capable. First of all, Ritesh is leaving, but he will be in touch with us, and he served the company extremely well and we are parting on very good terms, and we wish him very well for the future and at the same time, we have someone joining us. That person has been identified and I think it's been announced today in the disclosure list.

Ajaykumar Surya: All the very best for the future.

Pranav Saboo: Thank you.

Moderator: Thank you. Ladies and gentlemen, that is the last question. I now hand the conference over to the management for their closing comments.

Pranav Saboo: Thank you, everyone. I hope we have been able to answer all your questions satisfactorily. However, if you need any further clarifications or want to know more about the company, please contact the SGA team, our investor relations advisor. Thank you. Have a good evening and Jai Hind.

Moderator: Thank you, members of the management team. Ladies and gentlemen, on behalf of Ethos Limited, that concludes this conference. We thank you for joining us and you may now disconnect your lines. Thank you.

Call: May 2024

Ref. no. : Ethos/Secretarial/2024-25/18

Dated: May 16, 2024

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001 Exchange Plaza, C -1, Block G,
Bandra Kurla Complex, Bandra,
Mumbai - 400 051

Scrip Code : 543532
Trading symbol : ETHOSLTD

ISIN : INE04TZ01018

Subject : Regulation 30 of the SEBI (LODR) Regulations, 2015 – Transcript of conference call
Dear Sir/Ma'am

Greetings from Ethos.

This is in furtherance to our letter dated May 6, 2024 intimating the schedule of the conference call for today i.e. Monday, May 13, 2024 at 4.30 p.m.

In this regard, we are enclosing herewith the transcript of the aforesaid conference call, held inter alia to discuss operational and financial performance of the Company for the quarter and financial year ended on March 31, 2024, pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015. The same is also available on the website of the Company www.ethoswatches.com
We would request you to please take the same in your records and oblige.

Thanking you

Yours truly
For Ethos Limited

Anil Kumar
Company Secretary & Compliance Officer
Membership no. F8023

Encl.: as above
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"Ethos Limited
Q4 FY '24 Earnings Conference Call"
May 13, 2024

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchanges — BSE Limited and National Stock Exchange of India Limited and the Company website on 13th May 2024 will prevail.

MANAGEMENT : MR. PRANAV SABOO – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – ETHOS LIMITED
MR. MUNISH GUPTA – CHIEF FINANCIAL OFFICER –
ETHOS LIMITED
MR. MUKUL KHANNA – CHIEF OPERATING OFFICER --
ETHOS LIMITED
MR. MANOJ SUBRAMANIA N – EXECUTIVE DIRECTOR -
- ETHOS LIMITED
SGA , INVESTOR RELATIONS ADVISOR

Moderator: Ladies and gentlemen, good day, and welcome to the Q4 and FY '24 Earnings Conference Call of Ethos Limited. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not a guarantee of future performance and involves risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Pranav Saboo, Managing Director and Chief Executive Officer. Thank you, and over to you, sir.

Pranav Saboo: Good evening, everyone. Thank you for joining us on the Ethos Limited Quarter 4 and FY '24 Earnings Conference Call. I hope everyone had a chance to view our financial results and investor presentation recently posted on the company's website and stock exchanges.

I am accompanied by our new CFO, Mr. Munish Gupta. He is a CA and an Executive MBA from IIM Ahmedabad with 20 years of expertise in construction, hotels, IT travel, start-ups, and FMCG. He spent most of his career with InterGlobe Group, establishing operations, implementing finance processes and making them stable and scalable. He excels in business strategy, operational challenges, performance bottlenecks and profitability goals.

In addition, we have appointed a new Chief Operating Officer, Mr. Mukul Khanna, a 25-year business leader in consumer durables, telecom, and e-commerce. He excels in P&L management, business strategy, brand and revenue marketing, product management, sales and partnerships. He holds an MBA in marketing from NMIMS Mumbai and an M.Sc in chemistry from Punjab University, Chandigarh. He's also on this call with us. Additionally, we also have our Executive Director, Manoj Subramaniam on the call. On the call, we also have SGA, our Investor Relationship Advisor.

Let me give you now an overview of our Quarter 4 and FY '24 performance. So Quarter 4 FY '24 versus quarter 4 FY '23. Revenue from operations is up by 21.7% to INR252.5 crores. EBITDA for the quarter grew by 45.1% Y-o-Y to INR44.4 crores. EBITDA margin stood at 17%. PAT (Profit after tax) grew by 57.9% to INR21 crores.

Now we're talking about FY '24. Revenue from operations is up by 26.7% to INR 999 crores from INR 788 crores in FY '23. Revenue growth is attributable to a surge in the high-end watch segment, enhanced sales of the preowned watch segment, and revenue commencement in the other luxury segment. Other income includes a fair value gain of INR 2.5 crores.

EBITDA grew by 36% to INR175.3 crores. EBITDA margin stood at 17.1%. PAT grew by 38.1% to INR83.3 crores. PAT margin for FY '24 stood at 8.1%. Inventory days as of March 31

stood at 161 days. Cash and bank balance stood at INR345.5 crores as on March 31, 2024. Billing from pre-owned CPO was INR66 crores in FY '24.

Let me now give you some updates on the industry. Relationships between India and Switzerland have greatly strengthened recently with the signing of the EFTA agreement. India and the EFTA, a 4-nation European organization, including Switzerland into the landmark Trade and Economic Partnership Agreement to increase trade and investment between the two regions. In this context, India will gradually phase out custom tariffs under its trade agreement with the EFTA block. Custom Duty on Swiss watches is currently at 20% and 2% CESS on that. Under the EFTA agreement, duty on Swiss watches will be reduced to 0 in a 7-year period. This change is likely

to start in the second half of this financial year with a 3% decrease in duty every year. This will improve Ethos' gross margins. More importantly, it will open doors for many more luxury brands to come in, for whom these rates were a deterrent to profitability and therefore, an Indian presence.

We also expect availability and supply to India to increase. So we will witness a margin uptick and the advent of many large brands entering India and improved supply from existing brands as well. Let me now give you our focus in the upcoming years to come. Number one, increase in physical footprint. We started FY '24 with 54 stores in 20 cities, and we currently have 63 stores in 24 cities. We added new cities such as Surat, Bhubaneswar, Raipur, Mohali and

Breitling boutiques at Pune. During this time, we also closed down 2 stores due to relocation. Further, we will soon be opening a new City Kochi, in June 2024. In FY '24, we spent INR38.3 crores on the fit-out of new stores and restoration of existing ones. In FY '25, we intend to add approximately 20 boutiques. We intend to keep growing our physical network in the years to come.

Secondly, improve our digital network. With the launch of the app and an upcoming overhaul of the website, we will focus on better user interaction, UI/UX, digital journey personalization and better service provided by our concierge with the help of technology. We will invest greatly in measuring each of these and move forward with maintaining the digital edge to provide the ultimate place for watch enthusiasts to research their watches and use data to provide relevant and unparalleled customer service.

Thirdly, deploying AI. We have shortlisted 4 use cases of AI in the first year of deployment of AI, for which we now have a dedicated team, which go beyond simply chatbots and other basic AI tools. These projects require the training of LLMs and foundation models, which have started now. These models will be proprietary to us and will be deployed through our sales network and digital platforms in the next year to achieve, again, incredible customer service, through unparalleled presentations for customers, website research journey, visual searches and much more.

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Fourthly, increasing strategic moat with exclusive brands. Exclusive brands provided a great moat and allow many advantages, including store rollout, higher margin and greater growth. Exclusive brands continue to do well, and we anticipate this trend will continue in the future. In FY '24, exclusive brands accounted for nearly 29% of our total sales from our portfolio of 51 brands. Exclusive brands help generate higher revenue, and this also results in a high return on capital employed by businesses. We see tremendous opportunities as we continue to expand our broader digital network. We are constantly in talks and at advanced stages with several brands about adding them to our portfolio.

Fifthly, large focus on setting the foundation for HR and greater professionalization. The need for the hour to achieve the 10-year goal of 10x revenue is to get great talent at every level. We will make investments into our training school for talent on the shop floor as well as investments into engagement of the HR to lower attrition. We will continue to invest into our design and tech teams as well, to enable the strengthening of the foundation for our long-term goals.

Sixthly, brand enhancement and refresh. This year, we want to enhance the brand value of Ethos through a brand refresh and alignment to ensure it reflects the premiumization that we want to achieve. We will work with the best creative agencies in the country or the world to ensure all our brand touch points, from shopping bags to logos to smells in the stores, represent our ambition of the ultimate luxury and credible luxury destination. We want cus-

tomers to choose

Ethos before they choose the brand, and this will be a powerful shift once it is achieved which will allow us to achieve our lofty ambitions.

Lastly, lifestyle preowned vertical and service department. With regard to the performance of the RIMOWA division. Our first store in Mumbai is doing quite well. As we said recently in all -- in our most recent results call, it has been profitable on a PAT basis since month 1. We see a lot of opportunities in this business.

The lifestyle business, headed by Manoj Subramanian will sign up 2 more RIMOWA boutique that should be operational in the second half of the year or early next year. We will open our first boutique this year for luxury clocks at UB City in Bangalore, with a brand known as QlockTwo. We are now actively -- also now actively looking for our first flagship boutique for Messika in the country. We are discussing signing on more brands for this vertical.

We have interest from large brands that spend over \$700 million worldwide to enter India with us. Slowly and steadily, we will expand this vertical. Due to competitive reasons, I cannot yet announce these names, but they are extremely iconic brands. They want to enter the Indian market with us as the retail partner. The Lifestyle division will be a priority area for us.

I am happy to share that the success of the state-of-the-art service centre in Delhi was extremely heartening. We now plan to open a second service centre in Bengaluru, which will be operational in the second quarter of this year, allowing us to expand our geographic footprint for service.

We see tremendous opportunity in the service centre business. We shall grow steadily. However, we shall grow on this.

Pre-owned vertical :- We remain committed to growing this business and'll continue investing in it. We are working on removing the bottlenecks of service with manpower addition and training schools as well as regulatory hurdles which we are confident we can achieve. I hope this gives a sense of what we are going to be working on in the coming years.

These earnings call now represent 2 years of earnings calls since we listed. We have given short-term guidance till now to guide investors and increase stability. We will now focus on long-term strategies and long-term visions instead of just focusing on giving short-term guidance. For the upcoming years, we feel confident. And once the election phase is over, I'm sure there will be great success and we want to set this up as a foundation year for the next decade.

Thank you, everyone. now with this, I open up the floor to question and answers.

Moderator: The first question is from the line of Ravi Naredi from Naredi Investment.

Ravi Naredi: Sir, we are well in top line INR1,000 crores. First of all, congratulations to you and your team. Our net profit margin is around 8.33%. So any increased possibility in future, if yes, how much, this is my first question.

Pranav Saboo: You have any other questions, just to list down all your question.

Ravi Naredi: Yes. Second, as you mentioned you'll be 10 times in 10 years. So what strategy and how many stores we need? And how much more QIB you need because the QIB is always expensive. So want to know such thing.

Pranav Saboo: Let me answer your first question in terms of profitability. I don't want to give a number of what we can and can't achieve. But our focus is to continue to grow our margins through operational leverage and through a brand mix change focusing on more exclusive brands, where discounts can be reduced, and the gross margin is much more. So yes, we believe that in the future profit margins can increase.

Next question is regarding our 10-year vision in terms of how many boutiques we need. We will continue to grow the number of boutiques as and when the opportunity arises. We are -- all I can

say at this point of time is that in the next year, we have 25 boutiques coming up. We have a clear runway up to 150 boutiques. Once we achieve that, we will once again relook at whether we require more capital, or we don't require more capital.

However, whatever we do, we want to be very cognizant of the fact that we take return on invested capital extremely seriously as well as return on capital employed extremely seriously, and we will look towards that. We have seen a return on investment, and ROIC on our mature stores is already increasing. Almost all stores that have been opened are profitable and giving incremental returns on invested capital, which is how we want to focus going forward.

Moderator: The next question is from the line of Khush Gosrani from InCred Asset Management.

Khush Gosrani: I'm new to your company. So A, I wanted to understand how the pricing works with your exclusive brands? And B, if you could give some unit economics for your new stores ready for the breakeven, what is the payback period, et c.? That would be helpful. These are the first questions.

Pranav Saboo: Sorry, what was the first question? Exclusive brand, what about...

Khush Gosrani: How does the pricing work? How do you -- the pricing works with these exclusive brands that we have tied up 51 brands?

Pranav Saboo: Right. The pricing is in our hand for -- the pricing is largely in our hands. Of course, we need a mutual agreement. But the all exclusive brands allow us to set the pricing in India as per what we seem fit.

Khush Gosrani: Okay. Sure. And second question is on the unit economics of these exclusive stores. If you could highlight what the capex per store would be, what the payback period would be, and what the IRRs would be?

Pranav Saboo: I didn't understand. What is an exclusive store?

Khush Gosrani: Overall boutiques, sir, boutiques that you're opening.

Munish Gupta: So in terms of the new boutique, it varies from boutique to boutique. For example, last year, we opened RIMOWA, and it's been profitable since the first year. In fact, the store was opened in October and it's profitable.

For other boutique it varies, but all our boutiques are profitable, most of the boutiques are

profitable from first year.

Pranav Saboo: Yes. We have -- the way we look at it is that we try to touch 18% to 20% return on capital in the first year itself. That's how we target it.

Khush Gosrani: Got it, sir. And last question, sir, how have your nonmetro city stores performed over the last year?

Pranav Saboo: We're very happy with their performance.

Moderator: The next question is from the line of Ankush Agarwal from Surge Capital.

Ankush Agarwal: Sir, firstly, a few months back, we have diluted our stake in Silvercity Brands in favour of our holding company KDDL. And I believe Silvercity -- what owns the rights to Favre Leuba, so I wanted to understand why this transfer?

Pranav Saboo: Right. Any other question?

Ankush Agarwal: Yes. Secondly, sir, if I look at our gross margins, so starting 2024, the forex has corrected substantially, plus typically, we get price correction from the brand in the first year from the start

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of the year. So why have we not seen any improvement in gross margins in the quarter? And how should we look at it going forward?

And lastly, on this import duty reduction. So you said that we expect a 3% reduction from H2, which will add to gross margins. So I think last quarter, there was this discussion with Mr. Saboo, that he said, in case of exclusive brands, we will keep the entire differential in case of reduction in customs. And in case of non-exclusive brand, it would be shared. So based on that, if you can guide to an extent like out of the 22%, that's the duty is going to reduce how much Ethos will be able to capture

out of it. Those three questions.

Pranav Saboo: Okay. Clear. Let's start with Favre Leuba. You see that, as I mentioned, 50 exclusive brands are currently required -- give us 30% of our business. I want to first start by saying what is Ethos, Ethos will focus upon India. Ethos' core competency is retail in India, right? Our long-term goal is to reach 50% of our brands coming where we have exclusivity and through strategic tie-up, right? So now if I -- if we are at 50 brands or 45 to 50 exclusive brands get us 30%, and we need to add another 20% right?

We can either do it by adding another 25, 50 brands or we can say, let's take one brand and where we have a great see in the brand, where we have great influence in the brand, where we can design products specifically for us, do an extremely long-term contract as well as invest significantly in the beginning without the fear of changes in contract, et c. Then we can hit critical mass with one, and instead of investing into 45 or another 25 brands, we can do it by taking one brand to hit critical mass and achieve the next 20% with one brand.

That has been the plan on why we said that look, we need one brand where we invest and control a stake, a significant stake, not a majority stake, necessarily. The rest of the money is going to come in from KDDL because KDDL is going to continue to do the manufacturing for the brand. The manufacturing know-how is over there. The retail part will come from us with the 30-odd percent that we have now in Favre Leuba will allow us to control the brand or influence the brand in terms of product, in terms of how they will be in India, their presence in India, et c., and grow the brand to become one of the greatest brands in India and make sure that we reach our goal of getting 50% of our business coming in through exclusive brands. That's the reason why the next phase of investment came in from KDDL, where they will do the manufacturing. Next, come to...

Ankush Agarwal: Just a clarification over here. But we could have either ways transferred the manufacturing in terms of partnership with KDDL. I mean transferring the ownership back to a promoter group entity, don't you think...

Pranav Saboo: KDDL shareholders weren't interested in that manner.

Ankush Agarwal: No. But KDDL is a related party, right? So now if they own the brand...

Pranav Saboo: They don't own the brand. They own on a certain percentage of the brand.

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Ankush Agarwal: Yes, but they own 65% right now, which is more than what Ethos will own.

Pranav Saboo: Okay, so?

Ankush Agarwal: No. So doesn't it create a conflict because the deal was brought to Ethos, right, as a company. Ethos initiated the deal. They bought it and then...

Pranav Saboo: Look, I don't believe that there is a conflict of interest. I think the Board -- both the boards have done -- have deliberated over this. The manufacturing will be the greatest investment that is going to be made. We wanted a manufacturing tie-up that is permanent in nature. The manufacturing of the factory, et c., setting up of the factory cannot be done by Ethos. We cannot outsource it. KDDL was not interested unless they own the brand as well, which is why it came in from there. Ethos is focused upon its core competency of retail in India. That's all I have to say at this matter.

Let's move on from this. If you have more points, we can connect on it. Or if you have other suggestions, please let us know off-line. My next point to your thing was import duty margins. If we go towards 50% of our business Today is 30% (house brands), where we will capture the entire amount. If we go towards 50%, we will capture 22% of tax.

Ankush Agarwal: Why have we not seen improvement in gross margins in the current quarter given that the FX rate has corrected substantially in 2024? And we typically get a price correction

based on FX rate in the start of the year.

Munish Gupta : So in terms of forex, like we mentioned in the last call also, the CHF to INR at the start of the year was INR92. At in December '23, it was INR99, which was not seen historically. And again, now it's INR92. In terms of overall forex gain in Q4, we are positive by INR1.3 crores. And for the full year, the overall forex's, there is a loss of INR1 crore. As mentioned in the earlier call also that price increase was due from January onwards, and some of the brands have already increased our prices. From that point of view, it is fine. Yes.

Moderator: The next question is from the line of Smitesh Seth from Redean Securities.

Smitesh Seth: Sir, out of the 25 boutiques, which are lined up for the next year to be opened, I mean, in FY '25, could you throw some light about in first half, how many of them are opening and a couple of them where we have signed it and some dates on the opening schedule?

Pranav Saboo: Right. So as I mentioned, Kochi, which is our -- it's a 5,000 square feet boutique will open around the 1st of July. We already have another store in Pune that is already opened. We have 6 boutiques which are lined up for opening in Mall of Asia, Bangalore. That's the landmark boutique mall coming up from the Phoenix Group. And that will open when that mall is ready to open. So it looks like it is going to be the second half of the financial year. We have 6 boutiques over there because that is a landmark luxury mall that is coming up in --

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Smitesh Seth : Has that been delayed, sir, this Mall of Asia, Bangalore? Has that been delayed? Not by us, but by the mall operators themselves?

Pranav Saboo : The luxury floor is not yet opened. So the first floor is open, the second floor is open, but the ground floor (luxury floor) is delayed, which is why we want to open when it is fully thriving.

So that's why there is a bit of a delay over there. So whenever there is a delay, it is usually a delay when the location hasn't been handed over to us. As another example, we should be starting in the next 60 days, Bangalore duty-free airport, that had a lot of compliance issues in terms of security passes, et c., which needed to be arranged and things kept changing, requirements kept changing over there, and that got us a little bit delayed.

So the delay that we are facing is not so much because of internal management reasons, but external reasons where the locations aren't being handed over to us in time. But we have in -- we have also Dehradun launching in another 45 days. Kochi I, already mentioned to you. Our service centre should be quarter 2. Mangalore will open also before the second half. And our flagship boutique, City of Time, we hope to open around Diwali.

Moderator: The next question is from the line of Devanshu Bansal from Emkay Global.

Devanshu Bansal: Congratulations, Pranav, for a strong FY '24 and all the best for capitalizing on the big tailwind from EFTA agreement. I have four questions. What is the CHF rate at which the brands have revised their MRPs for CY '24? Number one. Number 2 is inventory, which has increased by about INR100 crores for the 10 stores that we opened during the year. This implies slightly higher inventory per store than the guided range. So your thoughts on that. The other 2 are bookkeeping questions. The employee expenses have increased this quarter. Is this in anticipation of the new stores that are expected to come up in the coming quarters? And last one is, what is the SSG for the quarter?

Pranav Saboo: Let's start with the last one. SSG is 10% for the quarter. I forgot. Employee costs are rising because of we are preparing for -- number one, we are hiring ahead of time. Number two, is the fact that we are setting up even at the top management, first of all, more verticals which require

upfront sen

ior leadership to be hire d, for example, for the Lifestyle division. For example, now in tech, we have greater hiring taking place to incorporate AI and for the app teams to come in. The results of this will be seen in the future, right? Because the app will not provide us revenue this year, but for the -- in the next year, it will be a game changer in my opinion. So for these 3 reasons, new verticals, greater hiring at the tech and design level as well as advanced hiring for store rollouts because we've never rolled out as many stores in a single year that we did last year or in this year that is coming up. This is the r eason why that is going up.

Number two was your question on greater inventory. Again, we are signing on new brands as well, which are adding to the inventory right now. And that is going to be -- it will normalize in the years -- in the months to come because we bought the stock, but some of the stores are delayed. That's one of the reasons that, for example, our largest project, City of Time, it' s taking a little bit more time, but we still signed on some more exclusive brands that will be inaugurated over here. That's why you see this, but you will see a normalization of this taking place . CHF to

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INR, yes. Different brands have done it very differently. But the average price increase in the first quarter was roughly about 7% to 8%. Most brands are priced around the INR92 mark, Devanshu Bansal: So broadly at current levels, right?

Pranav Saboo: Yes.

Devanshu Bansal: Pranav, just a follow -up on this. I guess, December rates were like INR99, INR100, right? So any reason why the conversion rate was chosen to be lower?

Pranav Saboo: First of all, again, it's about INR93 that it is, INR92 to INR93. Our exclusive brands are at about INR100. The reason is that everybody took a percentage increase, and INR98, INR99 was the last 15 days or the last 30 days of the month. So it was a more longer outlook to first get them to INR92, INR93, the non -exclusive brands. Exclusive brands are a little bit easier because we can move it up and down as we see it.

Devanshu Bansal: Got it. I just have one follow -up. You indicated that SSG is 10% for the quarter. I noticed that your ASPs have actually -- not ASPs, but average realizations have gone up by about 20 -odd percent. So any reason for this moderation in volume growth? Is it expected to pick up in coming quarters? Your thoughts on that, please? That is my last question.

Pranav Saboo: Let me just talk about overall the numbers. You see the numbers vary largely when you look at -- if you remove the segment below INR1 lakh, which we're exiting out of, I just want to talk about overall the segment above INR1 lakh. FY '23, we sold 18,471 watches above INR1 lakh. In FY '24, we sold 22,000 watches, an increase of 19%. So we are looking at volume increase. One should look at the volume increase above the INR1 lakh mark and not overall as a number because, as I've mentioned in my previous calls, we are exiting the fashion category, the non -Swiss category from Ethos watches, Ethos boutiques across India.

Devanshu Bansal: This is very encouraging, Pranav. Just one feedback. If you could include this data in your PPT, then it would be very helpful for us to analyse that.

Pranav Saboo: Sure, yes, I have this data ready because I know that this question will come up . That's why I have this ready. We'll try and incorporate it in the PPT.

Moderator: The next question is from the line of Bhavya Sonawala from Samaasa Capital.

Bhavya Sonawala: Congratulations on a great set of numbers. My main question has been answered in terms of the previous participant. Just 2 clarifications. You spoke about in the initial remark, I'm not sure if you spoke about saying that you're going to introduce new store -- 2 new stores of RIMOWA or was that with relation with the Qlo

ckTwo in UB City and other Messika store? And my second question, second clarification was in terms of will the Bangalore Airport have the first -- is this our first airport store?

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Pranav Saboo: No. Our first airport s tore is in Delhi. And secondly, yes, that is correct, 2 more RIMOWA stores have been signed up in Emporio Mall in Delhi and Mall of Asia in Bangalore. It takes 6 to 7 months of fit out period, but that is once they hand over the stores.

So the other 2 locations have been identified. They have been signed, mall has agreed, brand has agreed. We just need the handover now from the mall because they are running stores. So the existing tenant has to -- in Emporio existing tenant has to move out. And in Bangalore, the mall has to be fully operational before we open. But it just shows that we are on an aggressive path to finding the best locations for RIMOWA rollouts.

Bhavya Sonawala: Yes, understood. Just a follow-up, sir, just to understand what are our thought process in terms of airport stores? We see a few more coming, going ahead. And what kind of targets are we looking at for airport stores because I can see it's Delhi and Bangalore. So what -- are we looking at more airport stores.

Pranav Saboo: Overall, I'm bullish on travel retail, and we are looking at opportunities in travel retail. And we have operated the Delhi Airport for a long time. Now we are entering the Bangalore Airport as well. And we will continue to operate in travel retail. And return on capital is quite similar to what we see in the company. In fact, perhaps even a little bit greater -- but again, I don't want to go into store specific numbers, et c., I think that, all I can say is that the company remains bullish on Travel Retail.

Moderator: The next question is from the line of Onkar Ghugardare from Shree Investments

Onkar Ghugardare: My first question is on the, in the PPT, you have mentioned that in Q4 '24, the online visitors have dropped at 50% and there has been a drop for FY '23 from FY '23 to FY '24 as -- can you just explain the significance of this.

Pranav Saboo: Yes. I think the number one reason is that you see we've removed all the lower price point watches like Cassio, Fossil, Michael Kors, et c.. They are no longer on the website. So that removes a large chunk of the traffic because we don't want to focus on that.

We want our focus to be on the higher price points. And on the core strength of Ethos, we will achieve the other smaller price points through distribution on online platforms and other retailers. However, we want to remove that on the Ethos website and focus on greater conversion. I'm happy to report that our business that is generated from it, is rising despite the drop in traffic, which is a strategic call, our business from the website has increased. Our profitability in that business has also increased.

Onkar Ghugardare: . I was asking, these watches are available on another platforms, right?

Pranav Saboo: Yes. For us as well, we are signing on new brands that will be exclusively with us, but we will distribute them through online platforms and other retailers, which is the reason to set up RF Brand s rather than do it entirely for store, where we want to focus on prices above INR1 lakh because it gives us better return on capital employed, and we want to make Ethos a premium

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journey, Swiss watches, luxury watches, not fashion watches, which are made in China. I don't have anything against it. It's not a judgment call, but it's just not the same category and the category being separately. That's why.

Onkar Ghugardare: Okay. The second and third question is regarding -- the 150 stores that you want to achieve? So say like how many yours were targeting those stores? And third question is when you open a new store in a new c

ity, like a couple of factors which goes into opening the new store, what is the thinking behind that, if you can briefly elaborate that?

Pranav Saboo: Well we want to achieve 150 stores over the next 5, 6 years. But -- what goes into when we look at a store, when we are looking at a store is that, number one is, we like to see the amount of unaided traffic or unadvertised traffic that comes from the website to our city. Other markers of HNI behaviour, for example, number of Five Star hotels, the number of luxury car agencies in the city and data from our partners on what is their estimate of the business from the city on the basis of that we decide which format and where to go in the city.

Onkar Ghugardare: In the last question, you mentioned targeting 10x revenue in 10 years. So roughly, I'm not telling you to give particular number, but that would be like INR10,000 crores. So it's of EBITDA margin, when can we achieve the other significant operating leverage? And what can be the margins going forward, not yearly basis, maybe directionally, you can?

Pranav Saboo: Directionally upwards. That's all I want to say at this point of time.

Moderator: The next question is from the line of Prerana Amana from P NA Capital.

Prerana Amana: Congrats, sir, first of all, on a good set of numbers. I have 2 main questions. You guided for 20 store openings this year. So are these all 20 stores going to be Ethos, or is it going to be mix of Ethos, RIMOWA and Messika? That's my question number one. Question number 2: Did you mention something along the lines of that H2 could be better, and were you highlighting something about elections? So, do you see any headwinds in terms of demand because of this entire election scenario? So those are my first 2 questions.

Pranav Saboo: Thank you. Very good question. Yes, first of all, it is a mix of the 20 stores that are a mix of what we call mono-brand boutiques and multi-brand boutiques. Of course, the multi-brand boutiques will carry the Ethos name. Mono-brand boutiques will carry the names of the different brands, whether it is Breitling, whether it is Panerai, whether it is X, Y, Z or RIMOWA. It is a mixture of these, if not just Ethos or not only EBOs. It's a mixture of multi-brand and exclusive brand outlets.

Next question is on the question of elections. Every time there are elections, the 2 months leading up to the election are a little bit subdued, and we see great numbers in the months after it. This is because of typically a couple of things. Number one is the Model Code of Conduct, which comes into play and restricts cash movement. We are allowed to sell watches in cash up to INR199,000 but the movement of cash above INR50,000 greatly restricts that sale.

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Secondly, we can't hold events because there are a lot of restrictions on what events are possible. The service of any beverage -- alcoholic beverages, et c.. Nothing is allowed. So event shows have slowed down during this period. However, it is always followed in the next few months with a great booming in it. That's why I said that the following 3 quarters might be better than the first quarter, but I must say April has gone well. We are doing well in May. And things are going to be exciting in the year ahead.

Prerana Amana: Okay, sir. I just have another 2 more questions. I'm just going to squeeze in very quickly. One is regarding the volume growth. You mentioned that we have around 19% volume growth for the full year. And we have also seen that the average selling price has increased by 19%. So this ASP is on account of -- since we exited the under 1 lakh watches, is it because of that? That's my first question.

And the second question you mentioned in the opening remarks is whether the 22% VAT we have on the taxes is going to be reduced over a 7-year period. And in H2, we will see at least a

3% decrease in this. Did I hear this right?

Pranav Saboo: The first question was with average selling prices. Yes, it's going -- the quantities should be looked at above INR1 lakh because they are exiting the price point below significantly below -- at least below INR50,000 we are exiting and every time the picture that if you look at only the numbers that are given in volumes without looking at understanding it, it seems as if volumes are dropping. Volumes are not dropping. Volumes are continuing to grow. We are just exiting the price point below INR1 lakh or below INR50,000.

Your next question was average, on duty reduction, duty reduction it requires 2 logistical steps that need to be taken. It is a matter of time in our opinion. We expect that the Swiss approval -- the Swiss paperwork will be completed in the second half of the year. And with that will be the first cut in duty, which is 20% plus CESS that will be reduced to 0%, so 3-point-something percent every year will be the reduction, which we hope -- which we expect should start in the second year -- second half of the financial year.

Moderator: The next question is from the line of Kunal Sharma from SP Capital.

Kunal Sharma: So wanted to ask about the new stores. Say what is the payback period for the new store?

Pranav Saboo: Payback period for different stores differs greatly depending upon which format. But as I mentioned, that we target a 20% return on capital in the first year itself. And obviously, it will grow in the years to come. That is our target with every store opening. If there's a form and a process that we follow when we make our decisions on these stores, and largely, we have seen that in the last year, these stores have been giving close to that mark, not 20%, but close to that mark in the first year itself and it always increases in the next year.

Kunal Sharma: Okay. So is it for the both metro and non-metro?

Pranav Saboo: Yes, both.

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Kunal Sharma: Okay. Okay. And recently, you guided that you just elaborate on the recent event on the election side. So can we expect quarter 1 to be normalized or subdued numbers during the quarter because of the...

Pranav Saboo: It might be -- so let me explain this again. And for the benefit of everyone. Due to the election,

a model code of conduct subdues the first 2 months. We expect April and May to be subdued, but June will be a big month. It might be a slightly subdued one, but we don't expect any effect on the long-term performance of the year.

Kunal Sharma : Okay. Okay. And then lastly, on the optionality business, could you just - you have elaborated about the - but could you just share your thoughts on Messika as well? So how it is performing?

Pranav Saboo: Sorry. I just want to reiterate this so that it's clearly understood. Even if there is any -- we've already seen April. April was a success for us. It doesn't mean that it is going to be a subdued quarter. We expect greater growth in the coming quarters, and everything is going as expected in this quarter. I don't want to say that quarter 1 will be subdued. I just know that, I just feel that after the election, growth will be even better.

Kunal Sharma : Okay. Okay. That's great. And lastly, regarding the Messika, could you just share some thoughts on the same?

Pranav Saboo: So Messika, we had done a pilot project right now till now, which was inside our store at SMGD, which is Jio World Drive in Mumbai. That was a success. Now, we want to shift to a full-fledged boutique, which will act as a flagship boutique. We are very confident that we should be able to find it this year and hopefully launch one by the end of the year, which will be a dedicated boutique and the first boutique for Messika in the country.

We want to go ahead with the international branded jewellery. We believe this will be big, but we want

to take slow and steady measures. We want to start the first boutique, make it a success as we have done in RIMOWA and then expand on that.

Moderator: The next question is from the line of Ajay Kumar Surya from Niveshaay.

Ajay Surya: Sir, my question is, can you provide the breakup between like top 3 stores that will be contributing how much of a revenue? And sir, another question on the average selling price.

Across tier 3 cities and tier 1 cities, how much difference would that be and the average selling price of the watches? Any guidance on that?

Pranav Saboo: I'm not sure we are revealing this data on the first 3 stores in terms of percentage. At this point of time, we are not -- we haven't sent this out for competitive reasons. We prefer not to give this out right now. In terms of Tier 2 and Tier 1 cities, we see a price difference typically of about 20% to 25% on like-to-like scores.

Ajay Surya: Got it...

Pranav Saboo: And if the brand mix is the same.

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Ajay Surya: Got it. Got it. Sir, next question, sir, again, a clarification on the Silvercity transaction. Sir, because now...

Pranav Saboo: Ethos will focus on Indian retail. Ethos doesn't have the manufacturing know-how. It requires manufacturing commitments and investments that will -- that is not possible to do only by a retail company.

Ethos will focus on retail in India and to grow from 30% in exclusive brands to 50%. We prefer to take -- instead of starting another 30 brands, we want to focus on one brand and make sure it reaches critical mass with a significant stakeholder in the company.

Moderator: The next question is from the line of Vikas Mistry from Moon shoot Ventures.

Vikas Mistry: And thanks for being the first category creator doing this in India. So we try to take some longer view of what we're trying to do. And we're trying -- just I want to ask you that a lot of luxury brands are coming to India, and you have done really good innovation work just to start RIMOWA right on time and Messika. Do you think that are you firing innovation engine, putting different boutiques or different price points to cater to Indian consumer?

Are we trying to give ourselves room to just fail in one or two kind of boutiques or one or two kinds of formats? Are we trying to just put that innovation in the right track? How do you see this company to be shaping after 3, 4 years? And if you get this innovation, right, can we see a big thing coming out of here?

Pranav Saboo: I'm not sure I fully understand your question, but is your question that, why are we setting up different boutiques for different brands other than...

Vikas Mistry: No, no. Sorry for interruption. I'm just trying to ask that are we good enough with just 2 brands to go forward after maybe 3, 4 years? Can we do further brands to take to India and ensure that our growth trajectory remains right enough?

Pranav Saboo: So yes, I would like to just focus on one key signal that I would like to give is that we moved our best person in the company, the Chief Operating Officer, Mr. Manoj Subramanian, is now heading this vertical. The reason for this is that we believe that it will open incredible doors, and this business can be extremely large in the future. So yes, we want to bring on more brands. We

will bring on brands ; getting brand takes time, but then the brands stay with us for many decades. We are now, and as I said in my speech as well. One of the biggest brands in the world, which does more than \$700 million, \$800 million turnover globally. We are discussing bringing them exclusively into India with us. So yes, we do expect many, many more brands to come in, in the future. It will be slow and steady. We are not going to be restricted to 2 brands.
Moderator: The next question is from the line of Pallavi from Sameeksha.

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Pallavi : So it was on -- what volumes are we looking at for Favre Leuba. I think you had earlier mentioned 3,000 in the first and 10,000 in the next year. So would that be only India sales or those would be global sales? And then how would, KDDL be able to manage sales, globally?
Pranav Saboo: Yes, 3,000 watches. Globally, it's about 2,500 watches. Manufacturing, it depends, 10,000 depends upon manufacturing ability. The first thing is global distribution will take place through the Silvercity company. Silvercity is an independent company that will be owned both jointly by KDDL and Ethos.

Silvercity, that is headed by Mr. Patrik Hoffmann, who is the CEO of Ulysse Nardin has set up an international distribution very, very successfully. He's the person who's going to be leading that distribution globally. The manufacturing will be done with the help of KDDL, that requires investments. The investment is not possible to outsource that investment. Therefore, it is -- therefore, the only way to do that was through the KDDL tie-up. Ethos will focus upon the India sales.

Pallavi : What is the volume that are sitting for India, yes, that's it.

Pranav Saboo: Well, India will be buying roughly 2,000 watches in the -- 2,000 -- or 1,800 to 2,000 watches in the first year. We don't know exactly for the second year. I don't have the numbers in front of me. We can circle back to that later.

Pallavi : Right, sir. And the total capex, if you could give for next year?

Pranav Saboo: For which company?

Pallavi : For Ethos, just...

Pranav Saboo: We don't have that guidance available right now. You have to come back to that.

Moderator: The last question is from the line of Devanshu Gulati from Avid Investments.

Devanshu Gulati : First of all, congratulations on a great quarter. I have 2 questions. The first one is, what is the percentage of your second movement business, the pre-owned watch business revenue as part of the total revenue mix? The second question that I had is, how long are these partnerships with exclusive brands? It will be different for different brands, but can you just give a general duration for these partnerships?

Pranav Saboo: The 5 years with an auto renewal. We don't sign on now anything under 5 years without an auto renewal of another 5 years or another 4 years, right? So that means, if the numbers are achieved for 5 years, then there will be an auto renewal for another 4 years.

Devanshu Gulati : Okay. And what about the second movement business, the pre-owned watch business? How much is that?

Pranav Saboo: INR66 crores for the previous financial year.

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Moderator: Due to time constraint, we will take that as the last question. I would now like to hand the conference to management for closing comments.

Pranav Saboo: Thank you, everyone. I hope that we were able to answer all your questions satisfactorily. If you need any further clarification or want to know more about the company, please contact the SGA team, our investor relationship adviser. Thank you for attending this call, and I wish you all a good evening.

Moderator: On behalf of Ethos Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2024

Ref. no. : Ethos/Secretarial/2024-25/34

Dated: August 17, 2024

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001 Exchange Plaza, C -1, Block G,
Bandra Kurla Complex, Bandra,
Mumbai - 400 051

Scrip Code : 543532
Trading symbol : ETHOSLTD

ISIN : INE04TZ01018

Subject : Regulation 30 of the SEBI (LODR) Regulations, 2015 – Transcript of conference call
Dear Sir/Ma'am

Greetings from Ethos.

This is in furtherance to our letter dated August 2, 2024 intimating the schedule of the conference call for Wednesday, August 14, 2024 at 2:45 p.m. IST.

In this regard, we are enclosing herewith the transcript of the aforesaid conference call, held inter alia to discuss operational and financial performance of the Company for the quarter ended on June 30, 2024, pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015. The same is also available on the website of the Company www.ethoswatches.com

We would request you to please take the same in your records and oblige.

Thanking you

Yours truly
For Ethos Limited

Anil Kumar
Company Secretary & Compliance Officer
Membership no. F8023

Encl.: as above
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"Ethos Limited
Q1 FY '25 Earnings Conference Call"
August 14, 2024

"E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 14th August 2024 will prevail."

MANAGEMENT : MR. PRANAV SABOO – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER
MR. MUNISH GUPTA – CHIEF FINANCIAL OFFICER
MR. MUKUL KHANNA - CHIEF OPERATING OFFICER
SGA – INVESTOR RELATIONS ADVISOR

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Moderator: Ladies and gentlemen, good day, and welcome to the Ethos Limited Q1 FY '25 Earnings Conference Call. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of the future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal for an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Pranav Saboo, MD and CEO of Ethos Limited. Thank you, and over to you, sir.

Pranav Saboo: Good afternoon, everyone. Thank you for joining us on the Ethos Limited Q1 FY '25 Earnings Conference Call. I hope everyone had a chance to view our financial results and investor presentation recently posted on the company's website and stock exchanges.

Today, I am accompanied by our CFO, Mr. Munish Gupta; our Chief Operating Officer, Mr. Mukul Khanna; and SGA, our Investor Relations Advisors.

Let me give you an overview of our Q1 FY '25 performance. Revenue from operations is up by 18.8% to INR273.2 crores. EBITDA for the quarter grew by 28.7% Y-o-Y to INR49.7 crores. We continue to witness exclusive brand partnership's positive impact and operating leverage benefits stemming from a stable cost base. EBITDA margin stood at 17.8%. Profit after tax grew by 25.6% to INR22.8 crores.

Inventory days as on 30th June 2024 stood at 156 days. Cash and bank balance stood at INR329 crores as of 30th June 2024. Quantities above INR1 lakh grew by 2% and above INR2.5 lakhs by 9.5%. This was due to restrictions on the movement of cash above INR50,000 during the election period, which impacted sales between INR0.5 lakh to INR2 lakhs.

Now let me give you some color around our results. The last quarter posed some challenges for us reflected in our numbers, due to multiple factors. Firstly, the extreme heat wave led to more customer spending time outside India, extending the duration of the holidays and lesser walk-ins. Secondly, the national elections took place in the previous quarter, spanning almost 2 months, during which there were certain restrictions. There were also far less marriage dates in this quarter compared to the same quarter last year. Additionally, logistical challenges arose due to natural calamities and extreme weather in Switzerland in June, which impacted our committed sales.

During this period, we also took the opportunity to deploy and test our new ERP system. The full new ERP comes after 15 years of using the previous system. This new ERP allows for much better tech integration and API functionality, improved compliance, logs, decision-making capabilities, security, backup and continued upgrade capabilities. The deployment and testing

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took 3 days during which most boutiques were not operational for sales, and this time will utilize for training of the manpower for the future.

However, I am very glad to report that in July, all of the above issues came to rest, and I'm happy to report that it was a fantastic month for us with growth resurging. We achieved an approximately 28% growth back in July and a record margin in July these are based on approximate and unaudited numbers. However, the principle being that July has shown that we are back on track, and we are very happy with the way the company has bounced back. This should not be taken as any form of guidance for the quarter or the rest of the year. Moving on to new boutique launches. We successfully

opened 3 new boutiques in Kochi, Dehradun and Pune. We expect to launch 5 boutiques in the second quarter. Additionally, we signed two new brands, ID Genève and Singer Reimagined, for our watch business. In our Lifestyle division, we have finalized the first Messika boutique at The Chanakya Mall, New Delhi, previously operating from a pop-up in a beta test phase. This proved to be very successful. And now the new boutique will become fully operational in January or February, marking our formal entry into the extremely lucrative international branded jewellery segment. RIMOWA continues to impress us, and we are now in discussion with 7 or 8 other brands in the Lifestyle division and hope to onboard a few in the next year to continue growing our Lifestyle segment.

EFTA will be a game changer for us. As far as we understand, it will be implemented before 31st March of this financial year. We are currently discussing with some of the world's biggest watch brands that have not yet entered India. We believe they will likely adopt a one partner policy in India. We are confident that Ethos is the right partner with our high compliance standards, digital and physical reach, after-sales capability and our professional setup. We hope to welcome these large brands into Ethos in the next year.

Favre Leuba will showcase its new collection at Geneva Watch Days on August 29 to retailers and journalists from around the world. It is set to become an important brand also within Ethos with delivery starting by the end of the year.

Silvercity Brands under the guidance of Patrik Hoffmann has great plans, and we wish him the best of luck for the launch.

Finally, I'd like to inform you about our design as earlier, which we set up this year after helping brands create limited editions like the Raymond Weil Ganga, edition which came out last year, which generated INR10 crores, we established the design -- this year with 2 full-time designers. This year has been a huge success in this field with our limited editions receiving massive press and social recognition. We already have bookings worth INR70 crores for limited editions designed this year for India. Next year, we plan to bring even more brands under this program collaborating with group companies to supply components to our brands.

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This is a testament to the trust brands place in us and the depth of our relationships. We are proud of these relationships and will always work to protect them.

With this, now I open the floor for questions and answers. Thank you.

Moderator: The question is from the line of Aradhana Jain from B&K Securities.

Aradhana Jain: My first question is that in the previous quarter, you had guided that you'll be opening 25 new stores in FY '25. However, we've just been managed to open 3 stores in 1Q and we plan to open another 5 in 2Q. So are we still sticking to the guidance of 25 stores for FY '25?

Pranav Saboo: I think that we are in line to get to between 20 and 25. We are still trying for 25. There are certain delays that are happening not due to our side, but due to some of the real estate not being finished on time. We do still believe that we are on track for March 31 as it looks between should be roughly 22 or 23 stores, 2 stores might get delayed, but we have a lot of launches coming up between -- in October and March, there's a lot of lineup for boutique launches.

Aradhana Jain: Also, sir, we had a revenue growth of 19%. But if you see our ASPs have grown by 25% year-on-year. So is it fair to assume that our growth has primarily been through ASP growth and volumes may decline?

Pranav Saboo: As I've explained in the past, one should look at the growth above INR1 lakh and not below because we are getting rid of price points below INR50,000 completely or below INR30,000 and INR40,000, we are not focusing over the

re. If you look at the price point above INR1 lakh, there has been growth. It's been a small growth. The challenge for this quarter was the fact that we had 2 months during which there was during which there was model code of conduct in which people do not move with -- are not allowed to move between -- with more than INR50,000 in cash, while we are allowed to sell watches up to INR2 lakh in cash. So this affects all the cash sales, in general, it affected cash sales in the quarter. And that was a larger challenge for us in quantities. However, we will come back to our quantity growth in the future. Quantity growth, where cash sales are not allowed, has been very healthy at 9.5%.

Aradhana Jain: Understood, sir. Also in your opening remarks, you mentioned that you're confident that once EFTA comes into play, you will see some bit of opportunities from there. So could you throw some more light on that, in terms of opportunity and...

Pranav Saboo: Let's get all your questions and then because we need to give other people. I'll answer this question, but I think that it's important that we list on all the questions. Is there anything else on your mind?

Aradhana Jain: No, nothing else.

Pranav Saboo: EFTA is groundbreaking because it will reduce duties and, open up the Indian market and make it more competitive with the rest of the world. A lot of brands -- a lot of the largest 10 -- let's

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say, globally, the world's top 10 brands, many of them haven't entered India due to the high duty structure. That is set to change within discussions with all of these brands, and they're all interested in coming into India, and we're exploring opportunities with them. Today, a lot of people buy these 4 or 5 brands outside India, right? This will not be the case in the future because you will be able to buy them easily inside India, and we believe that Ethos will be the right partner for these brands, and that's what we're going to be pushing for.

Moderator: The next question is from the line of Vishal Panjwani from Emkay Global.

Devanshu Bansal: This is Devanshu, this side. Am I audible now?

Pranav Saboo: Yes.

Devanshu Bansal: Pranav, congratulations on a strong performance despite operating challenges during Q1. I have 2 broad questions. One is on the gross margin front, where we have seen some sort of a decline this quarter. I guess you mentioned that exclusive mix is slightly higher.

Pranav Saboo: No, no, it was because we had to give -- I'll tell you, it was -- look, we weren't marketing in the quarter because there was no point in doing marketing. So we were giving offers, customer offers, so better pricing, slightly greater discounts. That largely that is what has led to the lower gross margin. I'm happy to tell you, in July, we've hit a record gross margin. So it's back on -- with the marketing has come back, business as usual from July.

Devanshu Bansal: Understood, Pranav. And secondly, slightly medium - to longer -term question. So incrementally, we are seeing more positive commentary from your side for other lifestyle brands. So while RIMOWA and Messika have been sort of 2 brands that we have communicated to investors. So incrementally, how has so far been the traction in RIMOWA? And if you could sort of suggest over the next few years, what could be the kind of revenue mix contribution from this lifestyle category overall to our overall revenues?

Pranav Saboo: Look, Devanshu, it's very early days right now in lifestyle, and luxury still works at a slower pace. What I can tell you is that the return on capital employed in RIMOWA, the sales per square foot, the EBITDA margins, they are extremely good. We want that in the next 5 years, we have at least 10 boutiques of RIMOWA alone. We want to bring in more brands. We are in discussion with these brands.

Brands take about 15 to 18 months before they sign on

. These discussions started about 6 months

ago, but there are multiple discussions have been happening now, right? I'm not at a liberty to give you these names at the moment because it wouldn't be right because none of these are finalized. All I can tell you is that we are looking to expand this. It's something that we want to work upon and we take it seriously.

Messika will start on January 1. We will have the first numbers of the boutique that is coming. Right now, as an example, I can give you is that we are doing roughly between INR1.5 crores to INR2 crores per month from a very small RIMOWA boutique in Mumbai, right? We believe

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that we can do much more with more space, and we will do 10 boutiques at least. So that's a multiplication that you can do.

That is what we are targeting with the single brand alone, right? With Messika, we will also be targeting numbers. I don't want to give you a number just yet. I want to go through that process of going through the first quarter and then giving you numbers. However, it's safe to say we will be targeting more brands and we will be looking at numbers that are scalable. Still too early to give you a 5 -year or 3 -year exact number or a guidance on where we will be.

Moderator: The next question is from the line of Sanidhya from Unicorn Assets.

Sanidhya: Sir, firstly, on the CHF U.S. conversion rate. So -- did we see any impact on that? And I just wanted to understand where the actual impact comes in? Whether it's on inventory, cost of goods sold or the take the price hikes or every selling price goes up? I just want to understand.

Pranav Saboo: No, CHF, we didn't see any major gain or loss. There's 2 -- there were INR2 lakhs -- advantages or disadvantage?

Munish Gupta: Loss.

Pranav Saboo: INR2 lakhs loss that was taken in the year. But just to explain to you what happened -- in the quarter, there is a reinstatement in the payment, right? Because if you -- if there's credit period, the credit period will be the amount that will be paid will be at the time of payment.

So that's a onetime thing. Of course, if you buy that are more expensive, then sometimes if you haven't taken the price increase because you can't do weekly price increases or monthly price increases. We like to do -- we like to wait at least half a year before and sometimes even a whole

year before we pass on the price. So then there is lumpiness in that. And there might be a smaller or reduced margin for that time period. That's how the impact is felt.

Ultimately, it gets priced on, right? And when you price it on your current inventory, the cost or the margin on that increases. So it's set off.

Sanidhya: Sure. Sir, right now, if we see the prices are hovering somewhere between 100 and 96, 95, so let's say last quarter was 92 and we take it to 96 this quarter on an average basis. So what would be the real impact? So we have to pay at 96 when the realization comes? So likewise, we will also increase the selling price for those watches, right? So there is net -net.

Pranav Saboo: We have foreign exchange risk with not every brand. Certain brands have foreign exchange risk. There, we would feel the foreign exchange hit for some time until we increase the price.

Sanidhya: And what is the quantum in terms of overall sales for that?

Pranav Saboo: I don't have that number. I'm going to have to come back on that number right now. What I do is it would be about, roughly about -- in my opinion, it would be roughly about 50%. But going

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forward, by the way, we are in discussions to reduce this down over the next 2 years, we believe that the foreign exchange risk or gain will be reduced to less than 1/4 of our business.

Sanidhya: Any hedges that we do against this?

Pranav Saboo: No, we don't do hedges.

Sanidhya: Okay. And last

tly, on the promoter holding, so it's been continuously reducing. If you see the Ethos side, it continuously increases when we see the KDDL side. So is it like this is the going trend because there are no dividends even in Ethos as well. And so -- I just wanted to understand.

Pranav Saboo: No question for KDDL because KDDL is a promoter. I think this question needs to be taken at the KDDL holding level.

Sanidhya: Okay. Just wanted to understand from Ethos level, what are we looking for dividend policy? I know that we are getting the cash flows in the inventory, but any time soon we are expecting dividends because...

Pranav Saboo: Dividend policy, we will get back to you. We will announce -- At the moment, we are -- we want to utilize our funds for growth. We see a very long -term future for the business. I have shared with in the past, my vision for the company over the next 10 years. And we want to attract investors who share this vision with us.

Moderator: We'll move on to the next question. The next question is from the line of Ankush Agrawal from Surge Capital.

Ankush Agrawal: Firstly, can you share the share of revenues from exclusive brands and the SSG for the quarter? Secondly, in terms of our discussions with the brands, both exclusive and non-exclusive. Can you share some updates on how the discussion is going on in terms of sharing the custom duty reduction that is going to happen by the end of this year?

Pranav Saboo: So the share is approximate -- house plan is roughly around 30%. And in terms of -- this is -- of our total revenues, including preowned, et cetera, where we don't calculate exclusive brands because that's a different vertical altogether. But it's roughly around 30%. We want to grow this number.

Secondly, in terms of duty, for 90% of our brands that we are exclusive with the entire benefit will flow to us. In -- about 10% of the exclusive brands, it will be shared. This has been premade or precooked into the contracts that we have been signing up till now.

Ankush Agrawal: And SSG for the quarter?

Munish Gupta: 12.3%.

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Pranav Saboo: SSG is 12.3%.

Ankush Agrawal: Okay. And just a clarification on this custom duty. So you mentioned about the exclusive brand. In the case of nonexclusive brands, are we discussing for sharing it? Or is there something in the contract that is prepaid?

Pranav Saboo: We are discussing about sharing it over that.

Moderator: The next question is from the line of Gagan Deep from Nvest Analytics.

Gagan Deep: Sir, my question is regarding the revenue margin guidance for financial '25?

Pranav Saboo: We're not giving any guidance numbers like -- I think whatever guidances have been given are the ones that we are doing. We're not giving any more forward-looking guidance at the moment.

Moderator: The next question is from the line of Shalini Gupta from East India Securities.

Shalini Gupta: I have two questions. One is if you could just say what is the exact quantum of the second watches that you have done? Second is, sir, we are seeing that when the exclusive watches that you have -- that, I mean, the addition is coming down. So over like, say -- and where do you see your -- in light of this, where do you see your EBITDA margin and gross margin settling maybe 5 years from now?

Pranav Saboo: Thank you for the questions. Let's start with the pre-owned. The pre-owned is -- the billing is...

Munish Gupta: The billing is INR19.6 crores this quarter. It grew by 32%.

Pranav Saboo: So it's INR19.6 crores of pre-owned, which represented a growth of about 30% over the previous -- on a Y-o-Y basis, 31% on a Y-o-Y basis. Next is you spoke about how exclusive brands, and you spoke about 5 years where do we see the trend line going.

Look, we want to increase the exclusive brand portfolio, not in terms of number of brands per se, but in th

e percentage that we do over there. This will take -- I mean, it's not going to be big jumps every year, but there may be jumps that will come. We need to make changes to this. We need to create much more manpower on the new brands that takes time setting the school for this, high-cost school or whatever, it just needs much more attention, which we will be giving. We believe that we will be able to take with marketing and with training, we will be able to take up the share of exclusive brands. I also believe that EFTA will help in increasing margins. We also believe that there is room for discount reduction to take place, especially in exclusive brands because the discount is to be higher than -- even though the gross margin is higher, it still -- it's achieved despite having higher discounts, and that will also come down as deal plans mature in India.

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I do believe directionally, the margin will go up as we start to execute this strategy. Now what number that is? I don't want to give a number right now. But directionally, our way is that we want to work with these dealers to increase our margin.

Shalini Gupta: Yes. Sir, a follow-up question. You said that you did about INR20 crores of pre-owned watches business in this quarter. But this number, you should be far higher earlier. Like if I remember correctly, it was somewhere like INR50 crores something.

Pranav Saboo: That's for the year. That was for the year, this is for the quarter.

Shalini Gupta: So you see this number is going to inch up steadily to maybe like a substantial part of the sales because I think you have a niche in seconds watches. You don't have any competition. So I would think that your effort should be towards driving the seconds watches market because here you have no competition.

Pranav Saboo: So Shalini, I think that -- thank you for the suggestion. I also feel the same. However, there are challenges that are there on why we can only grow, let's say, 30% in a quarter and not grow, let's say, 100%. I'll explain those challenges to you. Number one is sourcing watches. And the number two is getting enough watchmakers could be able to open and certify the watch. We don't sell watches as in as well as conditions without opening and servicing the watch. We believe that our mission in second movement is to be the most credible place to buy and sell watches. Otherwise, anybody on WhatsApp can start a group and start selling and buying. Actually, no one has a clue on what is inside that watch. When a watch comes to us, we open it, service it, and then sell it forward. There are 2 things in this. One is that you need to legally procure the watch, which basically is watches starting after 2017 because if a watch was acquired in cash, we don't buy that watch without a lot of -- I mean, there's affidavit that need to be given, et cetera. So there's a lot of compliance that comes in.

Now, with every year, the number of watches that are obviously sold in a compliant manner is increasing in India or the watches that we can procure are increasing in India. As that population increases, we will be able to keep up with the growth and grow at this pace or even accelerate from here. But until now, this has been the reason why we haven't been able to grow 100%. Number two is training enough watchmakers to be able to open these watches, service these watches and give a warranty on these watches. So in this effort, our first service center is working on full capacity. We will be opening a second service center in South India in this quarter that will double our capacity.

We are bringing in a major agency from Switzerland to be able to train 16 master watchmakers every year starting next year to help in this business and, of course, the aftersales business as

well. So these are the efforts and these are the underlying challenges that prevent us from, let's say, doubling the business.

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Yes, it is true. Competition is lower in this, but we need to be sure that we don't get into a short-term deal, a getting tempted and doing business without opening checking the watch and certifying the watch fully, so that the customer at the end knows that Ethos, the name is the most credible name in watches and future luxury products.

Moderator: The next question is from the line of Shreya Jain from Niveshaay .

Shreya Jain: I wanted to know about the details of the Favre Leuba sale. Can you provide the details on that? How many pieces have been sold this quarter? And how are things improving in terms of acceptance? My other question was the global swiss watch export has been facing some issues in major geographies like U.S. and China. Is there any global slowdown with respect to luxury watches? Can India also face some slowdown in demand in the coming year due to this various geopolitical turbulences?

Pranav Saboo: Favre Leuba is only launching globally on 29th of August. We are showing that first collection which is coming up after the revival of the brand, right? Favre Leuba is the world's second oldest watch brand and has 287 years of history. It was an incredibly iconic brand. And the team at Silvercity has been working very hard to be able to bring these to turn around the company and bring these watches within 1 year or within a very short time frame to the market. So this will be the first time the collection will be showcased over here.

In India, we still have some of the incredible time pieces from the previous collection, but those are not available globally. So it's hard to give any numbers right now of Favre Leuba, particularly, at least inside Ethos, we will not be giving such numbers on public platforms anyway. We will be reporting the -- Silvercity will be reporting its numbers. But Silvercity has not started global sales yet. Global sales of Favre Leuba are expected to start with deliveries taken with first showcasing the collection to journalists and retailers from around the world on August 29, at Geneva Watch Days. Delivery starting in December and January.

Your question was, can India also face a slowdown. I mean, I think theoretically, anything is possible. I can't say on -- I don't want to predict on what the market in India will be or future will be in India. We are confident of our growth. July has been a record month for us. That's all I can -- that's all I will leave it at. We are not afraid. We are going to continue with our plans, but it would be sort of wrong of me to say can something often or can -- is there a 0.1% chance or is there a 10% chance, I can't really say that.

All I can say is, July was great. We didn't -- the only reason we saw a slowdown in -- or a lower-than-expected number was in April, May, June was because of the extended heat wave, the election restrictions, supply logistics, which was the major floods that took place in June due to which a large number of our shipments didn't come in and we lost sales because of that. And we finally took the opportunity to implement our ERP after 15 years of using the previous ERP due to which we had to take a 3-day shut down.

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Moderator: Our next question is from the line of Perna Amana from Pinars Partnership.

Perna Amana: Congratulations on a good set of numbers. Could you please give me the volume data or the number of watches it sold in this Q1 versus last Q1?

Pranav Saboo: I'll let the CFO answer that question .

Munish Gupta: So in April to June, we sold 13,245 watches. And in last year, April to June '23, we sold 14,070 watches. Apparently, it looks like there is a degrowth. But as Pranav mentioned that, above INR2.5 lakh grew by 9.5%.

Pranav Saboo: Above INR1 lakh grew by 2%, and this was also

the price point between INR50,000 and INR2 lakhs was hit because of election and model code of conduct, which prevents the transportation or moving with cash about INR50,000.

Prerna Amana: Sir, just to get it right, about INR2.5 lakhs is 9%?

Munish Gupta: 9.5%.

Prerna Amana: 9.5%. And below INR2.5 lakh, what?

Pranav Saboo: So above INR1 lakh -- the data cut that we have at the moment is that above INR1 lakh, which is what we normally have been talking over the last 2 or 3 quarters has been 2%. We wanted to show above INR2.5 lakhs because at INR2.5 lakhs MRP, that's after discounts, you can't get -- you still can't use cash anymore over there. Because if the billing is above INR1,99,000, you have to use cheque or financial means like RTGS or whatever, that's where we have the maximum growth. The cash sales were impacted due to election restriction.

Moderator: The next question is from the line of Ankush Agrawal from Surge Capital.

Ankush Agrawal: Sir, one thing I wanted to understand is on the gross margin front. So I think we have been seeing a slight reduction in gross margins for the last few quarters. Earlier 2 quarters it was some because of the higher exchange rate.

But this quarter, despite the fact that last 2 quarters, we have seen exchange rates reduced. And this quarter, we have seen a major uptick in, say, the share of higher luxury watches in sales. We have not seen any expansion in gross margins from -- though you mentioned some discounts and July has been the record month in terms of gross margin...

Pranav Saboo: There's nothing more to be add over there. I think that, that question has been answered by you itself that -- we didn't do marketing, and we did -- we have offered instead.

Ankush Agrawal: But directionally, I wanted to understand is all the benefit of this increasing share of, say, higher and higher ASP, higher share of exclusive brands, which we have not seen a last 1 -odd year. So would that start playing out...

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Pranav Saboo: Higher ASP doesn't have higher margin. Higher ASP doesn't have higher margin. Exclusive brand have higher margin, not higher -- ASP doesn't have higher margins. That's not -- it's still the same. It's not -- I wish it won't, but that's not case.

Munish Gupta: And just to add on that, if you see the overall reduction in the margin, if you compare it with FY '24 or EBITDA last quarter, there is also a difference in some points. It's even less than 1%. So it's not a substantial number. And of course, some part will be covered in the rest of the year.

Ankush Agrawal: The second thing I wanted to ask was, I mean, last quarter, we made this comment that we are in discussion with one of the major lifestyle brand in terms of Ethos becoming a retail partner for them. So, has that discussion move forward? Or it was covered under your commentary that you're discussing with 7, 8 major lifestyle brands.

Pranav Saboo: Exactly under that. So these things take 15 months at least, right? And before, we are -- before contract is signed. Before contract signature, I don't want to talk about it. All I can tell you is that we are trying -- the reason I'm informing you is that -- we're taking the Lifestyle business seriously.

RIMOWA was the first step and the proof of concept for us that we can do well over there.

Messika will be the second now with the proof of concept doing well in pop-up or a multi-brand format. We will now move to a full boutique format. And then we are in discussions with other brands to bring them in. What I would like to say is that the Lifestyle business is not going to be just a RIMOWA-led business or a Messika-led. We have ambition to go beyond.

Ankush Agrawal: And just for clarification, what comment are you making around INR1.5 crores to INR2 crores per month that you're making from a small store budget for RIMOWA or Messika?

Pranav Saboo: RIMOWA.

Moderator: The next question is from the line of Akhil Parekh from B&K Securities.

Akhil Parekh: I just have one question, a broader question on the business model. You have grown fantastically over the last 4, 5 years. But if I look at our operating cash flows, we continue to remain weak.

And I understand part of it has to do with the kind of business model we have. So as our ASP continues to go up, our inventory cost will continue to move up and the working capital also rises. So are there any levers of improvement for operating cash flows? And if not, does that imply as we become bigger, I will have to be dependent on external capital raising to grow our rates.

Pranav Saboo: A very relevant question. I think that, of course, beyond a certain percentage of growth, you need external capital if you want to grow beyond a certain percentage of growth. We do not believe that is the case. The reason that today you see high - the number of deals not reducing - is not because of the same brands of the same store requiring money. Where the money is going right now is to put it into absolutely new brands. We believe that the next 10 years for India is going to see massive growth in this domain.

We want to be sure that we capture all the brands, right? All the brands may not be successful, right? And after 3 years, we will remove the brands from our portfolio that are not successful. But at this point of time, we want to make sure that every brand coming into the country first gets a chance with us. If it doesn't work, we will drop it. To drop it just means there is no obsolescence in these, right? You will just discount it a little bit more and then provide offers or sell it back to the brand.

Therefore, today, what we see is not necessarily how it will go in the future. If you look at other retailers around the world for watches, their months of stock is far lower than our months of stock. And ultimately, in a mature market, we will also get there. But right now, we would rather all on the side of using this money, making sure we block all the brands, testing what is working, and completely dominating the market on that side on everybody coming in. That's our plan right now.

Also, of course, with the number of stores that are opening right now, we have many openings in these last 2 years. And right now, you have to buy the stock ahead of time, right? So you're buying the stock ahead of time, it's lying in warehouse, it hasn't opened. But it's not going to be always like this. So there are a lot of levers that are in place that we will use to bring this under control at a later stage.

Moderator: Ladies and gentlemen, due to time constraints, this was the last question. I would now like to hand the conference over to the management for closing remarks.

Pranav Saboo: Thank you, all for -- thank you everyone. I hope we have answered all your questions satisfactorily. However, if you need any further clarification or want to know more about the company, please contact SGA team, our Investor Relations Advisor. Thank you.

Moderator: Thank you very much, sir. On behalf of Ethos Limited, that concludes this conference call. Thank you all for joining us, and you may now disconnect your lines. Thank you.

Call: Nov 2024

Ref. no. : Ethos/Secretarial/2024-25/56

Dated: November 12, 2024

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001 Exchange Plaza, C -1, Block G,
Bandra Kurla Complex, Bandra,
Mumbai - 400 051

Scrip Code : 543532
Trading symbol : ETHOSLTD

ISIN : INE04TZ01018

Subject : Regulation 30 of the SEBI (LODR) Regulations, 2015 – Transcript of conference call
Dear Sir/Ma'am

Greetings from Ethos.

This is in furtherance to our letter dated October 23, 2024 intimating the schedule of the conference call for Friday, November 8, 2024 at 4:00 p.m. IST.

In this regard, we are enclosing herewith the transcript of the aforesaid conference call, held inter alia to discuss operational and financial performance of the Company for the quarter and half year ended September 30, 2024, pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015. The same is also available on the website of the Company www.ethoswatches.com.

We would request you to please take the same in your records and oblige.

Thanking you

Yours truly
For Ethos Limited

Anil Kumar
Company Secretary and Compliance Officer
Membership no. F8023

Encl.: as above

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"Ethos Limited
Q2 & H1 FY25
Earnings Conference Call"

November 08, 2024

"E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 8th November 2024 will prevail."

MANAGEMENT : MR. PRANAV SABOO – MD & CEO
MR. MUNISH GUPTA – CFO
MR. MUKUL KHANNA – COO
SGA – INVESTOR RELATION ADVISORS

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Moderator : Ladies and Gentlemen good day and welcome to the Q2 and H1 FY25 Earnings Conference Call of Ethos Limited.

This conference call may contain forward -looking statements about the company which are based on beliefs , opinions and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder all participant s' lines will be in the list e n-only mode and t here will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Pranav Sab oo – MD and CEO , Ethos L imited. Thank you and over to you sir.

Pranav Saboo: Good evening, everyone. Thank you for joining us on the Ethos Limited Q2 and H1 FY25 earnings conference call. I hope everyone had a chance to view our financial results and investor presentation which were recently posted on the Company's website and stock exchanges. I am accompanied by our CFO ; Mr. Munish Gupta , our COO ; Mr. Mukul Khanna and SGA ; our Investor Relations Advisor.

Let me start directly with our "Performance ":

For Q2 FY25 versus Q2FY24 ,

Revenue from operations is up 26.3% to Rs. 297.1 crores in Q2 FY25 as compared to Rs. 235.2 crores in Q2 FY24. Revenue from exclusive brands stood at 31% of the total revenue in Q2 FY25. Billing of CPO stood at Rs 23 crores in Q2 FY25.

EBITDA for the quarter grew by 16.1% year -on-year to Rs. 48.2 crores in Q2 FY25 as compared to Rs. 41.5 crores in Q2 FY24. EBITDA margin stood at 15.9% in Q2 FY25.

PAT grew by 14% to Rs. 21.2 crores in Q2 FY25 as compared to Rs. 18.6 crores in Q2 FY24.

PAT margin stood at 7% .

For H1 FY25 versus H1 FY24 :

Revenue from operations is up by 22.6% to Rs. 570.4 crores in H1 FY25 as compared to Rs. 465.2 crores in H1 FY24.

EBITDA grew by 22.2% year -on-year to Rs. 98 crores in H1 FY25 as compared to Rs. 80 crores in H1 FY24. EBITDA margin stood at 16.8% in H1 FY25 as compared to 16.9% in H1 FY24.

EBITDA margin impacted due to an additional cost in H1 FY25 attributable to the following

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FOREX fluctuation , increased manpower for new store additions , rental for new stores which are in the nascent stages of sales .

PAT grew by 19.9% to Rs. 44 crores in H1 FY25 as compared to Rs. 36.7 crores in H1 FY24.

Inventory days, as on 30th September stood at 177 days. Cash and bank balance stood at Rs. 271.4 crores as of 30th September 2024. Our ASP for H1 FY25 stood at Rs. 2, 15,952 as compared to Rs 1.87 lakhs in H1 FY24. Share of luxury and high luxury watches for H1 FY25 stood at an all-time high.

The first half of FY25 was marked by several challenges ; starting with the extreme heatwaves that led to more customers spending time outside of India extending their holidays. The general election resulted in slower cash movements , heavy rainfall in certain areas, fewer walk -ins, and a decline in weddings, which were key challenges that were faced. Logistical challenges also arose due to natural calamities and extreme weather in Switzerland in June. The 'shradh' period was also a mismatch in Quarter 2. All of these factors significantly impacted our business activities. Despite these obstacles we achieved revenue growth of 22.6% in H1FY25 reaching Rs. 570.4 crores compared to H1 FY24. Our overall volume increased by 17% in Q2 FY25 and 5% in H1 FY25 on a Y OY basis . Our average selling price rose to Rs 2.16 lakhs from Rs. 1.87 lakhs in the first half.

Further we are optimistic about the 3rd Quarter which includes major festive events and an increase in weddings. Tradit

ionally , this period brings a surge in consumer spendings and early signs are already encouraging. In October we had a record month with a 47% year -on-year growth. Looking ahead we are confident that the festive season and heightened wedding activities in Quarter 3 paired with our continuous efforts in operational excellence and customer engagement will drive robust results. Additionally, our same store growth for the first half of FY25 demonstrates strong progress , reaching 15.5% in H1 FY25.

Let's now discuss some factors around Quarter 2 :

It is also worth noting that the 'shradh' period , which typically affects business activities, occurred in Quarter 2 this year as compared to Quarter 3. This improvement signals the effectiveness of our strategies and lays strong foundation for the growth . During the quarter we experienced significant fluctuations in foreign exchange particularly with the INR against the CHF . This movement had a notable impact on our financial results resulting in a FOREX loss of approximately Rs 4.65 crores. Excluding the FOREX fluctuation our actual EBITDA for Q2 would be Rs 52.9 crores with a growth of 27.4% Y OY and for H1 it would be Rs 102.7 crores with a growth of 28.1% Y OY and margins of 17.5% and 17.6% respectively. Similarly, PAT would have grown by 32.7% to INR 24.7 crores in the quarter.

Also, this performance has come in despite a far greater number of renovations taking place in Quarter 2 than normal. The number of boutiques under full renovation represent s 20% of our business. We had accelerated the renovations in preparations for many large brands that want to

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enter India in the next year and the coming years. At the beginning of the year, we announced our plan to add 20 new stores by FY25. We are pleased to report that from April 2024 to present time, we have successfully opened 12 stores with a total capital outlay of Rs. 35 crores. Looking ahead we are actively working on adding 13 more stores before the end of FY25. This expansion aligns with our growth strategy and commitment to increasing our market presence. Each new store is carefully selected based on market potential and consumer demand , ensuring that we continue to meet the needs of our clients effectively.

We are excited about the opportunities these expansions will bring and remain dedicated to delivering quality service in every location that we open. Regarding our brand partnerships , we are pleased to announce that since April 2024 , we have signed exclusive agreements with three more brands which are ID Geneve , Singer Reimagined and Haut lence. These partnerships reflect our commitment to curating diverse luxury watch brands and bringing these luxury watch brands to India that resonate with our customers and enhance our product offerings.

Ethos has become the preferred partner for many international brands looking to establish a foothold in India , reflecting our dedication to quality , reliability and market expertise . Our team proactively communicates with these brands to cultivate solid partnerships and strategically expand our portfolio. Through these collaborations , we aim to bring a broader selection of world - class luxury brands to our valued clientele and enhancing the diversity and sophistication of our offerings. We look forward to sharing more details about these upcoming partnerships in the near future. We are delighted to announce that our progress on our inaugural Messika Jewellery Boutique at Chanakya Mall , Delhi, is well underway. Currently in the setup phase , the boutique is on track to open its doors by January or February of 2025. This new boutique promises a refined and immersive experience , highlighting Messika's exceptional craftsmanship and exquisite design collection.

We are excited also to hear about the successful global launch of Favre Leuba in Geneva on August 2

9th, 2024 . Ethos has entered into the long-term exclusive agreement with Favre Leuba for India, and we will be proud to bring the brand into our brand portfolio. In our pre-owned segment, the certified pre-owned business, which is Second Movement , it has experienced a 25% year -on-year growth , reaching billings of Rs. 43 crores in H1 FY25. As a part of our strategy, we are focusing on acquiring more high value watches on a consignment basis and receiving a tremendous response. Customers increasingly recognize the value of purchasing from an organized and trusted source. We are actively working to expand this segment and we anticipate good traction moving forward. Thank you and now I open the floor to questions and answers

Moderator : Thank you. Ladies and gentlemen, we will now begin with the question -and-answer session. The first question is from the line of Devan shu Bansal from Emkay Global.

Devanshu Bansal : Pranav , there has been a recommendation of this potential increase in GST by a group of ministers. The decision though seemingly hard to understand for several reasons. But my first

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set of questions is to better understand few things here. So currently my checks are suggesting

that India pricing is currently 5 % to 7% cheaper versus global destinations , partly because the Swiss franc has appreciated versus the INR and the corresponding MRP increases are yet to be revised. So, what is the extent of price increase that we are expecting at the start of next calendar year basis the revision to say 99 or whatever the current conversion rate is there?

Pranav Saboo: Do you want to ask your second question as well?

Devanshu Bansal: I understand it is a difficult projection as of now. But typically, what is the elasticity of demand to such price increases , in case there is a historical precedent to this? And thirdly brands also have significant benefits from this free trade agreement that India has sort of signed. So, is there any willingness to sort of partially allocate some of those savings to keep the India pricing comparable in case this GST increase sort of actually fructify ?

Pranav Saboo: They're all sort of related questions so let me try and answer as much as I can. First of all, currently the India pricing is a little bit lower. It's become a little bit lower because of the exchange rate and traditionally also India has always been priced aggressively. However, even in brands that are priced a little bit higher , we don't see much of a challenge right now in terms of sales coming through. But right now, price increase will happen if and when it happens will happen on two acco unt s. One is if there is further FOREX movement then that will be priced on. But that will always be happening , if the FOREX moves ultimately the price will adjust to the foreign exchange. If foreign exchange is stable and the GST increases , the revenue neutral price increase is likely to be 8%. I don't think that brands will take a full 8% increase in price if that comes. I don't think it's required as well. Anyways the consumer offers now in India are much higher than the rest of the world. It can be lowe red. I don't see a major impact in our sales up to \$50 ,000. Apart from \$50 ,000, we will also have options that we are discussing with the brand s. Should the GST come in , now, will the EFTA benefits be passed on? Of course they will be passed on. Everybody wants to take in India very ser iously right n ow. Everyone is very bullish about the India market. I don't think the GST is a big dampener if it comes. And again, I want to highlight , this is the fact that we are in discussion with the right representatives of the government to also give our views on how it can be beneficial for the country to have a lower tax rate as it will increase tax revenues in the future if and when it c omes. I don't want to d

iscuss

more on this matter because it's not really out yet. It's just a group of ministers that have passed it on. Let's see if and when it comes.

Devanshu Bansal: I just want to check currently our inventory that what levels of CHF to INR conversion ?

Pranav Saboo: It's a lot of different brands , right. So , there's no one fixed rate as such because it's a basket of 60 brands. So , I don't have that answer in a ready format . But realistically you can go on the websites and see , it's roughly just 1 or 2 maybe 3 % or 4% lower on average. This is I am just giving an average figure. There are many brands that are higher as well that don't even need that increase because the margin is already coming up higher than what is required.

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Devanshu Bansal: Second just I wanted to also sort of understand , we have so far till October I guess open ed 12 stores on a gross basis ?

Pranav Saboo: That is correct.

Devanshu Bansal: So, the inventory and CAPEX together is about Rs 135-odd crores. So that amounts to about Rs 11 crore s if my calculation is right . So, is it like some of these investments have been made in existing stores, or this Rs 135 crores is entirely for these 12 new stores ?

Pranav Saboo: No, it's also the inclusion of new brands that were signed on in the last year going into more brands , like a brand like Ulysse Nardin which we signed last year would have been only two stores is going into new existing stores as a n ew brand we've launched with Tudor now. Tudor we are going to be with more points of sale. So that's going to be more points of sale that will open up that means more brands coming into existing points of sale. So, it's not all into new stores.

Moderator: The next question is from the line of Yash from Stallion Asset.

Yash: So just on the initial commentary I wanted to confirm that you see in October month you saw 47% growth Y-on-Y?

Pranav Saboo: That is correct.

Yash: It seems that you have a good momentum already and how do you feel November and December will go through? Are you seeing more demand?

Pranav Saboo: I don't want to give those comments right now. I don't want to go into a monthly thing. All I can say is October was great. We feel confident about the future.

Yash: And so just again on the GST, the tax hike that we've had . What are the comments from the brand owner's perspective? I just wanted to check. You said something about up to 8% price hike. I wanted to get some clarification on that.

Pranav Saboo: I think the comment from brands is that India will remain a focus for the future, and we have to figure out a way on this GST increase. The 8.5% is that if you want to remain at the same

revenue , net-off taxes , you need to take an 8.5% price increase. But you don't need to necessarily take an 8.5% price increase. It can be a 5% price increase and a 3.5% decrease in discount or 3.5% borne by the brand. So, there are many combinations that are available . At this point of time, this is all hypothetical talk. So , I am not entertaining too much talk on this because when it happens , if it happens then we will see and we will find a way. I remain confident of the ability of our management to be able to steer the company through this without changing our 10 year vision.

Moderator: The next question is in the line of Ankush Agarwal from Surge Capital.

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Ankush Agarwal: Firstly , I want to understand a bit about this FOREX impact . So can you explain this Rs 4.65 Cr that we have booked in Q2 , where it's sitting exactly ? Is it in other expenses or mostly in the cost of goods?

Pranav Saboo: It'll be in cost of goods and vendor margin that you will see the impact.

Munish Gupta: So Ankush just to update on that , there are two parts, one is where we have got the credit so it's getting settled in July to

September period. And secondly whatever payment we made during this quarter . So Rs 2.34 cr is in exchange fluctuation and the balance is in the cost of goods sold.

Ankush Agarwal: So two point something that you said , it is in other expenses , right?

Munish Gupta: Yes, that's correct.

Ankush Agarwal: Just one more clarification over here. The other expense bit has increased Q -on-Q from say about Rs 31.5 Cr to Rs 39 Cr. So, what explains this sharp jump? I mean some bit of it is obviously rent but other than that was there something else during this quarter?

Munish Gupta: So Ankush as Prana v mentioned in the earning call, this year we have added 12 boutiques. As of these boutiques are at advanced, we have just opened. The revenue will pick up over the period. So, there is additional expenses on account of manpower and rental.

Ankush Agarwal: The next question I want to ask Pranav is, do you think that the benefit of EFTA and custom duty cut would flow into higher margins in H2 or do you think a more realistic outcome would be that we would see benefit of the same flowing into gross margins from next year onwards?

Pranav Saboo: EFTA hasn't yet started , so EFTA will start in the next year. It's not going to start this year.

Ankush Agarwal: So next year is when we would see that first impact.

Pranav Saboo: That's correct.

Moderator: The next question is from the line of Vinamra Hirawat from JM Financial.

Vinamra Hirawat: You have guided for 13 more stores to be opened before the end of the year . Looking to FY26 and beyond , now that we have stores in most of the large cities , multiple stores in some cities .

Are we still seeing the same type of 20 -25 store openings as we expect to see in FY25?

Pranav Saboo: The opportunity definitely exists for that , there's a lot more that goes into , it's not just the location and the potential. We have to have enough manpower. The brands have to be tied in because they're multi brand stores. Each store takes in 20 brands. It takes time to bring it in. But is there an opportunity in the next 5 years to open 20 stores a year , yes.

Vinamra Hirawat: I had a question on market share. Is there any data you have as to what's the market share of Ethos in the luxury watch market in India and how?

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Pranav Saboo: I have no factual data on this.

Vinamra Hirawat: And how are we insulating ourselves from new or unorganized luxury watch sellers?

Pranav Saboo: I think we are authorized and they are not authorized. That's the first one. And I think the difference is in several things. I don't want to go into the difference between unauthorized , I think our customers come to us because we are authorized .

Vinamra Hirawat: Unorganized luxury watch sellers or new authorized watch sellers in the country.

Pranav Saboo: I am going to ask Mukul , our Chief Operating Officer to be able to answer that question. He can do a better job than I can for that answer.

Mukul Khanna: I think there are multiple differences between organized and unorganised players . I think our strength lies in :- a) they have to get in terms of giving a customer single experience across the country , so he can walk into any of our stores with any of the brands we represent and get servicing done across the country ; b)we are also able to sell a large variety of brands which we stock which nobody else has got in the country ; c) we've got a very potent and significant marketing muscle which operates only if you have got scale that works to our advantage. We've got 250k nearly Instagram followers , we get around 60 k business through a website . All of those help in terms of building out our entire differentiation with us. Beyond that we've got our entire customer service team. We've got a concierge service , so a bunch of differentiators which play towards why customer chooses Ethos as its fi

rst and primary choice when it comes to buying a luxury watch.

Moderator: The next question is from the line of Kalpit Narvekar from EFG Asset Management.

Kalpit Narvekar: I guess it's partly answered but just to get some color on this. So essentially the duties that the government is talking about from 18 % to 28% which is a 10% kind of an impact . So just on two points . One is from a demand elasticity perspective , which refers to the people who buy luxury watches, etc. Does it really impact you if you cannot straight -up pass through these hikes from a demand elasticity perspective ? And the second thing is that there was potential margin expansion from this Swiss duty cuts right over the medium term. But seems like at least a part of that margin expansion could be reversed because of this GST hike. So, what are your thoughts on these two?

Pranav Saboo: On the GST matter , I think it's better that we comment if and when it happens. I think the elasticity and inelasticity of luxury products is well known. I don't want to comment on what will happen , what could happen , if and when . When it happens, we will see what happens. I know the strength of our management lies in its resilience and we have always been able to work through regulatory changes and add value for all our stakeholders. I think we are in discussion with the regulators , with the government and when and if it happens, we will talk about it then. In terms of EFTA, the EFTA is a groundbreaking agreement. It will reduce customs duty and it will impact our bottom line in a positive manner. It will open up the market for Switzerland.

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And I do not believe that our vision will change for our long-term goals will change due to any of the changes that perhaps may be spoken about.

Kalpit Narvekar: And one more question from my side. So, you spoke about like October being very strong , is it like +40% or something? So, are you seeing this growth driven by more from SSG pickup? Has the SSG picked up, and do you expect that to continue in the second half and FY26 like SSG picked up potentially?

Pranav Saboo: I think that all I want to say is that October was a great month. We grew by 47% , H1 it was 15%. The volumes are fantastic. The mix of growth , the quality of growth is fantastic. I am happy with the direction that we are taking. I don't want to go into what will happen in November and December and Jan . I've already mentioned what's happened in the past. That's the best way to leave it over there.

Moderator: The next question is from the line of Harsh Shah from Bandhan AMC .

Harsh Shah: So, Pranav just wanted to know the progress on Rimowa and where do we see probably this vertical growing in let's say over the next 3 to 5 years there ? Also, in this space of this luxury lifestyle detailing we have Rimowa and Messika and if you could talk about the progress or the steps you are taking to kind of ensure or to get more brands. So as in what is the process and how long is the gestation period or the negotiations with the brand and what kind of segments are we focusing on going ahead let's say 3 to 5 years ? So, your comments on that as well.

Pranav Saboo: Rimowa as you know, we're just about celebrating one year of us opening the boutique. It's been a fabulous experience. It's the first time that we did a boutique outside watches. It's one of our most profitable boutiques. We are going to be expanding that business. In my opinion over the next 5 years , we are going to at least target an 8 X to 10 X increase in the business of just Rimowa itself. We have more brands in the luxury luggage category also coming in, in the future. Perhaps they're not as well known as Rimowa, but in the next quarter we will also announce a few of those . In terms of Messika as you know we had no boutique. It was a part of one store , one watch

boutique that we did as little pop up inside it. We had incredible results , very encouraging. And that's when we've decided to go into a full boutique. The full boutique launch will take place in February. I am sure it will be a flying success, and we hope to open 8 to 10 boutiques more of Messika in the next 5 years. This requires us to create the first proof of concept and then our real estate team needs to work very closely with the team in Paris to ensure that they have the right locations and that both Messika and Ethos also feel comfortable in opening these boutiques. But I am confident that our entry into the international jewelry sector which will happen in February , will be a flying success and will open several doors for us in the future. As you know the size of the jewelry business is significant and it's something that we want to take small but calculated and yet steady steps into . Talking about other brands , we are discussing large marquee brands. I will be traveling in this quarter again in Europe to have further discussions. These brands typically have 12 to 15 month ss, let's say gestation period before open boutiques . Those discussions have now started. They are into the high luxury segment , both fashion and accessories. They're some of the greatest brands that have been built in luxury. I do not want to

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take names into it but it is something that we are working towards building it up. Whether it will happen when it will happen, we don't know yet. I don't want to give any firm dates until we have contracts signed. All I can say is that we are working steadily towards bringing marquee brands into India and our view has been that we know the luxury customer, we know the luxury brands, we know the stakeholders in luxury, and we believe we can do a fine job in bringing luxury brands and serving the aspiration of the Indian customer.

Harsh Shah: So just a follow up there Pranav, basically in terms of team, right now that probably we are expanding in this luxury lifestyle and retailers as well as apart from watches in Rimowa, Messika and other brands as well. How do you think about developing a team there separately because again we are in incubation phase, talking to many brands there. So how is that in place there?

Pranav Saboo: I think look any diversification whether it is even though it is connected with a luxury theme, it requires of course—to do a good job it requires—the best team and I am sure we will be able to integrate and add to our existing team to be able to build that structure out. Of course, we are thinking about how we are going to structure this in terms of manpower, in terms of reporting etc. But I think those are internal discussions, and we will be able to solve it. We will be able to solve for it just as we have for Rimowa and Messika. As more brands continue to come in, we will continue to strengthen both the HR structure and all the infrastructure around it to be able to ensure that we make the lifestyle division a flying success.

Moderator: The next question is in the line of Manish Poddar from Invesco Asset Management.

Manish Poddar: I just had two questions. First one was, how is the traction for Favre Leuba and just what is the go-to market plan now with this? Are there certain benchmarks or let's say timelines one should think X number of stores by the end of this year? Just in terms of going to market, how is the initial acceptance or reactions?

Pranav Saboo: So, Favre Leuba hasn't launched in India yet. Favre Leuba was launched globally. The Silver City team informed me that it was a flying success in Geneva. They said that they have interest from around the world. The manufacturing is taking place. Remember that in Geneva it was a product showcase. So we were showing the Silver City and the Favre Leuba team was showing the w

atches to media and to potential partners worldwide. These potential partnerships are taking place as we speak. The launch in India will be in January. On 10th of January there will be a launch at the Swiss embassy. On 11th of January is another launch at the Formula One circuit celebrating motor cars and the association of Favre Leuba with it. And we have from 12th of January onwards the Favre Leuba watches will be available across 40 boutiques in India along with a strong digital marketing campaign which will start at that time.

Manish Poddar: So, Pranav, any sense on how is the broader acceptance or let's say I am not sure if the pricing which was shown at the Geneva show. I am just trying to think about how the product acceptance and pricing of the product being accepted just in terms of the brand and channel partnership, any thoughts on that?

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Pranav Saboo: I mean what like what I can tell you is that there's already pre-orders which is for January taking place. We already have pre orders of more than 100,000 Swiss francs already at zero discounts.

There is retail acceptance, and from around the world retailers are accepting it. There is the common theme is great value for money, great designs, great heritage and I feel confident that the Silver City and the Favre Leuba team in Switzerland will do a very good job of establishing the brand. It's why we are proud to be taking the brand into Ethos as well.

Manish Poddar: So, have you started keeping jewelry in the Ethos store also? Just some clarity I thought.

Pranav Saboo: It was a pop-up that we did to do a dipstick and check how it's performing. We did that with Messika in one of our boutiques and we did it with Bvlgari in our boutique in Hyderabad. So, it's only two boutiques that we tried it in.

Manish Poddar: How was the feedback?

Pranav Saboo: Very good. But we will go into boutiques. We want to focus on jewelry through a jewelry boutique. Later in the future we may return to that. But right now, it is that we want to establish boutiques first.

Moderator: The next question is from the line of Akhil Parekh from B & K Securities.

Akhil Parekh: My first question is on the return on capital employed as we expand more into Tier-II cities. I believe the sales throughput won't be similar to what we see in Tier-I cities basically. So, is there a differential between the return on capital employed at the stores in Tier-I versus Tier-II cities?

Pranav Saboo: We don't really see too much of a difference right now. The capital requirements and the expenses are lower in Tier-II cities. But so is the sale is also taking time. So, it's hard to say right now. But ultimately, I believe it will equalize and roughly be the same.

Akhil Parekh: And second and last question again on the stores opening in Tier-II cities. Like how do we ensure the quality of servicing remains consistent as we expand further into Tier-II cities? What are some of the steps possibly which company is taking to maintain the service quality?

Pranav Saboo: Mukul , the chief operating officer will take this question.

Mukul Khanna: The first thing which we are doing is obviously all of them are run by company personnel. Each and every new employee goes through a 15 day intensive training program , post which we've got a certification program. We've got four levels of certification which happen over the employee's tenure in the company. So, this is something which all our frontline members go through. Besides that, we've got standardized templates for our stores in terms of the way the look and feel is , we have got central teams which manage that . We have got central call centers to manage any customer complaints. So, all in all this ensures that we have got a standardized experience for our customer.

Moderator: The next question is from the line of Sourav Mondal

dal from RK Advisory.

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Sourav Mondal: My question is on second hand segment. So, what is the growth in this quarter and if you brief about sharing the revenue of the second -hand segment in the revenue.

Pranav Saboo: We had the numbers for H1 . For the YTD number is 33.6% growth in the pre -owned sector

Munish Gupta: So, in April to September first half of the year , the overall revenue touched Rs. 43 crore s or billing of Rs 43 Cr against Rs 32 crore s in the same year-on-year basis . The overall growth is 33%. And as Pranav mentioned in the call , it's picking up very well and we foresee 20% growth in the projected year and the remaining year.

Sourav Mondal: So, my next question is the median selling price close to average selling price or it is lower ? And another one if you give some color on the management expected SSG for next 2-3 years.

Pranav Saboo: As I mentioned our SSG has been 15.5% in the last 6 months. Our goal is to increase our overall revenue, and our overall business will be 10times in 10 years. I think it will be a healthy mix of same store growth and new store addition.

Sourav Mondal: I asked about median selling price , so is it close to average selling price or is it lower?

Pranav Saboo: I don't have that piece of data right now. I think we will have to circle back to that. I know our average selling price has been Rs 2.15 lakhs. I don't have the median right now but it's going to be lower.

Munish Gupta : So average selling price grew from Rs 1.87 lakh to Rs 2.16 lakh in H1.

Moderator: The next question is in the line of Ankush Agarwal from Surge Capital.

Ankush Agarwal: Just a clarification. So , we added 5 stores during the quarter and did we close any stores this quarter or the 2 stores close in October?

Pranav Saboo: How many store additions was that ?

Ankush Agarwal: You have 5 stores in Q2.

Pranav Saboo: We've added 12 stores in H1 .

Ankush Agarwal: I was trying to understand the store count as of Q2 end .

Munish Gupta: So last year we closed at 62 stores and in Q1 we added 3 stores Q2 , 5 store. So the total store is 70 and out of which 2 stores were closed in Q2 and as of now the total store count is 72. In October we opened 4 stores .

Pranav Saboo: And the 2 that are shut down they're not shut down. They have been combined. Three stores have been combined into one store. So therefore, the store count will come down but the overall

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revenue will increase in this case . We are combining three different boutiques into one boutique in a location , this is under renovation right now.

Moderator: We will move on to the next question and that will be our last question from the line of Yash from Stallion Asset.

Yash: Just one question , so irrespective of the fact that we get the tax hike or not , we will be able to maintain our gross margins at 30% .

Pranav Saboo: Irrespective of what?

Yash: Of the GST price hike. I mean you said that it's still uncertain. I mean we don't know how it's going to play out. But I just wanted to understand if the gross margins of your company can be maintained at 30%.

Pranav Saboo: I do believe that. Again, as I mentioned I don't want to go into something that is when and if it happens, I am sure our management will make sure that our 10-year vision doesn't change. I can't comment about what will happen in a quarter or two quarter. Overall, yes, I think we will be able to maintain and grow those margins.

Moderator: Thank you. Ladies and gentlemen , that was our last question. I now hand the conference over to the management for the closing comments.

Pranav Saboo: Thank you everyone for your time today. I trust we've addressed all your questions thoroughly. Moving forward we will be hosting our earnings conferences half yearly. Should you need any

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Additional information or clarification about the company , please contact the SGA team , our Investor Relation Advisors . Thank you very much for being on the call today.

Moderator: Thank you, members of the management team . Ladies and gentlemen on behalf of Ethos Limited , that concludes this conference call. We thank you for joining us and you may now disconnect your lines. Thank you.

Call: May 2025

Ref. No.: Ethos/Secretarial/202 5-26/24

Dated: May 20, 2025

Corporate Service Department
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001

Scrip Code: 543532
ISIN: INE04TZ01018 Listing Department
National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex, Bandra,
Mumbai - 400051

Trading Symbol: ETHOSLTD

Subject: Disclosure under Regulation 30 of the SEBI (LODR) Regulations , 2015 - Submission of Transcript of the Earnings call conducted on May 15, 2025

Dear Sir/Madam,

Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of the Earnings call conducted on May 15, 2025 with Investors/Analysts in respect to the Audited financial results of the Company for the quarter and year ended March 31, 2025.

The above information will also be available on the website of the Company.

You are requested to please take on record the above -mentioned information for your reference and further needful.

Thanking You,
Sincerely,

For Ethos Limited

Shubham Kandhway
Company Secretary & Compliance Officer

Encl: as above

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"Ethos Limited
Q4 FY '2 5 Earnings Conference Call"
May 15, 202 5

"E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchanges and the Company website on 15th May 2025 will prevail."

MANAGEMENT : MR. PRANAV SABOO – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER
MR. MUNISH GUPTA – CHIEF FINANCIAL OFFICER
MR. MUKUL KHANNA – EXECUTIVE DIRECTOR AND
CHIEF OPERATING OFFICER
SGA – INVESTOR RELATIONS ADVISOR

Moderator: Ladies and gentlemen, good day, and welcome to Ethos Limited Q4 and FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touchtone phone.

This conference call may contain forward-looking statements about the company, which are based on beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. Please note that this conference is being recorded.

I now hand the conference over to Mr. Pranav Saboo, MD and CEO of Ethos Limited. Thank you, and over to you, sir.

Pranav Saboo: Good afternoon, everyone. Thank you for joining us on the Ethos Limited FY '25 Earnings Conference Call. I'm accompanied by our CFO, Mr. Munish Gupta; Executive Director and Chief Operating Officer, Mr. Mukul Khanna; and SGA, our Investor Relations Advisors. I hope you've had a chance to review our financial results and the Investor Presentation published last week on the company's website and filed with the stock exchanges.

Given that, I will refrain from going over those in detail and instead focus on a few key updates and strategic highlights. Revenue in FY '24-'25 increased by 25.3% year-on-year to INR1,252 crores. EBITDA in FY '24-'25 pre-Ind AS increased by 23.5% year-on-year to INR161 crores. Profit before tax in FY '24-'25 pre-Ind AS increased by 21.3% year-on-year to INR141 crores. Let me talk about now the expansion of the boutique network.

We successfully inaugurated 14 new boutiques in FY '24-'25 and reached a count of 73 boutiques across 26 cities. It is important to clarify that only one boutique is temporarily closed and is under relocation and two were strategically merged into a larger boutique at New Delhi. At the beginning of the year, we set a target to open 20-plus boutiques as a part of our strategic expansion plan. Several boutique openings were delayed due to unforeseen challenges, including the implementation of GRAP IV restrictions in Delhi NCR, which disrupted our operations for 90 days in the Delhi region.

However, we are pleased to share that we have recently opened 8 boutiques that were initially slated for launch in the last financial year. City of Time, Gurgaon, we also opened India's largest horological project on 10th May. The City of Time Gurgaon spanning over 22,000 square feet features five exclusive brand boutiques and two multi-brand galleries with 50-plus independent brands, watchmaking zones, a cigar lounge and more. It is a definitive celebration of craftsmanship and time.

Two more exclusive brand boutiques will be opened by the next quarter to complete the City of Time rollout. Messika, The Chanakya Mall at New Delhi. We are pleased to announce the launch of our first Messika boutique on 14th May, marking a key milestone in our foray into the International Luxury Jewellery segment. We view this as a strategic step forward in diversifying

our luxury offerings while continuing to approach this category with careful evaluation and a long-term outlook.

Looking ahead, we remain on track to be able to cross 100 boutiques during the current financial year. Our inventory remains under control and closely watched. However, the increase in inventory is in line with our strategic expansion, particularly the addition of 14 new boutiques, City of Time and investment into the Messika boutique, most of which are currently in their early revenue ramp-up phase. Furthermore, inventory for the 8 boutiques opening in May 2025 was proac

tively prearranged in quarter four to ensure timely and seamless launches.

Because of the above reasons, the inventory moved from INR 440 crores on 31st March 2024 to INR593 crores as on 31st March 2025. Building on the Lifestyle segment and following the launch of the Messika boutique, we are pleased to share additional developments. We will soon launch our second Rimowa boutique in Delhi, further strengthening our presence in the premium luxury luggage segment and expanding our footprint of Rimowa in key metropolitan markets.

Our Rimowa boutique in Mumbai continues to perform well, validating our strategy and reaffirming the strong customer demand for high-quality lifestyle products. These developments underscore our commitment to diversifying our luxury portfolio and delivering exceptional

experiences across multiple lifestyle categories. Our pre-owned segment also continues to demonstrate strong traction, growing at over 30% year-on-year.

Over the period, customers are realizing the value of buying and selling from our pre-owned vertical known as Second Movement and reinforcing our faith in the strong processes and compliances that we have put in place over the past few years. As part of our international expansion strategy, we have established a wholly-owned subsidiary in the UAE. It's called Ficus Trading LLC. At this point of time, it is exploratory in nature to understand what we can do in the international arena.

We have seen notable fluctuations in the CHF INR exchange rate in the past year. We have now implemented a prudent hedging strategy covering approximately 50% of our foreign currency exposure through forward contracts. This approach allows us to protect against the rupee depreciation while maintaining flexibility to benefit from favorable currency movements on the unhedged portion.

Before opening the floor for questions, I would like to reiterate our long-term vision, which was stated when we went public to grow our revenue 10x over 10 years. Achieving this ambitious yet attainable goal will require sustained and strategic investment in expanding our boutique network, driving greater market reach, enhanced brand visibility and deeper customer engagement.

This growth-oriented approach will also pave the partnership -- will also pave the way for introducing new global brands into our portfolio and foraging exclusive partnerships, further solidifying our leadership in the luxury retail ecosystem in India and positioning us as a benchmark for excellence in the industry.

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Thank you. And with that, I now open the floor for questions.

Moderator: Thank you very much. The first question is from the line of Devanshu Bansal from Emkay Global. Please go ahead.

Devanshu Bansal: Congratulations and all the best for City of Time. This was in the works for a while and the hard work is reflecting through some of the pictures available. There is a long wrap-up of questions since we last interacted and I want to understand some interesting developments in the company. I'll restrict myself to two questions and then come back in the queue. First set of questions is on City of Time, the selection of brands has been across price points with a strong portfolio of brands that should definitely drive share gains as well as grow the Delhi market. What are the key expectations from a top line perspective from this space or in case you want to cover this question or the growth strategy of this answer in some other way that will also be very helpful. You also indicated that there were certain investments in terms of increasing inventory and CWIP at FY'25. How much of that is attributable to the 9 to 10 stores that are expected to open next and what is your store opening expectation for the current year FY '25? Working capital is also in that perspective, which has been on a declining trend.

Is this

is a conscious strategy where we are focusing on availing better margins from brands or this should normalize back to the earlier run rates? And lastly, from a City of Time perspective, there is a new format for Ethos MBO boutiques, which is Ethos Haute H orology, right? So how is this different versus our existing Ethos Summit store?

Pranav Saboo: Thank you, Devanshu. A couple of questions there. So let me try and go one by one. You'd asked for our top line projection on City of Time. I don't want to go into store-wise projections and guidance and of the like, but let me give you the overall view for it and why we took this step. A couple of reasons for this. Gurgaon is one of the fastest-growing markets in the country. We weren't happy with our presence in Gurgaon, and we didn't have a presence that could help us reach our ambition of firstly, being the largest and the finest retailer and most importantly, setting benchmarks that we can be proud of. We were looking for a place for our flagship boutique, and we decided that since Gurgaon is the fastest growing, this is where we will establish a place where we can get a long-term lease, where we can do our flagship, where we can bring in brands and in a way that expresses them much better and where we can set global benchmarks.

That is the reason we have selected this place. And I believe that it will take time for revenue to catch up over here. But in time, it will be one of our -- not just one of our, it will be definitely amongst our best boutiques. Having said that, yes, right now, we are in a de-snagging phase or in a beta phase. In the next week, the marketing will start. We will start inviting customers. The list of brands, it's -- there's a watch boutiques on one side, which is the entry level.

Then you have different brand boutiques that are there that are decided on the basis of whether on strategic reasons that we've decided, which are the brands that we want to give a full boutique to. And then there's Ethos Haute Horology, which is our newest concept, which works on the prices above -- essentially on prices above INR 20 lakhs, and that is on the other side. If you look at the City of Time, we will be releasing more pictures in social media over the next one week, and you can follow us over there for that.

In terms of -- you said working capital, was that the other thing that will working capital normalize? Yes, working capital will normalize over time. There were some changes that we were doing to be able to bring this. And for that, we paid a couple of shipments ahead of time to be able to get better product availability. But yes, that will normalize over time. Was there any other question that I missed over there? I think I missed one question over there.

Devanshu Bansal: No. So broadly, if you could just call out as in for the 9 to 10 stores that opened in the current year, what was the total investment that can be attributed to these 9 to 10 stores that would be -- that would, in fact, help us to understand as in what was the investment for stores that were opened in FY '25 and what investments have sort of gone into the stores that have opened in FY '25?

Pranav Saboo: Devanshu, it is along the line of the average investment per boutique that we are -- it's not very far from the average that we are doing. You see, but when you invest into a boutique early, like if you invest into -- when you are in the ramp-up phase, right, the revenue doesn't start from Day 1. It takes a little bit of time for revenue to catch up.

So therefore, inventory may seem elevated for a while before it reaches the -- the revenue ramp-up rate reaches the steady state of growth or steady state and then growing from there. It takes a little bit of time. But the inventory lands up on Day 1, the entire inventory lands up on Day 1.

So therefore, for some time, you

end up seeing a slightly elevated months of stock or inventory turn becomes adjust accordingly.

Devanshu Bansal: Sir, second question.

Pranav Saboo: One point that I just wanted to explain was like for City of Time, we were going to open -- essentially, the plan was to open January or February, right? And then we had 90 days where in Delhi and Delhi-Gurgaon, et cetera, there was no construction possible because of the GRAP IV restrictions. But then the inventory had already landed there.

We had already ordered the inventory. So a lot of things got pushed because of the pollution.

We couldn't get in the revenue, we couldn't get in everything. Of course, we still had to pay the rentals, et cetera. We couldn't get relief on that. But now we are in a position to be able to start. But the inventory came in earlier because we were planning to launch already.

Devanshu Bansal: Can I ask one more question?

Pranav Saboo: Let's circle back to that.

Moderator: The next question is from the line of Ankush Agrawal from Surge Capital.

Ankush Agrawal: Firstly, can you talk a bit about the EFTA with Switzerland? What's the status on that? And when can we expect some material benefits flowing to us from that?

Pranav Saboo: From my understanding, the EFTA agreement will be effectively in place by the end of this year. This is from the comments that I've read in the media from the ministers and talking to -- with our discussions with the Swiss Embassy as well that I think the benefit will start flowing in by the end of this year.

Ankush Agrawal: Okay, got it. The second question was on Rimowa. So we have almost completed about 2.5 years with the first store. You did allude to it qualitatively, but quantitatively, can you give a sense of what kind of revenues or profit was generated by that store in the first year of its operation?

Pranav Saboo: I think that we are roughly about between 20 -- I don't have the exact numbers, but it's about INR 20 crores and INR 24 crores of billing value that was there. And I think it's steadily growing.

And we will have -- the idea is that we have -- the second boutique is under construction now.

And we've identified the area for the third boutique, which will also come into place. But understand that Mumbai was a very small boutique.

It's not a very large boutique if you visited the boutique. The next ones that are coming are much

larger, which will give us more place to express the brand and hold and showcase the entire inventory. So that is -- that's what we have going ahead in Rimowa. We are very bullish on Rimowa. And ultimately, we hope to be able to bring e-commerce as well online for that. So lots of things in progress in Rimowa.

Ankush Agrawal: And just a clarification on the whole talk on the lifestyle business. So I see along with Rimowa now we have signed another luggage brand, American brand so within each category, are we looking to partner with multiple brands or how is it going to be? Like for jewelry, we have Messika. So if you think that jewelry works for us, we will go and partner another jewelry brands or do you want to expand more category wise?

Pranav Saboo: I think that it's a larger view that we have on lifestyle. I think the view on lifestyle that we have is that we understand the premium customer in India. And we understand retail in India. And we would love to be able to bring brands and help them reach their objectives in India. We would like to work exclusively with -- as exclusive brand partners to whoever we sign on in the lifestyle space.

And this is category agnostic. It is more that does -- is there a fit for the Indian consumer? And are we the right partners -- are we the right long-term partner for the brand? If it's in the premium category, I think we are open to having discussions with all brands over there.

Ankush Agrawal: Yes. But you

would be comfortable with multiple brands in the same category. Is that understanding right?

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Pranav Saboo: Yes, just like watches.

Moderator: The next question is from the line of Udit from YES Securities.

Udit: So firstly, sir, if you can explain about the subsidiaries that we are opening up in the international market. So what is the plan over there? And what will be the right to win in these markets?

Pranav Saboo: Sure. I think the -- for us, it is -- as I said, it's exploratory in nature. The reason I mentioned this in our speech was because we got a lot of questions already ahead of time. We see Dubai as a very large city and a very large market, which has a big infrastructure, but it also has a very large community of Indians that are living there, that travel there.

And also, it has a very thriving pre-owned market over there. So the first thing that we want to explore over there is that do we have a right to win in pre-owned over there? Secondly, from a service and from a talent perspective, after-sales service, we also need presence over there to be able to give much better after-sales service to our own customers even in India.

That is because the after-sales service business is also growing. And not everything is possible to do at this point of time in inside India. So that is the second thing. And thirdly is that Ethos will also be -- Ethos also has the right to retail Favre Leuba inside the UAE. And for that reason, when the boutique in the UAE comes up for Favre Leuba, that will also be run by Ethos. But at this point of time, it is exploratory in nature, and we are exploring all our options and what we want to do over there.

Udit: Understood. And sir, secondly, what will be the impact of this pricing going up due to tariffs? And what will be the impact on demand? Like we have seen Rolex communicating some price hikes to watches of Switzerland and also what has been the communication to us by the brands? And how does it impact?

Pranav Saboo: I don't have any such communication. I haven't seen such communication. In India, we don't see any impact on demand at the moment. April was a very strong month for us. And May, the only slowdown in May has been because of geopolitical tensions, nothing so much for tariffs, and we don't expect any -- even May will recover. I don't see any challenge on demand at the moment. You mean the global tariffs, right? We don't see challenges. We don't have any communication. We don't see any challenge.

Udit: Understand. Sir, lastly just to clarify.

Moderator: Sorry to interrupt, sir, but I may request you to rejoin the question queue. The next question is from the line of Nirav from Abakus.

Nirav: Two questions from my side. What is the contribution of exclusive brands for this quarter and entire year? And secondly, on the volume and the value growth for Q4 and entire FY '25?

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Munish Gupta: In terms of -- hi, Munish this side . In terms of house brand volume, it's in line with the earlier quarters and year. It's in the range of almost 30%. And in terms of overall volume, it grew by almost 15.5% year -on-year. And in terms of average selling price, it grew by 7.4%.

Nirav: Okay. So the entire FY '25, we are seeing volume growth is 15.5%. Am I right in understanding that?

Munish Gupta: Yes.

Nirav: Q4, the volume growth was 30%, right?

Pranav Saboo: No, no, that is not -- that was -- one second. That is the house brand share is over 30% in quarter four, the exclusive brands is over 30% in quarter four. What Munish was answering next was the volume growth for the year is the volume growth for the year overall is 15.5%.

Nirav: And would it be possible to share for this fourth quarter, what was the volume growth?

Munish Gupta: We don't share quarter -on-quarter, but let me -- I will check and ge

t back to you.

Pranav Saboo: Let's just circle back to that. We'll get that number and circle back to you.

Moderator: The next question is from the line of Nitin from Green Capital Single Family Office.

Nitin: This is Nitin Shakhder from the Green Capital Single Family Office. Not an analyst question, but more as an investor. I feel that what is the broader vision for Ethos? Is it going more towards LVMH of getting brand value system where you want to become accumulator of luxury products and distributor across categories and bags and watches and jewellery and maybe Messika is a step towards that? Just wanted to understand the broader vision not only restricting only to maybe luxury products.

Pranav Saboo: So I think -- thank you for that question. I think a big difference between LVMH and Ethos will be that LVMH owns the brand and has retail partners around the world. In our case, do the retail themselves. In our case, we are purely retail partners, and we want to retail products in India. Our journey started with watches. Watches continues to be our core focus.

And as I had mentioned two years ago when the listing was taking place that we want to grow 10x in 10 years has been our vision, right, especially in the retail of watches and premium products in India. So as watches continues to grow, we are also taking o ur steps to be able to represent other brands in other luxury brands in India, which was the reason why we got into Rimowa.

We've done the first boutique that was successful. We are rolling it out. Messika, we did the first boutique . It was successful. We've rolled out the first boutique yesterday. We will be signing more brands in the premium and luxury space, and we will want to represent more and more brands in the lifestyle luxury space as well, while obviously, watches continues to grow.

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Nitin: Okay. So just a follow -up to that. For example, your distribution tie -up, what you've taken a Silvercity stake arrangement, how do you -- in terms of the Swiss luxury markets, do you have your distributors and you keep on getting on newer brands into Ethos through that arrangement like something that you've done in Dubai or there are two different things altogether?

Pranav Saboo: I didn't understand the question because they're very, very different things. we do make investments into brands where we believe that there's a long -term potential in India. We will make those investments if required. At this point of time, we are not loo king at investing into more brands in the ownership of brands, right?

But Dubai is something very different. Dubai is to be able to expand our pre -owned vertical over there, see if that makes sense. Aftersales is very important. Because we will also have the right to retail Favre Leuba in Dubai, which will be a very profitable venture in the future. And that's the reason that Ethos has gotten that right, because we've invested into the brand of Favre Leuba as well, which is through Silvercity.

Moderator: The next question is from the line of Akshat Jain from Sixth Sense Ventures.

Akshat Jain: My question is that what are the kind of margin that we are making in sales of Rimowa and going forward on Messika?

Pranav Saboo: I don't want to be talking about margins. They are -- it is an extremely profitable business for us. I think that we are doing very well over there. And all I can say is that margins are higher than the -- margins are higher than the watch category.

Moderator: The next question is from the line of Ravi Naredi from Naredi Invest.

Ravi Naredi: Sir, sorry, I joined late at this call. So if any question in repeated nature, please forgive me. Our inventory rises this time, so what are the main reasons? And we do not give any -- our business on franchisee mode. If no, then why the reason?

Pranav Saboo: I think the inventory answer we've already

given in my speech and in the previous question. So just wait for the transcript and you will have that.

Ravi Naredi: Okay. I will read. I will read.

Pranav Saboo: And for franchising, it's a very good question. We are -- at present, we want control over the entire experience. We are not close to the idea of franchising in the future. But at present, we believe that it is very important to be able to control the credibility, the processes and the experience inside the boutique and really be in a very razor-sharp position before we franchise it out.

Also, franchising, we want to be able to do where we have complete control over the brand mix, what goes into the store, et cetera. So at present, we are not -- we haven't actively engaged into it. We've got a lot of requests for franchising. In the future, we may do it. We are exploring it this year as an option. We will have someone on board to do a detailed study. But I think at this

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point of time, we haven't opened it up because we want to control the experience that we deliver to the customer.

Ravi Naredi: And sir, how many more showroom we are looking this year?

Pranav Saboo: As I mentioned in the speech earlier, we are looking to cross 100 -- our boutique count will cross 100 this year.

Moderator: The next question is from the line of Harsh Shah from Bandhan AMC.

Harsh Shah: First question is basically, directionally, let's say how different would be in terms of size and scale, the revenue per store for an Ethos Summit versus the mono-brand stores?

Pranav Saboo: Are you talking about?

Moderator: Sorry to interrupt, sir, but could you please speak a little louder?

Harsh Shah: Yes. Can you hear me now?

Pranav Saboo: Yes. So your question was in size, right, in size, typically -- most mono-brand boutiques are about 800 square feet and Summits are about 1000 square feet.

Harsh Shah: In terms of revenue size, not in terms of the store size.

Pranav Saboo: We don't disclose this separately, but we can catch up on this later once we have the information -- once I have the exact information. But just to tell you, the return on capital is quite similar.

Harsh Shah: Got it. Got it. And this INR20 crores to INR24 crores of billing value last year in Rimowa, again, here, the inventory would be the same as watches, INR6 crores, INR7 crores per store or how different would that be for Rimowa -- sorry, it will be lower.

Pranav Saboo: Slightly lower, yes.

Harsh Shah: Slightly lower. And for Messika as well, we are starting with the same kind of inventory or?

Pranav Saboo: The inventory is similar, yes.

Harsh Shah: INR6 crores, INR7 crores in Messika as well.

Pranav Saboo: That is correct.

Harsh Shah: Okay. And Messika any plans to add more store?

Pranav Saboo: From an inventory position, Messika will behave quite -- Rimowa is lower than the watch category. In Messika, it will behave a little bit more similar to the watch category. But the taxation, of course, is much lower in jewelry, as you know.

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Moderator: The next question is from the line of Manish Poddar from Invesco Asset Managers.

Manish Poddar: I have three questions. One is, let's say, this benefit of India Swiss EFTA, when does that start coming in? And would you be able to understand, let's say, now how is the sort of understanding which you have with brands in terms of, let's say, this benefit pass-through?

Pranav Saboo: So what we have, Manish, these are very good questions, and thank you for asking these. EFTA agreement, as I understand, will start to come at the end of the year, right? And the basic principle that we've applied to all the -- with all the brands is that we will share the gain and we will also share the pain.

So if the GST increases, that pain will be shared. If the EFTA comes down, that benefit

will also

be shared. Now what I can say is that I see a bright future going ahead. I see some of that margin slowing down. A little bit depends upon what is decided on GST, but I think that we have -- there's enough discussions have taken place to be able to protect our position and to gain from

whatever happens.

Manish Poddar: Okay. But there's an additional benefit in terms of EFTA, you can also move to an SOR model than that.

Pranav Saboo: We can move to -- well, once the duties are lowered, you can have more SOR arrangements because it is easier to send back watches then. That is correct.

Manish Poddar: Is there some sort of discussion happening on this front?

Pranav Saboo: Those discussions are there. They've already taken place. I think we are waiting for EFTA to come into place actually before we get into logistics. Those are given things that will happen.

But will it dramatically change? I don't think so because even EFTA will come into place over 6 years, 6 to 7 years, right?

So it's -- the first benefit is both the brand and the retailer will start to make more money in India because already the products are very competitively priced, right? And now we are working on margins much lower than the rest of the world. The first benefit is of the duties. The SOR model will come once the duties come to zero because while there are still duties, it is not easy to send back products.

Manish Poddar: Two more questions.

Moderator: Sorry to interrupt. But I may request you to rejoin the question queue for follow-up.

Pranav Saboo: Let me just -- Manish, whatever was your last question, just ask it. But one quick point was that we are in discussions with how to bring in -- let's say, for example, Jacob is a brand that we do very well with is that how do we get more CARNAER into India. This is of the pieces above INR2 crores, INR3 crores. We don't need to invest in those pieces.

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We can bring in display pieces that are here for 6 months, then they go back. You can't sell that exact piece because it's a CARNAER, but I can show that piece and get an order and a new piece will come in 10, 15 days later, just as it happens in the car industry, as it happens in a lot of high-value products, that is what we're going to be working a lot more towards.

Manish Poddar: Got it. If I can ask a second question, let's say, in terms of this full year in terms of overall sales, how much of it will be repeat versus new consumers?

Pranav Saboo: Manish, we'll have to get back on that. But from what we can track because a lot of things from our initial things, we see that about a little bit above 40% is repeat buying. Because below INR2 lakhs, sometimes cash is -- below INR2 lakhs, the law allows us to accept cash. So there, we are not able to always track.

Moderator: The next question is from the line of Samar Nagpal from Suran u Family Office.

Samar Nagpal: Congratulations on the opening of City of Time. So I had a couple of questions. Pranav, regarding our expansion. So we have been fairly dominant in North. But what about South wherein a lot of chains like chains are already present like ZIMSON, et cetera. So what is our strategy over there? I mean, in cities like Vijayawada, Chennai, there's a lot of buying power in Hyderabad. So how are we going to expand over there? Any strategy around that?

Pranav Saboo: I think we are very keen to expand our overall network. As I had mentioned that even this year, we are going to be increasing our boutique count from 73 to over 100. We will be exploring new cities. Even in the South, we will be going into new cities as more and more real estate is available. For example, in Chennai, we already have 4 boutiques already. We have Chennai in 4 boutiques.

We are going to be in the -- we have just signed a location for a very large flagship boutique in Chennai, which will open

in a couple of years because the building has to also be developed, but that will be a landmark position. In all of these cities, we want to expand and take positions over the next 3, 4 years. Vijayawada, you mentioned Vijayawada.

My real estate and strategy team tells me that we are looking to be present there in the next year that we will already be present in the next year when the real estate that we've identified comes up. So all of these cities are on our map. Tier 2 cities are important to us, even a city -- Tier 2 city like Dehradun, for example, is profitable. And in its first year itself, it's breaking even and profitable and marginally profitable as we had expected. And second year onwards, it will be even more profitable. So Tier 2 cities are definitely on our radar.

Samar Nagpal: Sure. One thing more, I think on the CPO business, I know that a couple of years back, we used to speak about the potential this business has, and now it's growing upwards of 30%. So just wanted to understand that would it be a 30%, 40% kind of business or we can see some amount of acceleration over here, and we are just right now setting the operations in a good way or taking up the business, which is good enough for us. So how do we see this business on CPO?

Pranav Saboo: I think that can accelerate. I think that there are some roadblocks that we have to -- we are overcoming first. We need more service centers, and we need more capability in terms of being able to service the watches. Also, we don't accept watches without the correct paperwork.

That takes a little bit more time because you see after 2017 is when the population of watches, which were sold properly has increased because in 2017 is when cash was effective -- cash above INR2 lakhs was effectively disallowed, right? The advantage of that was that the population of watches is increasing, that is the watches that were properly bought in India that aren't smuggled into India or are here without paperwork.

So I think with time, it will continue to accelerate. We have only one boutique right now. Next year, we will be opening two more boutiques or at least one more boutique in Mumbai and then in Bangalore. So I do see acceleration taking place. But at this point of time, we are maintaining this 30% that we are looking at.

Samar Nagpal: Sure. And one final question, if time permits. Just one question. In terms of Favre Leuba, I think we have launched the brand. So in a network of 73 or 80 stores we have right now, how many stores would be having the brand or have we placed it everywhere? So what's the kind of assortment we have built in over there?

Pranav Saboo: I think that Favre Leuba will be spread across -- as a lot of the other brands, such as Rimowa, Frederique Constant, et cetera, with all -- it's similar to those brands and is present in about 40 or 45 locations at the moment.

Moderator: The next question is from the line of Ishpreet Kaur from Relax Capital.

Ishpreet Kaur: While we understand the reasons that you gave for the inventory increase that has happened, could you also help us understand the reduction in trade payables that we are seeing year-over-year since the last 3, 4 years?

Pranav Saboo: I will let the CFO answer. But I think as I mentioned that it will normalize, there were a couple of reasons for it. And there were a couple of reasons that were -- that are very specific. For example, we've had great success with ordering India edition pieces and pieces that are specific for our country. In those cases, we end up paying advance because those products are being only made for us.

In the future, we will -- that will not be the case because we've -- once we've successfully bought and implemented an India-specific strategy on products, creating products that are more specific to India strategies and brands see that, okay, they have

the confidence that if they order, they will pick up, that will change in the future as well. But that's one of multiple reasons. I can let the CFO talk about other reasons.

Munish Gupta: Sure. Thanks, Pranav. In addition, there were some brand debit notes. Generally, we get every quarter or half yearly basis. This year, it was accumulated and padded up to the year-end. So that's why you see the reduction in the creditors.

Ishpreet Kaur: Right. Sure. Would it also be possible to share revenue from the Top 2 or 5, whatever number you can share brands in the watches that we sell?

Pranav Saboo: No, we don't share that.

Ishpreet Kaur: Okay. No problem. And just lastly, the longer-term vision that you mentioned of 10x revenue in 10 years, would you be able to just give a very broad thought as to how much could be the watches and how much could be the other premium space that you're looking to get into or is it too early to quantify anything?

Pranav Saboo: I think it's too early at this point of time to quantify that. As you know, that those are exploratory in nature right now. A lot of the brands that we are talking to, whether they will come, whether they will not come. But I do know for sure that we are committed to this 10x growth in 10 years. This was stated at the time of listing the company, and we have been walking that path and we'll continue to walk that path. I think that it's a little bit too early to give a segment-wise breakup of that.

Ishpreet Kaur: So largely, as of now, you think large part of it would still continue to be watches in that vision?

Pranav Saboo: Right now, it is.

Ishpreet Kaur: Okay. And anything apart from travel?

Moderator: Sorry to interrupt ma'am, I request you to rejoin the question queue for follow-up question. The next question is from the line of Devanshu Bansal from Emkay Global.

Devanshu Bansal: Pranav, I wanted to understand this encouraging pickup in gross margins, right? So this has come back to 31% after the long haul. So wanted to check on the sustainability of these margins that is one. And also, is there any benefit because of a lower cost sourcing in December, which got reflected in better realizations after the price hike earlier this year?

Pranav Saboo: No, I think that long term, there will be sustainability. I think 31% could have been much higher because we're in a volatile place where the rupee is because of whatever is happening in the world and global tariffs and flight -- flight of capital to safe havens such as the Swiss franc. The Swiss franc strengthened a bit, and we haven't passed on that price yet. We will start doing that now.

But overall, there is a structural change in us being able to sell better products in terms of sell with lower discounting, sell specific products better, whether they are India edition, et cetera. This has been a strategy that we have been working on. And I think in the long term, it will improve. I can't talk about the short term as in is it sustainable over one quarter, two quarter because there is -- there's too much fluctuation in the CHF INR at this moment, but I'm sure that, that will also stabilize. And I think that long-term we want our margins to increase.

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Devanshu Bansal: Fair enough. Sir, just a small follow-up here. So you mentioned that the price hikes, which are typically taken in January have not been affected this time around so far. Is this the -- is this -- I mean did I understand it right?

Pranav Saboo: See, there was a price rise that was adjusting for the rupee to about -- if you dial back 1.5 years ago, the CHF INR was around INR91, INR92. Most brands adjusted it to INR96 in January, okay? Most brands. Some brands still didn't, most brands did. But in March, now it's moved to INR102, INR103, right, because at that time, t

he tariffs that kicked in on -- I think it was 2nd

April that those -- the global tariffs or U.S.A.'s tariff started to roll that changed the outlook of currencies around the world.

And that moved from -- then from INR96 to INR103. Of course, that is a little bit volatile, and we don't want to take decisions based on 1 month or 1.5 months because there's too much volatility right now. I think brands will now start to take that decision over the next 20, 30 days. And then we will see if the rupee is, for example, around INR102, then it will have to be adjusted again to INR102, right, but I think that my advice to brands has also been -- I cannot decide for the brands, but my advice to the brands has also been that let's wait for two months. Let's not take knee-jerk reaction.

Devanshu Bansal: One small bookkeeping question. There is some investment that is happening in Favre Leuba. So total, if you could just help us understand throughout the year in terms of equity investment, what can we expect to be going towards Silvercity brands?

Pranav Saboo: I don't -- we haven't yet decided what more will go up over there yet, but we don't see anything happening much this year.

Moderator: The next question is from the line of Udit Gajiwala from YES Securities.

Udit Gajiwala: Yes. Sir, once you mentioned on the gross margins, it could have been better. Would you like to throw some light how can we see EBITDA margins flowing for coming two years?

Pranav Saboo: I think it's to -- look, I want to talk more long term because there's -- I'm afraid to give an answer right now because of the volatile nature of multiple things at this point of time. You have EFTA deal that are taking place. You have -- at the same time, there is talk on -- the Swiss franc is very volatile. In essence, we believe that there is room to work with lower discounting. Our discounting in India is much higher than the rest of the world.

In exclusive brands as well, we can significantly reduce discount. Operational leverage will also start to kick in from a -- at an even deeper level. It's not at the same level, but at a deeper level, operational leverage will kick in. As we make more India-specific products, we now have -- we are -- our relationship with brands is becoming so deep that they are ready to create products only for us.

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Of course, those things enjoy higher margins, and that's becoming a larger percentage of our business as well. So there are multiple strategies that we have. I'm afraid to give a number guidance on this because there's too much volatility right now in the world around us.

Moderator: The next question is from the line of Akshat Jain from Sixth Sense Ventures.

Akshat Jain: Sir, just wanted to understand that last year, our ASP per watch increased from around INR1,59,000 to INR1,90,000, which is like a roughly 20% jump. But the same jump in this year has been 7%. So what's the reason for the lower ASP rise?

Pranav Saboo: I think that we were -- as I had mentioned earlier, that we had done -- we had removed some brands on the lower price point from many of our boutiques. Once that cleanup is done, then we are focusing now -- we are in a stable position of where we want our brands to be. And we are focusing on a healthy mix of volume and value growth.

Akshat Jain: Okay. So this cleanup of lower end price brands was done like sometime late last year?

Pranav Saboo: Not late last year, it's been happening for a while. But yes, we've -- it may have been accelerated during that time or it may -- the effective implementation may be accelerated during that time period.

Moderator: The next question is from the line of Manish Poddar from Invesco Asset Management.

Manish Poddar: So just two questions. So one is in terms of any sense of our market share in India? How would that be stacking?

Pranav Saboo: In the segments

that we operate with, we believe that it is about 35% to 40%.

Manish Poddar: In the last year, would that have increased or I'm just trying to get some sense in terms of allocations versus our sales, is that share improving?

Pranav Saboo: We have grown faster than all our competitors from our knowledge, yes.

Manish Poddar: Okay. And this is material, or this is marginal? Sorry, I'm just trying to harp on this one.

Pranav Saboo: It is much faster than our competitors. But I mean, market share jumping from, let's say, 35% to 45%, it's a long haul. It's not a very easy one. And also, there is one more thing, Manish, is that we want to concentrate on the profitable segment of market share, not just get market share, right? I'm very -- there are brands that we don't operate with because we don't believe that there is significant profit if you do business in a compliant manner, which is very core to what we do.

So we want to focus on the compliant and the profitable part of the businesses.

Manish Poddar: Got it. And the last one is, let's say, there was this earlier thing that we wanted to do a rebranding for the Ethos network -- where are we in that? Have we taken an agency? Just if you could highlight the thoughts, that would be great.

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Pranav Saboo: Yes, we have. We've been working on it for the last 6 months. We now have -- it is going a little bit slower than I would have liked in all transparency. We've gone through about 60, 70 versions of logos, but we have now finalized the logo that truly expresses where we want to go and has much higher usability, right, and can take -- can make, first of all, it can express our ambition much better.

It can make us look and feel more luxurious. It gives the impression to the customers that the correct impression that this is a luxury area that you're entering into. So you will see this across the entire spectrum of what we do, right, from the napkins that we have or the handbags that we have, the logo that how it's used on digital ads, for example. For example, in digital ads, it has to drive a higher click-through rate.

When you have a higher click-through rate on digital ads, it brings down the cost per click. As you know, that we spend a lot of our -- or most of our marketing money is spent digitally today. And that process is ongoing. We have now finalized -- of course, we've been working with this agency for the last 6 months. We finalized the logo, and now we are going to accelerate so that by the end of the year, we are in a position where we are implementing this.

Moderator: The next question is from the line of Samar Nagpal from Suran u Family Office.

Samar Nagpal: So Pranav, just in reference to what the earlier participant also asked about the ASP growth. So is it also that it has tapered off because we have a lot of stores coming in non-metros and therein, we would have an assortment of lower price point and the business mix from those stores would have also contributed. So is it fair to assume that?

Pranav Saboo: There would be a factor of that, yes. It is true that the number of stores that we are going to -- where we're going to be increasing the stores is going to focus a lot between INR1 lakh and INR4 lakhs and not necessarily at the higher price point. But that's not the majority of the reason because the other businesses have also increased in value.

The higher price point has also increased in value significantly. Obviously, the volume there doesn't increase in the same manner. However, it is true that by adding more stores that are in

the price point between INR1 lakh and INR4 lakhs, the volume of that will go higher. And for that reason, it is a contributing factor, but the majority factor has been the removal of price points below INR25,000.

Samar Nagpal: Also on that aspect of expansion through franchisees, I think it brings a lot of

problems while it

solves the capital requirement at one step. But for a brand like for us at Ethos, is it fair to assume that we would still be predominantly coco -led expansion only would be there for us, company - owned stores only because the franchisee sometimes brings in a lot of problems for brands also.

So just wanted some color on that?

Pranav Saboo: I think the only reason to look at it would be a faster rollout, right? As you said if -- are there cons of franchising? Yes, are there pros of franchising? Yes. When the pros are more than the cons is when we will enter into the -- enter into that sphere. Right now, it is not -- it is not actively

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in our -- we are actively looking at it. Have there been examples of multi -brand retail that have been franchised?

Yes, there are active examples of it. We are aware of the pros and cons. We are going to be taking on someone to look at it more carefully and then give us the entire picture and then we will come to a decision. In this year, we will not be rolling out or I don't see a rollout of franchising taking place very quickly. Let me just put it this way that I don't want to give a thing that we are actively looking into it or we are exploring the pros and cons of it. That's the stage we are at.

Moderator: The next question is from the line of Akhil Parekh from B&K Securities.

Akhil Parekh: Congratulations on the good set of numbers. Pranav, just one question from my side. What are the tangible levers for improvement in ROCE from the current levels of 14% to 15% that we have right now?

Pranav Saboo: Well, we are working on a lot of these things, right? The return on capital is when you -- one is to increase the profit, right? That is -- we are working on that through increased revenue and increased margin, right, increasing margin, increasing this through product mix, lowering discount. We are working on obviously increasing revenue as value and volume.

And in terms of where does our capital sit at the end of the day where we have to look and see in the balance sheet, where is it sitting and how do we improve that. Most of our capital lies either in -- it lies in capex, which is in the store fit -outs, right? And it lies in inventory. In both of those, we are now starting to look and dive into how we can improve our things over there with more store rollouts, for example, if we can go into more modular fit -outs and order more and thereby bring down per square footage, right, the cost of building out a store per square footage, that will tremendously help.

So we are building out a brand book going into more modular designing, ordering ahead of time, being able to standardize, et cetera. In inventory, I know my colleagues who are in charge of the merchandising department, they are working now to be able to bring in software to be able to help take better decision -making and be able to bring down the months of stock over there. So yes, those are the tangible levers that we are working on largely.

Akhil Parekh: And on the inventory part, right? I mean, as we continue to expand and the ASPs continue to be on a higher side, our inventory cost and working capital will continue to be -- continue to remain at elevated level next two years or three years' timeframe, we expect that to go meaningfully down and which hopefully can improve the ROCE?

Pranav Saboo: Is there a question or what's the question?

Akhil Parekh: No, I'm asking like the inventory days. Is there scope for inventory days to go meaningfully down from here on for next two to three years?

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Pranav Saboo: I think, look, if you look internationally, we are at much lower levels. Whether we will be -- is there scope? Yes, but it's not an easy strategy to execute. We will be working on it. I don't want to give really forward -looki

ng statements on whether it will go down meaningfully or not. But our intention is to drive it down, yes.

Moderator: Ladies and gentlemen, as there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Pranav Saboo: Thank you all for your insightful questions and continued support. Should you require any further information or clarification, please feel free to contact SGA, our Investor Relations advisors. Thank you again, and we look forward to updating you on our progress in the future.

Moderator: Thank you. On behalf of Ethos Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.